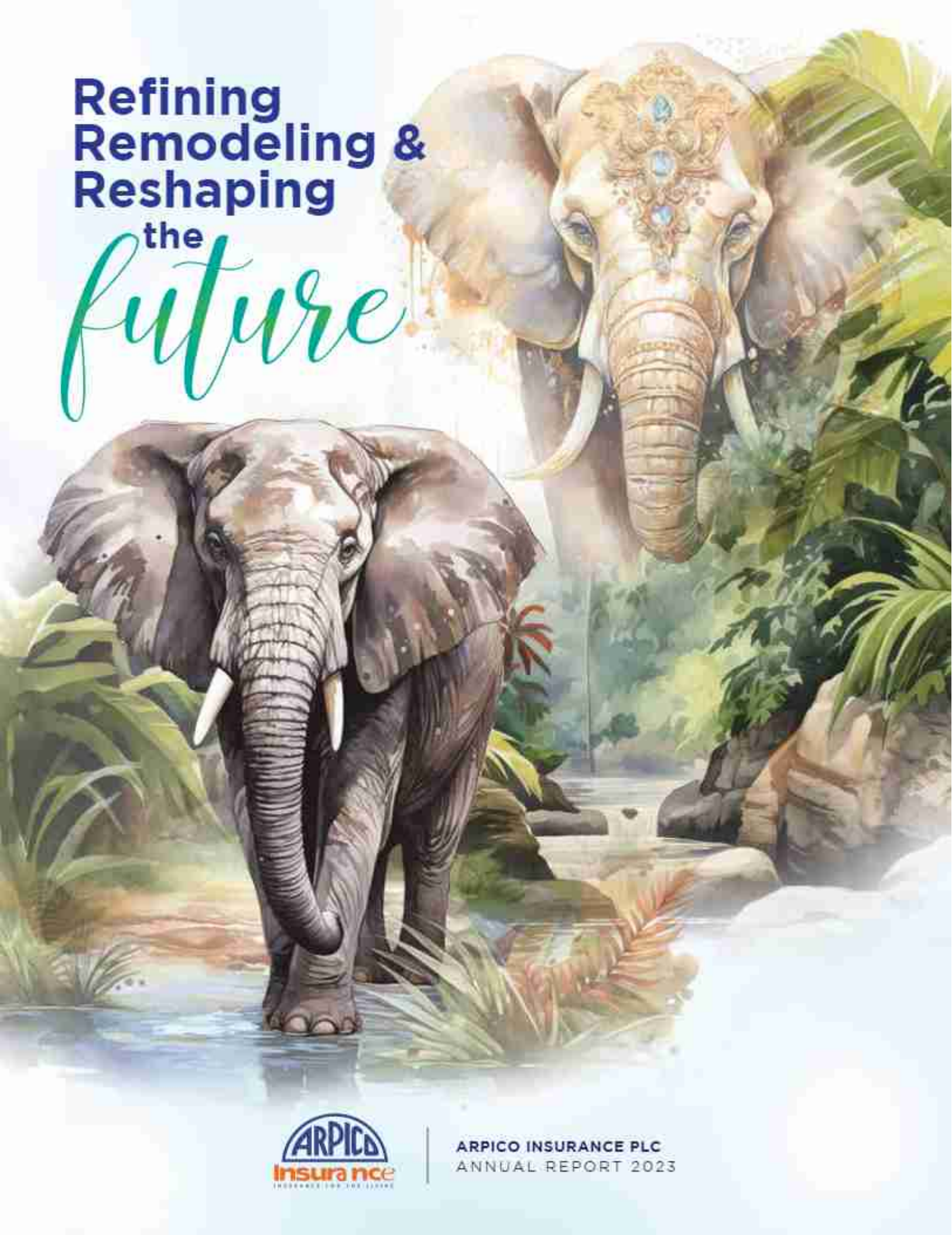


Refining Remodeling & Reshaping the *future*



Refining Remodeling & Reshaping the future

As we embark on a new chapter in our journey, the theme for this year's annual report encapsulates our strategic vision and commitment to growth: "Refining, Remodeling, and Reshaping the Future."

REFINING

Our journey begins with a commitment to refining every aspect of our company. This entails a meticulous evaluation and enhancement of our operations, policies, and practices to ensure we deliver the highest quality of service. Through this process of refinement, we aim to achieve operational excellence, driving efficiency and effectiveness in all that we do. This is not just about incremental improvements, but a profound transformation that positions us to be the best in the industry.

REMODELING

The next step in our journey is remodeling. This involves rethinking and redesigning our strategies to adapt to the evolving market landscape. We are poised to enter new markets and explore innovative approaches that will diversify our portfolio and strengthen our market presence. By embracing cutting-edge technologies and forward-thinking strategies, we are setting the stage for sustainable growth and long-term success.

RESHAPING THE FUTURE

Ultimately, our goal is to reshape the future. This is about more than just overcoming present challenges; it's about creating a better tomorrow for our shareholders, customers, and community. By focusing on sustainable practices and making strategic investments, we aim to generate superior returns for our shareholders while contributing positively to the world around us. Our vision is one where growth and responsibility go hand in hand, paving the way for a prosperous and sustainable future.

A Symbol of Strength and Resilience:

The imagery of the elephants on our cover is more than just a design choice—it is a powerful metaphor for our journey. The smaller elephant represents our current state, acknowledging the challenges we face. Yet, it is through these challenges that we find the strength to grow. The larger, stronger elephant symbolizes our future—robust, resilient, and ready to thrive.

This transformation is not just about physical growth but about building a company that is resilient, innovative, and forward-looking. As we refine, remodel, and reshape, we are committed to emerging stronger, more agile, and better prepared to seize future opportunities.

CONTENT



NAVIGATING REGULATORY CHALLENGES SUCH AS SLFRS 17 IS AN ESSENTIAL PART OF OUR COMMITMENT TO MAINTAINING THE HIGHEST STANDARDS OF TRANSPARENCY, ACCOUNTABILITY, AND GOVERNANCE.



WE EXPANDED OUR RANGE OF HEALTHCARE INSURANCE PRODUCTS TO COVER A WIDER SPECTRUM OF HEALTHCARE NEEDS.

1 STRENGTH AND POWER

Arpico Life

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FINANCIAL FORTITUDE

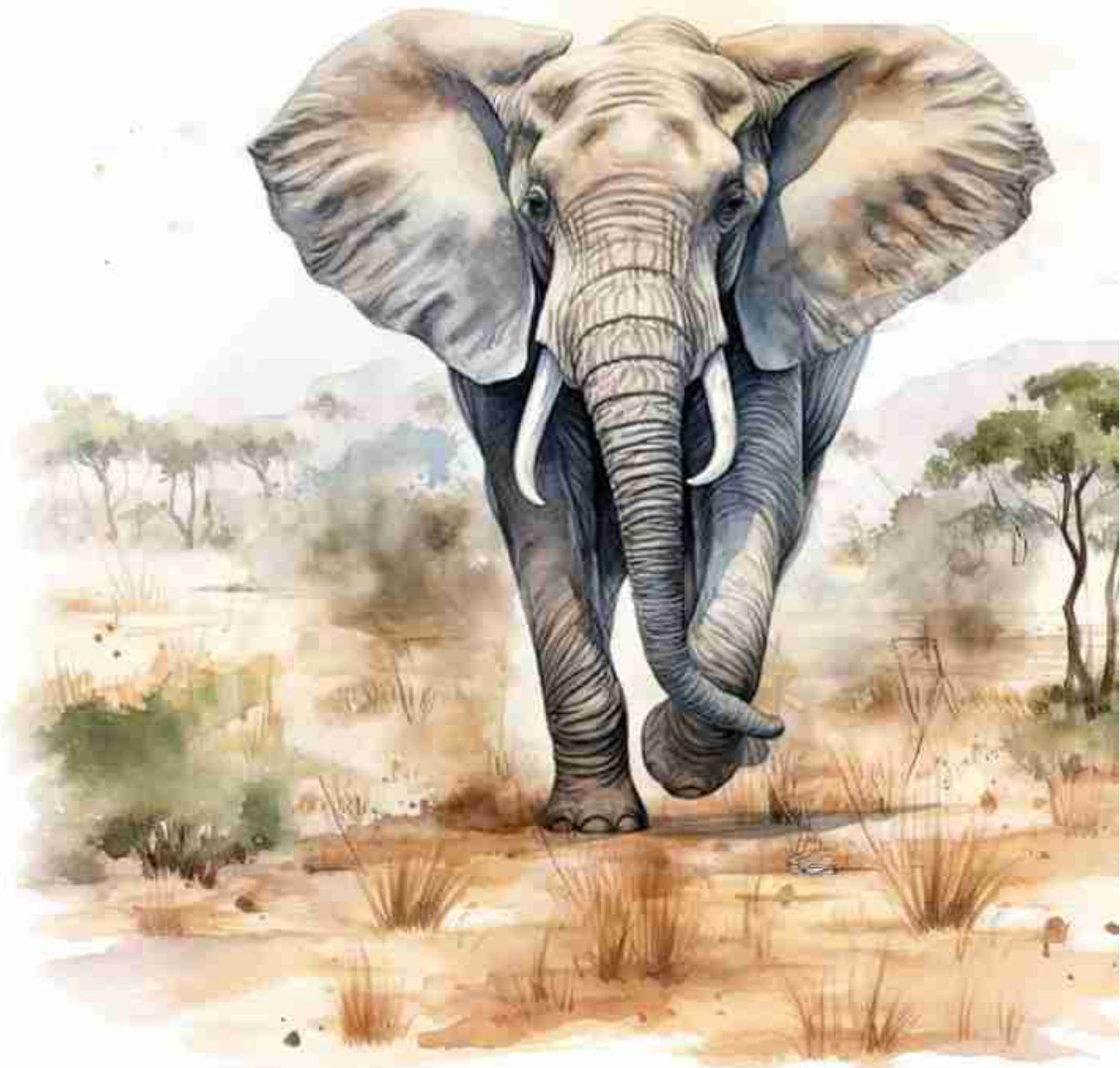
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STRENGTH AND POWER

Arpico Life

Despite a significant loss this year, Arpico Life's enduring strength and power shine through our unwavering dedication to stakeholders and innovative solutions. Our strategic initiatives and resilience position us to transform challenges into future successes.

INTEGRATED ANNUAL REPORT

ARPICO INSURANCE PLC

ANNUAL REPORT 2023

Despite facing challenges in the past year, including a financial loss, Arpico Insurance PLC remains committed to transparency, sustainability, and stakeholder engagement. Our integrated annual report provides a comprehensive view of our business, acknowledging our setbacks and outlining our strategies for recovery and growth.



Financial Performance: In the face of economic uncertainties and unforeseen events, our financial performance in the past year reflects a loss of 683 Mn. While this is a setback, we are implementing strategic measures to strengthen our financial resilience and position ourselves for future growth.



Governance Excellence: Strong governance is critical, particularly in times of financial difficulty. We maintain high standards of corporate governance, ensuring transparency, accountability, and ethical conduct in all our operations.

Our integrated annual report reflects our commitment to transparency, sustainability, and responsible business practices. While we acknowledge the challenges we have faced, we are confident in our ability to overcome them and emerge stronger and more resilient.



Environmental Stewardship: Our commitment to environmental stewardship remains unwavering. Despite financial challenges, we have continued to invest in initiatives such as renewable energy, demonstrating our commitment to sustainability and responsible business practices.



Stakeholder Engagement: We value the trust and support of our stakeholders, and we remain committed to engaging with them to address their concerns and seek their input. We believe that open and honest communication is essential, especially during challenging times.



Digital Version



Social Responsibility: We understand the importance of supporting our communities, especially during challenging times. Despite financial constraints, we have continued to support initiatives such as enriched policy covers, aiming to make a positive impact on the lives of those around us.



Future Outlook: Looking ahead, we are focused on recovering from our financial loss and rebuilding our business for long-term success. We are implementing strategies to improve our financial performance, enhance our environmental and social impact, and strengthen our governance practices.



OUR REPORTING APPROACHES

At Arpico Insurance PLC, we view our annual report as more than a regulatory requirement; it is a key communication tool that reflects our commitment to transparency, accountability, and stakeholder engagement. Our approach to the annual report is guided by the following principles:



Transparency and Clarity: We believe in presenting our financial and non-financial information in a clear, concise, and transparent manner. Our annual report provides a comprehensive overview of our performance, strategy, and governance practices, ensuring that stakeholders have access to relevant and reliable information.



Assurance: To enhance the credibility and reliability of our annual report, we engage an independent assurance service provider to provide assurance on our integrated report. This assurance process ensures that our stakeholders can have confidence in the accuracy and completeness of the information presented.



Stakeholder Engagement: We actively engage with our stakeholders throughout the year to understand their expectations and concerns. This engagement informs the content of our annual report, ensuring that it addresses the interests of our shareholders, customers, employees, regulators, and the communities in which we operate.

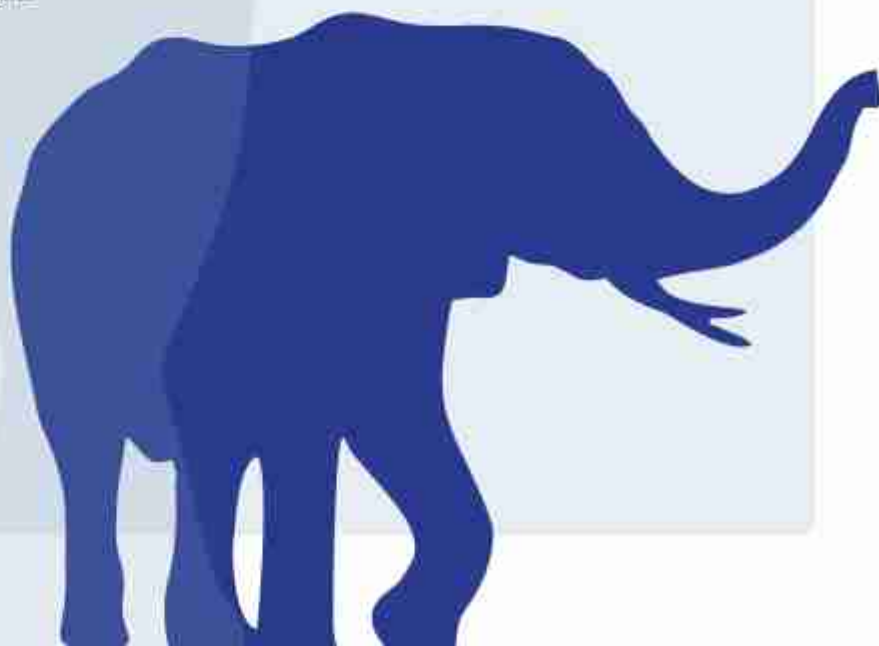


Continuous Improvement: We are committed to continuously improving the quality and relevance of our annual report. We regularly review our reporting practices and seek feedback from stakeholders to identify areas for improvement and innovation.



Integrated Reporting: We embrace the concept of integrated reporting, which involves presenting financial and non-financial information in a holistic and interconnected manner. Our annual report provides a balanced view of our financial performance, as well as our environmental, social, and governance (ESG) practices, demonstrating how these factors contribute to our long-term value creation.

By adhering to these principles, we strive to produce an annual report that not only meets regulatory requirements but also serves as a valuable tool for informing and engaging our stakeholders.



ABOUT THE COMPANY

Celebrating 12 years in the service of insuring lives, our journey once again heralds a new decade of sustainable growth. Established in 2011 and subsequently listed on the Colombo Stock Exchange (CSE) in 2015, we have steadily advanced within the life insurance industry.

As part of our commitment to creating customer value, we offer a holistic portfolio of insurance policies and solutions, which consist of term assurance, endowment, education plans, health insurance, investment plans, group assurance, and loan protection plans.

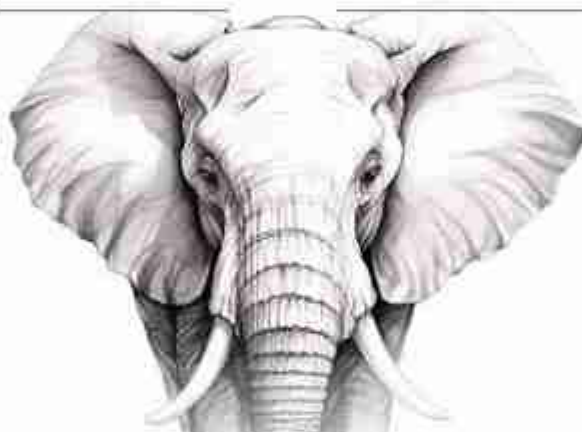
A subsidiary of one of Sri Lanka's most diversified conglomerates – Richard Pieris & Company PLC, we are backed by the trust and extensive strengths of our parent company. This recognition enables us to boldly pursue innovations and market expansions, while tapping into the needs of our customers extensively; delivering solutions with compassion, integrity, and professionalism.

VISION

To be the most trusted and innovative solutions provider for life insurance needs.

MISSION

Provide unparalleled services to clients through team spirit nourished by passion and developing innovative life insurance solutions, technical expertise, value additions and unique service capability.



VALUES

To serve customers with care, compassion and respect.

To do the right thing for the right reason.

Always think to lead in new ways and introduce result oriented solutions to customers.

Always nurture and value team spirit along with satisfaction.

Ensure maintenance of high standards standard in all professional aspects and practices of the company

KEY BUSINESS LINES



WHAT SETS US APART

RELIABLE
INDEMNIFICATION

INNOVATIVE
SOLUTIONS

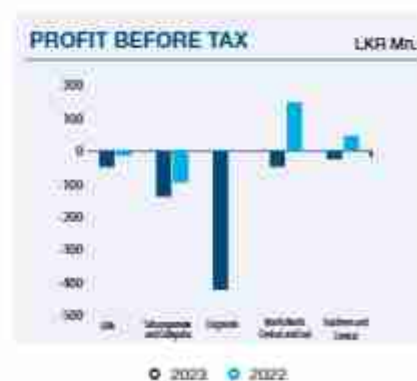
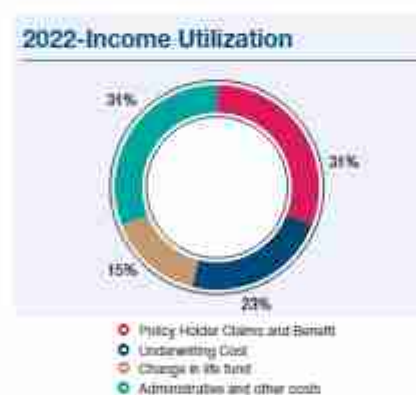
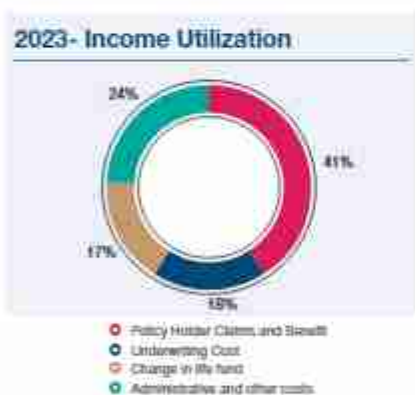
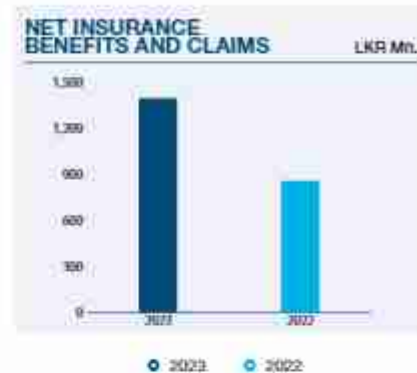
THE STRENGTH OF
A TRUSTED BRAND

RAPID GROWTH

PERFORMANCE HIGHLIGHTS

FINANCIAL HIGHLIGHTS	2023	2022	CHANGE
	(000)	(000)	(000)
Profitability / Return			
Profit before tax	(883)Mn.	85 Mn.	(769)Mn.
Income Tax Rate	-	(48)Mn.	48Mn.
Profit/(Loss) after Tax	(683)Mn.	36Mn.	(720)Mn.
Gross Written Premium	2,236 Mn.	2,318 Mn.	(81)Mn.
Net premium earned	2,141 Mn.	2,247Mn.	(105)Mn.
Operating Profit/(Loss)	(503)Mn.	361Mn.	(865)Mn.
Gross Profit Margin	(23%)	16%	(38%)
EBITDA	(509)Mn.	190Mn.	(699)Mn.
Net Profit Margin	(31%)	2%	(32%)
Return on Assets	(14%)	2%	(16%)
Return on equity	(48%)	2%	(50%)
Market Performance			
Market price per share	23	23	-
Earning per share	(10)	1	(11)
Financial Position			
Total Assets	4,815Mn.	4,620Mn.	195 Mn.
Insurance Contract Liability	2,885 Mn.	2,241 Mn.	644 Mn.
Total debt	3,405 Mn.	2,702 Mn.	702 Mn.
Total Equity	1,410 Mn.	1,917 Mn.	(506)Mn.
Efficiency ratios			
Asset turnover	46%	50%	(4%)
Gearing Ratios			
Debt/Total assets	71%	59%	12%
Debt / Equity	2.41	1.41	1
Industry Specific Ratios			
Capital Adequacy	349%	214%	63%
Reinsurance expense	4%	3%	1%
Acquisition cost to GWP	28%	27%	1%
OPERATIONAL HIGHLIGHTS			
	2023	2022	CHANGE
Number of employees	406	488	(13%)
Total Employee benefits	679 Mn.	777 Mn.	(13%)
Employee benefits per employee	1.6 Mn.	1.6 Mn.	-
Net Profit/(Loss) per employee	(2.2) Mn.	0.09 Mn.	(1024%)



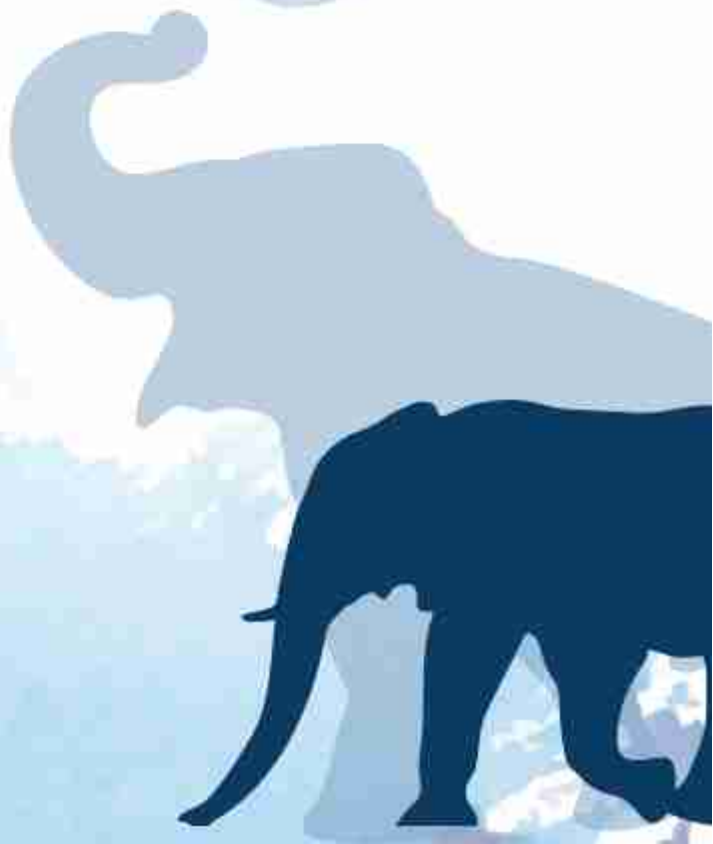


CONSOLIDATED STATEMENT OF ESG PERFORMANCE

ENVIRONMENTAL PERFORMANCE	
Total Energy consumption	3,128GJ
Carbon Foot print (GHG emission)	595 tCO ₂ e
Total water consumption	30,103m ³
Paper Recycled	94kg
SOCIAL PERFORMANCE	
EMPLOYEES	
Average service period	2.8 years
Female representation	73%
Training	1360 hrs
MDRT qualified	14 Nos.
CUSTOMERS	
Revenue/Gross Witten Premium	2.2Bn.
Claims paid	1.4Bn.
BUSINESS PARTNERS	
Supplier payments	878Mn.
Number of Branches	69
GOVERNANCE PERFORMANCE	
Number of directors	05
Number of board meetings	05
Number of audit committee meetings	05
Female representation on board	40%



Economic Values created to society



JOURNEY AND MILESTONES



2017

- Recognized as the fastest growing life insurer in Sri Lanka by the global banking and finance review

2020

- Awarded with the best life insurance company for innovation Sri Lanka by the Global Banking and Finance Review
- 24 employees qualified for MDRT and two as Court of the Table members

2018

- Became the fastest growing life insurer for the second successive year and adjudged most successful life insurer in Sri Lanka by the Global Brand Magazine - UK

2021

- Completing 10 vibrant years in the industry
- Healthcare Product (introduced)
- Added new sector to the distribution channel

2023

- CA Sri Lanka TAGS awards Bronze award for Gross Premium up to 10Bn category
- Indian Chamber of Commerce awards for best strategies for insurance spreading Sri Lanka.

2019

- Honoured with a special award from the Indian Chamber of Commerce for our risk management strategy for 2019
- Recognized as the most trusted life insurance brand in Sri Lanka 2019 by the Global Brands Magazine - UK

2022

- Won the award for Best Risk Management Strategy of the Year 2021
- CA Sri Lanka TAGS awards Bronze award for Gross Premium up to 10Bn category
- Certificate of Appreciation for Outstanding Performance in the Life Insurance Industry of Sri Lanka

AWARDS AND RECOGNITION





Year At A Glance

- January -

Pirith Ceremony



- February -

MDRT summit



- November -



**Indian Chamber
of Commerce
Special
Award -Best
Strategies
For Insurance
Spreading -
Sri Lanka**

- December -

**TAGS award –
Bronze medal
–Gross Premium
up to 1Bn.**

**Christmas party
with fun events.**



RESHAPING THE FUTURE WITH 2023 SYNOPSIS

A year of surprises and contradictions

Global Economic Overview

2023 was a year of surprises and contradictions for the global economy. Despite initial fears of a severe downturn, the world economy displayed surprising resilience, but risks and uncertainties loomed large throughout the year. Here's a summary of the key highlights:

Growth:

- **Global GDP growth:** While originally projected growth to be lower, estimates settled around 2-3.2%. This is slower than pre-pandemic levels but shows the economy's ability to weather challenges.
- **Regional variations:** Advanced economies like the US and Europe faced tighter monetary policies and slowdowns, while emerging economies like China and India maintained stronger growth.
- **Resilience vs. uncertainty:** The year started with fears of recession in the US and Europe, but strong consumer spending and fiscal support provided unexpected resilience. However, the full impact of monetary tightening and other headwinds is still to be felt.



(Source - International Monetary Fund (IMF), World Economic Outlook 2024-Jan)

Inflation

Global inflation has been falling faster than expected, with recent monthly readings near the pre-pandemic average for both headline and underlying (core) inflation (Figure 1).

2024 Forecast

Globally a resilient but slow growth is expected for 2024, estimated at 3.1 percent in 2023, is projected to remain at 3.1 percent in 2024 before rising modestly to 3.2 percent. This resilient global economic growth is expected with improvements in economies like China and USA.

Figure 1. Global Inflation: Rise and Fall

(Month-over-month annualized percent change, seasonally adjusted)



Global Economy	2022	2023 (E)	2024 (F)	2025 (F)	Impact to AINS	Opportunity/ Risk	Response from AINS
Real GDP growth	3.5	3.1	3.1	3.2	Negative	Stable economic Growth	• Redesign of Products • New employee retention Programs • Diversification of investments.
Inflation	8.7	6.8	5.8	4.4	Positive	More Savings by population	• Redesign of Products • Diversification of investments.
GDP per capita (USD)	12,744	13,333	13,870	14,480	Positive	Increase of Living standards	• Redesign of Products • Diversification of investments.

Source - International Monetary Fund (IMF), World Bank

To Reshape the future, it is prerequisite to get value addition from the past, under this section of the annual report it is discussed about the analysis about 2023 focusing global, national and industry levels.

RESHAPING THE FUTURE WITH 2023 SYNOPSIS

Emerging Market and Developing Economies	2022	2023 (E)	2024 (F)	2025 (F)	Impact to AINS	Opportunity/ Risk	Response from AINS
Real GDP growth	4.1	4.1	4.1	4.2	Negative	Slow economic Growth	- Redesign of Products - New employee retention Programs
Inflation	9.8	8.4	8.1	6	Positive	More Savings by population	- Redesign of Products - Diversification of investments.
GDP per capita (USD)	6,360	6,450	6,770	7,013	Positive	Increase of Living standards	- Redesign of Products - Diversification of investments.

Source - International Monetary Fund (IMF), World Bank

GLOBAL ELEPHANT PRESENCE

Elephants are the largest living land animal and 4 living species are currently recognized.



- African forest elephant (*Loxodonta cyclotis*) Critically endangered



- African savanna elephant (*Loxodonta africana*) Endangered



- African savanna elephant (*Loxodonta africana*) Endangered



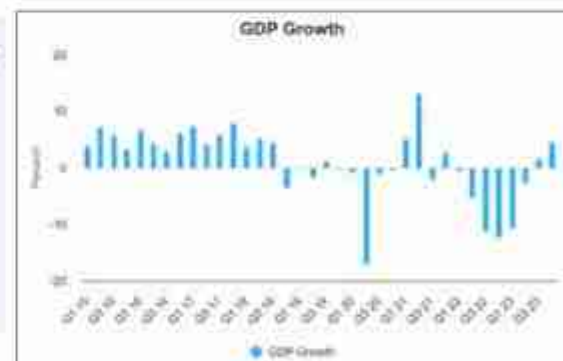
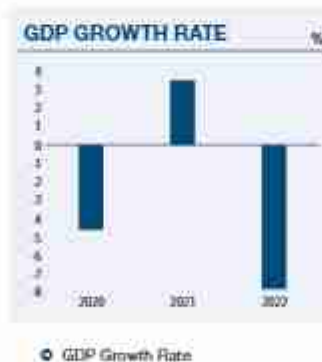
- African elephant (*Loxodonta africana*)

National Economic Overview

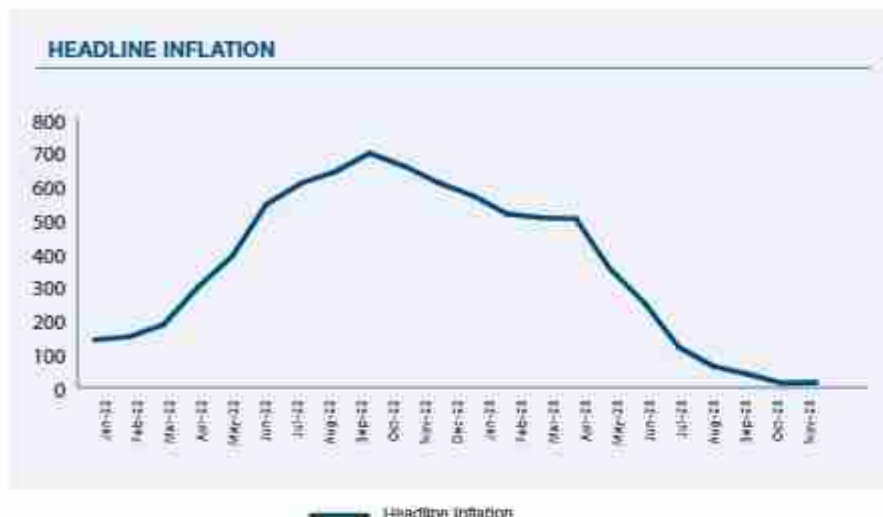
Growth

With the impact of Covid-19 Sri Lanka faces several unfavorable socio-economic consequences ultimately those adverse facts resulted to political regime shift in the country. Sri Lanka started the year with lot of economic reforms in order to solve the foreign exchange crisis which was the main cause to the collapse of Sri Lankan economy. Government of Sri Lanka has taken below corrective actions to restore the Sri Lankan economy to sustainable status.

- Restoring government revenue to sustainable levels
- Bringing down inflation and interest rates through monetary policy
- Impose import restrictions



With those remedial actions national economy getting in to positive direction from 3rd quarter of 2023 and 2023 quarter 3 GWP growth became positive growth after six consecutive quarters.



Inflation

Sri Lanka experienced a higher inflation rate from 2022 March and it peaked in 2022 September but from beginning of 2023 it start to drop down to normal levels, from July 2023 it dropped to single digit and throughout the year inflation remain at single digit levels.

Factor	Impact to Arpico Insurance PLC
GWP	Negative Impact
Inflation	Balance Impact

Source - CBSL

2024 Forecast

Sri Lankan Economy Growth prospects depend on progress with debt restructuring and the implementation of growth-enhancing structural reforms. Inflation is projected to stay in single digits amid weak demand, as monetization of fiscal deficits wanes. Further, monetary loosening and exchange rate pressures could counter this trend. Poverty is projected to increase in 2023 before declining over the medium term, in line with the slow recovery. Despite the removal of import restrictions, the current account deficit is expected to narrow further in 2023, due to continued liquidity constraints, and remain benign thereafter with the recovery in tourism and remittances. Although the primary deficit is expected to decline in 2023, the overall balance will remain high due to the large interest bill. Debt restructuring and a revenue-based fiscal consolidation are projected to reduce the overall balance in the medium-term. While recent macroeconomic performance has been better than expected, downside risks remain high, given a narrow path to recovery and limited buffers. A prolonged or insufficiently deep external debt restructuring, a deterioration in the political situation (including a backlash to the reforms), inadequate domestic revenue mobilization, limited external financing support, a sharper global slowdown, and a prolonged recovery from the scarring effects of the crisis are key risks to restoring stability, regaining a sustainable growth path, and bringing Sri Lanka back to precrisis rates of poverty. The financial sector needs continuous monitoring, given high exposures to the public sector, rising nonperforming assets, and tight liquidity conditions.



The necessary macroeconomic adjustments may initially adversely affect growth, poverty, and inequality, but will correct overall imbalances; help regain access to international financial markets, and build the foundation for sustainable growth. Mitigating the impacts on the poor and vulnerable remains critical during the adjustment."

Industry Analysis

Sri Lankan Insurance industry comprises of 28 insurance companies which governed and supervised by Insurance Regulation Commission of Sri Lanka.

12	Life (long term) Insurance Companies
12	General Insurance Companies
02	Composite Insurance Companies

Consider about the Life Insurance industry, Life Insurance Industry was dominated by 5 main players and they accounted for more than 80% of total Life Gross Written Premium in 2023.

RESHAPING THE FUTURE WITH 2023 SYNOPSIS

Company	2021	2022	2023
AIA Life	13%	13%	12%
Arpico	1.9%	1.7%	1%
Ceylinco Life	21%	21%	22%
SLIC	18%	15%	14%
Softlogic life	16%	17%	17%
Union Assurance	12%	12%	12%

Arpico Insurance performance compared to industry

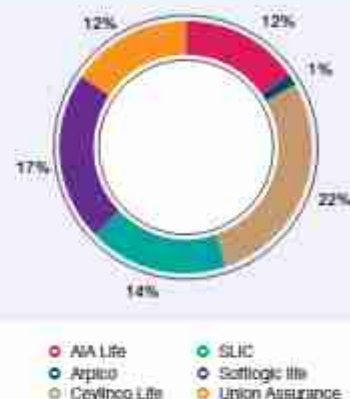
Overall life insurance industry grown by 12% compared to 2022 and Arpico Insurance PLC has recorded a negative growth of 4% in 2023 which is caused by several internal and external factors which will be discussed in section 03 (page 107).

Regulatory Overview

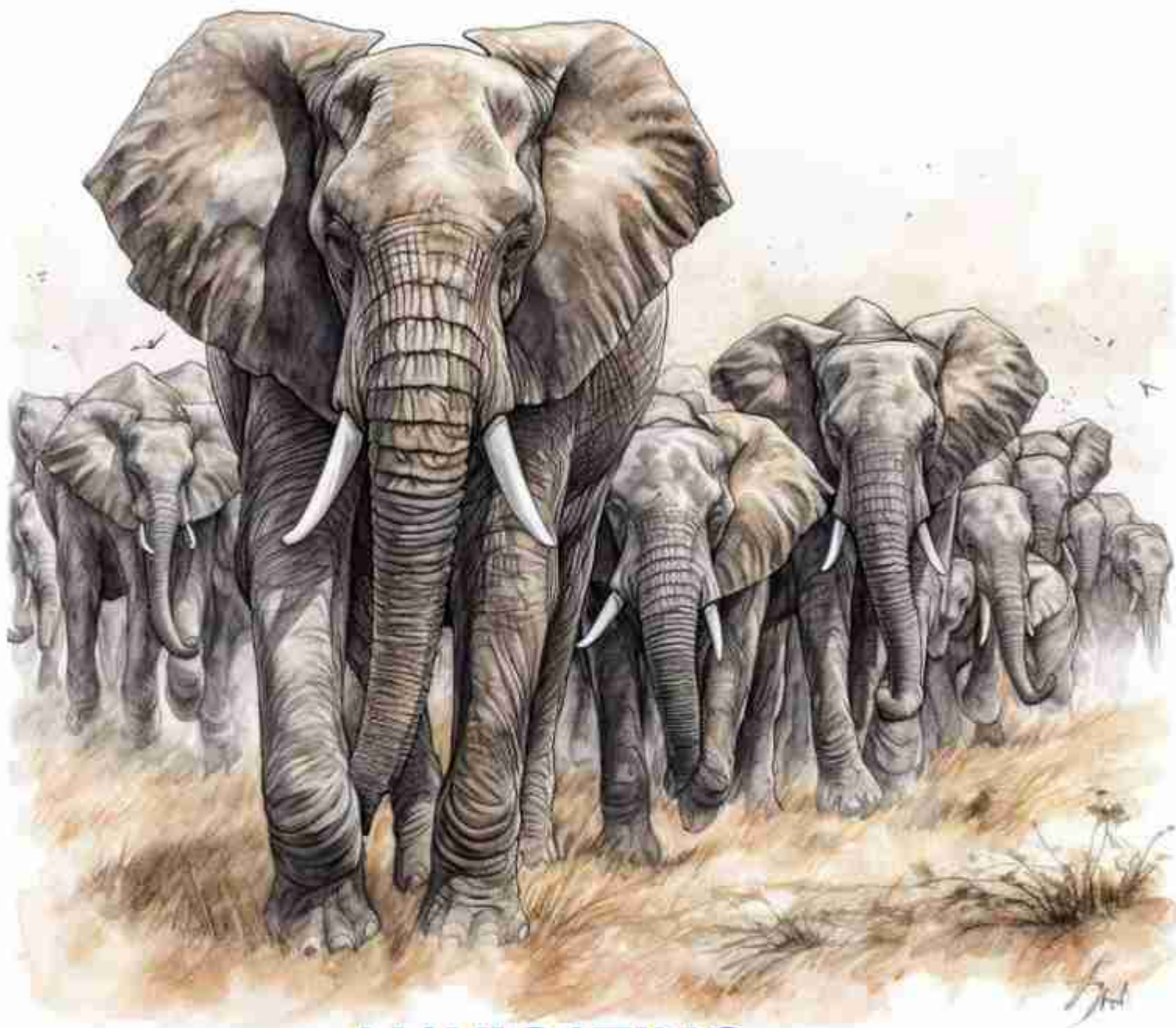
IRCSL (Insurance Regulatory Commission of Sri Lanka) as principal regulator made few developments to the existing directions and determination in the year 2023.

Direction/ Determination	Arpico Compliance Status
Direction 02 of 2023 (dated 27th July 2023) – Clarification of Principal Officers of Insurance Companies and Insurance Brokering Companies	✓ Complied
Determination 13 – 01/09/2023 Revised Affidavits and forms for obtaining IRCSL approval prior to appointment of a director of an insurer	✓ Complied

Market Share Movement



Source – Industry Handbook 2023 by IRCSL, IRCSL Data



NAVIGATING CHALLENGES/PATH TO RECOVERY AND GROWTH

Corporate Governance

Corporate governance plays a crucial role in navigating challenges and charting a path to recovery and growth for companies. By establishing transparent and ethical practices, companies can build trust with stakeholders and investors, which is essential during times of uncertainty. Strong corporate governance structures help companies make sound decisions, manage risks effectively, and ensure accountability at all levels of the organization. By prioritizing good governance, companies can adapt to changing market conditions, maintain resilience in the face of challenges, and ultimately position themselves for sustainable growth in the long term.

A portrait of a middle-aged man with short, graying hair, wearing a dark suit, white shirt, and a purple tie with a geometric pattern. He is standing with his hands on his hips against a light blue background. The bottom of the image features a large, abstract blue and white graphic that resembles a splash or a stylized map.

LEADERSHIP INSIGHTS

CHAIRMAN'S MESSAGE

Dear Shareholders,

It is with transparency and a profound sense of responsibility that I address you today as we unveil Arpico Insurance's 3rd Integrated Annual Report, covering the financial year ended 31st December 2023.

As you delve into the comprehensive insights presented within this report, I am compelled to address a crucial aspect of your company's journey over the past year. Our financial performance, as outlined in the following pages, has been, regrettably marred by the achievement of a net loss.

This is the result of a long overdue and essential business correction, which is no doubt painful, but an inescapable fact of correcting past practices, changing the direction of the business processes, Actuarial assumptions, which are imperative to ensure sustainable long term value to our policyholders and stakeholders. The Board of Directors and I solemnly acknowledge the gravity of this situation. We duly recognize the implications this holds for our shareholders, our employees, stakeholders and the communities we serve.

It is in times of challenge that our resolve is tested and our commitment to reinforce our ethical values is affirmed. In light of this, I wish to assure you that our response to this setback is characterized by unwavering determination, a professional and responsible approach to activate the recovery process and overcome the difficult phase of the business cycle that your company is facing. As a Life Insurance Company, we have at present a commitment towards the Life insurance policies that are maturing as well as to meet the deliverables made to our policyholders over the tenure of their insurance policies. The Board, along with our dedicated management team, has embarked on this correction process and is confident of a positive outcome arising out of the implementation of the comprehensive turnaround plan already put in place.

As we navigate through this period of transformation, we invite you to journey with us through the pages of our 3rd Integrated Annual Report. Within these pages, you will find a comprehensive overview of our financial performance, strategic initiatives, governance framework, and societal impact.

Moreover, you will gain insights into the ethos that underpins our operations – an ethos defined by transparency, integrity, and unwavering dedication to our stakeholders. Whilst the challenges we face are formidable, we approach them with a sense of purpose, confidence and optimism. Together, with the support and trust of our stakeholders, we are confident in our ability to emerge stronger and more resilient than ever before. I thank you for your continued trust, support, and partnership as we embark on this journey of transformation and growth.

Control Environment

At Arpico Insurance, maintaining a robust control environment is essential to safeguarding our assets, ensuring compliance, and delivering value to our stakeholders. Over the past year, we have made significant strides in enhancing our control environment, reinforcing our commitment to transparency, integrity, and operational excellence. We have bolstered our control environment by equipping the company with a new, talented, qualified, and experienced internal audit team. This team brings a wealth of knowledge and expertise, significantly enhancing our ability to identify and mitigate risks. Their presence has been instrumental in minimizing the risk of fraud and error, thanks to their independent oversight and rigorous auditing practices. Our internal audit strategy and plan are meticulously aligned with the company's business direction. The audit committee to ensure that they remain relevant and effective periodically reviews these. This alignment ensures that our internal audit function not only safeguards our operations but also supports our strategic objectives, driving us toward sustained growth and success.

We are committed to continuous improvement, guided by the recommendations of our effective internal audit function. This has led to the implementation of new standard operating procedures and company policies, enhancing our operational efficiency and control mechanisms. This process ensures more transparent and stricter oversight and compliance keeping in line with the Regulations and controls that govern the Industry we serve. These improvements reflect our proactive approach to addressing potential vulnerabilities and optimizing the effectiveness of our processes.

In addition to the guidance from our internal audit team, we have strengthened our defense against fraud, error, and non-compliance through ongoing enhancements. Our IT controls play a significant role in mitigating various risks. By processing vast amounts of data, we have automated numerous controls, ensuring effective and seamless operational functions.

We have recently introduced new Customer Screening systems to filter customers against fraudulent identities and money laundering activities. These advanced systems further fortify our control environment, making sure that we not only engage with legitimate customer intensions but also comply with the regulatory requirements. Through this eco system of the control environment, we aim to create and win enhanced value and the trust of all our stakeholders. The steps we have taken to strengthen the control environment, is a testament to our unwavering commitment to excellence and integrity. We will continue to build on these improvements, ensuring that your Company remains a trusted and resilient organization, well-prepared to navigate the challenges and opportunities of the future.

Share Holder Value Creation

As we stand at the threshold of a new era in business, your Company is committed to making significant strides in sustainability. Our mission is to lead by example, demonstrating that we can create meaningful contributions in this critical area while assuring measurable progress year on year. This commitment is not just a statement but a strategic imperative that underpins our operations and future growth. We recognize the growing importance of sustainability to our shareholders and other stakeholders. As a company, we are dedicated to making a substantial impact on environmental, social, and governance (ESG) fronts. Our approach is holistic, aiming to integrate sustainability into every facet of our business. This journey begins with a thorough assessment of our current position, allowing us to identify areas for improvement and set realistic, yet ambitious, targets. Our strategy involves establishing clear milestones and goals. These targets will guide our efforts and ensure that we remain on track to achieve our sustainability objectives. Each milestone represents a step

CHAIRMEN'S MESSAGE

forward in our commitment to reducing our environmental footprint, enhancing our social impact, by strengthening our governance practices. On setting and pursuing these goals, we aim to build a legacy of sustainability that resonates with all our stakeholders. At Arpico Insurance, we pride ourselves on being innovative and forward-thinking. Our approach to sustainability is no different. We strive to achieve our sustainability targets in ways that set us apart from our peers. This involves leveraging cutting-edge technologies, adopting best practices, and fostering a culture of continuous improvement. By doing so, we not only enhance our sustainability performance but also create value for our shareholders, customers, employees, and the communities we serve. Our stakeholders are integral to our sustainability journey. We believe that our efforts in this area enhance our value proposition to all those who are vested in our journey to success. For our shareholders, robust sustainability practices mean better risk management, long-term viability, and enhanced reputation. For our customers, it translates into trust and assurance that they are in partnership with a responsible company. For our employees, it fosters a sense of pride and purpose. To the broader community, it signifies our commitment towards contributing positively to society, the environment and most importantly enhances the role we play in the development of the National Economy.

As we look ahead, our vision is to embed sustainability deeply into our corporate DNA. We aim to be recognized as a leader in sustainability within the insurance industry, setting benchmarks that others would aspire to follow. Our journey will be marked by transparency, accountability, and continuous engagement with our stakeholders to ensure that our sustainability efforts are aligned with their expectations and aspirations.

Regulatory challenges

In the ever-evolving landscape of the insurance industry, regulatory changes play a crucial role in shaping our operations and reporting standards. One of the most significant regulatory developments that we are currently navigating is the implementation of SLFRS 17. This new standard has a profound impact on how we measure and report our performance, necessitating comprehensive changes

NAVIGATING REGULATORY CHALLENGES SUCH AS SLFRS 17 IS AN ESSENTIAL PART OF OUR COMMITMENT TO MAINTAINING THE HIGHEST STANDARDS OF TRANSPARENCY, ACCOUNTABILITY, AND GOVERNANCE.

to our business processes and systems. SLFRS 17 fundamentally alters the way we account for insurance contracts, bringing greater transparency and comparability to financial statements. The new standard requires us to recognize insurance contract liabilities at current values, which provides a more accurate reflection of our financial position and performance.

However, this transition is not without its challenges. The complexities involved in aligning our financial reporting with SLFRS 17 demands meticulous planning and execution. Successfully aligning our business processes with SLFRS 17 requires a concerted effort from all key stakeholders within your Company. This includes our finance team, actuarial experts, IT professionals, and operational staff. Each group plays a vital role in ensuring that our systems and processes are equipped to meet the stringent requirements of the new standard. The collaborative spirit and dedication of our teams are instrumental in driving this transformation. To address the challenges posed by SLFRS 17, we have developed a comprehensive implementation plan. This plan outlines the key steps and milestones necessary to achieve compliance, from system upgrades and process reengineering to training programs and stakeholder engagement. Our objective is to ensure

a smooth transition that minimizes disruption to our business operations while maximizing the accuracy and reliability of our financial reporting. Meeting the requirements of SLFRS 17 within the stipulated deadlines is a priority for Arpico Insurance. We are committed to adhering to all regulatory timelines to ensure full compliance.

Our project teams are working diligently to align our reporting practices with the new standard, and we are confident in our ability to meet the due dates as prescribed by the regulatory authorities.

Navigating regulatory challenges such as SLFRS 17 is an essential part of our commitment to maintaining the highest standards of transparency, accountability, and governance. By successfully implementing SLFRS 17, we not only comply with regulatory requirements but also enhance the quality and clarity of our financial reporting. This, in turn, strengthens the trust and confidence of our shareholders, policyholders, and other stakeholders. We remain dedicated to overcoming these regulatory challenges with the same resilience and adaptability that we have defined for your company's journey thus far. Our focus on regulatory compliance, coupled with our broader strategic initiatives, positions us well for sustained growth and success in the years ahead.

Macro-Economy

The performance of Arpico Insurance over the past year has been profoundly influenced by a constellation of macroeconomic factors, which have collectively contributed to a downturn in our company's fortunes. The evolving economic landscape in Sri Lanka, characterized by shifts in poverty rates, labor migration, and broader macroeconomic dynamics, has presented a multifaceted challenge that demands careful consideration.

The escalation of poverty rates from 25% in 2022 to 26% in 2023 underscores the deepening economic distress faced by a significant segment of the population. This rise in poverty has translated into diminished purchasing power and altered consumption patterns, posing challenges for insurance providers like Arpico Insurance. The reduced affordability of insurance products has dampened

demand and exerted downward pressure on our revenue streams.

The phenomenon of labor migration and brain drain has further compounded the challenges facing your company. The exodus of skilled professionals from the country in search of better opportunities abroad has not only depleted our talent pool but has also eroded the domestic consumer base. This brain drain has implications for consumer sentiment, as well as the overall economic vitality, thereby impacting our company's growth prospects.

Despite recent macroeconomic performance surpassing expectations, the overarching outlook remains fraught with downside risks. Challenges such as protracted debt restructuring, reform fatigue, and a weaker recovery trajectory pose significant threats to economic stability and investor confidence. Furthermore, declining household expenditure on critical sectors like health and education raises concerns about the erosion of future human capital, with implications for long-term economic sustainability.

The vulnerabilities within the financial sector, including elevated non-performing loans and significant exposure to sovereign debt, have hindered financial stability and impeded credit intermediation. These risks have cascading effects on the broader economy, constraining investment activity and dampening consumer confidence. Arpico Insurance, as a key player within the financial ecosystem, is not immune to these systemic challenges.

On a positive note, a strong and sustained implementation of structural reforms holds the potential to alleviate some of the macroeconomic pressures facing the country. Structural reforms aimed at enhancing fiscal discipline, improving governance, and fostering private sector-led growth could bolster investor confidence and attract fresh capital inflows, thus stimulating economic activity and revitalizing the insurance sector.

The downturn experienced with your company's performance is a reflection of the intricate interplay between macroeconomic dynamics and operational realities. As we navigate these challenges, our commitment to resilience, innovation, and customer-centricity

remains unwavering. Through proactive adaptation and strategic foresight, we are poised to weather the storm and emerge stronger in the face of adversity.

Investment climate

Against the backdrop of recent economic developments and structural reforms, the investment landscape in our country has undergone significant transformation in response to the challenges posed by the severe economic crisis that engulfed us in 2022.

Sri Lanka's journey through adversity has been marked by a convergence of longstanding structural weaknesses and exogenous shocks, exacerbated by policy missteps. The repercussions of these challenges reverberated across the economy, resulting in a contraction of 9.5 percent in total during 2022 and 2023. The ballooning of public debt to 119.2 percent of Gross Domestic Product (GDP) in 2022, coupled with soaring inflation and currency depreciation, underscored the magnitude of the crisis.

Amidst these daunting circumstances, the investment climate experienced profound turbulence, characterized by heightened uncertainty and constrained liquidity. Access to international financial markets was curtailed, and the forex liquidity constraint precipitated severe shortages of essential goods. Furthermore, food insecurity, malnutrition, and poverty rates soared, exacerbating socio-economic disparities, and widening inequality.

However, amidst the challenges, a glimmer of hope has emerged on the horizon. The implementation of recent structural reforms, including cost-reflective utility pricing and new revenue measures, has bolstered macroeconomic stability and laid the groundwork for long-term resilience. Domestic debt restructuring, completed in September 2023, marked a significant milestone in our journey towards fiscal consolidation and debt sustainability.

Moreover, negotiations with external creditors are progressing, offering a ray of optimism for the resolution of our debt overhang. In March 2024, a Staff Level Agreement was reached between the authorities and International Monetary Fund staff, signaling a renewed commitment to the objectives of the

Extended Fund Facility program. Key reforms focusing on debt restructuring, fiscal management, trade, investment, and State-Owned Enterprises (SOEs) continue to advance, underpinning our efforts to rebuild investor confidence and foster sustainable economic growth.

As we navigate through this period of transformation, it is imperative for stakeholders to remain vigilant and proactive in their engagement with the investment climate. The resilience and adaptability demonstrated by businesses and investors alike have been instrumental in weathering the storm and charting a course towards recovery.

The challenges ahead may be formidable, they are by no means insurmountable. With steadfast determination, collaborative efforts, and a commitment to reform, we can seize the opportunities presented by our evolving investment landscape and pave the way for a brighter and more prosperous future.

Appreciation

As we move forward in 2024, we remain dedicated to building on the success of the past year. With the continued support of the Group Chairman, Board of Directors, Regulatory bodies, employees, customers, stakeholders and partners, we are confident in our ability to navigate the future with resilience and innovation. Together we will continue to achieve new heights and deliver on our promise of excellence, trust, and security.

Conclusion

The synergy and perfect symbiosis between the Eco system of compliance and oversight with the Virtuous cycle of professionalism and transparency of the Management and processes adopted by your Company will ensure the success of our quest towards Refining, Remodeling and Reshaping the future of your Company



Mr. Ramal Jasasinghe
Chairman

A portrait of a middle-aged man with dark hair and a mustache, wearing a dark suit, white shirt, and a purple patterned tie. He is standing against a background of soft, out-of-focus blue and green light. The bottom of the image features a large, textured blue brushstroke graphic.

LEADERSHIP INSIGHTS

CEO'S REVIEW

As you may already know, Arpico Insurance PLC navigated a challenging year in 2023, and I am pleased to present our 3rd integrated annual report, offering a comprehensive look at our year-long journey. The past year brought a multitude of challenges, including significant economic reforms within the country. Despite these complexities, our Company embraced innovation and redefined several aspects of our operations. This period will undoubtedly be remembered as a pivotal year in our history.

Refining

Building on our 12-year legacy, we have traditionally focused on established agency and other business channels. However, 2023 marked a shift with the company establishing a strong corporate business presence, resulting in the securing of large corporate insurance businesses with some of Sri Lanka's leading companies.

Key Strategic Initiatives of 2023:

In 2023, Arpico Insurance implemented a multi-pronged growth strategy aimed at strengthening our market position. This strategy focused on two key areas: enhancing our health insurance offerings and elevating customer awareness of the Arpico Insurance brand.

Recognizing the growing importance of health insurance, we strategically expanded and improved our health insurance products based on a deep understanding of market trends and customer needs. This included providing more extensive coverage, higher limits, and inclusive terms, solidifying our commitment to offering robust healthcare solutions to our policyholders.

To promote these offerings, we launched targeted marketing campaigns across digital and print media that highlighted the value of health insurance and the unique benefits of our plans. In parallel, we focused on boosting customer awareness and engagement with the Arpico Insurance brand. We refined our brand

ARPICO INSURANCE ESTABLISHED A STRONG CORPORATE BUSINESS PRESENCE, SECURING LARGE CORPORATE INSURANCE DEALS WITH SOME OF SRI LANKA'S LEADING COMPANIES.

positioning to emphasize trust, reliability, and customer-centricity. Our marketing efforts effectively communicated how Arpico Insurance is a dependable partner in safeguarding financial and health security. A comprehensive marketing communications strategy leveraged both traditional and digital channels, including mainstream advertising, social media and content marketing. Consistent brand presence across these platforms served to reinforce our identity and build stronger connections with our target audience and the broader community.

Furthermore, we invested in improving the overall customer experience by enhancing service delivery and support. This included training our customer service teams, streamlining processes, and adopting advanced CRM tools and procedures. By prioritizing customer satisfaction, we actively worked to improve the overall perception and preference for Arpico Insurance.

2023 Performance Across Key Business Segments

The life insurance industry's dynamic nature was evident in our 2023

performance. While some segments flourished, others faced challenges. Our agency business saw a significant 19% drop in 2023. Economic uncertainties, heightened competition, and evolving customer preferences all contributed to this downturn. Recognizing this shift, we undertook a comprehensive review of our sales strategies and operational frameworks.

To revitalize our agency network, we launched intensive training programs. These programs equipped agents with advanced sales techniques and in-depth product knowledge. Focusing on effective communication and addressing customer concerns, these programs empower agents to confidently showcase the value of our products. Furthermore, we introduced attractive incentive and reward programs to motivate and retain our agency force. Tailored to recognize and reward high achievers, these programs encourage agents to strive for excellence and reach their targets. Additionally, we intensified recruitment efforts, seeking talented and motivated individuals to expand our agency network. Retention strategies were also implemented to ensure our existing agents feel valued and supported, ultimately reducing turnover rates.

In stark contrast to the agency business, our Corporate Solutions segment experienced remarkable growth, boasting an 182% increase in 2023. This exceptional performance highlights the success of our strategic focus on corporate accounts and the effectiveness of our tailored insurance solutions. We developed bespoke insurance products catering specifically to the needs of corporate clients. Our dedicated corporate relationship management team played a pivotal role in building and maintaining strong client relationships. Personalized service and timely support were key to enhancing client satisfaction and loyalty, ultimately driving this segment's exceptional growth.

CEO'S REVIEW

Customer Service and New Product Development Initiatives

Our commitment to customer-centricity and innovation in 2023 took centre stage through several key initiatives designed to enhance the customer experience and develop new products. These strategic efforts aimed to improve customer satisfaction, streamline operations, and ensure our offerings remain relevant and competitive in a dynamic market.

Understanding customer needs through the "Voice of the Customer": Recognizing the importance of ongoing feedback, we launched the "Random Courtesy Call" initiative. By engaging with customers directly on their policy anniversaries, we gained valuable insights into their experiences with our products and services. This feedback not only revealed areas where we excelled but also highlighted opportunities for improvement. These calls also served to strengthen customer relationships, demonstrating our genuine commitment to their satisfaction and well-being. Furthermore, representatives addressed any concerns or questions during these interactions, providing proactive support and resolving issues before escalation. This initiative, aptly named "Voice of the Customer," had a significant positive impact. It allowed us to identify and address customer pain points, improve service delivery, and cultivate stronger customer loyalty.

Combating lapses with personalized communication and convenience: To enhance policy persistency and reduce lapses, we implemented a system of personalized SMS reminders for due and lapsed premiums. These tailored messages provided timely and relevant information about payment schedules, with reminders sent before due dates to encourage timely payments and avoid coverage lapses. For lapsed policies, follow-up reminders were utilized to encourage reinstatement. Notably, these messages were personalized to include details about the specific policy

RECOGNIZING THE GROWING IMPORTANCE OF HEALTH INSURANCE, ARPICO INSURANCE STRATEGICALLY EXPANDED AND IMPROVED ITS HEALTH INSURANCE PRODUCTS.

and payment amounts, enhancing their effectiveness. Further, the reminders included links to convenient digital payment platforms, allowing customers to make payments quickly and securely. This personalized and seamless approach resulted in a significant improvement in our policy persistency rates. Customers appreciated the timely reminders which helped them stay on track with their payments, ultimately contributing to a reduction in policy lapses and fostering customer satisfaction and retention.

Enhancing onboarding for new customers: For newly onboarded customers, we prioritized a smooth and informative onboarding experience. Our focus centered on increasing the reachability and effectiveness of our welcome calls. These calls provided new customers with comprehensive information about their policies, including coverage details, benefits, and how to access services. This in-depth introduction helped customers

understand their policies better and set clear expectations. The calls also served as an opportunity to address any initial questions or concerns, offering immediate support and building trust and confidence in our services from the outset. By personalizing each call to the specific needs and profile of the customer, the interaction felt more relevant and valuable. This focus on improving reachability and quality of welcome calls significantly enhanced the onboarding experience for new customers, leading to higher satisfaction, a smoother transition into our services, and ultimately, fostering long-term customer relationships.

By prioritizing customer-centricity and innovation in 2023, we were able to address their needs, improve internal processes, and ensure our offerings remain competitive in a changing market. These initiatives underscore our commitment to providing exceptional customer service and developing insurance solutions that meet the evolving needs of our policyholders.

Digital Transformation Initiatives

In 2023, our commitment to innovation and digital excellence was demonstrated through significant strides in our digital transformation journey. A key focus of these efforts was to increase the usage of the Instant Pay Digital Standing Order method, aimed at enhancing transaction efficiency and maintaining a higher persistency rate. Below is an in-depth look at the steps we took and the outcomes achieved.

The primary objective of promoting the Instant Pay Digital Standing Order method was to streamline premium payments, reduce lapses, and improve policy persistency rates. By enabling automatic payments, we aimed to provide our customers with a hassle-free and reliable way to manage their insurance premiums. We launched a comprehensive communication campaign to educate customers about the benefits of the Instant Pay Digital Standing Order

method. This included informational emails, SMS messages, and social media posts highlighting the convenience, security, and reliability of automated payments. We conducted workshops and webinars for our customers, explaining how to set up and use the digital standing order system. These sessions provided step-by-step guidance and addressed common concerns and questions. **User-Friendly Interface:** We redesigned the enrollment process to be more intuitive and user-friendly. The simplified interface allowed customers to easily set up their digital standing orders with minimal steps and clear instructions. Dedicated customer support teams were made available to assist customers with the enrollment process. This support included phone assistance, live chat options, and in-branch help desks to ensure a smooth transition to the digital payment method. **Incentive Programs:** To encourage adoption, we introduced incentive programs for customers who opted for the Instant Pay Digital Standing Order method. These incentives included discounts on premiums, loyalty points, and participation in prize draws. Limited-time promotional offers were launched, providing additional benefits such as cashback or gift vouchers for customers who signed up during the promotional period. **Bank Collaborations:** We collaborated with major banks to integrate the digital standing order method seamlessly into their existing online banking platforms. This partnership ensured that customers could set up standing orders directly through their bank accounts without additional steps. Partnering with fintech companies allowed us to leverage their advanced technology and expertise in digital payments. These collaborations enhanced the security and efficiency of our digital payment systems. **Robust Infrastructure:** We invested in upgrading our IT infrastructure to support the increased usage of the digital standing order method. This included enhancing system security, ensuring data privacy, and improving transaction processing speeds. Our mobile app was enhanced to include features for setting up and

THE CORPORATE SOLUTIONS SEGMENT EXPERIENCED REMARKABLE GROWTH WITH A 182% INCREASE IN 2023. THIS EXCEPTIONAL PERFORMANCE WAS DRIVEN BY TAILORED INSURANCE PRODUCTS FOR CORPORATE CLIENTS AND STRONG CLIENT RELATIONSHIP MANAGEMENT.

managing digital standing orders. The app provided real-time notifications and reminders, making it easier for customers to stay informed and in control of their payments. The steps taken to promote the Instant Pay Digital Standing Order method yielded significant positive results. The comprehensive education and awareness campaigns, combined with incentives and a simplified enrollment process, led to a substantial increase in the number of customers adopting the digital standing

order method. Customers appreciated the convenience and reliability of automatic payments, which reduced the need for manual interventions and minimized the risk of missed payments. This convenience translated into higher customer satisfaction and loyalty. The adoption of the digital standing order method contributed to a notable improvement in policy persistency rates. With automatic payments in place, there was a significant reduction in policy lapses and missed premiums, ensuring that customers maintained continuous coverage. The shift to digital payments streamlined our operations by reducing the administrative burden associated with manual payment processing. This efficiency allowed us to allocate resources more effectively and focus on enhancing customer service. The proactive support and personalized communication provided during the enrollment process helped build stronger relationships with our customers. By demonstrating our commitment to their convenience and financial security, we reinforced their trust in Arpico Insurance.

People Proposition: Key HR Priorities During the Year

At Arpico Insurance, we firmly believe that our employees are the cornerstone of our success. In 2023, our human resources strategy centered around fostering a resilient, skilled, and motivated workforce through a focus on retention, training, and development. This approach empowered our employees to drive sustained growth and excellence for the company.

Employee retention was paramount. We conducted a comprehensive review of our compensation and benefits packages, ensuring competitiveness within the industry. This included not only salary adjustments but also enhanced benefits like performance bonuses. Additionally, we offered clear career pathways with opportunities for advancement. Promoting from within was prioritized, while lateral moves were

CEO'S REVIEW

ARPICO INSURANCE MADE SIGNIFICANT STRIDES IN ITS DIGITAL TRANSFORMATION JOURNEY BY PROMOTING THE INSTANT PAY DIGITAL STANDING ORDER METHOD. THIS INITIATIVE AIMED TO STREAMLINE PREMIUM PAYMENTS, REDUCE LAPSES, AND IMPROVE POLICY PERSISTENCY RATES, RESULTING IN HIGHER CUSTOMER SATISFACTION AND OPERATIONAL EFFICIENCY.

encouraged to broaden skillsets and experiences.

Recognizing the importance of a skilled and motivated workforce, Arpico Insurance prioritized employee retention and development in 2023. This comprehensive human resources strategy aimed to empower our employees and make them a driving force for continued growth and excellence.

Investing in training and development was crucial. Renowned experts led key training sessions, complementing the ongoing efforts of our dedicated training department. These initiatives addressed a wide range of employee needs, from enhancing technical skills in areas like new insurance products, regulatory compliance, and advanced digital tools, to developing crucial soft skills like leadership, teamwork, problem-solving, and effective communication. All of this training fostered a collaborative work environment and empowered employees to thrive.

Furthermore, a robust system for continuous monitoring and feedback was implemented. Regular performance reviews, coaching sessions, and feedback loops ensured that employees received the ongoing support and guidance needed to achieve their personal and professional goals. By fostering a culture of learning and growth, Arpico Insurance equips its workforce with the necessary tools and knowledge to excel and propel the company towards sustained success.

Measures to Bolster the Company's Sustainability and Engagement with Society

In 2023, Arpico Insurance took significant steps to enhance our sustainability platform and actively engage with society through our Corporate Social Responsibility (CSR) initiatives. Our focus was on integrating sustainable practices into our operations and promoting environmental stewardship. Below, we detail the key measures we implemented to advance these goals.

Reducing paper usage is a critical component of our sustainability strategy. By minimizing paper consumption, we aimed to decrease our environmental footprint, reduce waste, and contribute to the conservation of natural resources. Our objective was to embed a culture of paper reduction across the organization, encouraging employees to adopt more sustainable practices in their daily work.

Transition to Digital: We transitioned from traditional paper-based processes to digital documentation and communication. This included the digitization of internal reports, memos, and correspondences. We promoted the use of email and electronic forms for both internal and external communications, significantly reducing the need for printed materials. **Sustainability Workshops:** We conducted workshops and training sessions to raise awareness among employees about the importance of paper reduction and its environmental benefits. Employees were encouraged to share best practices for reducing paper usage, such as printing double-sided, using scrap paper for notes, and opting for electronic signatures. **Usage Tracking:** We implemented systems to monitor paper usage across the organization. Departments were provided with regular reports on their paper consumption, highlighting areas for improvement. Specific reduction targets were set for each department, and progress was tracked to ensure accountability and continuous improvement. We invested in advanced document management systems that allowed for efficient storage, retrieval, and sharing of digital documents. Adoption of cloud storage solutions facilitated secure and easy access to digital documents, further reducing the reliance on physical paper. The measures to implant a culture of paper usage reduction led to a substantial decrease in our paper consumption. Employees embraced digital alternatives, contributing to a more sustainable and efficient work environment. These efforts not only reduced our environmental impact but also resulted in cost savings

associated with printing and paper procurement.

To further our commitment to sustainability and improve customer experience, we introduced an e-policy and e-claim document system. This initiative aimed to streamline our insurance processes, reduce paper waste, and provide customers with convenient and efficient service options. **Digital Policy Issuance:** Customers were offered the option to receive their insurance policies in digital format. The e-policy system allowed for the secure electronic delivery of policy documents directly to customers' email addresses. **Online Access:** Customers could access their policies online through a secure portal, enabling them to view, download, and manage their documents at any time. **Digital Claims Submission:** The e-claim system enabled customers to submit their claims electronically. This included uploading required documents and forms through a secure online platform. The system facilitated automated processing and verification of claim documents, speeding up the claim settlement process and reducing the need for physical document handling. **Guidance Materials:** We provided customers with comprehensive guidance materials, including tutorials and FAQs, to help them navigate the e-policy and e-claim systems. Dedicated support teams were available to assist customers with any queries or issues related to the digital systems, ensuring a smooth transition from paper-based processes. **Data Security Measures:** Robust security measures were implemented to protect customer data and ensure compliance with regulatory standards. This included encryption, secure login protocols, and regular security audits. The e-policy and e-claim systems were designed to comply with relevant legal and regulatory requirements, providing customers with a secure and legally compliant service. **Environmental Impact:** The reduction in paper usage contributed significantly to our sustainability goals, decreasing

the environmental footprint associated with traditional paper-based processes. Customers appreciated the convenience and efficiency of digital policies and claims. The ability to access and manage their documents online improved their overall experience and satisfaction. The digital systems streamlined our operations, reducing the time and resources required for document handling and processing. This efficiency translated into faster service delivery and improved operational performance. The robust security measures ensured that customer data remained protected, building trust and confidence in our digital services.

Awards and Accolades

In 2023, Arpico Insurance achieved notable recognition for our commitment to excellence, innovation, and industry leadership. Our efforts in transparency, governance, sustainability, and strategic expansion were acknowledged through prestigious awards and accolades. These honors reflect our dedication to upholding the highest standards and implementing best practices across our operations. Below, we highlight the significant awards we received this year.

TAGS Award 2023

Award: Bronze Award in the Insurance Sector (Gross Premium up to 10Bn.)

Presented by: Institute of Chartered Accountants of Sri Lanka

The TAGS (Transparency, Accountability, Governance, and Sustainability) Awards are among the most respected accolades in the Sri Lankan corporate sector. They recognize companies that demonstrate exceptional performance and commitment in these four critical areas. Arpico Insurance was honored with the Bronze Award in the Insurance Sector for companies with a gross premium of up to 10 billion.

The award acknowledges our commitment to transparent business practices,

ensuring that stakeholders have clear and accurate information about our operations, financial performance, and strategic initiatives.

We have established robust mechanisms to hold ourselves accountable to our stakeholders, including customers, employees, shareholders, and regulators. This award highlights our dedication to maintaining high ethical standards and responsibility in all our dealings.

Strong governance frameworks are essential for sustainable business success. The award reflects our adherence to best governance practices, ensuring effective decision-making, risk management, and compliance with regulatory requirements.

Sustainability is at the core of our business strategy. This recognition underscores our efforts to integrate sustainable practices into our operations, reduce our environmental impact, and contribute positively to society.

ICC Special Award

Award: Best Strategies for Insurance Spreading in Sri Lanka.

Presented by: Indian Chamber of Commerce

The ICC Special Award celebrates outstanding strategies that have significantly contributed to the spread and accessibility of insurance in Sri Lanka. Arpico Insurance was honored for our innovative approaches and successful initiatives in expanding insurance coverage across the country.

The award recognizes our innovative strategies that have effectively increased insurance penetration in Sri Lanka. Our emphasis on customer awareness, digital transformation, and tailored insurance products has made insurance more accessible to diverse customer segments.

CEO'S REVIEW

By focusing on understanding and meeting the unique needs of our customers, we have developed products and services that provide meaningful value. This customer-centric approach has been instrumental in our success and has set us apart in the industry.

Our strategic initiatives have enabled us to reach underserved markets and demographics. By leveraging technology and innovative distribution channels, we have broadened our reach and ensured that more people benefit from the protection and security that insurance offers.

Collaboration with various stakeholders, including regulatory bodies, industry associations, and community organizations, has been key to our success. This award highlights our ability to work effectively with partners to achieve common goals and drive industry growth.

Expectations for Macro-Economic Recovery in the Year Ahead

Looking ahead, Sri Lanka's economic prospects appear promising, fuelled by several key factors. This anticipated resurgence is expected to significantly benefit the insurance industry, particularly in the areas of life and health insurance.

Sri Lanka's tourism sector, a vital contributor to the economy, is poised for a significant rebound as global travel restrictions ease. This influx of visitors will stimulate various industries like hospitality, retail, and transportation, leading to increased economic activity, job creation, and ultimately, a rise in disposable income. This newfound financial security will likely encourage individuals employed in tourism-related sectors to invest in life insurance, solidifying their financial futures.

Remittances sent by Sri Lankans abroad are a major source of foreign currency and economic stability. An anticipated

THE COMPANY INTEGRATED SUSTAINABLE PRACTICES INTO ITS OPERATIONS, INCLUDING REDUCING PAPER USAGE AND INTRODUCING AN E-POLICY DOCUMENT SYSTEM. THESE INITIATIVES NOT ONLY DECREASED THE ENVIRONMENTAL IMPACT BUT ALSO ENHANCED CUSTOMER CONVENIENCE AND EFFICIENCY IN SERVICE DELIVERY.

rise in these remittances will bolster household incomes, leading to greater financial security and spending power for families back home. This increased financial stability will likely translate into a rise in life insurance investments, allowing families to prioritize securing their long-term well-being and that of their dependents. Additionally, a rise in remittances is expected to drive demand for comprehensive health insurance coverage as families seek to protect

themselves against medical expenses and ensure access to quality healthcare.

A well-managed international trade environment characterized by stable exchange rates and regulated foreign currency outflows will provide a strong foundation for economic growth. This stability fosters investor confidence and supports sustainable economic development. Such a stable environment encourages long-term financial commitments, including life and health insurance purchases. With reduced uncertainty, individuals and businesses will be more confident in making these investments. Furthermore, businesses operating in this stable climate are more likely to seek corporate insurance solutions to mitigate risks and ensure business continuity, driving growth in our corporate insurance segment.

Sri Lanka's aging population presents both challenges and opportunities. An increasing elderly population will require more healthcare services and financial planning solutions tailored to their specific needs. Additionally, changing lifestyles and a growing focus on preventive healthcare will influence consumer behaviour. This increased awareness of health and wellness is expected to drive the adoption of health insurance coverage. As individuals become more mindful of the need for long-term financial planning, there will be a greater demand for life insurance products offering savings, investment, and retirement planning options. These products cater to the evolving needs of an aging population seeking financial security in their later years.

Organisational plans for the year ahead

Our vision for 2024/25 entails a concerted effort to expand our network of agents across Sri Lanka. We recognize the pivotal role our agency force plays in fostering customer relationships and extending the reach of our life insurance

solutions to every corner of the country. To achieve this, we are meticulously planning strategies for recruiting, nurturing, and empowering new agents. This involves comprehensive training programs to equip them with the knowledge and skills necessary to effectively represent our diverse range of products and services. We understand that a robust agency cadre not only accelerates market penetration but also strengthens our bond with customers. Thus, our commitment extends beyond recruitment to ensuring ongoing support and resources for our agents, guaranteeing their success and satisfaction.

Our sights are set on achieving ambitious revenue targets that reflect our commitment to sustainable growth and shareholder value creation. These targets are not mere numbers but a reflection of our strategic initiatives aimed at driving revenue growth across multiple fronts. Our strategy encompasses a blend of product diversification, pricing optimization, and targeted sales incentives to stimulate demand and capture market share. Moreover, we are keenly attuned to emerging market opportunities and trends, leveraging our agility and foresight to capitalize on them effectively. Our unwavering focus remains on nurturing long-term relationships with us.

The health insurance segment stands as a cornerstone of our strategic focus for 2024/25, underscoring its significance within our broader business framework. Recognizing the evolving landscape of healthcare insurance in Sri Lanka, we are poised to deepen our presence and relevance within this critical sector. Our approach is multifaceted, rooted in a deep understanding of customer needs and market dynamics. We are tailoring our product offerings and marketing strategies to resonate with the unique requirements of healthcare consumers, thus fortifying our position as a trusted provider of comprehensive insurance solutions.

Appreciation

I would like to extend my heartfelt appreciation to all those who have contributed to our success in 2023. I express my gratitude to our Group Chairman, Dr. Sena Yaddhegige and our Board of Directors for their visionary leadership and unwavering support. Their strategic guidance has been instrumental in navigating challenges and achieving our objectives. I extend my gratitude to the Insurance Regulatory Commission of Sri Lanka for their continued support and regulatory supervision, which ensures that we operate with the highest standards of governance and transparency.

Last but not least, I acknowledge and appreciate the dedication and commitment of our staff, including our agency sales force and insurance brokers. Their commitment to excellence and customer service has been a key driver of our success. I am confident that with their continued dedication, we will achieve even greater heights in the coming year.



Mr. Kelum Senanayake
Executive Director / Chief Executive Officer

BOARD OF DIRECTORS



1. Mr. Ramal Jasinghe
Chairman



2. Mr. Kelum Senanayake
Executive Director / Chief Executive Officer



3. Mrs. Dilukshika Fernando
Non- Executive Independent Director

4. Mr. Shiron Gooneratne
Non- Executive Director



5. Mrs. Lasinee Seresinhe
Non- Executive Independent Director
(Ceased to hold office w.e.f. 27th May 2024)



Mr. Ramal Jasinghe

Chairman - Independent Non-Executive Director

Mr. Ramal Jasinghe began his career in the chemical industry serving for 12 years culminating in his tenure as the Marketing Manager/ Alternate Director at the multinational Messrs. Union Carbide Lanka Ltd.

On completion of his MBA where he read at the Postgraduate Institute of Management, University of Sri Jayewardenepura, he was invited to serve on the senior management of the leading Insurance Company Messrs Union Assurance Limited. Having received the management training at two prestigious management business schools; Indian Institute of Management (IIM) Ahmedabad and the Stanford University, Palo Alto California, he served the Company with a track record of excellence for a period of 10 years.

Mr. Jasinghe joined Asian Alliance Insurance, initially as the CEO and after five years in service he was appointed to the Directorate and was designated Director/ CEO position until the sale of Asian Alliance General Insurance arm to Fairfirst of Canada. He served 12 years as Director/CEO in Asian Alliance.

Following the merger of Union Assurance General Insurance which Fairfirst owned, with the General Insurance arm of Asian Alliance and after the former merging with the latter, he had the privilege of being made the first CEO of the newly formed General Insurance Company, Fairfirst. He served for three years at Fairfirst retiring as a Director thus serving in the insurance industry for 25 years.

After serving in Fairfirst he was invited to Chair an Insurance Brokerage, Messrs. Strategic Insurance Brokers and served there for a short period.

He has served as the President of the Insurance Association of Sri Lanka, on the Board of the Riot and Strike Commission, as well as on the Financial Services Stability Committee, of the Central Bank of Sri Lanka. He had served on the Councils of the National Chamber of Commerce for many years, pioneering and spearheading their flagship Awards scheme, the National Business Excellence Awards, the National Chamber of Exporters which he served as its President and currently is a Life Patron of the Chamber, as well as the Ceylon Chamber of Commerce.

He presented a paper at the Munich Re annual conference on Health insurance held in Cape Town South Africa in 2011. This is in addition to his academic activities with leading Universities and Marketing Professional bodies of Sri Lanka.



Mr. Kelum Senanayake

Executive Director/ Chief Executive Officer

Kelum is a well know personality in the regional life insurance landscape and as the chief executive officer of Arpico Insurance PLC brings to the table a wealth of experience & exposure spanning almost 40 years, from both local as well as international insurance industries. He also makes history by becoming the first and only CEO in the Sri Lankan Insurance industry to hold the coveted Million Dollar Round Table (MDRT) status achieved in Sri Lanka, in an impressive 133 days.

A product of Ananda College Colombo, he holds a diploma in business management from Worldview Institute & Master of Business Administration from the University of Western Sydney, Australia.

In addition to being a management professional, he is also a respected trainer who has trained over 5,000 insurance professionals in his career and received

training in the UK, Germany, Japan, Singapore, Hong Kong, Malaysia & South Africa. He has extensive experience in the areas of operations, life underwriting, life servicing, claims, product development, re-insurance, branch operations, corporate solutions distribution, contact centers and logistics.



Mrs. Dilukshika Fernando

Non- Executive Independent Director

Mrs. Dilukshika Fernando is a multi-qualified chartered insurer with over 14 years of experience in the insurance industry. She is an associate member of the Chartered Insurance Institute (ACII), associate member of the Chartered Institute of Management Accountants (ACMA) and an associate member of the Chartered Institute of Marketing (Dip M (UK) ACIM).

She started her career at Ernst & Young as a management consultancy trainee. Thereafter, she stepped into the insurance industry by joining Union Assurance PLC as a management trainee and held managerial and senior managerial positions during her tenure.

Her job role further expanded after joining Allianz Life Insurance Lanka limited as she was heading the life operations division for 2 years. She was also a member of the compliance and audit committee and executive committee.

Her experience in a multinational insurance company paved the way for her to join another reputed multinational insurance company - AIA Insurance PLC. She functioned as head of operations and was the specified officer for AIA Insurance PLC.

BOARD OF DIRECTORS



Mr. Shiron Gooneratne
Non- Executive Director

Mr. Shiron Gooneratne is a fellow member of the Institute of Chartered Accountants of Sri Lanka and holds an MBA from University of Leicester, United Kingdom.

Mr. Gooneratne brings in a wealth of experience, both from Sri Lanka and overseas. Having trained at Ernst and Young, he has held finance director / CFO positions at fortune 500 and leading corporates. Having trained at Ernst & Young, he joined GlaxoSmithKline consumer health care where he completed 11 years of which 7 years as the finance director.

Thereafter, he joined the telecommunication sector where he was the chief financial officer of Sri Lanka Telecom PLC, which provides diversified services and a range of ICT solutions that cover fixed and mobile telephony, broadband, data services, internet protocol television (IPTV), cloud computing and hosting services. Thereafter, he held the position of chief financial officer at Dilmah Ceylon Tea Company PLC and currently functions as a non-executive director of Richard Pieris & Company PLC, one of the largest conglomerates in Sri Lanka.



Mrs. Lasinee Seresinhe
Non- Executive Independent Director
(Ceased to hold office w.e.f. 27th May 2024)

Mrs. Seresinhe is an industry leader and veteran with over 20 years of leadership and experience to her name. During this tenure she held positions of leadership at the Securities and Exchange Commission of Sri Lanka and the Insurance Regulatory Commission of Sri Lanka (IRCSL – former Insurance Board of Sri Lanka).

At IRCSL, she commenced her duties as director general during its time as an independent office and served at the commission until her retirement. Parallel to her tenure as director general of IRCSL, she also served on the board of the National Insurance Trust Fund as an Ex-Officio member. Before her tenure at IRCSL she also served as a director at the Securities and Exchange Commission.

She was then engaged as an advisor at the Ministry of Finance for a short span of time. Prior to her positions of leadership at IRCSL and SEC, Mrs. Seresinhe worked in the private sector, for several years within the finance discipline and also held duties as a consultant. In addition, she was also attached to SSP Corporate (Pvt) Ltd.

Mrs. Seresinhe is a fellow member of the Chartered Institute of Management Accountants (UK), a fellow member of the Chartered Global Management Accountants and is also a diploma holder in computer programming.



CORPORATE MANAGEMENT



1. Mr. Kelum Senanayake
Executive Director / Chief Executive Officer

2. Mr. Pramoda Karunathilaka
General Manager - Partnership and Strategic Planning
(Resigned w.e.f. 30th April 2024)

3. Mrs. Sriyonie Mendis
Deputy General Manager - Life Operations / Specified
Officer

4. Mr. Sidesh Jayasekara
Assistant General Manager - National Recruitment &
Development

5. Mr. Prashan Jayatissa
Head of Actuarial - Risk Compliance and Investments

6. Mrs. Pavithra Peiris
Senior Manager - Conservation & Customer Care

CORPORATE MANAGEMENT



7. Mr. S H Dulanjith Kaweesha
Financial Controller

8. Mr. Nelushan Gunewardena
Head of Marketing

9. Mrs. L A C Priyanthi
Manager Actuarial

10. Mrs. Manjula Suriyaarachchi
Senior Deputy Manager - Sales Administration

11. Mr. Nishabha Ranatunga
Assistant Manager - Administration

1. Mr. Kelum Senanayake

Executive Director / Chief Executive Officer

Please refer Profiles of the Board of Directors on page 34.

2. Mr. Pramoda Karunathilaka

General Manager - Partnership and Strategic Planning

(Resigned w.e.f. 30th April 2024)

General Manager Partnerships & Strategic Planning Pramoda is an experienced professional with over 26 Years of experience. His experience ranges from strategic planning, sales, marketing, operations, trainings, human resources and administration. He has experience in the fields of media, pharmaceutical, banking and insurance in both Sri Lanka and overseas. He completed his post graduate diploma in marketing by Chartered Institute of Marketing-UK in 2003 and obtained full membership status (MCIM) in 2007. In the year 2008 he also obtained chartered marketer status offered by Chartered Institute of Marketing in the year 2008. He completed his MBA offered by Sikkim Manipal University of India in the year 2009. Over the years Pramoda has been instrumental in restructuring business units, starting new business ventures and expanding to new areas.

3. Mrs. Sriyonie Mendis

Deputy General Manager - Life Operations / Specified Officer

Deputy General Manager- Life Operations/ Specified Officer. Sriyonie counts 23 years of industry experience. She joined the insurance sector after her Bachelor of Science degree in Physical Science from University of Colombo. She is a Chartered Insurer and Associate Member of the Chartered Insurance Institute of UK and holds an MBA from the University of Colombo Sri Lanka.

4. Mr. Sidesh Jayasekara

Assistant General Manager - National Recruitment & Development

Sidesh has been with the Insurance industry for over 18 years, having started

off as a Senior Executive and progressing to the position of Senior Zonal Manager at a multinational Life Insurance company in Sri Lanka, and has in-depth experience in sales, underwriting and customer relations, with a special background in training and recruitment. He has undergone the Agency Management Training Course (AMTC) at LIMRA, possess a Young Executive Diploma from the Insurance Institute of India, a National Diploma in Sales Management from the Sri Lanka Institute of Marketing (SLIM) and heads the national recruitment and development operations of Arpico Insurance PLC.

5. Mr. Prashan Jayatissa

Head of Actuarial - Risk Compliance and Investments

Prashan has gained over 7 years of professional experience in a wide range of technical areas in the insurance industry. He is a master of mathematics graduate from University of Durham, a fellow member of the Chartered Insurance Institute (FCII), a fellow member of the Institute and Faculty of Actuaries (FIA), and a Chartered Insurance Risk Manager. He currently leads the multi-disciplinary department handling actuarial, risk management, compliance, and investments at Arpico Insurance PLC.

6. Mrs. Pavithra Peiris

Senior Manager - Conservation and Customer Care

Pavithra counts over 9 years of extensive expertise in the field of insurance. Throughout her career, she has excelled in gaining professional experience within a leading multinational life insurance company, notably steering the conservation and customer service departments.

Her educational background is distinguished by a degree in Human Resource Management from the Chartered Institute of Personnel Management (CIPM), an Advanced Diploma in Business Management from the Australian College of Business & Technology (ACBT), and a

Diploma in Information & Communication Technology from IDM Computer Studies.

Presently, she holds a leadership role, overseeing the Conservation & Customer Care departments of the company.

7. Mr. S H Dulanjith Kaweesha

Financial Controller

Dulanjith Joined Arpico Insurance in 2023 and he is a finance professional with over 10 years of diverse experience in Auditing, Financial Reporting, Budgeting, Financial Planning & Analysis.

He holds bachelor of Science Degree in Business Administration from University of Sri Jayewardenepura, an MBA in Finance from University Colombo. Dulanjith is a member of the Institute of Chartered Accountants of Sri Lanka (CASL).

8. Mr. Nelushan Gunewardena

Head of Marketing

Head of Marketing Nelushan is a resourceful and pragmatic marketing and management professional who counts over 19 years of extensive experience and expertise in strategic marketing planning, brand management, marketing & corporate communications, product development, public relations, revenue generation, operations & administration, etc. Having received numerous awards and accolades for business as well as academic excellence, he possesses a post graduate diploma in marketing from SLIM and several recognized qualifications in the fields of automotive systems & mechanical engineering and has made his mark in highly dynamic industries such as retail, automotive, real estate, apparels, advertising and insurance at leading local and multinational organisations.

9. Mrs. L A C Priyanthi

Manager Actuarial

Manager Actuarial - Priyanthi counts over 22 years of experience in the insurance industry. She holds a BSc degree with first class honors in mathematics and statistics from University of Colombo and

CORPORATE MANAGEMENT

holds a Msc in actuarial science also from the University of Colombo.

10. Mrs. Manjula Suriyaarachchi

Senior Deputy Manager - Sales
Administration

Manjula Suriyaarachchi has over 23 years experience in both Sales Administrative and Managerial in insurance industry. She hold a Diploma in Business Management from National Institute of Business Management, in Sri Lanka. She also counts 9 years experience in Management, holding various positions in advancing to the current position Senior Deputy Manager. She is currently leads the Senior Deputy Manager – Salesforce Administration.

11. Mr. Nishabha Ranatunga

Assistant Manager – Administration

More than 20 years experience in a multinational insurance company in Facilities management department.

Diploma in electronics & electrical from Open university. Also Diploma in Facilities management from NIBM.

SALES MANAGEMENT



1. **Mr. P Vanojan**
Deputy General Manager - Sector 5
2. **Mr. Athula Walpola**
Assistant General Manager - Sector 1A
3. **Mr. Pradeep Chandrakumara**
Assistant General Manager - Sector Head 1B

4. **Mr. Asoka Jayasena**
Assistant General Manager - Sector 2A
5. **Mr. Kamal Gunasekara**
Assistant General Manager - Sector 2B
6. **Mr. Hasantha Ranasinghe**
Assistant General Manager - Sector 4A

INDEPENDENT ASSURANCE ON IR FRAMEWORK



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INDEPENDENT PRACTITIONER'S ASSURANCE REPORT TO THE BOARD OF DIRECTORS OF ARPICO INSURANCE PLC ON THE INTEGRATED ANNUAL REPORT 2023

Scope

We have been engaged by Arpico Insurance PLC to perform a 'limited assurance engagement,' as defined by Sri Lanka Standard on Assurance Engagements, here after referred to as the engagement, to report on Arpico Insurance PLC's Information on how it's strategy, governance, performance and prospects, in the context of its external environment, lead to the creation, preservation or erosion of value over the short, medium and long term (the "Subject Matter") contained in Arpico Insurance PLC's (the "Entity's") Integrated Annual Report for the year ended 31 December 2023 (the "Report").

Other than as described in the preceding paragraph, which sets out the scope of our engagement, we did not perform assurance procedures on the remaining information included in the Report, and accordingly, we do not express a conclusion on this information.

Criteria applied by Arpico Insurance PLC

In preparing the Subject Matter, Arpico Insurance PLC applied the Integrated Reporting Framework (<IR> Framework) issued by the International Integrated Reporting Council (IIRC) ("Criteria"):

Such Criteria were specifically designed for the purpose of assisting in determining whether the capital management, stakeholder engagement,

business model, strategy, organizational overview & external environment outlook presented in the Integrated Annual Report is presented in accordance with the relevant criteria. As a result, the subject matter information may not be suitable for another purpose.

Arpico Insurance PLC's responsibilities

Arpico Insurance PLC management is responsible for selecting the Criteria, and for presenting the Subject Matter in accordance with that Criteria, in all material respects. This responsibility includes establishing and maintaining internal controls, maintaining adequate records and making estimates that are relevant to the preparation of the subject matter, such that it is free from material misstatement, whether due to fraud or error.

Ernst & Young's responsibilities

Our responsibility is to express a conclusion on the presentation of the Subject Matter based on the evidence we have obtained.

We conducted our engagement in accordance with the Sri Lanka Standard for Assurance Engagements Other Than Audits or Reviews of Historical Financial Information (SLSAE 3000 (Revised)), and the terms of reference for this engagement as agreed with the Arpico Insurance PLC on 16 April 2024. Those standards require that we plan and

perform our engagement to express a conclusion on whether we are aware of any material modifications that need to be made to the Subject Matter in order for it to be in accordance with the Criteria, and to issue a report. The nature, timing, and extent of the procedures selected depend on our judgment, including an assessment of the risk of material misstatement, whether due to fraud or error.

We believe that the evidence obtained is sufficient and appropriate to provide a basis for our limited assurance conclusions.

Our independence and quality management

We have maintained our independence and confirm that we have met the requirements of the Code of Ethics for Professional Accountants issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and have the required competencies and experience to conduct this assurance engagement.

EY also applies International Standard on Quality Management 1, Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services engagements, which requires that we design, implement and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional

Partners: D N Hulangamuwa FCA FCMA LLB (London), A P A Gunesekere FCA FCMA, Ms. Y A De Silva FCA, Ms. G G S Manelunga FCA, W R B S P Fernando FCA FCMA, B E Wijayaratne FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, N M Subraman ACA ACMA, Ms. L R H, Fonseka FCA, Ms. P V R N Subramani FCA, A A J W Perera FCA ACMA, N Y R L Fernando ACA, D N Gunasinghe ACA ACMA, C A Yoganada ACA ACMA

Principals: T P M Butler FCA FCMA MBA DJSJSL, G B Goudan ACA, Ms. P S Fernando ACA ACMA LLB (Colombo), D L B Ramaratilaka ACA, W S J De Silva BSc (Hons) - SAS Mac - UK, V Shalithilal B.Com (Spl)

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standards and applicable legal and regulatory requirements.

Description of procedures performed

Procedures performed in a limited assurance engagement vary in nature and timing from, and are less in extent than for a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed. Our procedures were designed to obtain a limited level of assurance on which to base our conclusion and do not provide all the evidence that would be required to provide a reasonable level of assurance.

Although we considered the effectiveness of management's internal controls when determining the nature and extent of our procedures, our assurance engagement was not designed to provide assurance on internal controls. Our procedures did not include testing controls or performing procedures relating to checking aggregation or calculation of data within IT systems.

A limited assurance engagement consists of making enquiries, primarily of persons responsible for preparing the subject matter and related information and applying analytical and other appropriate procedures.

Our procedures included:

- Performed a comparison of the content of the Integrated Annual Report against the Guiding Principles and Content Elements given in the Integrated Reporting Framework (<IR> Framework).
- Checked whether the information contained in the Integrated Annual Report – Financial Capital element information has been properly derived from the audited financial statements.

- Conducted interviews with the selected key management personnel and relevant staff and obtained an understanding of the internal controls, governance structure and reporting process relevant to the Integrated Report.
- Obtained an understanding of the relevant internal policies and procedures developed, including those relevant to determining what matters most to the stakeholders, how the organization creates value, the external environment, strategy, approaches to putting members first, governance and reporting.
- Obtained an understanding of the description of the organization's strategy and how the organization creates value, what matters most to the stakeholders and enquiring the management as to whether the description in the Integrated Report accurately reflects their understanding.

- Checked the Board of Directors meeting minutes during the financial year to ensure consistency with the content of the Integrated Report.
- Tested the relevant supporting evidence related to qualitative & quantitative disclosures within the Integrated Report against identified material aspects.
- Read the Integrated Report in its entirety for consistency with our overall knowledge obtained during the assurance engagement.

We also performed such other procedures as we considered necessary in the circumstances.

Emphasis of matter

Economic, Environment, Social and Intellectual capital management data/information is subject to inherent limitations given their nature and

the methods used for determining, calculating and estimating such data. Such inherent limitations are common in Sri Lanka.

We also do not provide any assurance on the assumptions and achievability of prospective information presented in the Entity's Annual Report.

Conclusion

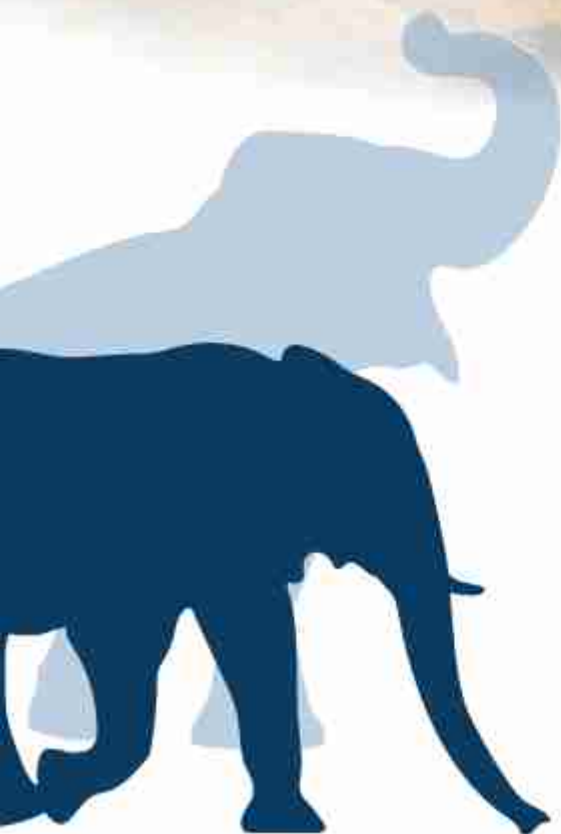
Based on our procedures and the evidence obtained, we are not aware of any material modifications that should be made to the information contained in the Integrated Annual Report of Arpico Insurance PLC for the year ended 31 December 2023, in order for it to be in accordance with the Criteria.

R. M. S. P.

28 May 2024
Colombo



CORPORATE GOVERNANCE



OUR APPROACH TO CORPORATE GOVERNANCE

The purpose of corporate governance is to facilitate effective, entrepreneurial and prudent management that can deliver the long-term success of the company. The responsibilities of the board include setting the company's strategic aims, providing the leadership to put them into effect, supervising the management of the business and reporting to shareholders on their stewardship.

Corporate governance is therefore about what the board of a company does and how it sets the values of the company, and it is to be distinguished from the day-to-day operational management of the company by full-time executives.

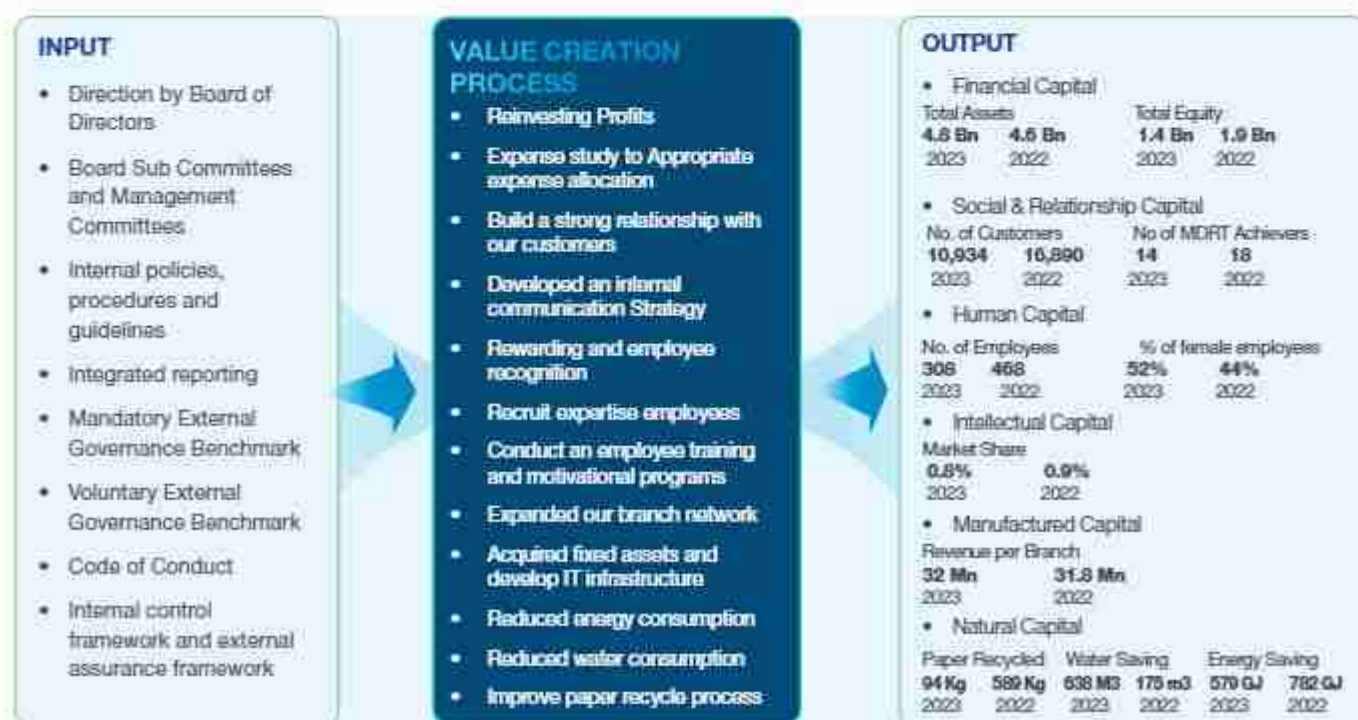
Our corporate governance approach enables us to prudently and effectively pursue business goals. More importantly, it provides the groundwork with which we preserve the interests of our stakeholders – in a manner conducive to their expectations, and in compliance with regulatory requirements.

The strength of our corporate governance is bolstered by the support we receive from our group – Richard Peiris & Co. PLC, in addition to constant collaborations in reinforcing sound governance across the organization.



GOVERNANCE VALUE CREATION

We believe our company's overall value generation process is supported by the way we handle governance and leadership. Building and sustaining trust with our stakeholders is essential to generating ongoing value; and this cannot be done without accepting governance as a business enabler.



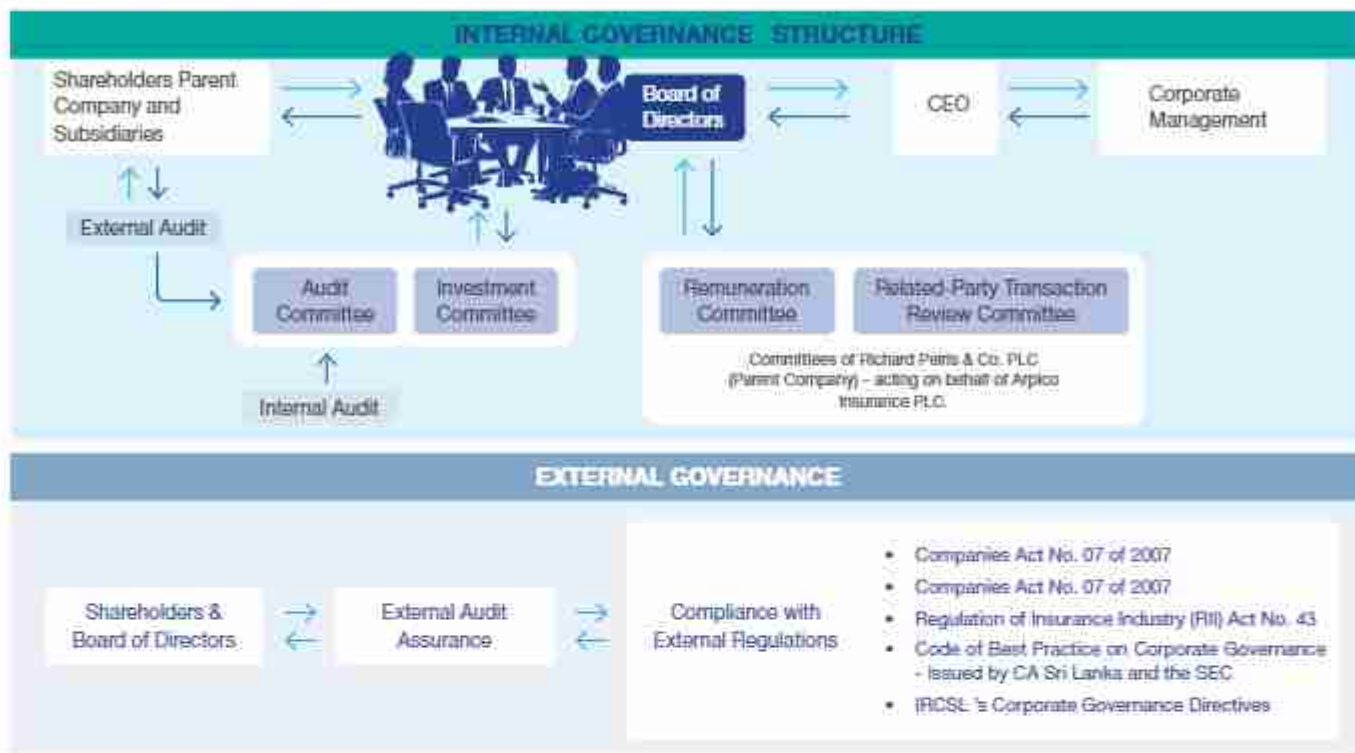
CORPORATE GOVERNANCE

GOVERNANCE BENCHMARKS OF THE COMPANY

The company complies with both mandatory and voluntary external governance criteria, as shown below, and works within its internal governance benchmarks.



GOVERNANCE STRUCTURE



The Company has well-defined governance structures embedded across the Company, supporting our ability to create and preserve value, while guarding against value erosion.

In order to create and preserve sustainable shared value and prevent value erosion over the short, medium, and long terms, our approach to corporate governance enables integrated thinking and decision-making that strikes a balance between the accomplishment of our strategic priorities over time and settles the interests of the Company, stakeholders, and society.

The executive management performance evaluations and effectiveness assessments of the board and committees compare behavior to the company's principles and code of ethics.

The chairman and the board of directors determine the company's ethical standard, and our board is in charge of providing the company with moral and capable leadership. The Managing

Director and corporate management exercise executive power granted to them by the Board of Directors in order to carry out the strategy, whereas the Board of Directors sets the strategic direction of the company.

INTERNAL GOVERNANCE STRUCTURE

Authority and accountability that spread throughout the entire organization are reflected in the internal governance structure of the business. In summary, it clarifies authority levels and helps to properly and successfully guide the organization toward growth.

EXTERNAL GOVERNANCE STRUCTURE

The external governance structures entails guidelines, directions, laws and regulations, which we comply with, in fulfilling our responsibility towards a disciplined and structured business environment.



The Board of Directors reports directly to the company's shareholders, primarily Arpico Insurance PLC's parent company Richard Peiris & Co. PLC. Kegalle Plantations PLC remains the key shareholder, followed by Richard Peiris Distributors Limited, and the parent company, respectively. The public retains ownership of 10% of company shares.

CORPORATE GOVERNANCE



THE BOARD

The Board of Directors of the company sits at the top of the governance hierarchy and is in charge of fulfilling the expectations of both the parent company and its shareholders.

Proactively and sensibly, the Board of Directors and senior management examine and discuss governance-related requirements with the goal of enhancing governance throughout the business. They bear responsibility for offering advice on enhancing procedures and structures and for making sure staff members follow ethical standards, good work practices, and governance concepts.

The board currently comprises of Four non-executive directors and one executive director. Their views carry considerable weight on board decisions; Three of these non-executive directors are independent directors.

Director	Appointment Date	Status	Experience in Industries
Mr. Ramal Jasinghe	16 May 2023	Non-Executive Independent Director (Chairman)	- Chemical Industry - Marketing - Insurance
Mrs. Lasinee Serasinghe (Ceased to hold office w.e.f. 27 May 2024)	17 January 2014	Non-Executive Independent Director	- Financial sector - Insurance and stock exchange - Consultancy
Mr. Shiron Gooneratne	2 May 2016	Non-Executive - Director	- Audit and assurance - Manufacturing - Telecommunication - Insurance (Sri Lanka and overseas)
Mrs. Dilukshika Fernando	1 November 2021	Non-Executive - Independent Director	- Insurance - Audit
Mr. Kelum Senanayake	1 December 2023	Executive - Director	Insurance



Adhering to IRCSL Directions



Adhering to CSE Rules



Following guidelines of Code of Best Practices

Board Meetings

The Board is well engaged and dedicates adequate time and effort for addressing Company matters. The board met on 5 occasions during the year under review.

The attendance of Board meetings in 2023 is given below.

Name of Director	Status	Date of Appointment	Eligibility	Attendance
MR. Ramal Jasinghe	Non-Executive Independent Director (Chairman)	16 May 2023	05	03
Mrs. Lasinee Serasinghe	Non-Executive Independent Director	17 January 2014	05	05
Mr. Shiron Gooneratne	Non-Executive - Director	2 May 2016	05	03
Mrs. Dilukshika Fernando	Non-Executive - Independent Director	1 November 2021	05	05
Mr. Kelum Senanayake	Executive - Director	1 December 2023	01	01



Following guidelines of Code of Best Practices

Board Responsibilities

- Appointing the Chairman and the Senior Independent Director.
- Ensuring that the CEO and the Management Team possess the skills, experience, and knowledge to implement the corporate strategy.
- ensuring that the CEO and other key management personnel adopt an efficient succession plan.
- Approving budgets and major capital expenditure.
- Determining the issues that are expressly reserved for the Board and those that are given to Management, as well as authority boundaries and financial delegation.
- establishing efficient procedures to safeguard data integrity, internal controls, business continuity, and risk management.
- Ensuring compliance with laws, regulations and ethical standards.
- Addressing shareholder interests including parent company expectations.
- Recognizing the need for integrated reporting and incorporating sustainable business development into corporate strategy, decisions, and actions.
- Establishing the Company's values and standards with a focus on implementing suitable accounting procedures and encouraging compliance to financial regulations.
- Establishing a procedure for tracking and assessing the implementation of strategies, plans, budgets, and associated risks.
- Ensuring that a procedure for corporate reporting is set up and followed on an annual and quarterly basis, or more frequently as needed for the company.
- Fulfilling additional Board responsibilities in the context of the size, kind, and complexity of the relevant firm.



Following guidelines of
Code of Best Practices

Company Secretary

Arpico Insurance PLC has appointed the Company Secretary as prescribed by applicable laws and regulations. The Company Secretary ensures that proper Board procedures are followed in line with applicable laws, rules, and regulations. All Directors have access to the advice and services of the Company Secretary, and she assists the Chairman and CEO in setting the agenda for the Board meetings and is responsible for maintaining sufficiently detailed Board minutes in consultation with the Chairman. Board minutes are circulated to the Board well before the next monthly meeting providing adequate time for consideration.

- The company secretary holds responsibility for the following.
- Support the board by ensuring a proper flow of information.
- Ensure that meetings are conducted in accordance with the articles of association, and relevant legislations.
- Formulate meeting agenda with the chairman and other directors.
- Coordinate with the management on board papers, memoranda or presentations for the meetings.
- Ensures that all proceedings of the meetings are duly recorded in the Minutes.
- Maintains statutory registers and files statutory returns.
- Promptly communicates with regulators & shareholders facilitating a healthy relationship with the Company.
- Facilitates access to legal advice in consultation with the Board, where necessary.



Leadership Traits of Elephants.

Elephants are known for their intricate social structures and strong leadership, particularly within matriarchal herds.

1. Matriarchal leadership

The matriarch, usually the oldest and most experienced female, leads the herd leading the way on migration routes, foraging locations, and responses to threats.

This transfer of knowledge across generations is essential for the herd's adaptive strategies.

2. Decision-making and social influence

- Consensus building:

Elephants often make decisions through a form of consensus. The matriarch consults with other experienced females in the herd, known as "allomothers" ensuring collective wisdom of the group.

- Conflict resolution:

The matriarch mediates disputes and maintains social harmony, ensuring that the herd functions cohesively.

3. Adaptive leadership strategies

- Response to human-elephant conflict:

In regions with high human-elephant conflict, matriarchs have adapted by altering traditional migration routes and foraging behaviors to minimize conflict and ensuring the herd's safety.

- Leadership in crisis:

During periods of drought or food scarcity, the matriarch's leadership is tested in managing crisis.

4. Social learning and cultural transmission

- Role models:

Young elephants learn leadership and social behaviors by observing the matriarch and other senior females.

- Cultural practices:

Elephants exhibit cultural behaviors, such as specific foraging techniques which are passed down through generations.

5. Communication and coordination

- Infrasonic Communication:

Elephants use low-frequency sounds, known as infrasonic, to communicate over long distances. The matriarch coordinates the herd's movements using these signals.

- Cooperative behavior:

Leadership also involves coordinating cooperative behaviors, such as group defense against predators or collaborative efforts in calf rearing.

6. Leadership beyond the herd

- Interaction with other herds:

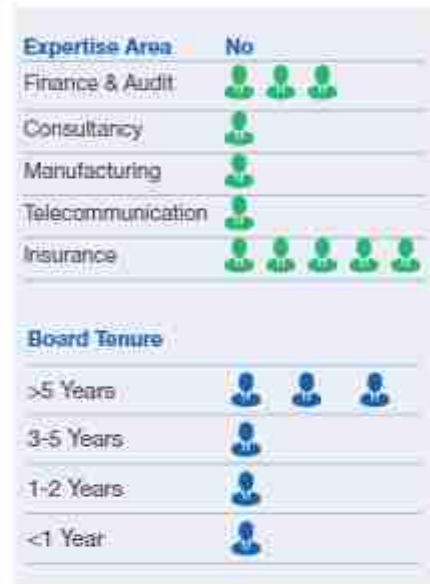
Matriarchs engage with other herds, particularly during the dry season when resources are scarce.

CORPORATE GOVERNANCE

Skills and Diversity

Board members contribute diversity by way of their technical expertise, industry knowledge, and work experiences. They offer a diverse range of perspectives and abilities to the board, which is reflected in their age and gender.

Their diverse experiences and technical expertise allow them to offer a range of perspectives and strategic thinking that facilitate impartial and well-rounded decision-making.



as the head of the board and enabling the efficient performance of board duties. It is his duty to run the organization with objectivity. He is responsible for providing objective leadership to the company. During the year, the board appointed a new Chair person with the objective of separating the company's growing portfolio of strategic takings and in driving the company towards its objectives.



CHAIRMAN AND CHIEF EXECUTIVE OFFICER (CEO)

The Chairman is the executive who holds the highest position in the company because of his or her executive responsibilities. In accordance with the best practices of corporate governance, the Chairman's position is separate from the CEO's.

The responsibilities of the chairman and CEO are provided with clear delineation, in order to establish clarity on the different roles both positions are presented with. This segregation also ensures a balance in power, and provides a proper distribution of responsibilities.

Chairman

The chairman has an important role to play in ensuring good corporate governance, according to the code of best practices in corporate governance. He is in responsible for preserving order

Chief Executive Officer

The Chief Executive Officer (CEO) is the highest-ranking executive in a company, responsible for making major corporate decisions, managing overall operations, and ensuring the organization's success and growth.

The CEO provides executive direction and proficiency in carrying out strategies and accomplishing strategic goals. The CEO is held accountable to the Board for the performance of the Company.

THE ROLE OF THE CHAIRMAN

- Provide firm and objective leadership to the board
- Maintains order and smooth functioning of the board.
- Promote and carry out responsibilities the best in interests of good governance
- Presiding over director's and shareholder's meetings to ensure directors' participation and proper execution of board proceedings
- Promoting and overseeing the highest standards of corporate governance within the board
- Ensuring board compliance with schedule of matters served

THE ROLE OF THE CHIEF EXECUTIVE OFFICER

- Taking leadership in the execution of long term and short-term strategies outlined by the board of directors
- Carry out decisions and strategies recommended by the board
- Lead management and employees towards target achievements
- Overseeing proper functioning of technical and functional areas
- Taking strategic decisions in enhancing operational efficiencies
- Taking management with targets and goals



Following guidelines of
Code of Best Practices

Financial Acumen

Each of the company's directors have the necessary financial knowledge and expertise to provide advice on financial concerns. Arpico Insurance PLC's Board consists of several people with strong financial backgrounds in investment banking, corporate finance, audit, and financial reporting.



Following guidelines of
Code of Best Practices

Board Balance

Boards often include both executive (internal) and non-executive (external) directors. Having a balance between these two types help ensure independence in decision-making. Independent directors can provide unbiased perspectives and act in the best interest of the company and its shareholders.

A majority of the Board (4 out of 5) is comprised of Non-Executive Directors. This ensures that their views and opinions have significant influence. Further, 3/4 of the Board are Independent Non-Executive Directors, whose judgment is not influenced by the Company and its elements.

Chairman (Independent, Non-Executive Director)

Provides leadership to the Board and ensures its' integrity and effective functioning with good corporate governance.

CEO (Executive Director)

Leads the Bank towards the achievement of its strategic objectives and ensures the Board receives timely, accurate and clear information on the Group's performance and position.

Independent Directors

Provides independent judgement through objectively and constructively challenging the Board and Management.

No of Executive/
Non Executive Directors



Criteria in determining the Independence of the Board of Directors

- Has not held a position with the Company for the two years prior to having been appointed Director.
- Hasn't had a significant business engagement with the company in the last two years, either directly or indirectly.

III. Does not have any direct family members working as directors, CEOs, or other significant executives for the company.

IV. Does not have a significant shareholding in the Company nor associated directly with, a significant shareholder of the Company.

V. Has not served consistently on the Company's Board of Directors for more than nine years following the date of their initial appointment.

VI. Self or close family member is not a Director or employee of another Company or a trustee which is materially connected to the Company in terms of shareholding or business relationship.

VII. Not a Director of another Company in which majority of the other directors are employed / directors or have any significant shareholding.

CORPORATE GOVERNANCE

VIII. Does not hold any significant shares or have any meaningful business relationship with another company where the majority of the other directors' work/ Does not have any significant shares or employment with another company.



Adhering to CSE Rules



Following guidelines of Code of Best Practices

Supply of Information

The board receives timely information and in a form that is conducive to discharging duties efficiently and effectively. In this regard, the management is responsible for providing the board with well-presented information. Directors can also make inquiries, if information is insufficient.

In order to ensure robust conversations, well-informed deliberations, and efficient decision making, the Board pack is distributed at least seven days in advance and contains detailed qualitative and quantitative information on the topics to be considered at the meeting.

The Chairperson ensures that all Directors are briefed on the same, by requiring the presence of members of the Senior Management of the Company where necessary. Directors have independent access to Senior Management and unrestricted access to organization information/resources, to discharge their duties. The Senior Management regularly makes presentations and keeps the Board abreast of important matters including strategy, regulatory updates, risk management, etc.



Following guidelines of Code of Best Practices

Appointment to the Board

Arpico Insurance PLC obtains consent from the insurance regulator – IRCSL prior to appointing directors to the board. This is conducted in accordance with article of the association of the company, upon passing an ordinary resolution for authorization of appointments.

In addition, the board considers each candidate's competing interests before selecting them as a new director.

Shareholders and investors are informed about newly appointed directors through the Annual Report and CSE releases.

Process of Appointment

Identification of Board Needs

Every year, the Nominations Committee assesses the diversity, experience, and skill set of the present Board to determine whether more qualifications are needed for the position.

Criteria for Board Members

A new appointment of a Director may be decided based on the requirement to acquire skills, expertise and experience required/ not adequately currently represented for the Strategic Vision of the Company as well as to enhance the Board performance and overall effectiveness.

Search and Evaluation

The Nominations Committee evaluates suitable candidates and checks their existing directorships and other commitments to make sure that sufficient time is available to discharge their duties at Arpico Insurance PLC.

Selection

The new director will be chosen in the end through a transparent, official appointment process that is subject to board, shareholder, and regulatory authority approval (IRCSL)

Announcement and Onboarding

The Colombo Stock Exchange (CSE) and the shareholders will be informed of the new director's appointment to the board through a press release that will include the new director's brief resume, information about their ownership of the company, and information about their status as an independent.



Adhering to IRCSL Directions

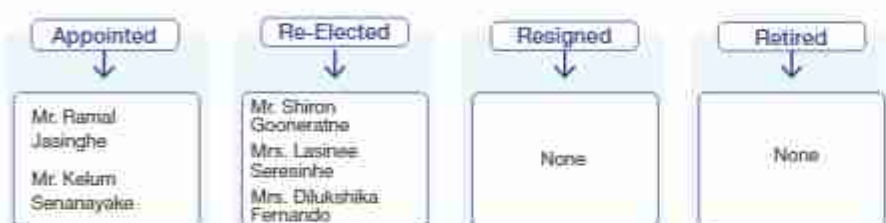


Following guidelines of Code of Best Practices

The re-election of Directors is governed by the Articles of Association and the Code of Best Practice on Corporate Governance and performed at the Annual General Meeting (AGM) of the Company. Accordingly, one third of the Directors, excluding the Executive Directors who have been in office the longest, offer themselves for re-election.

Directors reaching the age of 70 years are recommended for re-election by way of an ordinary resolution by the sole shareholder of the Company in terms of Sec.210 read with Sec.211 of the Companies Act No. 07 of 2007 and Direction 17 on Corporate Governance Framework for insurers.

3 directors were re-elected for the year 2023. Re-elections are conducted as per the articles of association. All directors of the Arpico Insurance PLC company should be required to submit themselves for reelection at regular intervals and at least once in every three years. Non-executive directors are appointed for specified terms subject to re-election and to the provisions of the company's act relating to the removal of a director, and their re-appointment is not automatic.



In the event a director resigns prior to completion of his appointed term, the director is required to provide written notification to the board on reasons for resignation. No director resigned during 2023.



Adhering to IRCSL Directions



Following guidelines of Code of Best Practices

Appraisal of Board Performance

Board should periodically appraise their own performance in order to ensure that Board responsibilities are satisfactorily discharged.

The board should also undertake an annual self-evaluation of its own performance and that of its committees. The evaluation should be carried out by each director individually. The collective outcome should be compiled and made available to the Nomination Committee, which should make recommendation to the board on initiatives and actions required to improve the balance of skills, experience, independence industry and company knowledge, training of directors, governance processes, strategy review and other factors relevant to its effectiveness.

Appraising board performance is a dynamic and iterative process that contributes to the overall health and effectiveness of a company's governance structure. It supports continuous improvement, adaptation to changing business environments, and the fulfillment of fiduciary responsibilities.

Appraisal of Chief Executive Officer (CEO)

The board should require, at least annually, to assess the performance of the CEO. The Board discusses and sets financial and non-financial targets at the beginning of each financial year to be achieved during the year by the CEO and aligned to the short, medium and long-term objectives of Arpico Insurance PLC.

Performance is reviewed at the end of the year against the backdrop of the operating environment, and remuneration is revised based on performance.

Board Sub Committees

The Main Board may allocate enough time to items set for its decision-making when authority is given to Board subcommittees, and the allocated matters receive thorough attention. Additionally, it enables the Board to capitalize on each member's unique area of expertise. The Committees are governed by Board approved mandates and Terms of References. Committee Chairpersons are responsible for the effective functioning of the Committees and report regularly to the Board on Committee activities.

The Board has established 4 sub-committees.



RISK COMMITTEE



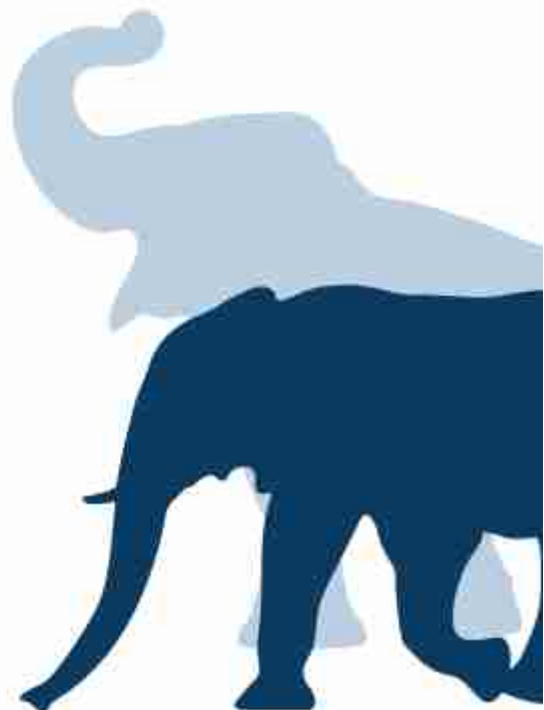
INVESTMENT COMMITTEE



AUDIT COMMITTEE



RELATED PARTY TRANSACTION COMMITTEE



CORPORATE GOVERNANCE

Internet and Cybersecurity

Safeguarding Our Digital Assets

In today's digital age, the protection of our information systems and customer data is paramount. At Arpico Insurance, we are committed to maintaining the highest standards of cybersecurity to safeguard our assets and uphold the trust of our policyholders.

Robust Firewall Protections

Our cybersecurity framework is built on a foundation of robust firewall protections. We continuously update and monitor our firewalls to shield our network from unauthorized access, cyber threats, and potential breaches. This proactive approach helps us mitigate risks and protect sensitive data from external threats.

Licensed Software Solutions

To ensure the integrity and reliability of our systems, we exclusively utilize licensed software solutions. This not only guarantees compliance with legal requirements but also ensures we

benefit from the latest security features and updates provided by reputable software vendors. Regular updates and patches are applied promptly to close any vulnerabilities and enhance system security.

Strict Access Controls

Access to our information systems is strictly controlled. We have implemented a multi-layered access control system to ensure that only authorized personnel have access to sensitive data. Role-based access management, multi-factor authentication, and regular audits are integral components of our access control strategy. These measures help prevent unauthorized access and ensure accountability within our organization.

Encrypted Data Sharing

The protection of customer information is a top priority at Arpico Insurance. We utilize advanced encryption technologies to secure data during transmission and storage. Whether it's internal communication or external data sharing, encryption ensures that our data

remains confidential and protected from interception or unauthorized access. By employing industry-standard encryption protocols, we provide an additional layer of security to our digital interactions.

Ongoing Training and Awareness

We recognize that technology alone is not enough to ensure cybersecurity. Our employees are our first line of defense against cyber threats. To this end, we conduct regular training sessions and awareness programs to educate our staff about the latest cybersecurity practices and emerging threats. This continuous learning approach helps cultivate a culture of vigilance and responsibility across the organization.

Incident Response and Recovery

In the event of a cyber incident, we have established a comprehensive incident response plan to swiftly address and mitigate any potential damage. Our dedicated cybersecurity team is trained to detect, analyze, and respond to incidents promptly. We also have a robust recovery plan to ensure business continuity and minimize

Compliance Status according to the Best Practice Code Requirement

Principle A.	Terms as Best Practice Code	Best Practice Code Requirement	Compliance Status
DIRECTORS			
A.1	The Board	Every Public Company should be headed by an effective board	Complied
A.1.1	Board Meetings	Board meeting should be held at least once in every quarter of a financial year (4 times during the year) in order to effectively execute the board's responsibilities	Complied
A.1.2	Roles & Responsibilities	- The board's role is to provide entrepreneurial leadership of the company within a framework of prudent and effective controls which enables risk to be assessed and managed. - Ensure formulation and implementation of a sound business strategy. - Appointing the chair and senior independent directors if relevant. - Ensuring that the Chief Executive Officer (CEO) and management team possess the skills, experience and knowledge to implement the strategy. - Ensuring the adoption of an effective CEO and Key Management Personnel succession strategy. - Approving budgets and major capital expenditure. - Determining the matters expressly reserved to the Board and those delegated to the management including limits of authority and financial delegation.	Complied

Principle A, DIRECTORS	Terms as Best Practice Code	Best Practice Code Requirement	Compliance Status
		- Ensuring effective systems to secure integrity of information, internal controls, business continuity and risk management. - Ensuring the availability of information communication technology (ICT) roadmap in line with business strategy of the company, and monitor the progress of implementation through the ICT dashboard. - ensuring compliance with laws, regulations and ethical standards. - Ensuring all stakeholder interests are considered in corporate decisions - Recognising sustainable business development in Corporate Strategy, decisions and activities and consider the need for adopting "integrated reporting" - Ensuring that the Company's values and standards are set with emphasis on adopting appropriate accounting policies and fostering compliance with financial regulations - Establish a process of monitoring and evaluation of progress on strategy implementation, budgets, plans and related risks - Ensuring that a process is established for corporate reporting on annual and quarterly basis or more regularly as relevant to the Company - Fulfilling such other Board functions as are vital, given the scale, nature and complexity of the business concerned	
A.1.3	Act in accordance with the laws of the Country	The board collectively, and directors individually, must act in accordance with the laws of the country, as applicable to the business enterprise. The Board has confirmed that the Company has been compliant with the provisions set by the Companies Act No. 07 of 2007, Regulation of Insurance Industry (RII) Act No. 43 of 2000, Direction 17 on Corporate Governance by the Insurance Regulatory Commission of Sri Lanka ("IRCSL"), and the Code of Best Practice on Corporate Governance 2023 issued by CA Sri Lanka.	Complied
A.1.4	Access to advice and services of the Company Secretary	All directors should have access to the advice and services of the company secretary, who is responsible to the board in ensuring that board procedures are followed, and that applicable rules and regulations are complied with. The company should obtain appropriate insurance cover as recommended by the nominations committee for the board, directors, and key management personnel.	Complied
A.1.5	Independence judgment	All directors should bring independent judgment to bear, in discharging their duties and responsibilities on matters relating to the board including strategy, performance, resource allocation, risk management, compliance and standards of business conduct.	Complied
A.1.6	Dedicate adequate time and effort to matters of the Company	Every director should dedicate adequate time and effort to matters of the board and the company, to ensure that the duties and responsibilities owed to the company are satisfactorily discharged.	Complied

CORPORATE GOVERNANCE

Principle A	Terms as Best Practice Code	Best Practice Code Requirement	Compliance Status
DIRECTORS			
A.1.7	Procedures relating to Directors' Matters in the best interests of the Company	One third of directors can call for a resolution to be presented to the board where they feel it is in best interest to the company to do so. Procedures are in accordance with the specific provisions set out by the Articles of Association of the Company and the Code for best practice on Corporate Governance.	Complied
A.1.8	Board induction and training	Every director should receive appropriate training when first appointed to the board of a company, and subsequently as necessary. A director must recognize that there is a need for continuous training and an expansion of the knowledge and skills required to effectively perform duties as a director. The board should regularly review and agree on the training and development needs of the directors.	Complied
A.2	Chairman and Chief Executive Officer (Ceo)	The position of the Chairman and CEO have been separated in line with the code and their roles and responsibilities are clearly defined in order to maintain balance of power and authority. The Chairman of the Company is Mr. Ramal Jasinghe and the CEO of the Company is Mr. Kelum Senanayake.	Complied
A.3	Chairman's Role	The chairman's role in preserving good corporate governance is crucial. As the person responsible for running the board, the chairman should preserve order and facilitate the effective discharge of board functions; maintains smooth functioning of the Board, presides at the Directors' and Shareholders' meetings to ensure Director participation and proper execution of Board proceedings and promotes and carries out his responsibilities in the best interests of good governance.	Complied
A.4	Financial Acumen	The board should ensure the availability within it, of those with sufficient financial acumen and knowledge to offer guidance on matters of finance	Complied
A.5	The Board Balance	The board should include at least three non-executive directors or such number of non-executive directors; equivalent to one third of total number of directors, whichever is higher. In the event the chairman and CEO is the same person, or if the chairman is not an independent director, non-executive directors should comprise majority of the board. At least three or two third of total number of non-executive directors appointed to the board of directors whichever higher should be independent.	Complied
A.6	Supply of Information	The board should be provided with timely information in a form and of a quality appropriate to enable it to discharge its duties.	Complied
A.7	Appointment to the Board	Board should establish a formal and transparent procedure for the appointment of new directors to the board.	Complied
A.8	Re-election and Resignation of Directors	All directors should be required to submit themselves for re-election at regular intervals and at least once in every three years.	Complied

Principle A, DIRECTORS	Terms as Best Practice Code	Best Practice Code Requirement	Compliance Status
A.9	Appraisal of Board Performance	Boards should periodically appraise their own performance in order to ensure that board responsibilities are satisfactorily discharged.	Complied
A.10	Disclose Information in Respect of Directors as Specified in the Code	Shareholders should be kept advised of relevant details in respect of directors. Profiles including qualifications, expertise, and appointments. Material business interests of Directors. Whether Executive, Non-Executive and/or Independent Director. Total number of Board seats held by each Director in other companies. Number/percentage of Board meetings of the Company attended during the year. Members of Committees and attendance at Board meetings and committee meetings	Complied
A.11	Appraisal of the Chief Executive Officer [CEO]	The Board should be required, at least annually, to assess the performance of the CEO.	Complied

Compliance Status according to the CSE Listing Rules

Principle: 9. Corporate Governance	Terms as CSE Listing Rules	Listing Rule Requirement	Effective Date	Compliance Status
9.1	9.1 Applicability of Corporate Governance Rules	By confirming its adherence to corporate governance guidelines, the company has complied with CSE Listing Rule 9.	1st October 2023	Complied
9.2.1	9.2 Policies	Listed Entities shall establish and maintain the following policies and disclose the fact of existence of such policies together with the details relating to the implementation of such policies by the Entity on its website; a) Policy on the matters relating to the Board of Directors b) Policy on Board Committees c) Policy on Corporate Governance, Nominations and Re-election d) Policy on Remuneration e) Policy on Internal Code of Business conduct and Ethics for all Directors and employees, including policies on trading in the Entity's listed securities f) Policy on Risk management and Internal controls g) Policy on Relations with Shareholders and Investors h) Policy on Environmental, Social and Governance Sustainability i) Policy on Control and Management of Company Assets and Shareholder Investments j) Policy on Corporate Disclosures k) Policy on Whistleblowing l) Policy on Anti-Bribery and Corruption	1st October 2024	Early Adopted
9.2.2		Any waivers from compliance with the Internal Code of business conduct and ethics or exemptions granted by the Listed Entity shall be fully disclosed in the Annual Report.		

CORPORATE GOVERNANCE

Principle	Terms as CSE Listing Rules	Listing Rule Requirement	Effective Date	Compliance Status
9. Corporate Governance				
9.2.3		The policies have been disclosed on the company website, and no modifications have been made to the policies throughout the year.		
9.2.4		Listed Entities shall make available all such policies to shareholders upon a written request being made for any such Policy		
9.3.2	9.3 Board Committees	Listed Entities shall comply with the composition, responsibilities and disclosures required in respect of the Board committees as set out in these Rules.	1st October 2023	Complied
9.3.3		The Chairperson of the Board of Directors of the Listed Entity shall not be the Chairperson of the Board Committees		
9.4.1	9.4 Adherence to principles of democracy in the adoption of meeting procedures and the conduct of all General Meetings with shareholders.	Listed Entities shall retain records of all resolutions and the following information whenever a resolution is considered at any General Meeting of the entity. The entity shall provide copies of the same at the request of the exchange and/or SEC	1st October 2023	Complied
		The number of shares in respect of which proxy appointments have been validly made: a) The number of votes in favor of the resolution; b) The number of votes against the resolution; and c) The number of shares in respect of which the vote was directed to be abstained		
9.4.2		Communication and relations with shareholders and investors		
9.5.1	9.5 Policy on matters relating to the Board of Directors	Listed Entities shall establish and maintain a formal policy governing matters relating to the Board of Directors.	1st October 2024	Early Adopted
9.5.2		Listed Entities shall confirm compliance with the requirements of the policy referred to in Rule 9.5.1 above in the Annual Report and provide explanations for any non-compliance with any of the requirements with reasons for such non-compliance and the proposed remedial action.		
9.6.1-9.6.4	9.6 Chairperson and CEO	The Chairperson of every Listed Entity shall be a Non-Executive Director and the positions of the Chairperson and CEO shall not be held by the same individual.	1st October 2023	Complied
9.7.1 - 9.7.2	9.7 Fitness of Directors and CEOs	The Listed Entities shall take necessary steps to ensure that their Directors and the CEO are, at all times, fit and proper persons as required in terms of these Rules:	1st October 2023	Complied
		In evaluating fitness and propriety of the persons referred in these Rules, Listed Entities shall utilize the 'Fit and Proper Assessment Criteria' set out in Rule 9.7.3		
9.7.3 - 9.7.5		The Rule 9.7.3 - 9.7.5 will be effective from 1st April 2024. Therefore, the annual declaration will be disclosed in the 2024 Annual Report.	1st April 2024	Early Adopted

Principle 9. Corporate Governance	Terms as CSE Listing Rules	Listing Rule Requirement	Effective Date	Compliance Status
9.8.1		The Board of Directors of a Listed Entity shall, at a minimum, consist of five (05) Directors:		
9.8.2		The Board of Directors of Listed Entities shall include at least two (2) Independent Directors or such number equivalent to one third (1/3) of the total number of Directors.	1st October 2024	Early Adopted
9.8.3- 9.8.4	9.8 Board Composition	The Criteria for determining independence shall complied with Listing Rule 9.8.3		
9.8.5		Each Independent Director to submit a signed and dated declaration annually of his or her "independence" or "non-independence" The Board has reviewed these annual declarations and other available information to verify adherence to the criteria for assessing independence. (Refer Note 01)	1st October 2023	Early Adopted
9.9	9.9 Alternate Director	If a Listed Entity provides for the appointment of Alternate Directors, it shall be required to comply with the CSE Listing Rule 9.9: The Company was not required to appoint an Alternate Director during the period.	1st Jan 2024	Early Adopted
9.10.1		Listed Entities shall disclose its policy on the maximum number of directorships it's Board members shall be permitted to hold in the manner specified in Rule 9.5.1.		
9.10.2	9.10 Disclosures relating to Directors	Listed Entities shall, upon the appointment of a new Director to its Board, make an immediate Market Announcement setting out the following: I. A brief resume of such Director; II. His/her capacity of directorship; and, III. Statement by the Entity indicating whether such appointment has been reviewed by the Nominations and Governance Committee of the Entity.	1st October 2023	Complied
9.10.3		Listed Entities shall make an immediate Market Announcement regarding any changes to the composition of the Board of Directors or Board Committees referred to in Rule 9.3		
9.10.4		Listed Entities shall also disclose the information required to rule no. 9.10.4 in relation to the Directors in the Annual Report.		

CORPORATE GOVERNANCE

Note 01- Independence of Directors as at 31st December 2023

Name of the Director	Employment by the Company	Material Business Relationship	Close family member is a KMP	Significant Shareholding	Consecutive service of nine or more years	Business Relationship	Director of another Company	Shareholder in another Company	70 Years of Age*
Mr. Ramai Jasinghe	✓	✓	✓	✓	✓	✓	✓	✓	✓
Mrs. Lasinee Serasinghe	✓	✓	✓	✓	✗	✓	✓	✓	✓
Mr. Shiron Gooneratne	✓	✓	✓	✓	✓	✓	✗	✓	✓
Mrs. Dilukshika Fernando	✓	✓	✓	✓	✓	✓	✓	✓	✓
Mr. Kalum Senaranyake	✗	✓	✓	✓	✓	✓	✓	✓	✓

According to A5.5 of code of best practices for corporate governance 2023, a director who has served on the board more than nine years can still be considered independent despite having some relationships or circumstances that might typically suggest otherwise. In the absence of material business relationships, significant shareholdings, business connections, employment or family relationship with the company, Non-executive director Mrs. Lasinee Serasinghe can still be deemed independent despite her service more than nine years.

Statement/Report	Regulatory Body	Relevant Act	Current Status
VAT	Insurance Regulatory commission of Sri Lanka	VAT Act No 14 of 2002	Complied
Returns to IRCSL (Quarterly/ Annual/ Further Returns/ Actuarial Returns/ Circular/ Management Letter)	Insurance Regulatory commission of Sri Lanka	Regulation of Insurance Industry Act No 43 of 2000	Complied
Annual Fee to IRCSL	Insurance Regulatory commission of Sri Lanka	Regulation of Insurance Industry Act No 43 of 2000	Complied
Reinsurance Arrangements to the Controller	Insurance Regulatory commission of Sri Lanka	Regulation of Insurance Industry Act No 43 of 2000	Complied
Copy of Register of Insurance Agents Registered with Arpico Insurance PLC	Insurance Regulatory commission of Sri Lanka	Regulation of Insurance Industry Act No 43 of 2000	Complied
Stamp Duty	Department of Inland Revenue	Stamp Duty (Special Provisions) Act No 12 of 2006	Complied
CSE Quarterly Returns	Colombo Stock Exchange	CSE Listing Rules	Complied
Anti-Money Laundering Statements	Financial Intelligence Unit-Central Bank of Sri Lanka	Financial Transactions Reporting Act No 6 of 2006	Complied
EPF and ETF	Central Bank of Sri Lanka/ETF Board	EPF Act NO 15 of 1958 and ETF Act NO 46 of 1980	Complied
Legal Interest	Monetary Board	Civil Procedure Code	Complied
Annual Return to the Registrar of Companies	Registrar General of Companies	Companies Act No 7 of 2007	Complied



UNLEASH POTENTIALS

How We Create Value

Remodeling and Reshaping Values® encapsulates our commitment to transforming our foundational principles to meet emerging challenges. This initiative reflects our strategic focus on innovation and adaptability, ensuring that our values not only withstand the test of time but also drive our growth and resilience in a dynamic environment. Through continuous improvement and strategic realignment, we aim to enhance stakeholder value and secure a prosperous future.

VALUE CREATION MODE

INPUTS

FINANCIAL CAPITAL

Our Strong capital base and diversified sources of investments are used to meet our customers protection needs and generate expected returns to our shareholders.

Equity of LKR 1.4 Bn

Investments 3.9 Bn

Page 64

MANUFACTURED CAPITAL

Our Island wide branch network and digital infrastructure enable us to continue to expand our reach.

69 Branches

IT capabilities and digital channels

Page 72

HUMAN CAPITAL

Our diversified talent force enables us to provide exceptional customer service and innovate solutions for our customers.

Diverse team of 1739 employees

- Remuneration and Performance-based rewards
- Learning and development

Page 76

SOCIAL AND RELATIONSHIP CAPITAL

Our strong relationships with customers, business partners, and communities give us the social license to operate while contributing to our brand equity.

Relations with Stakeholders

Page 82

INTELLECTUAL CAPITAL

Over 12 years of business excellence has accumulated a significant brand reputation, a valuable repository of tacit knowledge and time-tested, digitally advanced systems and processes that continue to provide us with a competitive advantage.

- Brand strength
- Systems and Process
- Tacit and Explicit Knowledge

Page 88

NATURAL CAPITAL

The direct and indirect impact of our business operations on natural resources including energy, water and climate is significant.

- Energy Consumption
- Water Consumption
- Paper Consumption

Page 94

PROCESS

VISION

To be the most trusted and innovative solutions provider for life insurance needs.

MISSION

Provide unparalleled services to clients through team spirit nourished by passion and developing innovative life insurance solutions, technical expertise, value additions and unique service capability.

CORE BUSINESS ACTIVITIES



OUTPUTS

DIVERSE PRODUCTS AND SOLUTIONS TAILORED TO MEET INSURANCE NEEDS

OUTCOMES

Sustainable financial return to shareholders, prudential growth and financial stability.

Steadily growing financial position

- Investment income growth - **29%**
- Investment value growth - **7%**



Expansion of geographical footprint, upgraded working environment, and better customer reach.

Steadily growing financial position

- Enhanced Branch Network - **4** Renovations



Productivity increase, employee loyalty, and improved capabilities and competencies.

- Total training programs - **271**
- Salary increments - **679** employees
- Sales bonus increments - **63%**
- Total Promotions - **234** employees



Customer satisfaction, growth in customer base, growth in field staff, Engagement with community and CSR Activities.

- Claims and benefits - **1,401** Mn
- Digital interactions
- Cordial and professional relationships with partners
- Timely reinsurance consultation, reinsurance risk, ceded premiums LKR **96** Mn



Launched new products, implementing robotic processing technology, integrated risk management, framework that safeguard the business from business from externalities.

- Improved governance framework
- Stronger brand presence



Involve in environment protection, Recycling of waste.

- Minimized paper usage and careful use of natural resources
- 3R concept of recycling, reducing and re-using
- Conservation projects





CAPITAL REPORTS

FINANCIAL CAPITAL

2023 Sri Lankan Economy

A Year of Stabilization and Challenges

2023 was a year of significant economic challenges for Sri Lanka, following a deep recession in 2022. The economy contracted by an estimated 2.3%, marking a slow recovery from the steeper decline of the previous year. This downturn was driven by several factors, including:

Foreign exchange shortages: Limited foreign reserves hampered imports of essential goods, leading to shortages and disruptions in key sectors.

High inflation: Inflation peaked at nearly 70% in September 2022 before declining to around 4% by August 2023. This eroded purchasing power and impacted household budgets.

Weakened business activity: Construction, manufacturing, and service industries suffered due to a lack of credit, supply chain disruptions, and declining consumer demand.

However, there were also signs of progress:

IMF program: Sri Lanka secured a \$2.9 billion loan from the International

Monetary Fund (IMF) in March 2023. This program focused on fiscal consolidation and reforms, which helped to stabilize the economy.

Reduced inflation: Inflationary pressures eased significantly, offering some relief to consumers.

Improved foreign reserves: Usable foreign reserves rose from a critically low level in 2022, providing some breathing room for essential imports.

Looking Ahead

While these developments are positive, Sri Lanka's economic recovery remains fragile. The World Bank forecasts a modest growth of 1.7% for 2024. Key challenges include:

Maintaining fiscal discipline: Continued adherence to the IMF program and prudent fiscal management are crucial for long-term stability.

Stimulating growth: Policies that encourage investment and revive key sectors like tourism and manufacturing are needed to generate sustainable growth.

Addressing social impacts: The economic downturn has disproportionately impacted vulnerable populations. Policies to address poverty and inequality are essential for inclusive growth.

The coming year will be critical for Sri Lanka to consolidate its economic gains and embark on a path of sustainable and inclusive growth.

INPUT

Stated Capital
675 Mn
Retained Profits
1458Mn

Effective cost
management
Investment
Management
Business redirection

OUTCOME

Capital Adequacy Ratio
349%
Revenue Drop
4%



In the fiscal year 2023, Arpico Insurance encountered a financial loss predominantly attributable to expense assumptions in liability valuation. Despite this significant challenge, we upheld our unwavering commitment to financial integrity and transparency, ensuring the paramount interests of our policyholders remained safeguarded. This period underscored our resilience and steadfast dedication to maintaining stakeholder trust and confidence.

The fiscal year 2023 posed a rigorous test of resilience for Arpico Insurance PLC as we navigated through a multitude of external challenges. Global economic uncertainties, regulatory adjustments, and market volatility compounded the complexities of our operations. In the face of these adversities, our rigorous focus on prudent risk management and strategic

decision-making was instrumental in mitigating the impact. Our robust risk assessment framework and proactive issue resolution approach were pivotal in stabilizing our operations amidst these turbulent conditions.

Reflecting on the fiscal year, we are cognizant of the valuable lessons gleaned from the expense assumptions and the avenues for enhancement they unveil. This introspection has spurred us to reassess and refine our expense management strategies, ensuring greater preparedness for future challenges. We are dedicated to internalizing these lessons and evolving our strategies to secure sustainable growth and profitability. Our continued focus on enhancing operational efficiency, optimizing our product portfolio, and leveraging technological

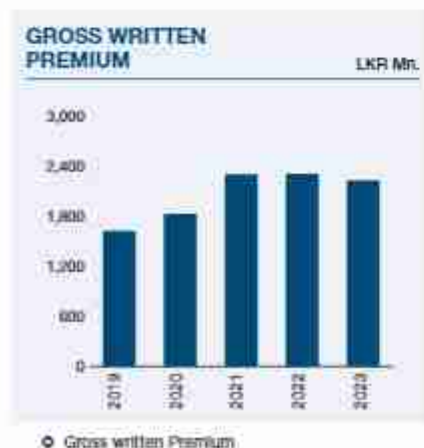
innovations are central to our mission of superior customer service.

Looking forward, Arpico Insurance remains steadfast in its vision of becoming "The most trusted and innovative solutions provider for life insurance needs." We are confident that our resilience, coupled with our unwavering commitment to excellence, will facilitate not only recovery from the current financial setback but also position us for enduring success within the Sri Lankan insurance sector. Our strategic focus includes increasing the number of in-force policies, curbing surrenders and lapses, and bolstering customer retention through superior service delivery and engagement. These initiatives are meticulously designed to drive growth, enhance financial performance, and generate sustained value for our policyholders and shareholders.

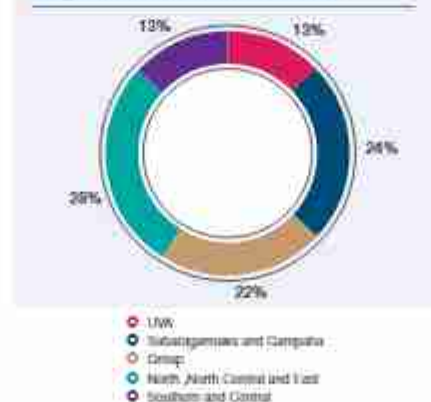
Financial Performance

Gross Written Premium

In the fiscal year 2023, Arpico Insurance experienced a marginal revenue decline of 4% compared to 2022. This reduction can be principally attributed to a significant 32%



Segment Performance 2023



decrease in new business acquisitions, amounting to LKR 335,601,534. Conversely, it is noteworthy that group premium collections surged by an impressive 182%, contributing LKR 316,198,130. Despite the

Segment Performance 2022



overall revenue contraction, the substantial increase in group premiums reflects the company's strategic focus on strengthening this segment, which partially offset the decline in new business revenue.

FINANCIAL CAPITAL

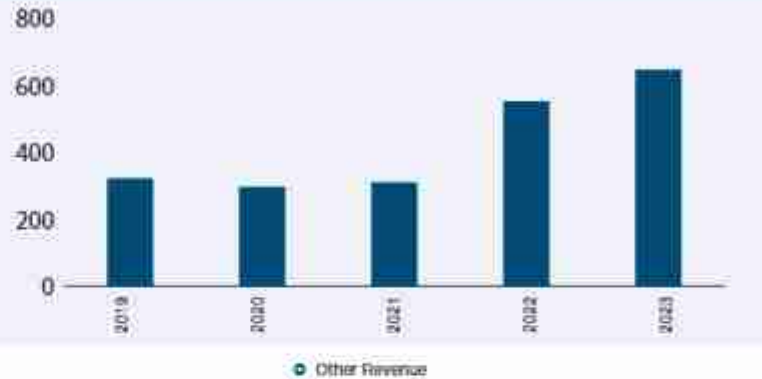
Investment Income

The primary driver behind the increase in other revenue was the appreciation in the fair value of investments in unit trusts. This strategic diversification of investment risk through unit trusts resulted in an LKR 28 million growth in fair value gains compared to the previous year.

Additionally, the total other revenue saw a significant 17% increase, bolstered by a 29% growth in investment income. This growth was predominantly generated through interest income from treasury bonds and fixed deposits. A key factor in this achievement was the strategic reallocation of investments towards more profitable treasury bonds, which also offered lower credit risk.

In summary, the investment portfolio has experienced substantial growth during the year, driven by soaring yields and strategic investment decisions. This outcome represents a rare win-win situation, showcasing the investment department's timely and accurate decision-making, which has further solidified the company's financial foundation and ensured its future success.

OTHER REVENUE



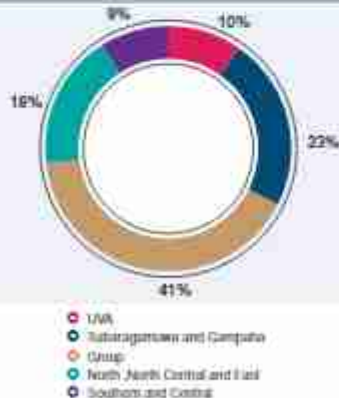
FAIR VALUE GAIN



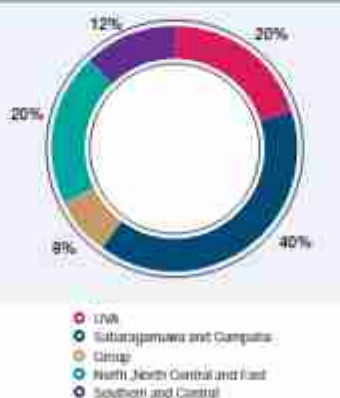
INVESTMENT INCOME



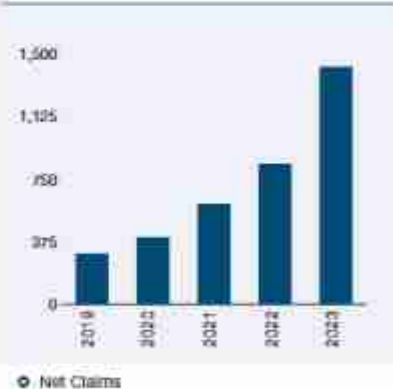
2023 Segment claims



2022 Segment claims



NET CLAIMS



Insurance benefits and claims

This category encompasses both the insurance benefits and claims paid, as well as the changes in outstanding insurance

benefit claims. In the fiscal year 2023, there was a significant 69% increase in claim expenditures compared to 2022. This substantial rise in claim payouts has

been a considerable contributing factor to the operational losses experienced during the year. The escalation in claims highlights the need for continued vigilance in risk assessment and management to mitigate future financial impacts.

Underwriting and net acquisition cost

The underwriting and net acquisition cost category encompasses expenses related to marketing staff and commission payments, categorizing it as a semi-variable cost for the company. In the fiscal year 2023, Arpico Insurance successfully implemented effective cost management strategies, resulting in a reduction of Rs. 6.1 million in these expenses.

This reduction is a testament to our strategic focus on optimizing operational efficiency and controlling variable costs without compromising the quality of service. By refining our commission structures and enhancing the productivity of our marketing staff, we have achieved significant cost savings. These measures include streamlining marketing operations, renegotiating commission agreements, and implementing performance-based incentives to align staff efforts with company goals.

The decrease in underwriting and net acquisition costs also reflect our commitment to prudent financial management and sustainable growth. By continuously monitoring and adjusting our cost structures, we aim to maintain a balance between cost efficiency and competitive advantage in the market.

UNDERWRITING AND NET ACQUISITION COST

LKR Mn.



Underwriting and Net Acquisition Cost

Looking forward, we will continue to explore innovative cost management techniques and leverage technology to

further enhance our operational efficiency. Our goal is to ensure that we remain agile and responsive to market dynamics while sustaining our commitment to delivering value to our stakeholders.

Change in insurance contract liability

The change in insurance contract liability reflects the results of the Life fund valuation, which determines the proportion of inflows that must be reserved to meet future liabilities. During the fiscal year 2023, insurance contract liabilities increased by 45%, amounting to Rs. 82.8 million.

This significant increase is primarily attributable to the expenditure assumptions provided by a third-party independent valuer. These assumptions are critical in ensuring that sufficient reserves are maintained to cover future policyholder claims and benefits. The increase in liabilities underscores the importance of accurate and conservative actuarial assessments in maintaining the financial health and stability of the company.

The actuarial valuation process involves detailed analysis of various factors including mortality rates, policy lapses, interest rates, and expense assumptions. The recent increase in liabilities indicates a cautious approach to future obligations, reflecting the company's commitment to financial prudence and long-term sustainability.

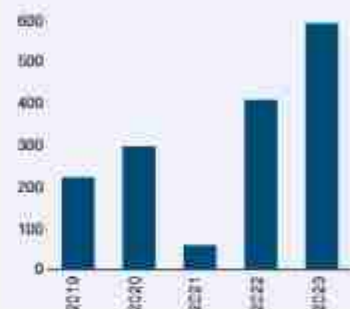
Furthermore, this adjustment highlights the dynamic nature of insurance contract liabilities, which must adapt to changing economic conditions and actuarial insights. Arpico Insurance remains focused on continuously improving the accuracy of our actuarial assumptions and methodologies to ensure robust financial planning and risk management.

As we move forward, we will maintain our vigilance in monitoring and managing our insurance contract liabilities. By working closely with independent valuers

and leveraging advanced actuarial techniques, we aim to uphold our promise to policyholders and secure the financial integrity of the Life fund.

CHANGE IN INSURANCE CONTRACT LIABILITY

LKR Mn.

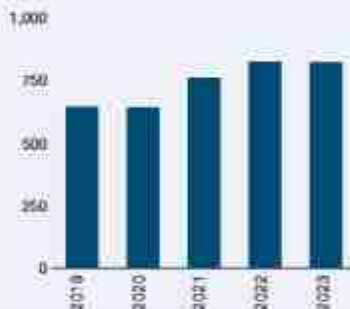


Change in Insurance contract liability

Other operating Selling and Administration costs

OTHER OPERATING ADMINISTRATION AND SELLING COSTS

LKR Mn.



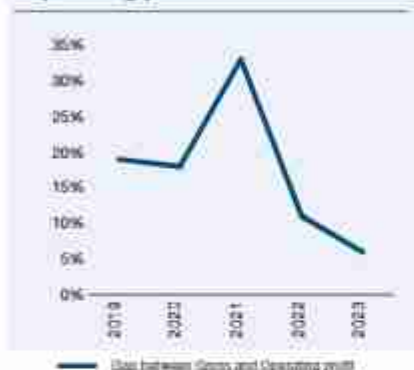
Other Operating Administration and selling costs

Despite primarily comprising fixed costs, the company successfully reduced other operating, selling, and administration expenses by Rs. 0.9 million compared to the previous year. This cost reduction is particularly noteworthy given the challenging economic environment, with inflation peaking at 53% in January 2023. This achievement is a testament to the company's effective and timely cost management strategies. Through stringent budget controls, process optimizations, and strategic resource allocation, Arpico Insurance has managed to curtail costs, thereby enhancing operational efficiency and preserving financial resources. This

FINANCIAL CAPITAL

successful effort of the company shows further through the reduced gap between company's gross profit and operating profit.

Gap between Gross and Operating profit



2023 Sri Lanka Inflation



Profit before tax

The company recorded a loss of Rs. 683.8 million during the fiscal year 2023, representing a significant profit drop of 903% compared to 2022. The primary contributor to this substantial loss was the increased insurance contract liability, which surged by Rs. 948 million due to actuarial expense assumptions.

To address the underlying causes of this financial downturn, Arpico Insurance is focusing on strategic initiatives such as increasing the number of in-force policies, reducing policy surrenders, and minimizing lapses. These efforts are aimed at improving our financial stability and enhancing our capacity to meet the evolving needs

of our policyholders. By strengthening policyholder retention and expanding our customer base, we anticipate a positive impact on our financial performance and overall sustainability.

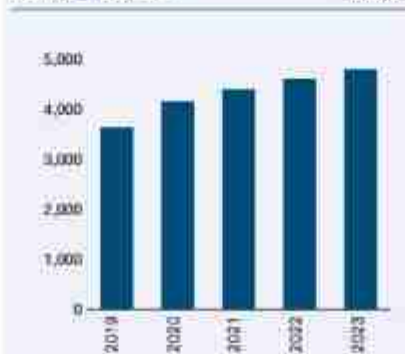
At Arpico Insurance, we recognize that financial capital extends beyond mere profitability; it embodies our commitment to safeguarding our policyholders' interests and ensuring long-term sustainability. Despite the challenges faced, our dedication to financial integrity and transparency remains unwavering. We are committed to navigating these adversities with resilience and to emerging stronger, poised for future growth and success.

Financial Position

Total Assets

The company increased its asset base by Rs. 195 million compared to 2022, strengthening its financial position with both monetary and non-monetary assets despite the challenges faced. This asset growth is a testament to Arpico Insurance's resilience against risks and uncertainties. Year by year, the company has enhanced its financial position through a balanced portfolio of investments. In 2023, the company significantly increased its investments in financial assets by Rs. 268 million, reflecting a strategic approach to asset management and growth.

TOTAL ASSETS

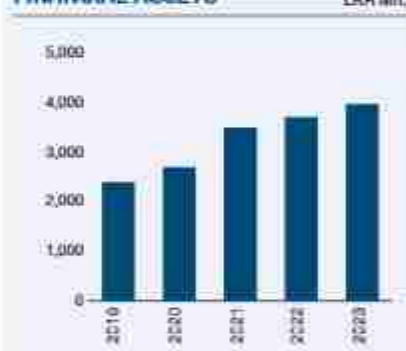


● Total Assets

Financial Assts

The company has continually strengthened its financial position year by year through a well-balanced portfolio of investments. In 2023, Arpico Insurance significantly increased its investments in financial assets by Rs. 268 million. This strategic enhancement reflects our commitment to optimizing returns while maintaining a prudent approach to risk management. By diversifying our investment portfolio and focusing on high-quality financial assets, we have bolstered our financial stability and positioned ourselves for sustainable growth. This ongoing effort to enhance our asset base demonstrates our resilience and adaptability in the face of economic challenges.

INVESTMENT ON FINANCIAL ASSETS



● Investment on financial assets

Composition of financial investment

In line with our commitment to maximizing returns while minimizing risk, the company reallocated funds from debentures and repurchase agreements to fixed deposits in licensed commercial banks. This strategic shift aimed at increasing profitability without exposing the company to higher-risk investments. As a result, this investment strategy has significantly contributed to a 17% increase in other income, demonstrating the effectiveness of our financial management practices.

FINANCIAL INVESTMENTS	2023	MIX	2022	MIX
Treasury Bond	1,391,368,532	35%	1,322,488,892	36%
Fixed deposit	1,114,975,140	28%	784,289,965	21%
Debentures	753,557,574	19%	894,531,247	24%
Reverse repurchases agreements	242,838,584	6%	404,752,229	11%
Shares	246,838,280	6%	115,628,000	3%
Treasury bills	81,972,074	2%	70,145,231	2%
Unit trust	118,336,033	3%	89,882,076	2%
TOTAL	3,949,884,217		3,681,717,640	

Debt reserves

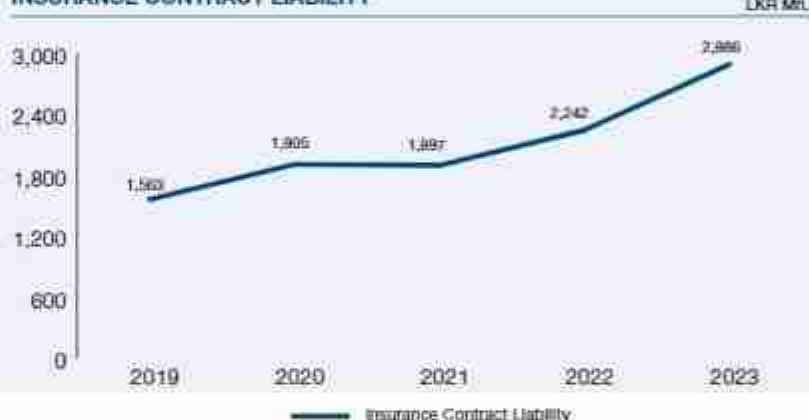
The primary liability component for any life insurance company is the insurance contract liability, which is assessed by an independent actuary. Life insurance contract liabilities refer to the reserves built to meet future claims and maturities of life insurance policyholders. According to an independent valuation, the company's life insurance contract liabilities increased to Rs. 2.8 billion, representing a 29% increase from the existing liability.

In compliance with regulatory requirements, insurance contract liabilities are valued by an actuary. The valuation report on the Life Fund was conducted by the appointed independent consultants, Actuarial Partners Consulting Sdn Bhd, based in Suite 17-02 Kenanga International, 50250 Kuala Lumpur, Malaysia. Further details and analysis of the actuarial valuation can be found in the Risk Management section (page 122).

Deficit Created due to Change in Valuation method

In accordance with amended Insurance Industry Act, No.03 of 2011, any deficit arising from changes in the valuation method must be transferred to insurance contract liabilities from shareholder retained profits. This regulatory directive ensures that the financial implications of updated valuation methodologies are appropriately reflected in the company's liabilities, thereby maintaining the integrity and accuracy of the financial statements. The transfer helps to align the financial

INSURANCE CONTRACT LIABILITY

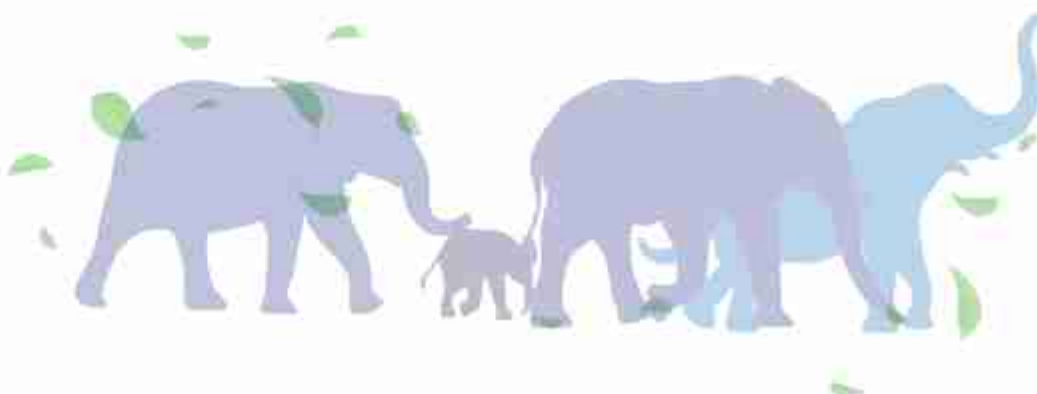


reserves with the updated actuarial assessments, ensuring that sufficient funds are allocated to meet future policyholder obligations.

Adoption to the changes in accounting standards

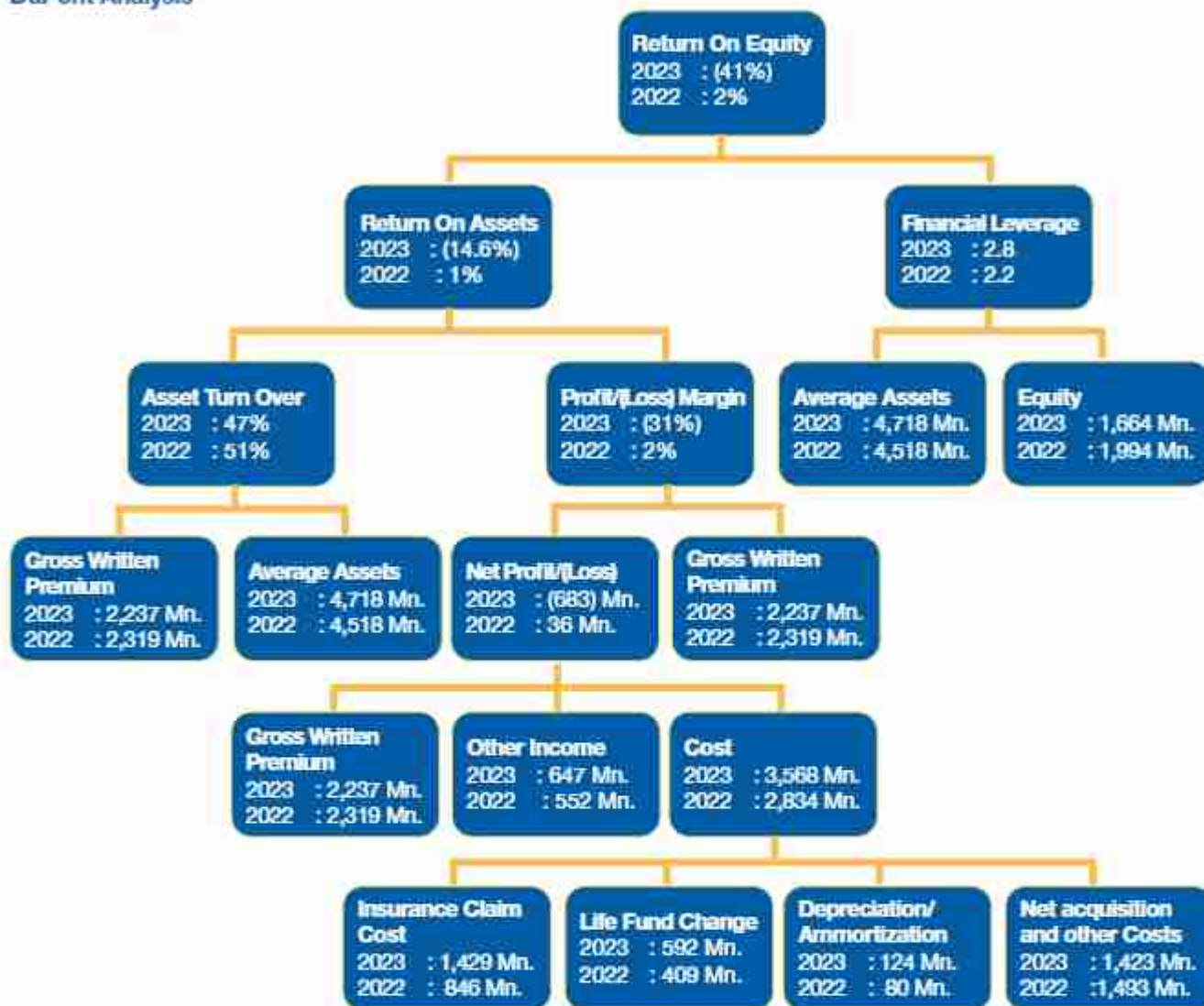
The Company is committed to adopting new and amended standards and interpretations that have been issued but are not yet effective as of the date of issuance of the Company's financial statements, where applicable. This

proactive approach ensures that our financial reporting remains compliant with the latest accounting practices and regulatory requirements. The adoption of these new standards will enhance the transparency, consistency, and comparability of our financial statements, thereby providing more reliable information to stakeholders. We are closely monitoring developments in accounting standards and preparing for their implementation to ensure a smooth transition and minimal disruption to our reporting processes.



FINANCIAL CAPITAL

DuPont Analysis



Page 130 of this report provides a comprehensive ratio analysis designed to assist investors in making informed decisions. This analysis includes key financial ratios that offer insights into the company's profitability, efficiency, liquidity, and solvency. By presenting this information in a concise and accessible manner, we aim to enhance the understanding of our financial performance and strategic position. The ratio analysis serves as a valuable tool for stakeholders to assess the company's financial health and make informed investment decisions.

Way Forward

CRITERIA	GROWTH PROSPECT
	2024
GWP Growth	59%
PBT Growth	118%
Return on net assets	50%
Capital Adequacy Ratio	>160%

Strength and Stability Inspired by the Elephant

The elephant, with its profound attributes of strength, wisdom, resilience, unique

communication abilities, and nurturing care, serves as an inspiring metaphor for our financial capital management.

Strength and Stability

Much like the robust physique of an elephant, our financial capital is the backbone of our company, providing the strength and stability necessary to support our operations and growth. Elephants are known for their powerful build and ability to carry substantial weight over great distances. Similarly, our financial capital, bolstered by a diverse and well-managed investment portfolio, ensures that we have the necessary resources to withstand

economic challenges and meet our long-term obligations.

Wisdom in Management

Elephants are also celebrated for their intelligence and keen sense of judgment, which guide their survival in the wild. At Arpico Insurance, we apply this same wisdom to our financial management practices. Our strategic investments and prudent risk management policies reflect a deep understanding of market dynamics and future trends. By making informed and judicious decisions, we ensure the optimal allocation of our financial resources, maximizing returns while safeguarding against potential risks.

Resilience and Endurance

The resilience of an elephant, capable of traversing harsh environments and enduring various hardships, mirrors our commitment to financial resilience. Despite the challenges and uncertainties of the economic landscape, we remain steadfast in our mission to enhance our financial position. The significant growth in our asset base and the careful reallocation of investments demonstrate our ability to adapt and thrive, much like an elephant navigating through changing terrains.

Unique communication and Coordination

One remarkable and lesser-known ability of elephants is their use of infrasound for communication. Elephants can produce and detect low-frequency sounds that travel long distances, allowing them to communicate with other elephants' miles away. This sophisticated communication system enables them to coordinate movements, warn of potential dangers, and find resources across vast landscapes.

At Arpico Insurance, we draw inspiration from this unique ability to maintain open and effective communication across all levels of our organization. Just as elephants use infrasound to coordinate and thrive, we ensure that our financial strategies and decisions are communicated clearly and comprehensively within the company.

This ensures that every team member is aligned with our goals, enhancing our ability to respond swiftly to market changes and capitalize on opportunities.

Nurturing Growth

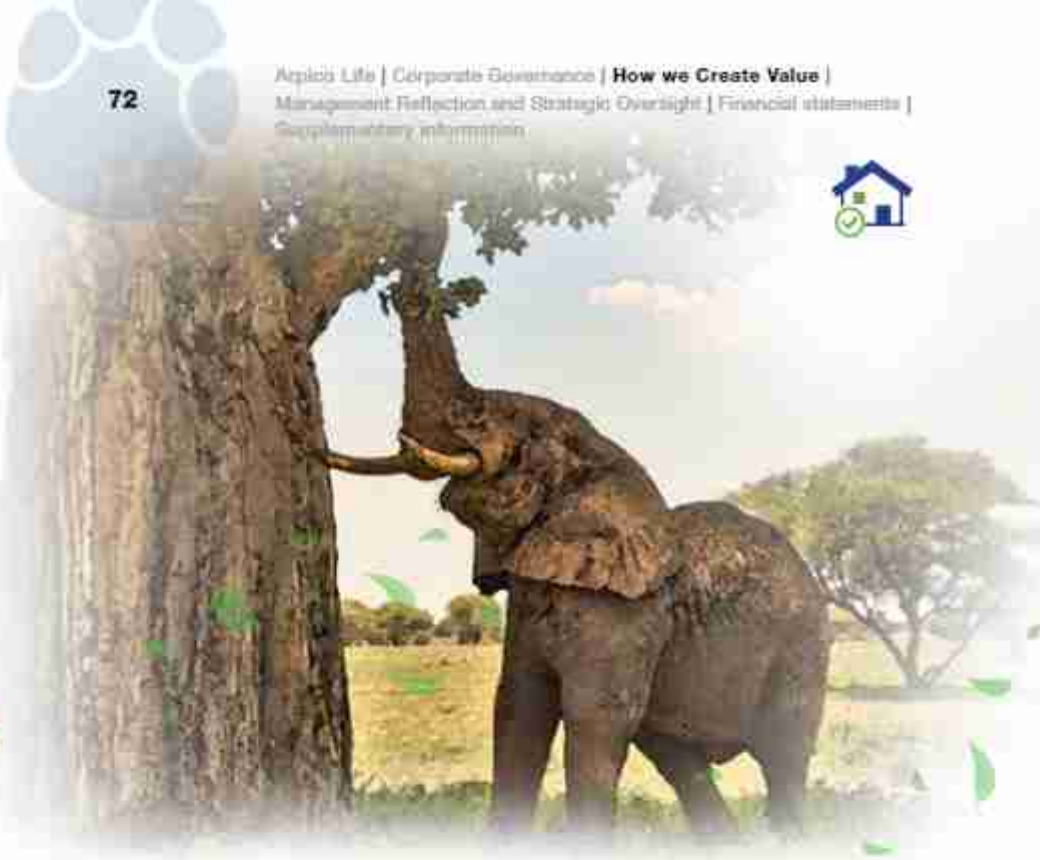
An elephant's long gestation period and nurturing care for its young symbolizes our dedication to sustainable growth and future prosperity. We invest not only in immediate gains but also in long-term strategies that will nurture our financial capital and ensure the sustained success of Arpico Insurance. Our focus on increasing in-force policies, reducing surrenders, and minimizing lapses are efforts aimed at cultivating a robust and enduring financial foundation.





CAPITAL REPORTS MANUFACTURED CAPITAL

Our success is built upon our manufactured capital, which interweaves physical infrastructure, advanced IT assets, and a dynamic branch network in a seamless manner. Our propensity to develop and provide innovative insurance solutions are fostered by this fundamental amalgamation, which establishes us as leaders in the industry.



In the ever-evolving insurance sector, this manufactured capital serves a crucial purpose beyond being a support system. It serves a crucial role in providing us with a substantial competitive advantage, thereby enabling the creation and sustaining of value. We remain steadfast in our pursuit of operational excellence, revenue growth, and productivity optimization, and these objectives are further solidified by our steadfast dedication to strategic investments:

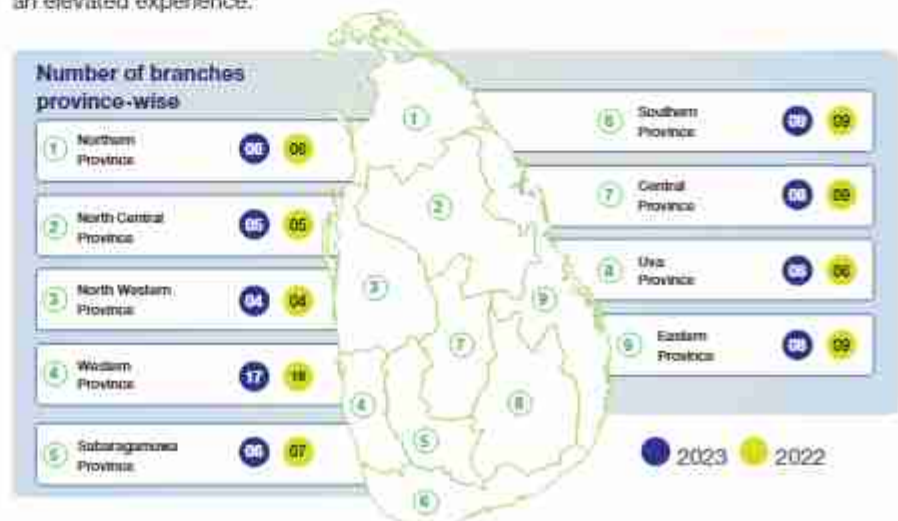


Branch Network

Our branch network acts as the main interface for customer interactions, and our objective is to expand this network annually. This expansion aims to extend our reach to new client demographics and solidify our presence in the insurance sector.

We invested in the comprehensive upgrade of two major branches this year as part of our dedication to providing customer-centric service. These improvements not only establish a secure and favorable working environment for our personnel but also furnish our agents with an enhanced setting in which to provide exceptional customer service. Through a

concentrated effort to enhance quality within our current network, our objective is to strengthen our standing in the insurance sector and provide our esteemed clientele with an elevated experience.



BRANCH PERFORMANCE – PROVINCIAL BREAKDOWN

PROVINCE	NO OF ZONES	NO OF BRANCHES	GWP (LKR)	GWP (LKR Mn.)	GWP CONTRIBUTION%	AVERAGE REVENUE PER ZONE (LKR Mn.)	AVERAGE REVENUE PER BRANCH (LKR Mn.)
Central	3	10	35,568,492	36	2.04%	12	4
East	2	9	60,597,604	61	3.47%	30	7
Northern	4	6	494,820,548	495	28.35%	124	82
North Central	4	4	109,482,407	109	6.27%	27	27
North Western	3	2	63,124,906	63	3.62%	21	32
Sabaragamuwa	2	6	78,234,186	78	4.48%	39	13
Southern	8	8	268,851,196	269	15.40%	34	34
Uva	4	6	147,151,737	147	8.43%	37	25
Western	12	18	487,471,590	487	27.93%	41	27
TOTAL	42	69	1,745,302,668	1,745	100.00%		

The Western and Northern Provinces stand out for their significant contributions to Gross Written Premiums (GWP), with the Northern Province particularly noteworthy despite having only 6 branches compared to the 18 branches in the Western Province. Despite this discrepancy in branch numbers, the Northern Province matches the Western Province in terms of GWP contribution. Following closely behind is the Southern Province, emerging as the next leading province in this regard.

Digital and ICT Infrastructure

Our digitally driven agenda, centered on customer needs, remains persistent in addressing customer concerns, simplifying operations, and offering tailored solutions to meet evolving customer demands. This ongoing commitment continues to enhance our value proposition for customers and fortify our relationships with them.

Digital Advancements: Strengthening Customer Engagement

In our ongoing commitment to delivering a seamless customer experience, this year witnessed further refinements to our digital infrastructure.

Enhanced E-Receipt System

Expanding on the accomplishments of our E-receipting system introduced in 2022, we have further enhanced its capabilities. Clients now benefit from instant SMS notifications upon the issuance of a new receipt, offering immediate updates and further streamlining our paperless transaction process.

Continued Focus on Online Payments

In response to evolving market dynamics and shifting consumer preferences, we remain committed to offering the added convenience of online premium payment options. Originally introduced as a response to the challenges posed by the pandemic, this digital solution continues to play a vital role in our commitment to adapting to changing circumstances and enhancing customer convenience.

Operational Resilience

Our commitment to operational excellence extends to rigorous measures aimed at minimizing system downtime. Through regular updates, routine backup testing, continuous network and device monitoring, and comprehensive employee training on ICT matters, we strengthen our digital infrastructure to withstand potential disruptions.



arpicoinsurance.com
online pay



online Fund
Transfer



Commercial Bank
Q+ app



Dialog
ezCash



InstantPay

MANUFACTURED CAPITAL

Physical Infrastructure

At Arpico Insurance, our physical infrastructure forms the foundation upon which our operations thrive.

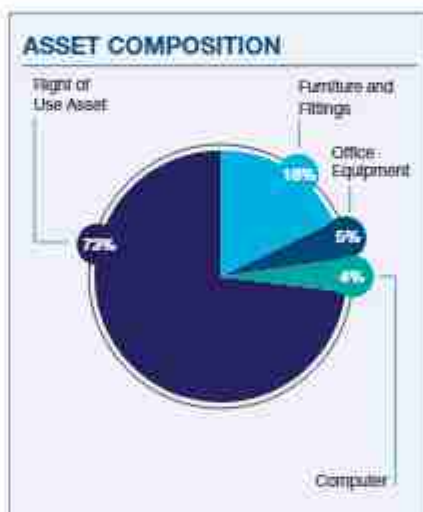
Building Foundations: Strengthening Physical Infrastructure for the Future

This year marks a strategic transition in our approach to physical infrastructure at Arpico Insurance. While there has been a decrease in expenditures on traditional property, plant, and equipment (PPE), our focus has shifted towards enhancing the digital workplace. Recognizing the rapid advancements in technology, we have realigned our priorities to adapt to the evolving landscape.

Through this strategic pivot, we aim to optimize resource utilization, ensuring a seamless integration of efficiency and innovation. This shift not only benefits our esteemed clientele but also empowers our dedicated workforce.

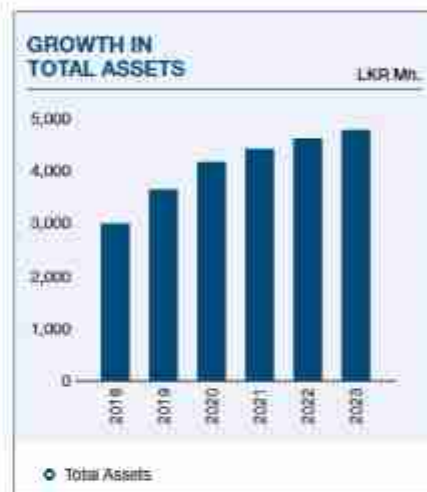
Fixed Asset Composition and Total Assets

As of December 31, 2023, our fixed asset portfolio reflects a dynamic mix, with Furniture and Fittings accounting for 18%, Office Equipment for 5%, Computer for 4%, and a significant Right of Use Asset comprising 73%. This strategic composition underscores our commitment to maintaining a well-balanced and forward-thinking operational foundation. The accompanying pie chart visually depicts this blend, providing a comprehensive overview of our fixed asset allocation.



Over the period from 2018 to 2023, our organization's financial narrative exemplifies effective financial planning and consistent progress, culminating in a record high total assets of Rs. 4,779,154,287 in 2023. This upward trajectory is evident in the provided graphic representation, which serves as a visual guide, illustrating the stages of our financial journey.

With each passing year, we have demonstrated our commitment to sound financial management, resulting in steady growth and success. In the subsequent analysis, we will delve deeper into our financial achievements, highlighting the key factors contributing to our organization's resilient and thriving landscape.



Shared Infrastructure

Our operations are closely intertwined with crucial public infrastructure and resources, fostering a mutually beneficial relationship. We rely on essential public services such as electricity, fuel, and water supplied by state-owned utility companies, as well as utilize public roads for transportation needs. As part of our responsible business practices, we prioritize timely payments to appropriately compensate for our consumption levels, thereby ensuring the sustainability of these vital services.

Furthermore, we are committed to environmental conservation and sustainability. We adopt strategies aimed at minimizing the consumption of finite resources and conduct our business operations in alignment with environmentally responsible practices.

For more detailed information, please refer to the section on natural capital, available on pages 94.

Rs.3.8 Bn

Total Asset

Rs.60.7 Mn

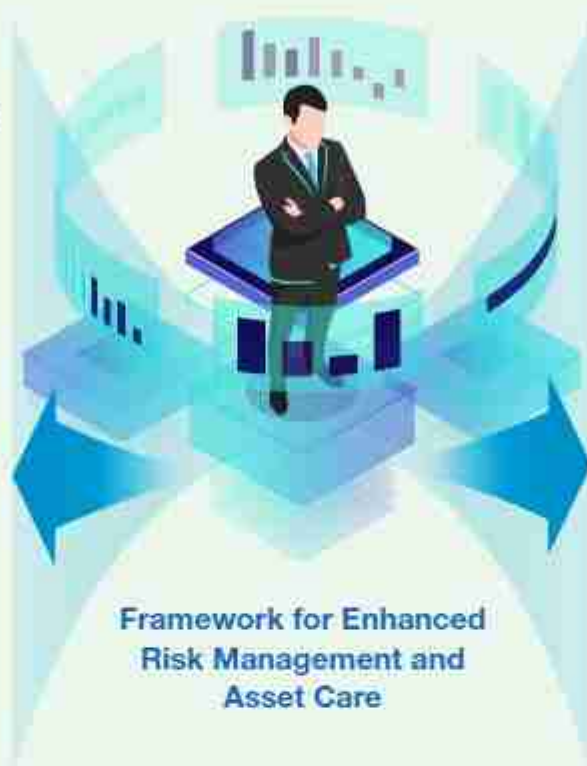
Total PPE

Rs.3.9 Mn

Investment In PPE During 2023



- 1. Up to Date Fixed Asset Register** - The dynamic fixed asset register is a critical component in maintaining the accuracy and completeness of the asset status record in real-time.
- 2. Strategic Capitalization Policy** - Developing a comprehensive policy that directs the judicious allocation of assets into capital, thereby encouraging prudent financial conduct.
- 3. Proactive Maintenance Blueprint** - Disclosing an all-encompassing strategy for continuous asset maintenance, which includes a replacement cycle that is strategically delineated to optimize operational effectiveness.



Framework for Enhanced Risk Management and Asset Care

- 4. Regular Asset Inspections** - Conducting routine inspections of our fixed assets to identify potential problems early on and resolve them to strengthen our risk mitigation strategies.
- 5. Restricted Access Protocol** - Implementing rigorous access controls to ensure that data integrity is protected and access to the company's Fixed Asset Register is limited to authorized personnel only.
- 6. Continuous Procedure Reviews** - Regularly assessing and improving our asset and management procedures, aligning them with the highest standards of the industry to maintain our commitment to operational excellence.



Elephant breeding is a fascinating and intricate process that involves complex behaviors and a unique reproductive cycle. Here are some rare and interesting aspects of elephant breeding that are not commonly known:

Elephants have one of the longest gestation periods of any mammal, lasting approximately 22 months.

This prolonged pregnancy allows for the extensive development of the calf, ensuring it is born relatively mature and capable of survival in the wild.

The mating process involves elaborate courtship behaviors. Males, known as bulls, will often follow a female, or cow, for several days, engaging in gentle nudging and trunk touches. This courtship helps establish a bond and readiness for mating.

Female elephants have a unique way of signaling their readiness to mate through a period called estrus. During this time, they release specific pheromones that can be detected by males from several miles away. Bulls use their highly developed sense of smell to track these pheromones and locate receptive females.

Male elephants undergo a periodic condition known as musth, characterized by heightened levels of testosterone and aggressive behavior. During musth, bulls become highly competitive and are more likely to

engage in fights to gain access to estrus females. This condition can last several weeks to months and plays a crucial role in the breeding hierarchy.

After birth, elephant calves are nurtured and protected by the entire herd. The communal care system, where multiple females assist in rearing the young, ensures the calf's safety and proper development. Calves are highly dependent on their mothers for the first few years of life, gradually becoming more independent as they grow.

Female elephants typically have an interbirth interval of 4 to 5 years. This spacing allows them to dedicate sufficient time and resources to the care and upbringing of each calf, ensuring its health and survival.

Elephants often migrate to specific areas known for their abundant resources during the breeding season. These migration patterns are remembered and followed through generations, highlighting the importance of memory in their reproductive success.



OUTLOOK

Short Term Goals

Number of Branches - 82

Gross Written Premium Per Branch - 50Mn.

Long Term Goals

Number of Branches - 200

Gross written premium per branch - 250Mn

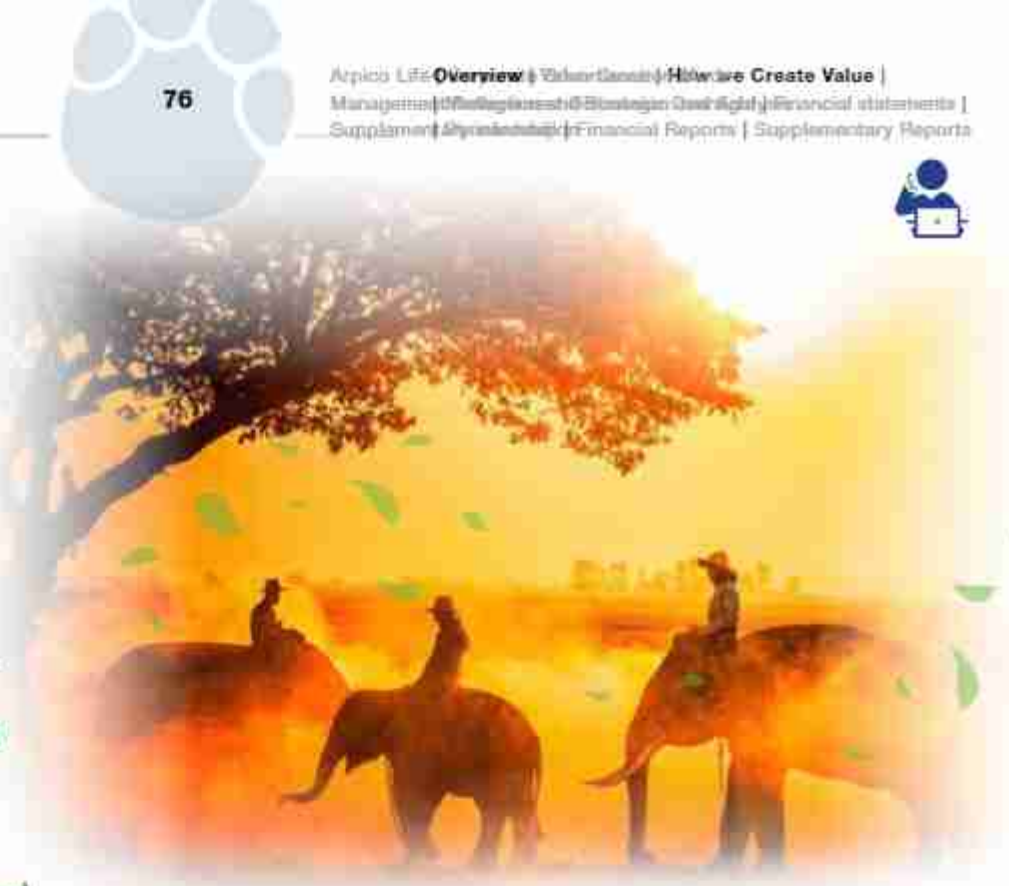
Looking ahead, our aim is to expand our presence across the island, striving for branch saturation and a larger market share. Concurrently, we will drive forward with innovative ICT advancements and digitalization initiatives. With a firm commitment to customer satisfaction, we will continuously enhance our operational systems, branch infrastructure, and online platforms to deliver an unparalleled user experience.



CAPITAL REPORTS

HUMAN CAPITAL

Arpico Insurance PLC values its employees as a crucial part of its success and growth. Our human capital represents the knowledge, skills, experience and abilities possessed by individuals. By developing and leveraging the talents and potential of our people, we continually seek to enhance productivity, employee engagement, and organizational effectiveness.



What includes our Human Capital

Arpico Insurance team comprised of 406 high performing employees who provide their expertise at various capacity to our value creation process.

How it create value

Their commitment, knowledge, experience and capabilities continued to steer the company to serve our customers better, forward and drive company growth.





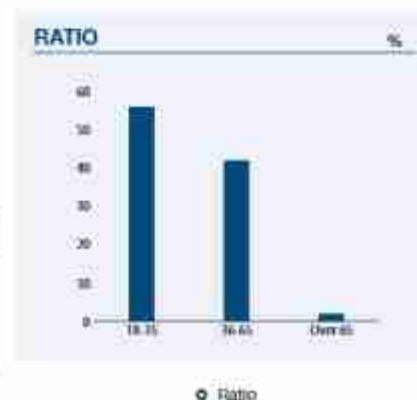
Our Team

Our Arpico Insurance team comprising of 406 high – performing and dedicated employees bringing a varied set of skills, expertise to our value creation process. We always encourage enhancing the management approaches to create a comfortable workplace aligning with the behavioral changes of internal and external environmental factors. Their commitment, professionalism and capabilities continued to steer the company forward and drive organizational growth.

Profile of new recruits

Recruitment By Age :

Age Category	Executive	Non Executive	Total	Ratio
18-35	21	88	109	56%
36-65	50	32	82	42%
Over 65	-	3	3	2%



HUMAN CAPITAL

Recruitment by Gender :

	2023		2022	
	Executive	Non Executive	Executive	Non Executive
Male	64	32	125	45
Female	7	91	36	81
Total	71	123	161	126

Recruitment by Grade :

Grade	Non Executive	Executive	Middle Management	Senior Management
2023	123	7	45	19

Recruitment by Grade



Training & Development

Training & Development are crucial aspects of fostering employee growth & enhancing skills within an organization. Training typically focuses on imparting specific skills or knowledge, while development aims to nurture overall professional growth and potential.

Training	For Whom	Training Duration	Approximate training hours in 2023
Sales Process	All Advisers / ULs / SMs / RMs / ZSMs / UWs	Full Day	200
ADP 01	All Advisers / ULs / SMs / RMs / ZSMs / UWs	Full Day	40
Product Re-fresher & Riders	All Advisers / ULs / SMs / RMs / ZSMs / UWs	02 Days	320
Induction 01	New Recruits	03 Days	360
Skill-shaping Training	All Advisers / ULs / SMs / RMs / ZSMs / UWs	Full day	30
Daily activities	All Advisers / ULs / SMs / RMs / ZSMs / UWs	Full Day	30
Way to MDRT	Selected Advisers / ULs / RMs & ZSMs	Full Day	25
Leadership Development	ULs / SMs / RMs / ZSMs	Full Day	80
SMs & RMs Job Role	SMs / RMs / ZSMs	Full Day	30
Health Care (CEO)	All Advisers / ULs / SMs / RMs / ZSMs / UWs	02 Days	120
Recruitment Skills Development	ULs / SMs / RMs / ZSMs	Full Day	40
Orientation for New recruitments	New Recruits	Half Day	60
Moderators development 01	Training Moderators	Full Day	25

1360 Hours

Rewards and Recognition

Our remuneration policy is crucial for motivation and productivity. Its aim to recognize, rewards and retain high-performing employees thereby nurturing a performance driven culture. As they contribute to enhancing employee satisfaction, engagement, performance and loyalty. We believe that the achievements of employees reflect the leadership capabilities of their supervisors and Department Heads.

Employee Recognition Programme

As we gather for our annual Employee Recognition Ceremony, it's a momentous occasion to celebrate the outstanding contributions and unwavering dedication of our exceptional team members. In total of 117 employees entitled to received promotions and increments in the Employee recognition 2023. We take pride in recognizing the achievements and milestones achieved by our team members over past years.



Promotion ladder of the whole year

Promotion ladder	Assistant	Officer	Executive	Senior Executive	Assistant Manager	Deputy Manager	Manager	Senior Manager	Assistant General Manager	Deputy General Manager	General Manager
Executive	-	-	12	14	8	-	20	16	4	1	-
Non-Executive	159	-	-	-	-	-	-	-	-	-	-

MDRT Programme 2023

During the year, our sales force received commendations for their dedication and passion for excellence in business achievements.

- In 2023, an agent of Mr. U M N D Udagedara from Head office emerged as the year's first TOT achiever.
- Altogether there were 12 MDRT achievers during 2023

work environment, providing growth opportunities and recognizing employee contribution are effective strategies for talent retention, ultimately impacting overall company success.

Employee Turnover 2023



Key Performance Indicators

We have set in place relevant indicators (KPIs) measurable metrics that organization use to evaluate their success in achieving specific objectives. KPIs provide insight into the performance of various aspects

of a business, helping leaders make informed decisions. KPIs is essential for monitoring progress toward organizational goals and ensuring that strategies align with desired outcomes. Subsequently the department level and employee level KPIs and action points are cascaded down under the guidance of the CEO.



HUMAN CAPITAL

Unfolding Arpico Insurance Employee profile

Workforce by type of employment

Employees:	2023			2022		
	Executive	Non Executive	Total	Executive	Non Executive	Total
Total	193	213	406	310	158	468
Permanent	139	102	241	230	44	274
Contract-basis	10	57	67	17	44	61
On-probation	44	54	98	63	70	133
Management trainees	-	-	-	-	-	-
Other trainees	-	-	-	-	-	-

Employees based on Gender

Gender	2023			2022		
	Executive	Non Executive	Total	Executive	Non Executive	Total
Female	37	124	161	70	136	206
Male	112	35	147	212	50	262
Gender parity ratio	Not included probationers		308			468

Employees based on employment category

Job Category	2023		Total	2022
	Executive	Non-Executive		
Non Sales	62	85	147	124
Sales	87	74	161	354

Employees based on age

Employee Age	2023		Total	2022
	Executive	Non Executive		
18-25	10	45	55	149
26-35	53	48	101	165
36-50	73	32	105	110
51-65	13	28	41	48
65 and above	0	6	6	6

REMUNERATION AND BENEFITS

The duties employees undertake are recognized with fair remuneration and benefits – without discrimination between those of the same pay grades. Our salaries are on par with industry standards and complemented by medical benefits and allowances. Moreover, annual increments are offered to employees with demonstrated performance.

Rs. 679 Mn. in employee remuneration and benefits

The following aspects also fall under the purview of Group HRM.

- Compliance with Labour Laws – Group HR ensures that we comply with all labour regulations, in addition to ensuring no underage recruitments, as well as compliance to timely statutory payments for employees (ETF, EPF and salaries).
- Non-Discrimination – A zero-tolerance stance is taken against any gender-based discriminations or violations of rights of employees. Policies are in place to manage such circumstances and in taking remedial action in resolving matters.
- Employee Health and Safety – Employees are provided with medical reimbursements.

Non-Monetary Benefits provided to employees

- Free health cover
- Reimbursement of medical expenses
- Education Loan
- Professional Subscriptions
- Phone Allowance
- Internet Allowance
- Travel/Vehicle Allowance
- Fuel Allowance



Fair and Other benefit

Induction programme – Sasakwa

Arpico Insurance 11th Anniversary

In an effort to recognize and celebrate the hard work and dedication of our employees Arpico insurance PLC recently hosted a spectacular rewards programme. Arpico insurance 11th anniversary reward programme not only individual achievement. We highlighted the memorable moments and achievement from this remarkable event.

- Long service appreciation award for employees who completed 5 years of service – 69 recipients.
- Long service appreciation award for employees who completed 10 years of service – 05 recipients.

Christmas Carroll

Year End Party

Management Approach

The Company approaches human Capital management with a strategic and holistic perspective. Our human capital is the backbone of our organization, and investing in its development is essential for staying competitive in the dynamic business landscapes. Our human development strategy is primarily focused on strengthening the mutually advantageous relationship between the company and its employees. The Human Resource Management Implement regular training programs to enhance employees' skills and keep them updated with industry trends to contribute to the overall growth of the company.

HR Policies

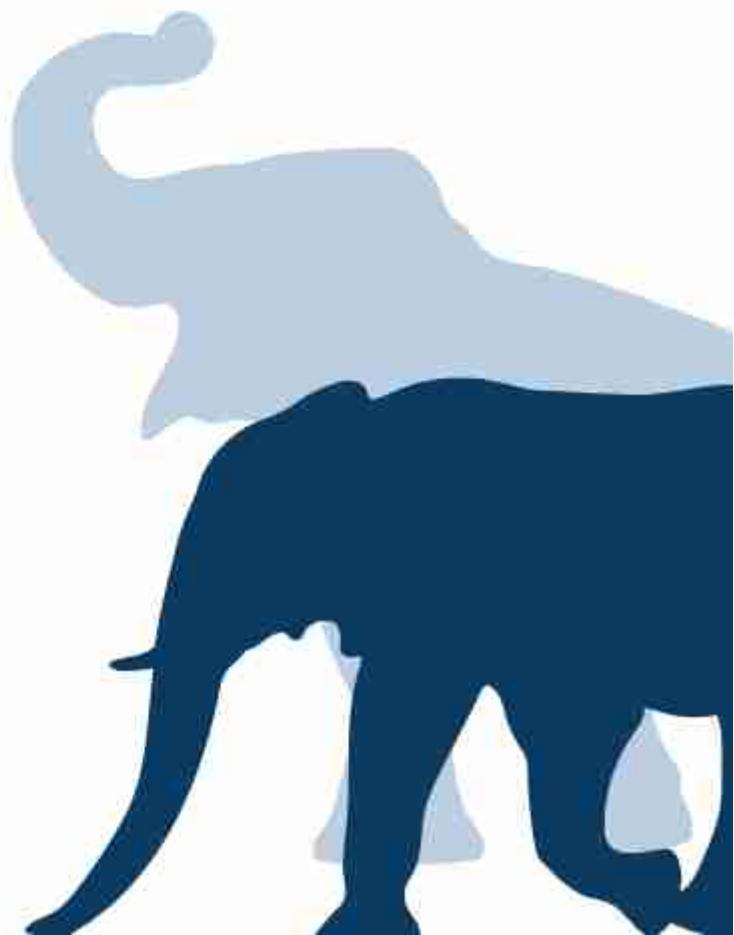
- Recruitment policy
- Remuneration Policy
- Staff Training policy
- Key performance indicator
- Staff Health policy
- Dress code policy
- Staff attendance & Leave policy
- Rules & governance of working hours & Overtime
- Disciplinary policy



OUTLOOK

Arpico Insurance seeks to implement a work environment grounded on ethical behavior, transparency, and employee well-being. We will maintain our focus

on nurturing and developing a strong and ethical workforce able to contribute to the company's goals. Some potential trends might include increased adoption of remote work, greater emphasis on diversity, equity, and inclusion initiatives, the integration of automation in HR process and a focus on employee well-being and mental health support.





CAPITAL REPORTS

SOCIAL AND RELATIONSHIP CAPITAL

In today's interconnected world, success is not solely determined by financial performance or technological innovation. Rather, it is increasingly influenced by the strength and depth of our social connections and thus, our commitment to nurturing relationships remained unwavering through the year.



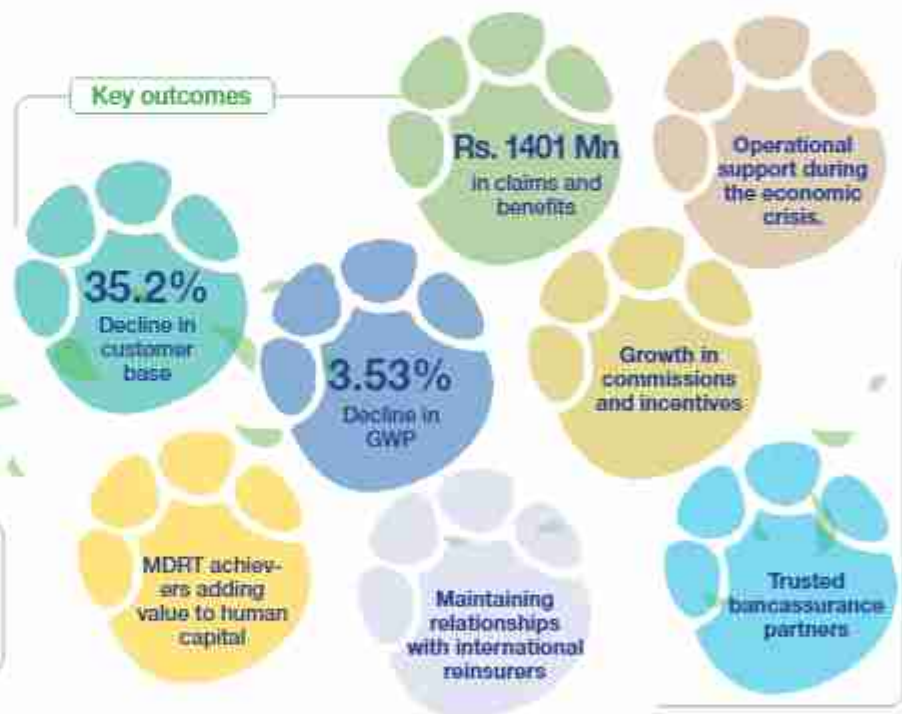
How social and relationship capital supports our value creation goals

Social capital is about creating value—value for our employees, value for our customers, and value for society as a whole. By leveraging the power of social connections, we enhance our ability to anticipate and respond to evolving needs, drive sustainable growth, and make a positive impact in the world.

Link to SDGs



Key outcomes



CREATING VALUE FOR CUSTOMERS

At Apico Insurance, customer satisfaction is paramount. Our engagement initiatives promote financial literacy and risk awareness, while tailored offerings serve underserved communities. Our swift issue resolution and transparent grievance mechanisms build trust. With a commitment to continuous improvement, we provide innovative solutions to meet evolving needs. Trust us as your reliable partner in your financial journey.



Product Portfolio

Built on the concept of 'Insurance for Life', our array of insurance offerings reaches far beyond life insurance alone. It covers a spectrum of insurance products designed to assist during pivotal life events, including health crises, educational needs, and ensuring financial stability through investment and retirement plans.

- | | |
|------------------------------|------------------------------------|
| • Arpico Endowment Plan | • Arpico Decreasing Term Assurance |
| • Arpico Relief Plan | • Arpico Investment Plus |
| • Arpico Term Assurance Plan | • Arpico Investment Plan |
| • Arpico School Fees Plan | |
| • Arpico Investment Bond | |
| • Arpico Group Life Policy | |
| • Arpico Retirement Plan | |
| • Arpico Healthcare Plan | |
| • Arpico Diabcare Plan | |
| • Arpico Trust Plan | |

Expanding our Reach

Expanding our reach through physical and digital channels is pivotal for Arpico Insurance's growth. Our strategy focuses on enhancing accessibility and connectivity, ensuring our solutions and services reach a broader audience. Our touchpoints serve as vital connections, enabling us to engage effectively with a diverse customer base.

Branches Province-Wise

Province	2023
Central	8
Eastern	8
North central	5
North western	4
Northern	6
Sabaranagamuwa	6
Southern	9
Uva	6
Western	17

TOUCHPOINTS



Branch Network – Retail Footprint

Our branches serve as crucial channels, not only providing direct customer services, but also playing an integral role in cultivating meaningful and personalized relationships with our customers across our entire scope.

To reach thousands of customers throughout the island with insurance solutions, we operate via a branch network comprising 69 offices spread across all provinces.

Digital Interactions

Arpico Insurance's online media outreach is powered by our active presence on Facebook, LinkedIn, and our corporate website, serving as digital avenues for engaging with customers across Sri Lanka. These platforms provide convenient access to information, assistance, and updates, ensuring our valued customers stay connected with us wherever they are.



SOCIAL AND RELATIONSHIP CAPITAL

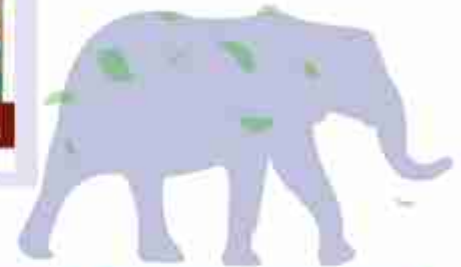
Facebook as a powerful tool for promoting awareness:

- On World Oceans Day, we promoted awareness of the oceans' critical importance and their part in maintaining a healthy planet.
- Raised public awareness of issues linked to population growth on World Population Day
- Educated our audience on various health matters; from psychological well-being to non-communicable diseases.



Safeguarding Customer Interests

At Arpico Insurance PLC, we take ownership of product designs and policy formulations, ensuring adherence to regulations. The following measures are implemented to ensure accountability when introducing coverage to the market.



The following steps are taken to ensure accountability in introducing covers to the market.

INTERNAL APPROVAL

Upon creation of new policies, approval is sought from the Board of Directors.

This enables a conscious, independent evaluation of benefits offered and its positive and negative impacts on customers.

EXTERNAL EVALUATION AND APPROVAL

approval of IRCSL is sought prior to product launch.

Any suggested revisions made and re-submitted for approval.

LAUNCH

A launch event held with participation of media and public.

RESPONSIBLE COMMUNICATIONS

Clients are informed of all related policy aspects, benefits and premium requirements in a clear and comprehensive manner, prior to formulating policies.

REGULATORY MANDATE

Arpico Insurance PLC is subject to the IRCSL's laws and regulations and complies with all of its directives.

ACCESS TO INFORMATION

Customers seeking product information have multiple options available:

- Website:** Offers comprehensive product overviews, branch details, relevant applications, and financial documentation for shareholders.
- Branches:** Provide easy access to product information and communication materials.
- Inquiries:** Our 24-hour call center can be contacted at 011-2-200-800 for any inquiries. Additionally, customers can reach out to us through our Facebook page or via email to address queries and concerns.

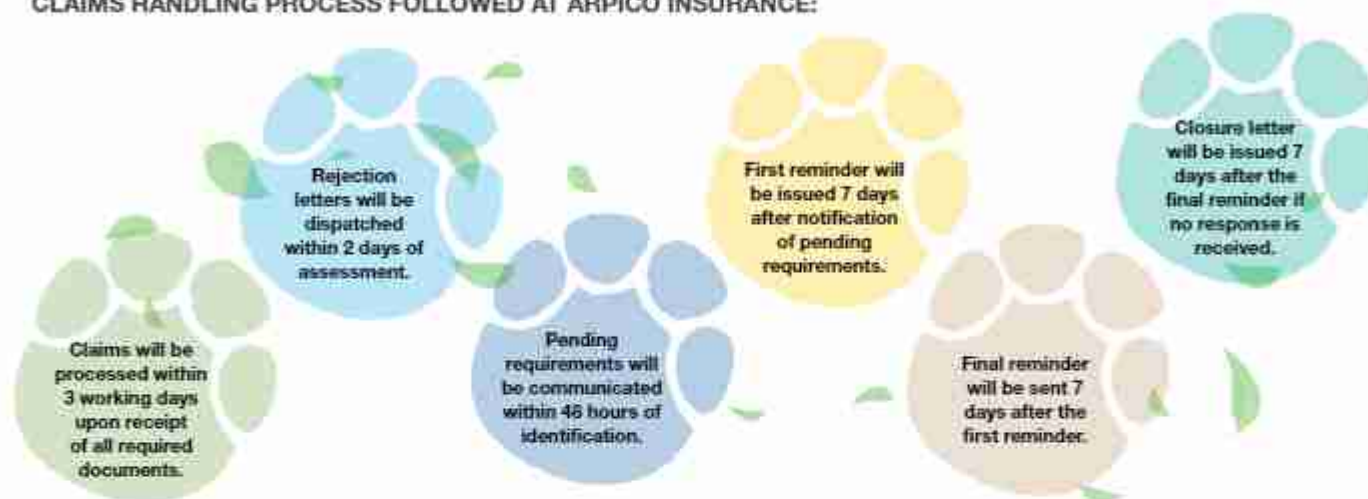
STRENGTHENING DATA AND NETWORK SECURITY

We prioritize digitization and technological developments through online payments, but we also make sure that all security precautions are taken to ensure customer online safety.

Claims Management

At Arpico Insurance, we recognize the critical importance of insurance claim management in safeguarding our policyholders. We adopt a prudent approach to efficiently manage and settle claims, continuously striving to enhance turnaround times. Our ongoing investments in digital transformations are expected to significantly improve effectiveness, with ample room for further enhancements.

CLAIMS HANDLING PROCESS FOLLOWED AT ARPICO INSURANCE:



Service Standards

Turnaround times

For our most crucial operations, we adhere to a set of service standards that mandate continuous improvement in our efficiency to deliver the highest quality service.

SERVICE TURNAROUND TIMES

Time taken for underwriting decisions -Non Medical	8 Min
Time taken for underwriting decisions -Medical	25 Min
Time to formulate policies and reach customers	6 Working Days
Average time to resolve queries	30 Min
Claims settlement average time	2 Days

Policy Conservation Unit

In 2023, our Policy Conservation Unit ensured the continuity of policies despite changes in agents and advisors. This unit was tasked with informing policyholders of necessary adjustments while maintaining uninterrupted customer service.

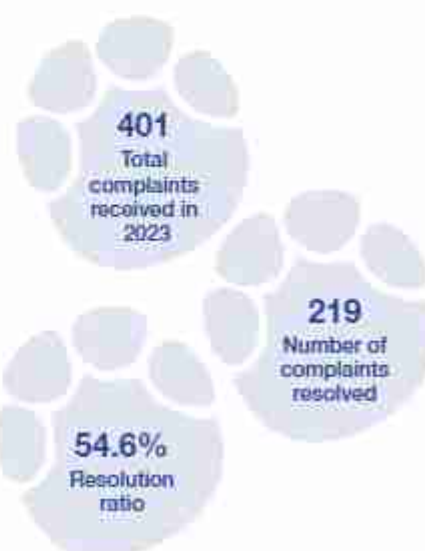
Branding and Promotions

Throughout the year, we conducted various brand-building exercises aimed at enhancing product and brand awareness among the public and media. A total of Rs. 86.8 million was allocated to these activities.

Complaint Management

Effective complaint management is crucial for both customer satisfaction and business success. It serves as a valuable means of gathering customer feedback and driving continuous improvement, leading to reduced costs, increased profitability, and enhanced customer satisfaction.

Our complaint management system is integral to resolving issues raised by both individual and corporate policyholders.



SOCIAL AND RELATIONSHIP CAPITAL

STRENGTHENING RELATIONSHIPS WITH AGENTS

Our priority is to establish successful working relationships with our agents so they can introduce clients from all over Sri Lanka to our services.



Training and Development

Our agents and advisors are a significant part of what defines our growth. Fueling their knowledge and professional drive, we carried out several programs for training and development.

Recruitment

Our sales team was joined by 1923 new Agents, growing as a force in numbers, in competence and in experience

Agents	2023	2022	Change
Total Agents	1923	2372	(18%)

BUSINESS PARTNERS THAT PROPEL SUCCESS

Our business partners are substantially vital for our process of value creation. They are not only partners in business but are also representatives of our overall business outlook and enablers of strategic objectives.

Reinsurers

We have collaborated with reinsurance firms in order to manage and diversify risk to minimize volatility. Our reinsurance partners are chosen for their prominence in the global insurance market, as evidenced by their rating and excellent liquidity. We collaborate with reinsurers rated "A" or higher. Ratings for reinsurers are continuously reviewed.

We work with two esteemed international reinsurers; namely Munich Re and Hannover Re.

Munich RE

Munich Re – Originated in German, Munich Re is one of the top providers of reinsurance, primary insurance, and insurance-related risk solutions in the world with a history of over 143 years. Taking on risks worldwide of every type and complexity, the Munich Re Group

and its business units are active in all lines of insurance. We have partnered with Munich Re for both individual and group policies.

Fitch Ratings has affirmed Munich Re and its core subsidiaries Ratings at 'AA'. The affirmation reflects Munich Re's 'Most Favourable' company profile within the global reinsurance sector, 'Very Strong' capitalisation and 'Strong' financial performance.

In addition, AM Best has affirmed the Financial Strength Rating of A+ for Munich Re. The ratings reflect Munich Re's balance sheet strength, which AM Best assesses as strongest, as well as its strong operating performance, very favourable business profile and very strong enterprise risk management.

hannover re

Hannover Re – Established in 1966, Hannover Re. is the third-largest reinsurer in the world. It transacts all lines of property & casualty and life & health reinsurance and is present on all continents. Hannover Re has grown into a global player within about 50 years, successfully dealing with risks and making the most of its opportunities. Services from Hannover Re are used in certain, special circumstances.

Fitch Ratings has affirmed Hannover Re Ratings at 'AA-'. The affirmation reflects Hannover Re's 'Favourable' company profile within the global reinsurance sector, and 'Very Strong' capitalisation and financial performance.

In addition, according to A.M. Best, the company is rated as A+ with a stable outlook.

Claims ceded to Reinsurers

During the year, claims ceded to reinsurers increased/decreased.

Claims Ceded	2023	2022
Hospitalisation	402.4	102.6
Death	202.7	18.4

Suppliers

Vendors and other service providers are important partners who guarantee the smooth and efficient functioning of our business.

What our suppliers offer



Relationship with Suppliers

Selection – Is conducted through a gradual process, adhering to internal protocols. Moreover, we ensure their adherence to ethical conduct, transparency and reliability – attributes which are imperative for sound relations.



Engagement

– Supplier engagement is done regularly through meetings, discussions and digital communication means

Mutually rewarding partnerships

– We strive to respect contractual obligations, while maintaining pricing policies that are in line with internal group policies. Moreover, our business continuity plan ensures contingencies for unexpected circumstances.

Outcomes of Value Created

Initiatives	2023	2022
Customers		
Total Policies	10,934	16,890
New Rider covers	1	5
New Branches	0	5
Total Branches	69	73
Investments on new Branches (Rs.)	0 Mn.	26.4 Mn.
Agents		
Total team force	1923	2372
Commissions and incentives (Rs. Mn.)	624 Mn.	630 Mn.
Training programs (No.)	271	234
GWP (Rs. Mn.)	2236 Mn.	2,318 Mn.
MDRT Qualified (No.)	14	18
Reinsurers		
Munich Re (A.M. Best rating)	A+	A+
Hannover Re (A.M. Best rating)	A+	A+
Expense paid (Rs.)	37 Mn.	32 Mn.
Claim Recoveries (Mn)	54	57

SOCIAL AND RELATIONSHIP CAPITAL

BUILDING STRONGER COMMUNITIES

As a insurance company, Arpico Insurance understands the importance of community upliftment initiatives and is committed to making a positive impact in the areas we serve. Here are some details of our tailored community upliftment initiatives.



Education Support Programs:

- Scholarship Programs.
- School Supplies Drives.
- Tuition Assistance.

Healthcare Outreach Initiatives:

- Health Camps.
- Health Education Workshops.
- Medicine Assistance Programs.

Environmental Conservation Projects:

- Community Clean-up Events.
- Tree Planting Campaigns.
- Waste Management Awareness.

Small Business Development Support:

- Microenterprise Training.
- Small Business Grants.
- Market Access Support.

Disaster Relief and Preparedness:

- Disaster Preparedness Training.
- Emergency Response Fund.

Through these community upliftment initiatives, Arpico Insurance demonstrates its commitment to social responsibility and making a positive difference in the

lives of individuals and communities. By working closely with local stakeholders and leveraging our resources, we strive to create a more resilient, inclusive, and prosperous community for all.

Elephants are not only known for their impressive size and intelligence but also for their intricate social structures and behaviors, which are among the most complex in the animal kingdom. Here are some remarkable and lesser-known aspects of the elephant's social life:

Elephant herds are led by a matriarch, usually the oldest and most experienced female. She plays a crucial role in guiding the herd, making decisions on where to travel, when to rest, and how to react to threats. The matriarch's wisdom, gained through years of experience, is invaluable for the survival of the herd.

Elephants form tight-knit family groups that consist of mothers, their offspring, and other related females. These bonds are maintained through constant touch, vocalizations, and coordinated movements. Calves are nurtured by the entire herd, with aunts and older siblings playing significant roles in their upbringing.

Allomothering, or "allo-parenting," is a practice where other females in the herd help care for and protect the calves. This behavior not only ensures the safety and well-being of the young but also allows inexperienced females to learn mothering skills, preparing them for their future roles.

Elephants exhibit a wide range of emotions, from joy and playfulness to grief and sorrow. They have been observed comforting distressed individuals, demonstrating empathy by touching and caressing them. When a member of the herd dies, elephants have been seen engaging in mourning behaviors, such as standing vigil over the body and covering it with leaves and branches.

Elephants communicate through a sophisticated system of vocalizations, body language, and even seismic signals. They produce low-frequency rumbles that can travel long distances, allowing them to stay in contact with herd members who are far away. These vocalizations convey a wide array of messages, from mating calls to warnings of danger.

Elephants exhibit ritualistic behaviors that demonstrate their cognitive and cultural complexity. For example, they engage in "greeting ceremonies" when reuniting after a separation, which involves a



series of coordinated trunk touches, vocalizations, and ear flapping. These rituals reinforce social bonds and hierarchy within the group.

Elephants are capable of social learning, where they acquire knowledge and skills by observing and mimicking others. This includes learning migration routes, waterhole locations, and survival tactics. Such cultural transmission ensures that critical knowledge is passed down through generations, enhancing the herd's resilience and adaptability.

Elephants have been known to form alliances with other species, demonstrating their ability to engage in complex social interactions beyond their own kind. For instance, they have been observed working together with birds like oxpeckers to remove ticks from their skin. These interactions highlight their cooperative nature and understanding of mutual benefit.

Elephants are capable of altruistic acts, often going out of their way to assist other animals, including humans. There are documented instances of elephants rescuing animals trapped in mud or water and even guiding lost humans to safety. This behavior underscores their compassionate nature and advanced cognitive ability.

Play is an essential part of elephant social life, particularly among juveniles. They engage in games such as mock fighting, trunk wrestling, and chasing each other. These activities are not only crucial for physical development but also for learning social cues and strengthening bonds within the herd.



OUTLOOK

Arpico Insurance remains committed to nurturing relationships with our customers, business partners, and the

broader community. We will continue to actively engage and intervene in ways that are meaningful and responsive to their evolving needs. By staying involved and adaptable, we aim to maintain our relevance and effectively serve all stakeholders in the dynamic landscape ahead.

CAPITAL REPORTS INTELLECTUAL CAPITAL

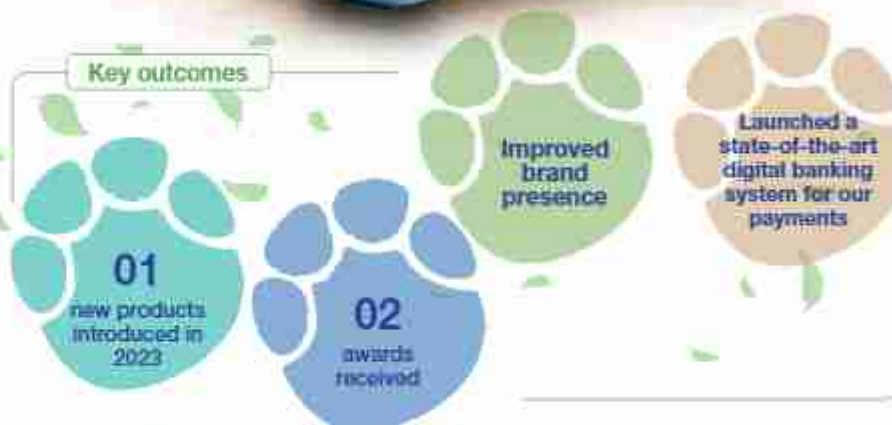
As we strive for excellence, Arpico Insurance PLC recognizes the essential contribution of Intellectual Capital in driving our achievements and maintaining our competitive edge. Intellectual Capital encompasses the intangible assets stemming from the combined expertise, skills, networks, and innovative capacities within our company, forming a fundamental aspect of our corporate value.

How intellectual capital supports our value creation goals

Intellectual capital fuels innovation and creativity within our organization, driving the development of new products, services, and solutions that meet evolving customer needs and market demands. By leveraging the knowledge, expertise, and ideas of our employees, we can generate unique value propositions and maintain a competitive edge in the marketplace.



Key outcomes



Link to SDGs



Employee Knowledge

In the ever-evolving landscape of Arpico Insurance PLC's operations, our success is deeply rooted in the collective Knowledge, Skills, and Experience of our dedicated team. This trio forms the bedrock of our organizational capabilities, enabling us to navigate challenges, seize opportunities, and drive innovation.

Our team of 1835 professionals brings with them extensive industry experience spanning various disciplines, which collectively provides a significant competitive advantage for the growth of our company. Their combined organizational and individual knowledge forms a valuable asset that propels us forward.

INPUT

- Productive Workforce
- Computer Software Systems (Structural Capital)
- Customer Relationships (Relational Capital)
- Reduction of system down times

VALUE TRANSFORMATION

- Training and Motivation
- New machinery and Systems
- Educating and facilitating
- Increased MDRTs

OUTCOME

- Dedicated and Capable work force
- Improved Information systems
- Enhanced customer relationships
- Enhanced training time and quality

INTELLECTUAL CAPITAL

Department	MBA	Graduate	Undergraduate	Professional Qualifications	Other	Diploma	Total Employees
Finance	2	7	5	1	2		16
Actuarial & Investment		4	1				5
LIFE	1	2	5	8	11	4	31
IT		3				5	8
Marketing	1	1					3
Administration			1			2	3
Sales Administration		1	2		3	4	10
Call center		2	1	1		2	12
Training		2				2	4
Total	4	22	15	10	16	19	92

Maintaining Tacit Knowledge

In nurturing tacit knowledge, the management conducted several programs in 2023, totaling 1,360 hours of training.

Training Programs

- Orientation Program
- Sales Process program
- Change the gear on right time
- Unit Leaders Development program
- Induction Program
- Arpico Health Care training program
- Moderators Development Program
- Way to MDRT
- Daily Activities and Report Maintaining program
- Best Practices
- Skill Shaping Training program
- Meeting culture and monitoring



Skill Shaping Training program



Way to MDRT training program



Change the gear on right time training program

Processes and Innovations

Our dedication to excellence extends not only to individuals but also to the systems, processes, and proprietary technologies that constitute our Intellectual Capital. From state-of-the-art software solutions to resilient internal processes, we harness our Intellectual Capital to optimize operations, improve efficiency, and foster innovation. This framework serves as a foundation for continuous growth and positions us as pioneers in industry advancements.

Moreover, the integration of digital banking technologies represents more than just a procedural shift; it represents a strategic investment in our intellectual capital. By embracing digital innovation, we cultivate a culture of continuous learning, innovation, and adaptability within our organization. This positions us to thrive in the fast-paced digital landscape, ensuring sustained success amidst ongoing technological advancements.

Digital Banking System

In 2023, we implemented a state-of-the-art Digital Banking system for our Payments, marking a significant step towards modernization.

Real-time payments, a key feature of this system, offer the unparalleled advantage of instantaneous fund transfers. Customers can send and receive money within seconds, bypassing the delays often associated with traditional banking processes.

This transition to digital banking brings mutual benefits, as it addresses common challenges encountered with paper-based transactions. By reducing reliance on paper, we not only mitigate operational issues but also cut down on paper consumption, consequently lowering our stationary costs.

Automated Fund Calculation System (AIP)

The Automated Fund Calculation System (AIP) represents a transformative solution designed to streamline fund balance calculations, thereby minimizing the time and resources typically allocated to manual procedures. By harnessing innovative technology, this system not only expedites processes but also enhances accuracy and transparency in fund-related operations.

Brand Building

Arpico Insurance PLC stands as a distinguished and esteemed entity within Sri Lanka's insurance sector. As a subsidiary of the esteemed Richard Peiris group of companies, the company enjoys a significant advantage in garnering customer trust and confidence. Renowned for its unwavering commitment to integrity, compassion, and professionalism, Arpico Insurance has carved out a reputation as a pioneering brand.

Throughout the year, Arpico Insurance PLC allocated Rs. 7.6 million towards bolstering its brand presence. Through various strategic initiatives aimed at brand building, we undertook a series of activities that added significant value to our brand identity and reputation.

Social Media Activities



Branch-level activations



INTELLECTUAL CAPITAL

Advertising and PR communications



Events



Erubadu wessanthaya 2024 (tattle draw)

Awards won by Arpico insurance PLC

- CA Sri Lanka TAGS annual report award 2022 - bronze award insurance sector (gross premium up to 10Bn)
- Best Risk Management Strategy of the Year 2021 - Indian Chamber of Commerce Emerging Asia Insurance Awards 2021
- Certificate of Appreciation for Outstanding Performance in the Life Insurance Industry of Sri Lanka - Indian Chamber of Commerce Emerging Asia Insurance Awards 2021
- Best Sri Lankan Life Insurance Company for Innovation - 2020
- Risk Management Strategy of the year - 2019
- Most trusted life insurance brand in Sri Lanka - 2019
- Most successful life insurance company in Sri Lanka - 2018
- Fastest growing life insurance company in Sri Lanka - 2017 & 2018



Awards won during the period 2023

- CA Sri Lanka TAGS annual report award 2023 - bronze award insurance sector (gross premium up to 10Bn)
- ICC Special Award Best Strategies for Insurance Spreading - Sri Lanka 4th Emerging Asia Insurance Conclave & Awards 2023

Unique Features of an Elephant's Brain

Elephants are the largest mammals in the animal kingdom possessing high levels of cognitive skills.

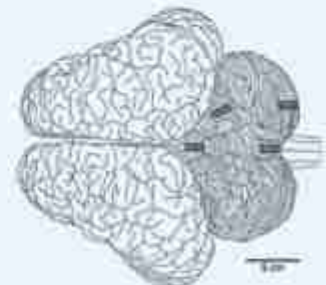
Weighing more than 5 kg the elephant's brain is twice heavier than a human brain and continues to grow in size during its lifetime. Elephants are not only known for their impressive size and intelligence but also for their intricate social structures and behaviors, which are among the most complex in the animal kingdom.

Elephants possess unique skills as follows:

- The elephant's cerebral cortex responsible for memory, thoughts and consciousness enables complex problem solving skills.
- With remarkable memory power the elephant's hippocampus, (i.e. brain region associated with emotion and spatial awareness) is highly

developed, allowing them to remember locations and routes to water sources across distances.

- Elephants exhibit due to their cognitive and cultural complexity display rhiasitic behaviour such as "greeting ceremonies" when reuniting after a separation with a series of coordinated trunk touches, vocalizations, and ear flapping.
- Elephants are capable of social learning, acquiring knowledge and skills by observing and mimicking others such as migration routes, waterhole locations and survival tactics. Such cultural transmission ensures that critical knowledge is passed down through generations, enhancing the herd's resilience and adaptability.
- Led by a matriarch, the oldest and most experienced female elephants display strong family bonds through constant touch, vocalizations, and coordinated movements.



- Exhibiting a wide range of emotions, from joy and playfulness to grief and sorrow elephants demonstrate feelings.
- By vocalizations, body language and even seismic signals elephants produce low-frequency rumbles to communicate.



OUTLOOK

- Work is underway to launch the of an E-Proposal System as a significant development in our ongoing commitment to innovation and service enhancement.
- Introduction of a new pension plan tailored to meet the evolving needs of our clients.
- Move to an automated underwriting system and introduce new claim process through strategic and well-planned transition.
- Throughout the past year, we have meticulously assessed market trends, identified emerging opportunities, and conducted in-depth analyses to inform our growth strategy. As a result, we are confident that expanding into new sectors will align seamlessly with our organizational objectives and enhance our overall market presence.
- Expansion of our MDRT (Million Dollar Round Table) achievers.

CAPITAL REPORTS

NATURAL CAPITAL

At Arpico Insurance PLC, we are deeply committed to nurturing and preserving our natural environment. With an ever-growing focus on sustainability, we conscientiously strive to minimize our ecological footprint and conserve precious natural resources.

How natural capital supports our value creation goals

We are conscious of the impact we have on the environment and continue to be mindful and responsible for our consumption needs as a business organisation. We remain committed towards reducing our carbon footprint by adopting sustainable business practices that encourage the responsible consumption of resources across all spheres of the organisation.

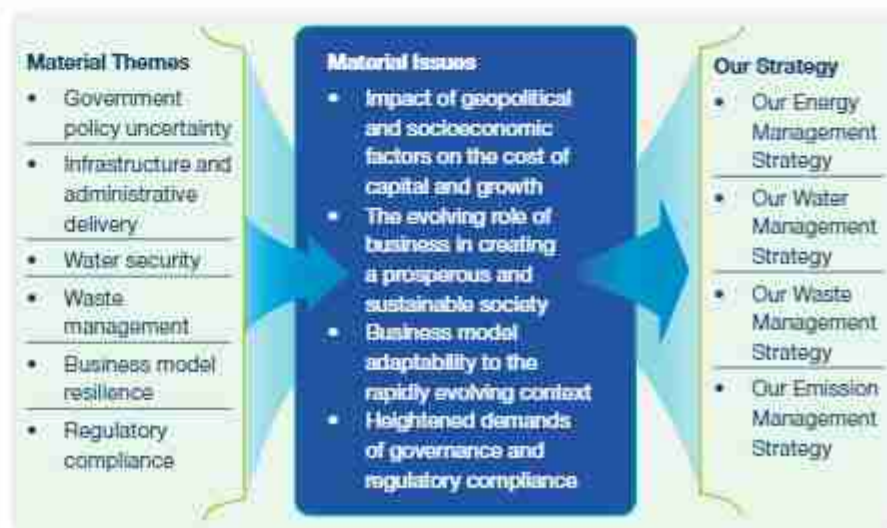
Our Approach

At Arpico Insurance PLC, we recognize the importance of fostering a positive impact on our natural capital. Our dedicated approach entails a comprehensive strategy for identifying, managing, and assessing progress across key environmental focus areas. Anchored by our ESG strategy, we implement individual policies, strategies, and accountability frameworks tailored to each focus area. Proactively addressing climate risks and opportunities, we commit to continuous improvement. As advocates for responsible environmental stewardship, we aspire to excel in measurable impact, solidifying our commitment to harmonising corporate success with ecological sustainability.



Materiality

By conducting a materiality determination process, we have identified the following issues as significant to our natural capital. Each of these issues is categorized under an appropriate materiality theme.





Energy Management Strategy

At Arpico Insurance PLC, our energy strategy revolves around embracing alternative and renewable energy sources while emphasising reduced consumption, especially in energy-intensive areas. We continuously seek opportunities to enhance energy efficiency, ensuring minimal overall consumption across our operations.

Total energy consumption
3,128 GJ

Total energy saving
579 GJ

Energy consumption per branch
48 GJ

INPUT

Global warming highlights: rising global temperatures, shifting precipitation patterns, and potential ecosystem impacts, and intense heatwaves.

Energy efficient research findings:

HVAC systems for energy savings and comfort optimization, advancements in energy-efficient lighting technologies for sustainable workplaces.

Resource utilization data base of company: energy consumption records, waste generation data, water usage records

PROCESS

Energy Investigations and Assessments:

- Conduct regular energy investigations to identify areas of high energy consumption and potential efficiency improvements.
- Analyze historical energy usage data to track patterns and identify opportunities for optimization.

Energy-Efficient Equipment and Appliances:

- Upgrade to energy-efficient lighting systems, including LED bulbs, and install energy-efficient appliances and machinery.

Renewable Energy Adoption:

- Invest in renewable energy sources, such as solar panels

Remote Work and Virtual Meetings:

- Encourage remote work options to reduce energy consumption related to office facilities.
- Promote virtual meetings to minimize the need for employee travel and associated energy usage.

Employee Engagement:

- Involve employees in energy-saving initiatives through incentive programs and recognition for their contributions.
- Encourage employees to report energy-related issues and suggest improvement ideas.

OUTPUT

For the company:

Reduced Energy Consumption, Increased Use of Renewable Energy, Enhanced Operational Efficiency, Positive Environmental Impact

For the society and Employees:

Promotion of Sustainable Work Practices, Employee Engagement and Recognition, Healthier Work Environment, Community and Stakeholder Alignment

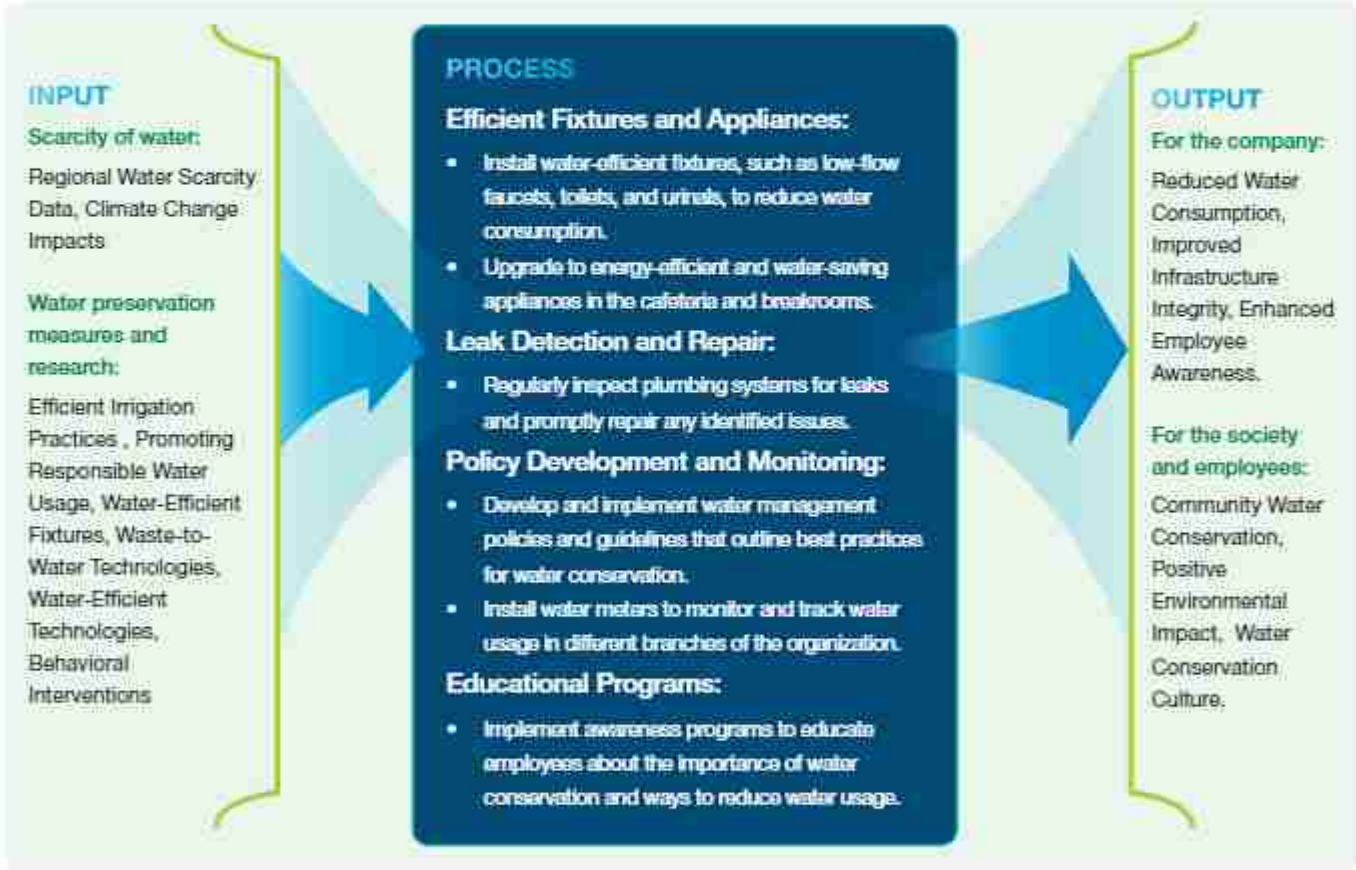
NATURAL CAPITAL



Water Management Strategy

At Arpico Insurance PLC, our water management strategy is both dynamic and comprehensive, spanning our entire branch network. Through informative campaigns in lunchrooms and washrooms, we cultivate a culture of water conservation among our workforce. Additionally, we have appointed a dedicated maintenance officer to oversee preventive work, repairs, and prompt action to minimize water wastage. This integrated approach underscores our commitment to sustainable water management practices.

Total water consumption	Water consumption per person	Water consumption per branch
30,103 m ³	17m ³	463 m ³



Waste Management Strategy

At Arpico Insurance PLC, we prioritize robust waste management, guided by the principles of reduce, reuse, and recycle (3R). These principles are deeply ingrained in our operations through employee awareness and established systems. Going beyond mere compliance, we foster a culture of shared responsibility, integrating sustainability into daily activities and implementing systematic monitoring to track and improve progress.



NATURAL CAPITAL

Emission Management Strategy

Arpico Insurance PLC is committed to a comprehensive emission management strategy aimed at minimizing environmental impact. Going beyond regulatory mandates, we prioritize continual improvement and take a proactive stance on environmental stewardship. Through integrating emission reduction measures into our daily practices, we aim to make measurable progress and contribute to a sustainable, low-carbon future.



Carbon Footprint

Recognizing the importance of minimizing our environmental impact, we recently embarked on tracking our carbon footprint following guidelines from the Sri Lanka Sustainable Energy Authority.

A pivotal initiative in this endeavour is reducing electricity consumption across our branches. We believe that even small changes can yield significant results, which is why we incentivize branches that achieve the highest reduction in electricity bills. This not only benefits the environment but also underscores our commitment to operational efficiency and responsibility.

Scope	Description	Emissions (Tons of CO ₂)
Direct Green House Gas Emissions	Paid employee commuting	277
Indirect Green House Gas Emission	Grid connected electricity	319
Total		595



TEAR HERE

Seed Paper Inside

New Environmental Initiatives – Seed Paper

In 2023, one of our main initiatives was the introduction of seed paper/ plantable paper concept. Seed paper is made from recycled materials and embedded with seeds. Instead of being discarded, this paper can be planted in soil, and the seeds within the paper can germinate and grow into plants. When we print our annual report half of the pages are made with this concept.

By integrating the innovative seed paper concept into our practices, our company is taking a proactive step towards environmental sustainability. Through the decision to print one page of our annual report using seed paper, we are not only reducing paper waste but also actively contributing to reforestation efforts. This initiative underscores our commitment to responsible waste management and ecosystem preservation. By transforming paper waste into plants, we not only reduce the amount of paper waste ending up in landfills but also actively participate in ecosystem restoration.

How seed paper works:

- **Paper Production:** The paper is made from recycled materials, and seeds are added during the paper-making process.
- **Use:** After the paper serves its primary purpose, instead of being thrown away, it can be planted.
- **Planting:** The seed paper is placed in soil, watered, and exposed to sunlight. The paper eventually decomposes, and the seeds germinate, giving rise to plants.

Carbon emission tons of Arpico Insurance PLC in each province.

1 Northern Province	56	31	24
2 North Central Province	43	21	22
3 North Western Province	15	08	06
4 Western Province	257	90	167
5 Sabaragamuwa Province	44	25	19

6 Southern Province	43	28	15
7 Central Province	41	23	18
8 Uva Province	36	20	17
9 Eastern Province	62	30	32

● Total Emission CO2 ● Direct (Tons) ● In direct (Tons)

Rewarded for electricity reduction

Month	Branch
October	Nochchiyagama
November	Anuradhapura
December	Vaunia

Note: branches awarded for lowering the electricity bills. (Nochchiyagama, Anuradhapura, Vaunia)

Conservation of Biodiversity

Our operations do not have a direct impact on biodiversity, and we ensure that our branches are not located in areas of protected biodiversity. However, considering our commitment towards protecting the planet we have embarked on several initiatives over the years to create a positive impact on the natural environment. The "Green Club" spearheads the Company's sustainability efforts and aims to create awareness both internally and externally on environmental protection.

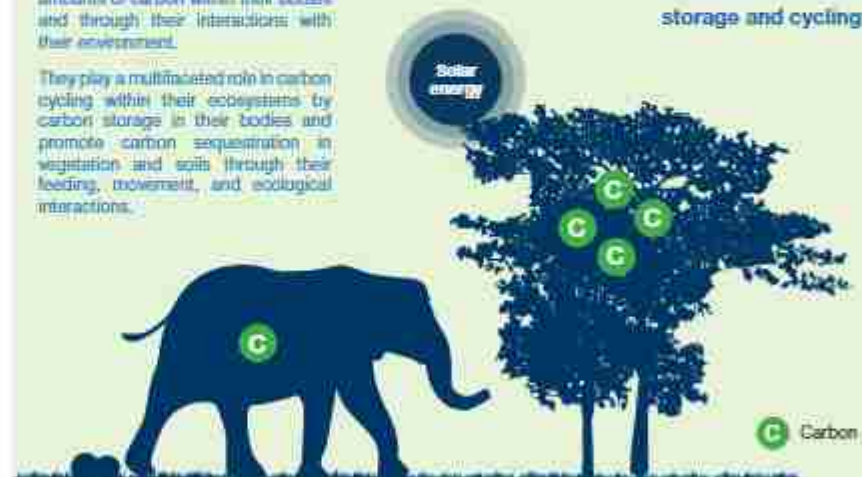
Outcomes

- ➔ Minimises waste
- ➔ Environmental sustainability
- ➔ Supports biodiversity

Elephants are carbon reservoirs as they store and cycle significant amounts of carbon within their bodies and through their interactions with their environment.

They play a multifaceted role in carbon cycling within their ecosystems by carbon storage in their bodies and promote carbon sequestration in vegetation and soils through their feeding, movement, and ecological interactions.

Here's how elephants contribute to carbon storage and cycling:



- Biomass:** Elephants are large mammals with substantial biomass as they grow and accumulate mass.
- Role in Ecosystem Carbon Dynamics:**
 - Feeding Habits:** Elephants are herbivores and thus influence the structure and composition of plant communities.
 - Seed Dispersal:** By consuming seeds along with vegetation and then by depositing them in their dung at different locations helps regeneration of forests and plant diversity.
- Impacts on Vegetation:**
 - Tree Growth and Carbon Sequestration:** Elephants can influence tree growth by selectively feeding on certain plant species and creating gaps in forests. This impacts the carbon uptake and storage capacity of vegetation.
 - Carbon Storage in Vegetation:** By promoting the growth and diversity of vegetation, elephants indirectly contribute to the storage of carbon in plants and trees.
 - Dung Decomposition:** Elephant dung contains carbon-rich organic matter which contributes to soil organic carbon storage and nutrient cycling.

NATURAL CAPITAL



OUTLOOK

As climate change accelerates and environmental concerns become increasingly prominent, we stand ready to proactively manage environmental risks, embrace opportunities for collaboration and innovation, and align our business

strategies with principles of resilience and sustainability. We will not only work towards safeguarding our financial stability but also remain committed towards building a more resilient and sustainable future for communities and ecosystems. Through strategic foresight and concerted action, we aim to become a catalyst for positive environmental change, shaping a more secure and prosperous world for future generations.

STAKEHOLDER ENGAGEMENT

We place great importance on stakeholder engagement, ensuring that we engage with them in a structured, meaningful, and transparent way to create value for our organization.

Stakeholder expectations are tied to how we prioritize material matters and

how we manage our processes to create value, leading us to engage with our stakeholders based on their ability to influence our strategic objectives.

Through clear engagement and communication with stakeholders, we elicit relevant information, and

perspectives on company's strategic direction and value - a process which help shape our strategic thinking and corporate direction.

We also engage with key stakeholders on a proactive basis to strengthen relationships and identify material concerns.



STAKEHOLDER ENGAGEMENT

STAKEHOLDER EXPECTATIONS

We engage with all stakeholder groups periodically through formal communications channels to understand their expectations and evaluate the outcomes of our engagement.

Below, we outline our stakeholder engagement approach, the expectations and concerns raised as well as the strategic actions taken in response, to address them.

SHAREHOLDERS AND INVESTORS

* Parent Company
* Shareholding Companies

Engagement Level - HIGH

How we Engage

Annual
Report

Annual General
Meeting

CSE
Announcements

Corporate
Website

One-to-one meeting
with executive
management

Annual and Interim
publications and
press releases

EXPECTATIONS AND CONCERNS

- Sustainably growing returns (dividends)
- Increased financial performance
- Comprehensive and transparent reporting
- Strong governance and risk management
- Strong financial management
- Relevant and innovative
- Clear Strategic Direction and achievable actions

CAPITALS IMPACTED

FINANCIAL CAPITAL
SOCIAL AND INTELLECTUAL CAPITAL
INTELLECTUAL CAPITAL

SDG'S IMPACTED



STRATEGIC MEASURES

- Committed to increasing revenue
- Managing outflows mindfully
- Switch to integrated annual reporting and adopting GRI
- Regular improvements to risk and governance practices
- Highly qualified and experienced team
- Investments in industry trends and innovative solutions
- Road-map with short, medium and long-term strategic objectives



CUSTOMERS

- * Existing policy holders
- * Prospective policy holders

Engagement Level - HIGH

How we Engage

Customer
Satisfaction
Surveys

Communication through multiple
platforms - i.e email, Print Media, Social
Media, Call Centre.

Customer
research

Complaint
management
systems

Corporate
website

Interactions with
employees and
sales staff

EXPECTATIONS AND CONCERNS

- Sustainably growing returns
- Increased financial performance
- Comprehensive and transparent reporting
- Strong governance and risk management
- Strong financial management
- Relevant and innovative
- Clear strategic direction and achievable actions

CAPITALS IMPACTED

SOCIAL AND INTELLECTUAL CAPITAL
INTELLECTUAL CAPITAL

SDG'S IMPACTED



STRATEGIC MEASURES

- Committed to increasing revenue
- Managing outflows mindfully
- Switch to integrated annual reporting and adopting GRI
- Regular improvements to risk and governance practices
- Highly qualified and experienced team
- Investments in industry trends and innovative solutions
- Road-map with short, medium and long-term strategic objectives

STAKEHOLDER ENGAGEMENT

EMPLOYEES

- * Employees in head office and branches
- * Sales force of Arpico Insurance PLC

Engagement Level - HIGH

How we Engage

Employee
Surveys

Performance
reviews and exit
interviews

Brainstorming
sessions

Internal
communication via
multiple platforms

Rewards and
Recognition
programs

One-to-one Interaction
between the employee
and the Line Manager

EXPECTATIONS AND CONCERNS

- Remuneration and benefits
- Training and Developments
- Work-life balance
- Non-discrimination
- Gender Parity
- Rewards, recognition and empowerment
- Job Security
- Job Advancement
- Open Communication
- Employee health and Safety

CAPITALS IMPACTED

SOCIAL AND INTELLECTUAL CAPITAL
INTELLECTUAL CAPITAL
HUMAN CAPITAL

SDG'S IMPACTED



STRATEGIC MEASURES

- Annual Increments
- Prioritized programs for technical and non-technical staff
- Recreational facilities, annual outings and get-together's
- Non-discrimination policy
- Equal opportunities for all
- Annual awards program
- Stable position ensures business continuity
- Succession planning internal recruitment
- Open-door policy / Regular management meetings
- Medical Insurance / Health awareness programs

BUSINESS PARTNERS AND SUPPLIERS

* Agents * Bancassurance * Reinsurers
* Suppliers * Bankers, auditing firm and other service partners

Engagement Level - MODERATE

How we Engage

Service level agreement management and service delivery feedback

Supplier on-boarding programs

Supplier Feedback

Strategic Sourcing Opportunities

New supplier introduction

Management Discussions

Digital communication Channels

EXPECTATIONS AND CONCERNS

- Partnerships based on trust, respect and professionalism
- Honoring contractual obligations
- Attractive and competitive payment structures

CAPITALS IMPACTED SOCIAL AND INTELLECTUAL CAPITAL FINANCIAL CAPITAL

SDG'S IMPACTED



STRATEGIC MEASURES

- Amicable and professional communication
- Timely commission payment
- Prudent pricing policies

REGULATORS

* Government * Insurance Regulatory Commission of Sri Lanka * Central Bank of Sri Lanka * CSE

Engagement Level - MODERATE

How we Engage

Press releases

Onsite Surveillance

Periodic returns

Directives and Circulars

Workshops and Seminars

EXPECTATIONS AND CONCERNS

- Accountable, transparent and ethical practices
- Regulatory compliance
- Statutory taxes

CAPITALS IMPACTED SOCIAL AND INTELLECTUAL CAPITAL INTELLECTUAL CAPITAL

SDG'S IMPACTED



STRATEGIC MEASURES

- Best practices on governance
- Compliance to statutory and financial regulations
- Policy Implementation
- Timely payment of taxes

STAKEHOLDER ENGAGEMENT

COMMUNITY

* Financial vulnerable communities and individuals

Engagement Level - MODERATE

How we Engage

Corporate website
and Social media

CSR
Projects

Press
releases

Public
events

Community
forums

Community
Representatives
and institutes

Charitable
Project



Stakeholder Mapping

Stakeholders are mapped based on the degree to which our operations and actions impact a particular stakeholder. The level of engagement with a stakeholder is, thereafter, depends on the level of impact. Engagement modalities and methods are then decided based on the Stakeholder group.



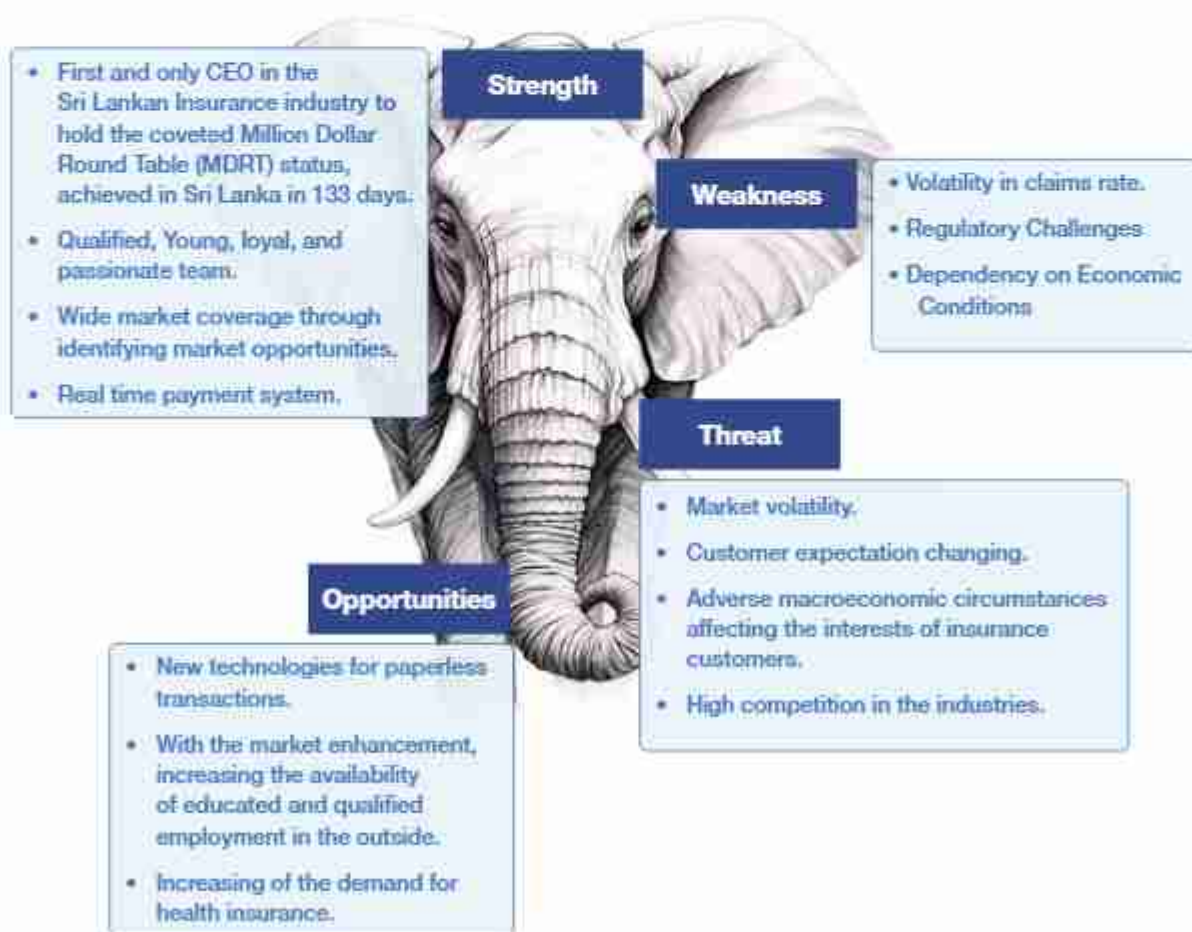
OPERATING ENVIRONMENT

The insurance industry operates within a dynamic and multifaceted environment influenced by a multitude of internal and external factors. A thorough understanding of this operating environment is crucial for Arpico Insurance to navigate challenges, leverage opportunities, and drive sustainable growth. This section aims to provide a comprehensive overview of the key elements shaping our business landscape, enabling us to align our strategic initiatives with market realities.

To achieve this, we have conducted a detailed analysis using two frameworks: SWOT (Strengths, Weaknesses, Opportunities, and Threats) and PESTEL (Political, Economic, Social, Technological, Environmental, and Legal). These analyses offer a structured approach to evaluate our internal capabilities and external influences, ensuring a balanced perspective on our operational context.

Our SWOT analysis identifies the intrinsic strengths and weaknesses of Arpico Insurance, while also highlighting the external opportunities and threats that could impact our performance.

SWOT



OPERATING ENVIRONMENT

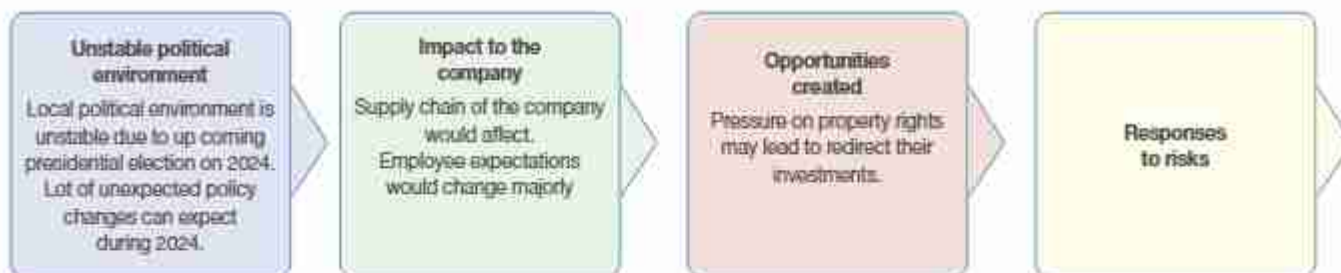


PESTEL

PESTEL analysis provides an in-depth examination of the broader macro-environmental factors that shape the insurance industry in Sri Lanka.

Political

The domestic political climate has a direct impact on the Group's local operations while global geopolitical developments have a bearing on demand dynamics in our export markets	
Unstable political environment Local political environment is unstable due to upcoming presidential election on 2024. Lot of unexpected policy changes can expect during 2024.	Impact to the company - Supply chain of the company would affect. - Employee expectations would change majorly. Opportunities created - Pressure on property rights may lead to redirect public investments. Risk response - New insurance policies are planned to introduce to cater emerging demand.
Rigid government policies towards cost reduction	Impact to the company - Company maintenance overhead costs may raise. Opportunities created - With the impact to free health and education public seek more health insurances and investments on educational prospects. Risk response - Taylor made insurance policy introducing with multiple rider cover options.



Economical

Higher Inflation

Impact to the company

- Increase of operating cost.
- Increased claim costs in health and living benefits.
- Impact mortality and longevity assumptions used in life insurance pricing.
- Impact to the consumer affordability since cost of living get higher.

Opportunities created

- Rising Demand for Savings and Retirement Products.

Risk response

- Introduce inflation linked products.
- Enhanced risk management strategies.

Uncertainty of interest rates

Impact to the company

- Investment return fluctuates.
- Fluctuate insurance contract liability impacting profitability.
- Product pricing fluctuations impact market presence.

Opportunities created

- Diversified investment portfolio brings hedged return to policy holders and investors.
- Dynamic product designs.
- Innovation in investments.

Risk response

- Better asset and liability management strategies.
- Digital Transformation (Data analytics).
- Customer education.
- Scenario Analysis.

OPERATING ENVIRONMENT

Social

Demographic Changes	Impact to the company
	- Aging population lead to reduction of insurance portfolio. - Brain drain.
	Opportunities created
Social Trends	- Increased expatriations of young population lead to the reduction of parental care. - Foreign employees' investment on their future lives.
	Risk response
	Tailored products identifying the niche markets.
Public Perception	Impact to the company
	Millennials different attitudes towards risk and future.
	Opportunities created
	Short term insurance plans with better returns are highly attractive to the millennials.
	Risk response
	Tailored product introduced with good social media coverage.
	Impact to the company
	Social media impact in massive nature to the life styles of all age categories now and a single news can blow the company's trust to bottom.
	Opportunities created
	Low costly and highly effective marketing campaigns can be arranged through the social media platforms.
	Risk response
	Conducting regular market research to stay abreast of demographic shifts, social trends, and cultural nuances to anticipate changes in insurance needs.

Technological

Disruption of traditional business models.	Impact to the company
	Insurtech startups leveraging advanced technologies may disrupt traditional insurance models, potentially eroding market share and challenging established business practices.
	Opportunities created
Rapid Technological Advancements	Can open new markets through enhance customer interactions, streamline policy issuance, and claims processing, and providing seamless digital experience.
	Risk response
	Developing new insurance products that leverage emerging technologies.
	Impact to the company
	Increasing reliance on technology exposes the company to cybersecurity threats, potentially leading to data breaches and reputational damage.
	Opportunities created
	- Advanced data analytics for more accurate risk assessment, personalized underwriting, and improved pricing models. - Paperless cost reduction strategies.
	Risk response
	- Investing in modernizing and upgrading technology infrastructure to ensure compatibility with the latest industry standards and security protocols. - Attracting skilled IT professionals and providing ongoing training to existing staff to ensure a workforce well-versed in the latest technologies and cybersecurity practices.

Environmental

Climate Change	Impact to the company - Currently Sri Lanka is getting much exposed to more natural disasters and lead to higher insurance claims. Opportunities created - Demand for new insurance products that cater emerging climate related risks. - Utilize advanced data analytics to assess and price climate-related risks accurately, allowing for more precise underwriting and policy structuring. Risk response - Invest in educational campaigns to inform policyholders about climate-related risks and the importance of taking preventive measures.
Scarcity of resources	Impact to the company - Lack of rainfall has caused the country electricity and water bills to increase abnormally. Opportunities created - Explore investment opportunities in environmentally sustainable projects, such as renewable energy, water conservation, and other initiatives addressing resource scarcity. Risk response - Invest in Solar power. - Advise the employees to understand and address resource-related challenges.

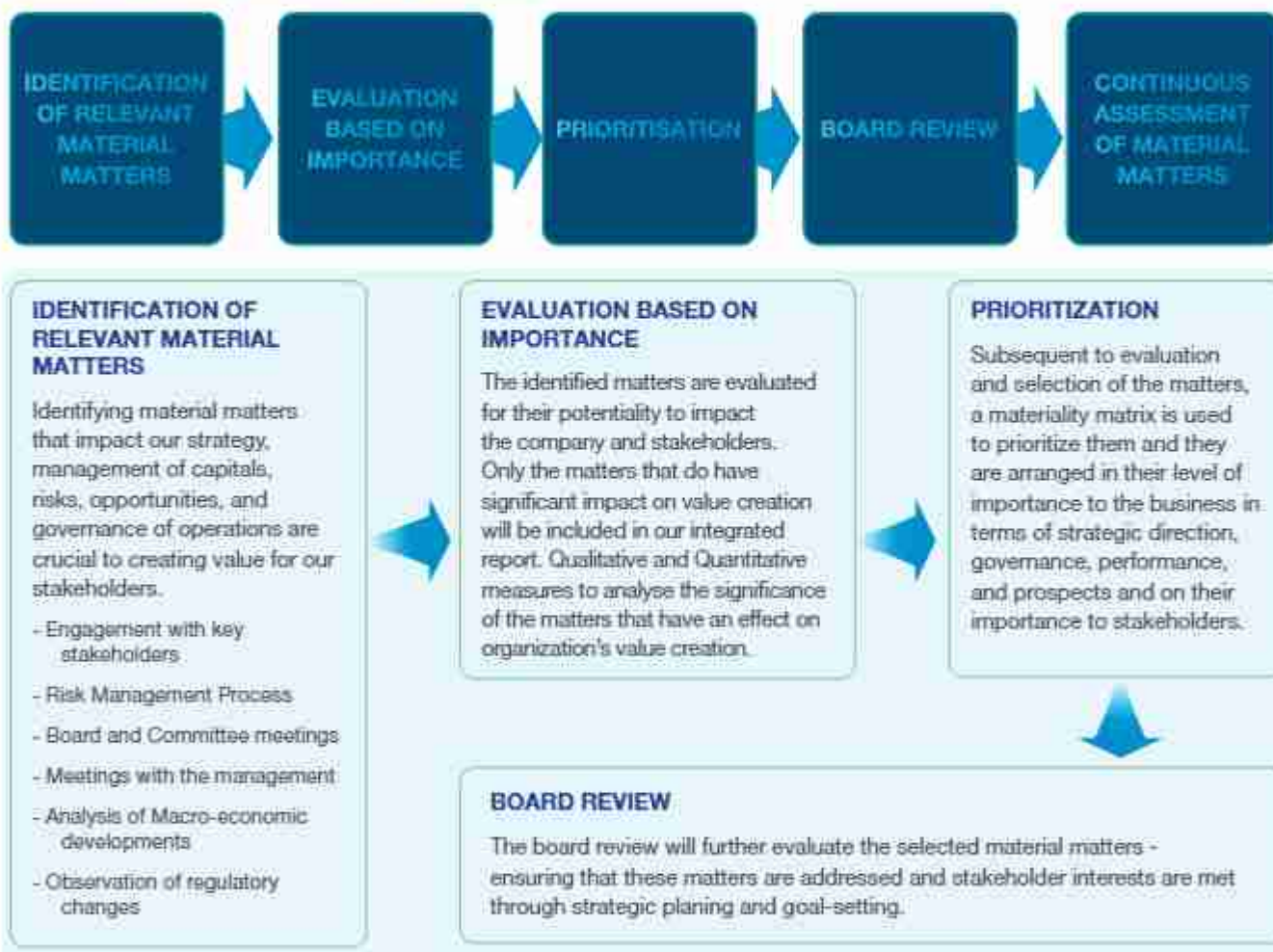
We consider below requirements from various institutions as our legal environment that are critical compliances to continue our organization as legal entity. We assessed below new regulations enacted in 2022 which may have an impact on our future operations and strategies.

New tax rules	Impact to the company - Cost of living of public raised highly with new VAT and APIT amendments. So the investment of people on their health and future may reduce significantly. Opportunities created - Life insurance enjoy with tax concessions and have competitive edge through other financial institutions when bringing product offerings. Risk response - Capitalize the tax concessions to bring life insurance as an investment alternative.
Foreign currency remittances limited	Impact to the company - Foreign investment opportunities are restricted. Opportunities created - Individuals transfer of money (outward countries) for investments and other purposes are restricted from 100,000 USD- 300,000 USD. Risk response - Maintain balanced and profitable investment portfolio. - Attractive life insurance plans with guaranteed non par returns.
Dispute resolution system	Impact to the company - Complex and time-consuming legal system for resolving insurance disputes can be a challenge for both insurers and policyholders, leading to increased costs and frustration. Opportunities created - Due to the nature of dispute resolutions most cases resolved through initial stages. Risk response - Build better customer relationships with affordable insurance policies. - Build customer awareness towards the legal aspect of insurance.

MATERIALITY

We apply integrated thinking in our process of ascertaining material matters that have an impact on our business functions, strategy, governance, and future prospects. Our materiality determination process evaluates material aspects that impact the company's value generation over the short, medium, and long terms to create value for stakeholders. This process aligns with the International Integrated Reporting Council's (IIRC's) Integrated Reporting Framework and the Global Reporting Initiative (GRI) Standards - and helps us decide what information to disclose regarding stakeholder expectations, and create value to the organization.

MATERIALITY DETERMINATION PROCESS



CONTINUOUS ASSESSMENT OF MATERIAL MATTERS

Continuous assessment of issues impacting operations and stakeholder value creation is done through stakeholder engagement, analytical information on data, and monitoring macroeconomic, regulatory, and social environment trends.

MATERIAL MATTERS

Capitals, risk, opportunities are the material matters that have an impact on the company's strategic direction and the company's ability to create value over time - and they help determine actions required to enhance value creation, while shaping our strategic focus.

		Employees	Customers	Shareholders	Regulators	Community	Business partners
MATERIAL TOPIC	KEY FOCUS AREAS	STAKEHOLDERS IMPACTED					
1. Strong and inclusive financial growth	Improved underwriting profits			♦			
2. Increasing shareholder returns	Continuously improving investment and financial management			♦			
3. Implementation of financial standards	Cost Optimizations			♦			
4. Claims and benefits to customers	Committing to contractual obligations		♦				
5. Excellence in customer service	Investments in employee growth		♦				
6. Employee health and safety	Rewards and merits based on performance	♦					
7. Employee growth		♦					
8. Revised operational procedures due to the pandemic	Ongoing assessment of regulatory requisites and revising procedures accordingly	♦	♦				♦
9. Strong Governance	Continuous enhancements	♦	♦		♦		
10. Sound risk management		♦	♦				
11. Improve employee knowledge on risk management	Enhance the risk management knowledge of employees	♦	♦				
12. Increase digital transformations		♦	♦				
13. Strengthen data security	New approaches and investments	♦	♦				
14. Increase market share through healthy competition	Economically beneficial products and customer service enhancements		♦	♦			
15. Environment suitability	Growing approaches to environmental suitability					♦	
16. Marketing and labeling	Increase customer awareness		♦				

The following matrix depicts the relative importance of the above shown material matters, in relation to the company and stakeholders.

MATERIALITY MATRIX

IMPORTANCE TO STAKEHOLDER			1 2 5 6
			9 13 14
	8 15	3 4 7	
		10 16	
		11 12	

ESG INTEGRATION

Sustaining Environment Social and Governance

Sustainability reporting holds paramount importance for Arpico Insurance PLC as it serves as a cornerstone of our commitment to responsible business practices and transparency. As a leading player in the insurance industry, we recognize the interconnectedness between our operations and the environment, society, and governance factors. Sustainability reporting allows us to systematically assess and communicate our impacts, risks, and opportunities across these areas, enabling stakeholders to make informed decisions and hold us

accountable for our actions. By disclosing our sustainability performance, we not only fulfill regulatory requirements but also demonstrate our dedication to long-term value creation, sustainable growth, and stakeholder trust.

The purpose of this report is multifaceted. Firstly, it serves as a comprehensive record of Arpico Insurance PLC's sustainability efforts, achievements, and challenges over the reporting period. Secondly, it provides stakeholders, including investors, customers, employees, regulators, and communities, with transparent and credible information about our sustainability performance

and initiatives. This report aims to foster dialogue, engagement, and collaboration with our stakeholders, empowering them to actively participate in shaping our sustainability agenda. Ultimately, by sharing our sustainability journey openly and honestly, we aspire to inspire positive change, drive innovation, and contribute to a more sustainable future for all.

Financial Year	Wild Elephant Killed	People Killed
2021	375	142
2022	433	145
2023	449	169

Why Needful to ESG Drive

Arpico Insurance acknowledges the pressing issue of human-induced threats to Sri Lanka's elephant. Rampant habitat loss due to human encroachment, coupled with poaching and escalating human-elephant conflicts, poses grave risks to these majestic creatures. In this financial year 449 Elephants deaths that was a questionable problem and we all are have responsibility think about beyond profit maximization. As custodians of Environmental, Social,

and Governance (ESG) principles, we recognize the urgency of addressing these challenges. ESG initiatives offer a strategic framework to mitigate our environmental impact, foster social harmony, and uphold ethical governance standards. By championing habitat conservation, community engagement, and advocacy for wildlife protection, we can safeguard environmental pollution, mitigate human-wildlife conflicts, and promote coexistence. Our commitment to ESG-driven action extends beyond

regulatory compliance—it reflects our dedication to responsible stewardship and sustainable development.

In that chapter shows how we are drive our ESG transformative journey over 2023 financial year. This version succinctly outlines the importance of addressing human impacts on Environmental, Social and Governance and emphasizes the role of ESG initiatives in driving positive change.

Highlights of the ESG Drive 2023

Sustaining Health

Improving access to quality healthcare

Total Policy Numbers
10,934

HRB Claim in 2023
402.5 Mn

Sustaining Investment

Total Investment on Government Securities
195 Mn

Sustainability Investment (Debentures and Fox Deposit)
287 Mn

Sustaining Operation

Advancing Digital Transformed

Transformed Online Payment
Instead to Cheque Payment

Staff Training Meeting
Conducted Via Zoom

Sustaining Culture

Accelerating Career development
IBSL Exam Paid – 1.3 Mn
Diversified Religious and Gender
Head Count Head Office 194
Average Age 33
Nationalities 04
Approved training Organization of CA Sri Lanka

Sustaining Health

Board Governance
Awareness Board ESG Practices
Proposed and Processing New Committee
Related to the Sustainability



Outcome of ESG-Driven Adoption:

1. Resilient and sustainable business operations.
2. Enhanced reputation and brand equity.
3. Improved stakeholder relationships and trust.
4. Compliance with regulatory requirements and potential incentives.
5. Long-term value creation for all stakeholders.



Overview of Sustainability Reporting

Economic

- GRI 200 Series
- SDG's



Environmental

- GRI 300 Series
- SDG's



Social

- GRI 400 Series
- SDG's



Sustainability Reporting

Governance

- GRI 300 Series
- SDG's



SLFRS – S1 General requirement for Disclosure of Sustainability Related Financial Information

SLFRS – S2 Climate Related Disclosures Risk & Opportunities

ESG INTEGRATION

Sustainability Strategy

Arpico Insurance PLC's sustainability goals and objectives are rooted in our commitment to creating long-term value while minimizing negative impacts on the environment and society. Our overarching goal is to integrate sustainability into every aspect of our operations; from product development and risk management to employee engagement and community outreach. Specifically, we have set ambitious targets across key sustainability pillars, including environmental stewardship, social responsibility, and governance excellence. These targets encompass reducing our carbon footprint, enhancing diversity and inclusion within our workforce, fostering ethical business practices, and promoting financial inclusion and literacy in the communities we serve. By pursuing these goals, we aim to not only mitigate risks and seize opportunities but also build resilience, trust, and loyalty among our stakeholders.

fundamental driver of innovation, differentiation, and competitiveness. We recognize that sustainable practices are not only ethically imperative but also strategically advantageous, enabling us to future-proof our business in an increasingly complex and interconnected world. Our sustainability initiatives are closely aligned with our core business objectives, such as delivering exceptional customer value, maintaining financial stability, and fostering a culture of integrity and accountability. By embedding sustainability into our business processes and decision-making frameworks, we can enhance operational efficiency,

Standard	Focus	Scoring
- Global Reporting Initiative (GRI) - Sustainability-related financial information and climate-related disclosures IFRS – S1 & S2 - Carbon Disclosure Project - Sustainability Development Goals	- Corporate Social Responsibility (CSR) With and equal focus on ESG Factors and stakeholder engagement - Aligning IFRS – S1 sets out the sustainability related financial related disclosures and IFRS – S2 Which is specifies relating to Climate - GHG emissions governance actions and business strategies to mitigate climate change - Sustainability reporting linkage with SGD's	100% Already adopted - Processing Ended up with 2025 100% Already adopted 100% Already adopted

mitigate regulatory and reputational risks, and capitalize on emerging market opportunities. Moreover, sustainability serves as a powerful catalyst for driving employee engagement, attracting top talent, and enhancing brand reputation and trust among customers and investors.

In line with our commitment to transparency and best practices, Arpico Insurance PLC adheres to internationally recognized frameworks and standards for sustainability reporting. These include the Global Reporting Initiative (GRI), which provides guidelines for disclosing economic, environmental, and social

impacts, as well as the Sustainability Accounting Standards related to the Sri Lanka, which offers industry-specific standards for reporting financially material sustainability information. Additionally, we embrace the Action Plan of the Climate-related Financial Disclosures (IFRS-S1 & IFRS-S2), which help us assess and disclose climate-related risks and opportunities in our business operations and investment decisions. By adhering to these frameworks and standards, we ensure the consistency, comparability, and reliability of our sustainability reporting, thereby enhancing transparency and accountability to our stakehold

Compliance Status of Key ESG Guideline

Institution		Effective Date	Adoption Status	Score
CA Sri Lanka	SLFRS – S1 SLFRS – S2	2024/01/01	Early Stage (Processing the implementation)	Processing & Plan to Adopting in 2024
Globe Reporting Initiatives	GRS – 200,300,400 Series	Voluntary Adoption	Already Adopted	✓
The United Nation	Sustainability Development Goals	Voluntary Adoption	Already Adopted	✓
Colombo Stock Exchange	CSE Sustainability Reporting Guide	Voluntary Adoption	Adopted In that Financial Year	✓

Strategic Planning to Future Adoption of Sustainability Reporting Standards (IFRS S1 & S2) in 2024 Proposed Governing Structure



ESG INTEGRATION

Pioneering Sustainability Reporting Standards

As we embark on the journey of reflecting upon another transformative year at Arpico Insurance PLC, it is with great pleasure that we introduce a pivotal development in our reporting landscape – the advent of sustainability reporting standards. In June 2023, the International Sustainability Standards Board (ISSB) unveiled a groundbreaking set of sustainability reporting standards, marking a significant milestone in the global pursuit of sustainable practices. These standards, namely SLFRS S1 and S2, resonate deeply with our commitment to transparency, accountability, and responsible stewardship. SLFRS S1, also known as the General Standard, embodies our dedication to articulating sustainability-related risks and opportunities across short, medium, and long-term horizons.

At Arpico Insurance PLC, our commitment to sustainability extends far beyond regulatory compliance – it is ingrained in our corporate structure. As stewards of long-term value creation, we recognize the intrinsic value of integrating sustainability into every facet of our operations. As we embrace these pioneering sustainability reporting standards, we do so with a keen awareness of the transformative potential they hold. By diligently implementing these standards, we reaffirm our pledge to transparency, accountability, and

sustainable prosperity. Together, let us forge ahead with confidence, purpose, and unwavering commitment to a brighter, more sustainable tomorrow.

Sustainability Standards and Adoption Plan

1. Overview of SLFRS S1 and S2 Standards:

SLFRS S1: The General Standard: - Aims to facilitate transparent communication of sustainability-related risks and opportunities over short, medium, and long-term horizons. - Designed to empower investors with relevant information essential for informed decision-making. - Reflects our commitment to transparency, accountability, and responsible stewardship.

SLFRS S2: The Climate Standard: - Focuses on specific climate-related disclosures to address the growing challenges posed by climate change. - Equips us with the necessary tools to navigate the complexities of a rapidly changing climate landscape. - Aligns with our strategic vision of mitigating climate risks and seizing sustainable growth opportunities.

2. Adoption Plan for the Next Year:

Gap Analysis:

- Already quotation called from sustainability reporting professionals for the Conducting a comprehensive

gap analysis to assess our current sustainability reporting practices against the requirements outlined in SLFRS S1 and S2.

Eg: KPMG, EY

- Identify areas of alignment and divergence to inform targeted action plans and strategic initiatives.

Educating Stakeholders:

- Launch an extensive stakeholder engagement initiative to educate key stakeholders, including employees, investors, regulators, and community partners, on the significance and implications of SLFRS S1 and S2.

- Facilitate training sessions workshops, and informational resources conducted by EY and Ca Sri Lanka, to foster a shared understanding and commitment to sustainability reporting.

Governance Structure:

- Establish a dedicated governance structure to oversee the implementation of SLFRS S1 and S2, comprising cross-functional representatives from risk management, audit, remuneration, and related party committees.

- Ensure clear roles, responsibilities, and accountability frameworks to drive effective decision-making and oversight.

Responsibility Allocation Committee-Wise:

Committee	Work Allocation
Risk Committee	Responsible for identifying, assessing, and mitigating sustainability-related risks in alignment with SLFRS S1 and S2 requirements.
Audit Committee	Tasked with ensuring the integrity, accuracy, and reliability of sustainability disclosures through robust internal controls and audit processes.
Remuneration Committee	Charged with aligning executive compensation practices with sustainability performance metrics and objectives.
Related Party Committee	Oversight of transactions and relationships with related parties to ensure transparency and compliance with sustainability reporting standards.
Investment Committee	Incorporate sustainability considerations into investments decisions.

In adopting this compromise idea, we affirm our commitment to Governance, Strategy, Risk Management and Metrics and Targets. By working collaboratively towards sustainability standards and implementing a comprehensive adoption plan, we are poised to unlock new opportunities and create enduring value for all stakeholders.

Value Creation Model Thought the SLFRS S1 & S2 Adoption



Environmental Initiatives

Arpico Insurance PLC is dedicated to minimizing its environmental footprint through a comprehensive set of initiatives. Our efforts to reduce energy consumption involve the implementation of energy-efficient technologies and practices across our operations, resulting in significant reductions in greenhouse gas

emissions. We have also implemented robust waste management strategies to minimize waste generation and promote recycling and responsible disposal practices. Additionally, we closely monitor and manage our water usage to ensure efficient utilization of this vital resource. Furthermore, we are actively investing in renewable energy sources such as

installation of solar power systems in our branches and exploring opportunities to enhance resource efficiency throughout our value chain. These initiatives underscore our commitment to promoting environmental sustainability and advancing towards carbon footprint, aligning with our broader goal of creating value for both our business and the planet.

Energy Management-	GJ	%
Total energy Consumption	3,128	
Total energy Saving	579	16%
Energy Consumption Per Branch	48	

Water Management	m ³
Total Water Consumption	30,103
Total Water Consumption Per Person	17
Total Water Saving	638
Total Water Consumption Per Branch	463

Waste Management
Paper Recycled
589 Kg
E-Waste recycle
94 Kg

Emission Management
Carbon Foot Printing
TON CO²
595



ESG INTEGRATION

Social Responsibility

Arpico Insurance PLC places a strong emphasis on social responsibility and actively engages with the community through various initiatives. We prioritize employee welfare by offering comprehensive benefits, professional development opportunities, and a

supportive work environment that fosters diversity and inclusion. Our commitment to fair labor practices is reflected in our adherence to labor laws and regulations, as well as our efforts to promote employee health and safety. Furthermore, we demonstrate our dedication to social causes through

corporate philanthropy, volunteer programs, and strategic partnerships with NGOs. These initiatives range from supporting education and healthcare initiatives to environmental conservation projects, demonstrating our holistic approach to social responsibility and community engagement.

EMPLOYEES

Female Representation

73 %

MDRT Members

14

BUSINESS PARTNERS

Supplier Payment

878 Mn.

Number Of Branches

69

CUSTOMERS

Gross Written Premium

1.2 Bn

Total Claims Paid

1.4 Bn

Total Number of Policies

10,934

SOCIAL



Governance and Ethics

Arpico Insurance PLC maintains a robust corporate governance structure characterized by clear roles, responsibilities, and oversight mechanisms. Our governance practices are guided by principles of transparency, accountability, and integrity, ensuring the highest standards of ethical business

conduct. We prioritize compliance with all applicable regulations and industry standards, regularly reviewing and updating our policies and procedures to reflect evolving legal and regulatory requirements. Moreover, we have implemented stringent measures to promote transparency and accountability in decision-making processes, including

regular audits, disclosure of relevant information to stakeholders, and the establishment of independent oversight bodies such as the Board of Directors and audit committees. These measures underscore our unwavering commitment to upholding the trust and confidence of our stakeholders while driving sustainable value creation for our business.

Board is comprised of Independent
Non-executive Directors

80%

Board committees are chaired by and
composed of Independent
Non-executive Directors

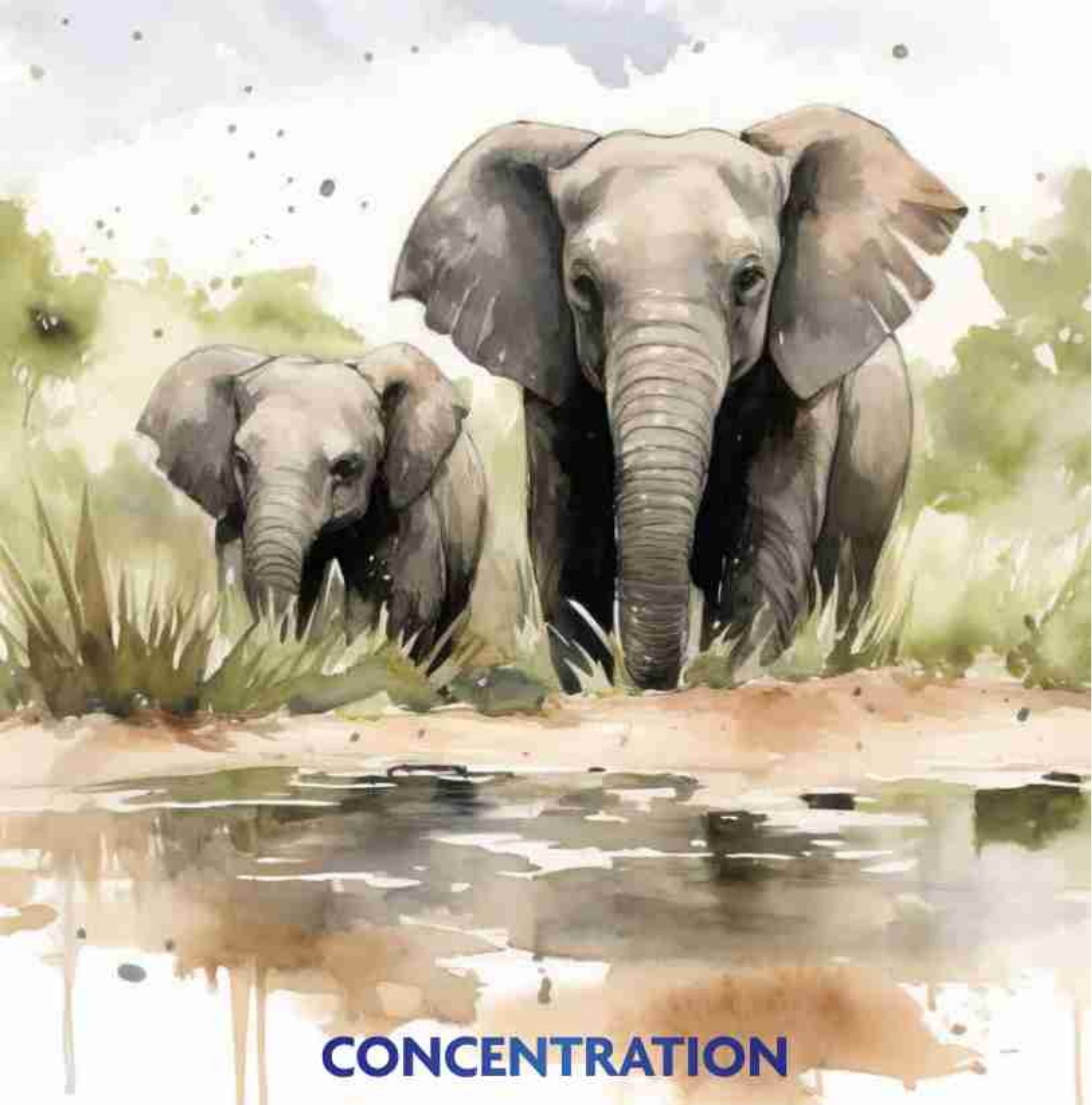
100%

Proposed and Processing
New Committee Related to the
Sustainability

Awareness Board ESG Practices
SLFRS S1 & SLFRS S2
SDG'S 16,17

GOVERNANCE





CONCENTRATION

Management Reflection and Strategic Oversight

As we reflect on our past performance, our strategic oversight drives us towards a resilient and prosperous future. This section delves into the management's insights, highlighting our adaptive strategies and forward-thinking initiatives. Discover how we navigate complexities and seize opportunities to fortify our position in the industry

RISK MANAGEMENT

At Arpico Insurance, we are steadfast in our commitment to the perpetual refinement and fortification of our risk management strategies and measures. Our unwavering dedication is aimed at ensuring a robust and well-calibrated level of control over unforeseen and unpredictable circumstances. By consistently optimizing our approaches, we strive not only to meet but exceed industry standards, thereby safeguarding the interests of our valued clients with unparalleled diligence and foresight.

Purpose of Risk Management Framework

The Risk Management framework, meticulously honed in 2021, and set into motion in 2022 and 2023, serves as an impregnable bulwark, safeguarding both the economic and non-financial interests of all our stakeholders. This robust framework stands as a stalwart ally, intricately woven into the fabric of our operations, supporting the Company in navigating the intricate landscape of highly volatile macro developments that may otherwise impede our strategic objectives and plans.

In the current challenging environment, where economic and social deterrents cast a profound impact on businesses both in Sri Lanka and globally, our proactive risk management framework emerges as a beacon of resilience. It empowers us to navigate through the intricate web of uncertainties, allowing us to remain steadfast in the face of adversities. By adhering to meticulously pre-defined parameters and thresholds, our risk management framework ensures that we not only weather the storm but also emerge stronger, fortifying our ability to stay on course with strategic goals despite the prevailing uncertainties.

'In the current challenging environment, where economic and social deterrents cast a profound impact on businesses both in Sri Lanka and globally, our proactive risk management framework emerges as a beacon of resilience.'



The Risk Environment

Economic

- Price-competitiveness from a saturated industry
- Macro-economic conditions that negatively impact customer interests in insurance
- Volatile interest rate environment
- Reducing disposable income due to on-going economic crisis

Social

- An aging national population
- Socio-economic impact of economic hardships
- Political tensions

Legal

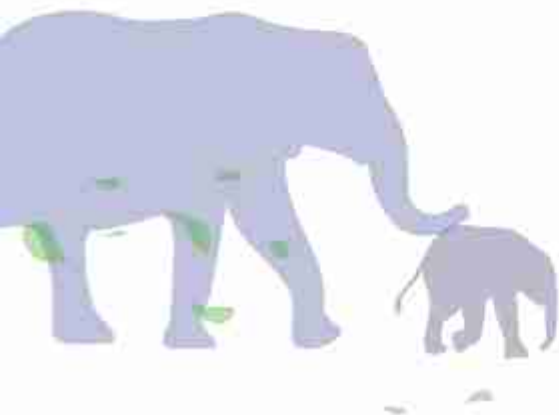
- Changing regulatory landscape
- Complexities in compliance requirements

Technological

- New cyber security threats
- Roadblocks in digital transformations

Environmental

- Increasing climate volatilities
- Vulnerabilities as an island nation from weather extremities



As a pivotal player in an industry profoundly influenced by regulatory mandates and incessantly confronted by evolving and diverse risks, our company operates within a dynamic landscape characterized by a heightened level of risk acceptance. Particularly, as a life insurance provider, our operations are inherently intertwined with elevated probabilities of risks. Navigating this intricate terrain necessitates the establishment of a robust and prudent risk management policy framework.

The overarching objective is to not only ensure the resilience of our organization but also to harmonize our efforts with regulatory requirements, aligning our practices with the ever-shifting contours of the industry's risk landscape. Our commitment extends beyond mere compliance; it encompasses the cultivation of a proactive stance that anticipates, mitigates, and adapts to emerging risks.

This risk management framework serves as a guiding beacon across the short, medium, and long terms, fortifying our ability to navigate uncertainties without compromising our dedication to value creation for stakeholders. By adhering to stringent risk management protocols, we strive to strike an optimal balance between risk and reward. This approach not only safeguards the interests of our stakeholders but also positions us to capitalize on strategic opportunities that arise amidst the complexities of our industry.

In essence, our commitment to a comprehensive risk management policy is an integral component of our corporate ethos, reinforcing our resilience, fostering long-term sustainability, and ensuring that the value we create for our stakeholders stands unwavering amid the dynamic challenges inherent in our industry.

In the midst of the ongoing economic crisis, which casts its pervasive influence, both directly and indirectly, on virtually every facet of the country's economic and social fabric, insurers find themselves contending with a continually evolving

array of risks. The ramifications of this crisis manifest in various forms, from the economic risks stemming from the loss of incomes to the ripple effects of delayed business transactions, each exerting a direct impact on our business operations. In the face of such uncertainties, our organization recognizes the imperative of a robust and adaptive risk management framework.

The dynamic and volatile ecosystem within which we operate underscores the necessity for a risk management approach that is not only steadfast but also flexible. The prevailing economic challenges mandate a continuous reassessment of our risk mitigation strategies. This entails a proactive stance, where our approaches are revisited and refined regularly to align with the ever-changing landscape of risks.

The gravity of the situation impels us to exercise extra caution and diligence in gauging the likelihoods of various risks, acknowledging the interconnectedness of economic and social variables. By cultivating a risk management framework that is both strong and adaptive, we position ourselves to respond effectively to emerging challenges, ensuring not only the preservation of our business interests but also the sustained protection of our stakeholders.

In essence, our commitment to revisiting and fortifying our risk management strategies reflects our proactive approach to navigating the uncertainties inherent in the current economic climate. It is through this continuous evaluation and adaptation that we fortify our resilience, ensuring the endurance of our operations in the face of an ever-evolving risk landscape.



Risk Management Objectives

While the risk management policy sets several specific objectives in achieving a sound risk management framework, the Company adopts several broad objectives, which require risk management on an enterprise level.

Eliminate and lessen the impact of losses.

Facilitate a risk conscious culture within the organisation.

Ensure flexible yet consistent risk management strategies.

To increase returns, sustainable earnings, growth and shareholder value by managing risks in a prudent manner.

Retain and enhance reputation of the organisation in connection with robust risk management strategies.



Highlights of 2023

- Strengthened the risk management policy.
- Strengthened the Anti-Money Laundering (AML) and Countering Financing of Terrorism (CFT) policy.
- Progressed with the preparation of risk registers for all departments at the Head Office, which enables to identify record and track potential risks in each department, thereby take corrective measures to mitigate negative ramifications, if and when such risks transpire.

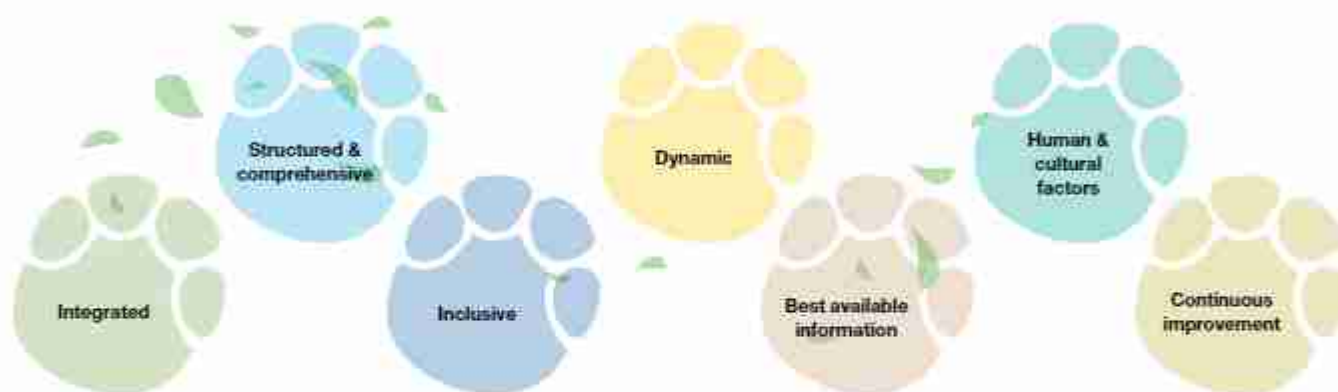
RISK MANAGEMENT

Risk Culture

The Company is dedicated to fostering a robust risk culture that aligns seamlessly with its strategic objectives. Under the guidance of the Management and in accordance with the Risk Management Policy, the organization actively works towards ingraining a heightened sense of risk awareness and the implementation of effective mitigation controls throughout its various departments.

This commitment is realized through ongoing training initiatives and a consistent emphasis on the evaluation of potential risks. The empowerment of employees to take on responsible roles in risk mitigation is a key focus. By doing so, the Company ensures that its risk management mechanism is not just a procedural formality but evolves into a comprehensive and interconnected process, intricately woven into the fabric of each functional area within the organization. This holistic approach reflects the Company's dedication to proactively managing risks and promoting a resilient and forward-thinking business environment.

The first step towards instilling a risk culture is the strategic direction set in place by the Board of Directors.



Cultivating a risk culture across the Company is based on:

- Risk management training to existing and new employees.
- Conducting training programs specific to relevant functional areas including technical functions.
- Promoting proactive risk identification, reporting and mitigation across each staff level of the organisation.
- Organising risk management experience sharing sessions to transfer knowledge among staff members.

Risk Management Policy (RMP)

The Company manages risk exposures based on an Enterprise Level Governance Framework that is enabled through a comprehensive Risk Management Policy (RMP). The purpose of the RMP is to provide in a structured manner, risk management principles and processes as part of a cohesive risk management framework.

The Risk Management Policy prescribes to ISO 31000:2018 Risk Management Standards, which functions as a guide for the development and implementation of the RMP. The Risk Management Policy complies with the requirements of the Insurance Regulatory Commission of Sri Lanka (IRCSL), the Central Bank of Sri Lanka (CBSL) and the Securities and Exchange Commission of Sri Lanka (SEC).

• Scope of RMP

The RMP is applicable to all operations and the entire organisational hierarchy,

including its agents, outsourced staff and all individuals representing the company in matters of business.

Objectives of Risk Management Policy

- Optimises risk and reward trade-off, to achieve strategic objectives – The enterprise risk management framework is based on the Risk Management Policy.
- Set risk tolerance limits – Enables to specify clear tolerance limits and set operating risk limits.
- Promote a strong risk-conscious culture – Enables the integration of risk management in decision making and at all levels, with the aim of creating a culture aware of risk identification and mitigation.
- Formalise risk management – acts as the formal point of reference in implementing risk management proactive with authorities.



Risk Governance Structure

Recognizing the pivotal role of a well-governed organization in providing a stable operating platform, we have implemented the following Risk Governance Structure. This structure is carefully designed to facilitate seamless interaction across all levels of the organization, aiming to establish an efficient risk management system within the broader operational framework.



The Risk Governance Structure serves as a guiding framework, steering the Company towards the establishment of a robust risk management system that transcends individual departments and functions. It acts as a unifying force, ensuring that risk considerations are not isolated but integrated harmoniously into the overarching organizational structure. By adopting this approach, the Company enhances its ability to identify, assess, and address risks effectively, fostering a resilient and forward-thinking operational environment. This commitment to meticulous risk governance reflects our dedication to sustained stability and adaptability in the face of dynamic business landscapes.

RISK MANAGEMENT

Lines of Defence

First Line of Defence

This first tier is the management and internal control measures relevant to risk owners. Strong management and internal controls together with decision making based on risk awareness provides a buffer against risk events.

Second Line of Defence

This level involves the risk management function, tasked with monitoring risk exposures and in setting in place mitigation measures company-wide. It is also allotted with the task of ensuring process improvements and aligning employee training.

The officer that heads the risk management function is responsible for operational implementation of risk management procedures. The Risk Management function reports directly to the Chief Executive Officer.

Third Line of Defence

It involves the internal audit function, which acts independently, reporting directly to the Board of Directors through the Audit Committee. The internal audit is responsible for providing independently maintained oversight on the entire risk management process of the company. This independent monitoring is crucial in assessing existing procedure and in remediating gaps in the risk management process.

Risk Management Process

A meticulous process is adhered to when navigating through the deluge of potential risks and exposures that the Company encounters from both internal and external environments. This systematic and interconnected approach is integral to maintaining transparency and robustness in identifying risks, as well as proactively mitigating their likelihoods and occurrences.



This well-defined process operates as a structured pathway, guiding the Company through the intricacies of risk management. It not only assists in the identification of potential risks but also establishes clear linkages between various stages, creating a comprehensive

framework. By fostering transparency, this process enables a thorough understanding of the risk landscape, empowering the Company to make informed decisions and implement targeted strategies for risk mitigation. In essence, the methodical nature of this approach reflects the Company's commitment to not merely reacting to risks, but actively and preemptively managing them with foresight and diligence.

Risk Identification

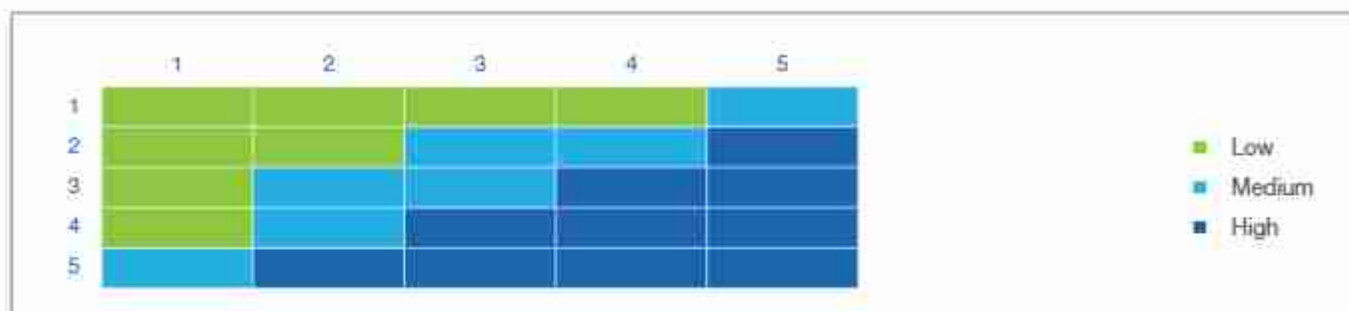
The Risk Management Division or individual risk owners detect risks via regular risk assessments and day-to-day operational activities. Arpico Insurance recognises risks as any aspect or event that has an effect on the company's strategic objectives. Therefore, several risk categories have been ascertained in tandem with their ability to affect strategic objectives.

Risk Landscape



Risk Assessment

The following matrix is used to assess risks based on probability of occurrence and severity of loss of risk events.



Risk Appetite

Risk appetite is the level of risk the company is able and willing to accept in achieving its strategic objectives. Defined at the top management level risk appetite is communicated to the company (top-down approach - setting the overall tone to risks accepted by the Company).

At the functional level, the Company's risk appetite is as follows.

Risk Category	Level of Risk Appetite
Insurance market risk	Strategically optimise risks taken
Regulatory risk	Full compliance, zero tolerance
Reputation risk	Minimise with operational risk controls
Underwriting risk	Minimise with operational risk controls
Reinsurance Risk	Strategically optimise risks taken
Claims risk	Minimise with operational risk controls
Liquidity risk	Strategically optimise risks taken
Fraud risk	Full compliance, zero tolerance
Information technology risk	Minimise with operational risk controls
Cyber security risk	Minimise with operational risk controls
Investment risk	Strategically optimise risks taken
Health & safety risk	Minimise with operational risk controls
Legal risk	Minimise with operational risk controls
Premises risk	Minimise with operational risk controls
Financial crime risk	Minimise with operational risk controls

Risk Tolerance Levels

Risk tolerance levels at the Company refer to the level of risk acceptance the company can undertake during operations and in achieving a specific goal or objectives. It provides practical

thresholds, which are assigned under each category of risk that has a direct impact on operations. Risk tolerance levels enable the company to effectively monitor and

review decisions, actions and their repercussions.

Risk Register

A risk register is maintained in documenting and compiling the risk exposures of the Company. It is the role of the Risk Management Department in maintaining documentation, reviewed and updated regularly.

Risk Monitoring

Risk monitoring is conducted to examine and identify risk exposures – which may have a bearing on any process or unit of the organisation. Monitoring is also done in assessing gaps that may exist within the Risk Management Framework and processes. This task is undertaken by the Risk Management Department, and is accountable for effective monitoring.

Analytical methods are deployed in identifying and assessing such risks and exposures, useful in providing structured, evidence-backed information to the management.

Risk Reporting

Risk reporting takes a top-to-down approach, cascading throughout the organisation.

Board Risk Committee

The committee reviews updates on

RISK MANAGEMENT

risk management on a regular basis through meetings. Ad-hoc risk management updates are escalated to the committee through a special meeting.

- **Chief Executive Officer**

The CEO with assistance from the Risk Management Department and its Head is responsible for developing, implementing and evaluating risk management procedures.

- **Head of Risk Management Department**

Reports directly to the CEO, while maintaining a line of communication open to the Board of Directors.

- **Risk Owners**

Responsible for updating the risk register together with the risk department.

- **Communication of Risk Management**

Internal Risk Communication	External Risk Communication
Present risk management updates regularly to the Board Risk Committee.	Monthly, quarterly, and yearly regulatory reporting to IRCSL.
Present updates regularly to the Management Committee.	Monthly, quarterly, and yearly regulatory reporting to CBSL.
Escalate ad-hoc risk management issues through a special board risk committee meeting.	Risk management update on the annual report
Regular risk alert emails to all staff members.	
Conduct regular risk awareness programs.	

- **Risk Management Review**

A risk management review is conducted in order to evaluate the robustness of the risk management policy and its procedures. In this regard, an annual fitness test conducted during strategic planning process measures the strength of the procedures already in effect, and of the department. A quarterly review is conducted in assessing the effectiveness of the risk management procedures; this is in addition to being regularly assessed and revised.

In the event of an escalation, the risk management framework will be subjected to change, under the authority of the Head of the Risk Management Department.

Risks Mitigation

Risk Categories and risks that impact Arpico Insurance PLC and internal controls for mitigation are as follows:

Risks	Description	Risk Rating	Mitigation
Insurance Risks			
Underwriting risk	Risks due to inaccurate assessment of risk when accepting insurance policies.	High	- Ensuring a sufficient level of segregation between duties of sales and underwriting functions while centralizing function at head office. - Maintaining a robust manual of financial to offer guidance to underwriting staff. - Frequent audits and verification to ensure the smooth function of the process. - Timely consultation and feedback from Consultant Actuary and Reinsurer to adequately price products. - The medical reports are only generated from the registered and well-respected laboratories monitor by the management to ensure quality service. - Carrying underwriting as per the set guideline given by the reinsurer.
Reinsurance Risk	Inability of the ceding company to obtain insurance from a reinsurer at the right time and at an appropriate cost	High	- The Company only works with reinsurers with 'A' or above ratings and monitors their ratings consistently. - Conducting frequent reviews of outstanding reinsurance receivables. - Maintain close relationship with all reinsurers
Claims risk	Claims experience that exceed the expected level	High	- Monitoring actual claims experience with respect to expected claims. - Claims are reserved immediately at the intimation or on the availability of information of the death or injury of an insured. - The Claims Panel is involved in taking decisions on significant / problematic claims and appeals made in respect of claims.
Insurance Market Risk	Failure to adopt to changing insurance market dynamics	Moderate	Regularly monitor and discuss local and global industry developments.
Financial Risks			
Liquidity risk	Lack of readily available funds to meet expenses	Moderate	- Maintaining a diversified mix of term investments - Regularly review reviewing cash flow projections. - Guidelines to ensure availability of sufficient funding to meet insurance and investment contract obligations. - Clauses in reinsurance contracts to meet claim payments in the event claims exceed values.

RISK MANAGEMENT

Risks	Description	Risk Rating	Mitigation
Credit Risk	The risk of financial losses in case of the counter party failing to meet contractual payment obligations.	Moderate	- Credit risk exposure monitoring with respect to investment counterparties, credit risk evaluation when making new investments. - Periodical reviews into the creditworthiness and financial stability of all entities. - The Company only places corporate debt investment exposure with counter parties that retain a credit rating of or above BBB+, given by well-known rating companies. - Imposing strict credit limitations on all such entities, upon reviewing their stability. - Maintaining a structured and standardized credit approval process, based on the size and nature of the organization. - Employing only senior and experienced staff to carry our credit approval.
Interest Rate Risk	Risk of changes in the interest rates, which might affect the Company's investment portfolio	High	Making investments to mitigate the asset and liability mismatch thereby reducing exposure to interest rate changes.
Investment Risk	Unfavorable economic conditions leading to below par investment returns.	Moderate	- Prudent long-term and short-term investment mix - Monitoring financial and banking market
Operational Risk			
Fraud Risk	Risks that occur due to misappropriation of financial or non-financial resources of the Company, as well as claims.	Moderate	- Proper management of financials and observation of misappropriation. - Take immediate action in remediating the fraud.
Information Risk / Cyber Security Risk	Risk of unauthorised access to IT systems and possible threats to data and network security, as well as the loss of confidential data	Moderate	- Comprehensive cyber security policy - Secured network connections across branch network. - Assessment of firewall strength and protection environment through trusted third party service provider. - ICT and data security awareness and prevention through proactive training to staff. - Data backups through cloud technology. - Two factor authentication for staff accounts
Health and Safety Risks	Risks to the health and safety of individuals working for the Company.	Moderate	- Protocols in place against COVID-19 - Basic awareness of occupational safety risks
Premises risk	Damage to physical assets because of natural and man-made disasters such as flooding, fire, and riots	Low	- Prudent insurance of buildings and property - Training and awareness on workplace safety
Legal risk	Risk of facing litigation in court of law.	Low	Seeking advice from group legal department when entering into contracts.

Risks	Description	Risk Rating	Mitigation
Strategic Risk			
Reputation Risk	The damage to reputation and brand image of the Company, when it fails to meet stakeholder expectations.	Low	- Management and staff are recommended to maintain ethical and professional conduct both in and out of premises. - Professional decorum maintained on social media accounts - Compliant management system in place for handling complaints swiftly
Regulatory Risk / Compliance Risk	Any adverse impacts that could occur from failure to meet existing and new regulatory requirements. Capital Adequacy Ratio (CAR) By calculating the capital adequacy ratio (CAR), the Company can ascertain the adequacy of its total available capital. The minimum regulatory cap for CAR is 120%, considered as sufficient to be solvent, when it is crucial to meet liquidity levels. Complying with the requirements mandated by IRCSL, Arpico Insurance PLC maintained a CAR at 349% as at 31st December 2023, well above the statutory minimum.	Moderate	- Strict adherence to relevant rules and regulations. - Periodical reviews on major regulatory developments and employing a mechanism to anticipate potential impact on the Company. - Consistent participation in industry forums such as events organized by the Insurance Association of Sri Lanka. - The Company's business process invariably goes through timely analyses and updates of policies and procedures.



RISK MANAGEMENT OUTLOOK FOR 2024

In 2023, the Company successfully operationalized its new Risk Management Policy (RMP). Looking ahead to 2024, uncertainties in the external environment are anticipated to persist at heightened levels. However, the proactive implementation of the risk management policy stands as a crucial pillar in fortifying the Company's resilience against both internal and external risks. The RMP is a strategic tool that is expected to play a pivotal role in steering the Company towards the attainment of its strategic objectives.

By adhering to the principles outlined in the RMP, the Company positions itself to navigate the challenges posed by the dynamic external landscape. The policy acts as a shield, enabling the organization to identify, assess, and respond effectively to potential risks, thus bolstering its ability to adapt and thrive in the face of uncertainty. In this way, the implementation of the Risk Management Policy becomes not just a compliance measure but a proactive strategy to fortify the Company's resilience and ensure the alignment of risk management efforts with its overarching strategic goals.

GOALS FOR 2024

- Introducing specialised risk management training sessions pertaining to Anti-Money Laundering (AML) and cyber security.
- Strengthen the ML/CF risk management framework by automation.

- Extending training to staff at branches, ensuring literacy in risk management for all employees across the network.
- Carrying out risk assessment programme to cover the entire organisation including all functional departments and branches.
- Appointing a risk management representative for each department to lead risk management activities – developing a culture of risk-consciousness across each department.
- Recognising staff members who have contributed to improving risk management as "Risk Management Champions" at the annual awards ceremony.

ANNUAL REPORT OF THE BOARD OF DIRECTORS

Welcome again to 2023 Arpico Insurance PLC Annual Report

It is with pleasure that the board of directors of Arpico Insurance PLC present their Annual Report on the affairs of the company, audited financial statements and the auditor's report for the year ended 31st December 2023. This report was approved by the of directors on 09th May 2024.

Arpico Insurance PLC is a licensed life insurance company registered under the Regulation of Insurance Industry Act No. 43 of 2000. The company was incorporated on 22nd June 2011 as a limited liability company under the Companies Act, No. 17 of 1982 and re-registered on 21st May 2015 as per the requirements of the Companies Act No. 07 of 2007 and bears the company registration number, PB 4739 PQ.

The ordinary shares of the company are listed on the Diri Savi Board of Colombo Stock Exchange.

Principal Activities

The principal activity of the company constitutes provision of life insurance in Sri Lanka. No significant changes were made to the company's principal activities during the financial year under review. The company has not engaged in any activities, which contravene laws and relevant regulations.

Vision Mission and Corporate Values

Company's vision and mission are provided on page no. 07 of this Annual Report. The directors ensure that the business activities of the company are carried out within the framework of objectives outlined in the vision and mission and are in conformity with the values of the company reflecting a commitment to the highest ethical standards and integrity.

Review of Company Performance

Complying with the requirements of the companies act, the chairman's review, review of operations, financial review and

other statements in this Annual Report briefly describe the performance of the company during the financial year under review. These reports form an integral part of the Annual Report of the board of directors.

Future Development

An overview of the future developments of the Company is presented in the Chief Executive Officer's Review (Pages 27-33).

Financial Statements

The audited financial statements that include the Income Statement and Statement of Comprehensive Income, Statement of Financial Position, Statement of Changes in Equity, Statement of Cash Flows and notes to the financial statements of the company for the financial year ended 31st December 2023 on pages 157 to 161 form an integral part of the annual report of the directors.

The Financial Statements have been prepared in accordance with the Sri Lanka Accountings Standards (SLFRS) laid down by the Institute of Chartered Accountants of Sri Lanka and comply with the Companies Act No. 7 of 2007, Regulations of the Insurance Industry Act No. 43 of 2000 and other rules and regulations of the Insurance Regulatory Commission of Sri Lanka and the listing rules of Colombo Stock Exchange.

Auditors Report

The Auditors' Report can be found on page 154 to 156 of this Annual Report.

Auditors

The current auditors Messrs. Ernst & Young will be considered reappointed as auditors, at the Annual General Meeting of the Company in terms of Section 158 of the Companies Act No. 07 of 2007. A resolution authorizing the directors to determine their remuneration will be proposed at the Annual General Meeting. Their audit fee for the year is disclosed in note 10 to the Financial Statements. As far as the directors are aware, the auditors do not have any other relationship with

the company other than those disclosed in this Annual Report.

Accounting Policies

The accounting policies adopted in the preparation of the financial statements are given on pages 163 to 224. There were no significant changes to the accounting policies of the company during the year.

Gross Written Premium

The table below gives growth in gross written premium for the year 2023. Further details on financial performance are given on pages 171 to 173.

	2023 Rs. '000	2022 Rs. '000
FYP	724,786	1,060,388
Renewal	1,022,212	1,084,782
Group premium	489,606	173,408
Total	2,236,605	2,318,578

Results

The company recorded a net loss of Rs 683.8 Mn. for the year. A synopsis of the financial performance is presented below.

	2023 Rs. '000	2022 Rs. '000
Net written premium	2,141,063	2,247,039
Total other revenue	647,262	551,826
Net income	2,788,325	2,798,865
Total benefits, claims and other expenses	(3,472,157)	(2,713,673)
Profit before tax	(683,832)	85,192
Income tax expense	-	(48,956)
Profit/(Loss) for the year	(683,832)	36,236

ACTUARY'S REPORT

This Annual Report includes reports from the Life Actuary of Arpico Insurance PLC. The

Actuary has expressed satisfaction with the progress achieved by the Company to date and of the performance of the Company during the year under review.

Actuarial Reports are provided on page 153.

Taxation

the Company's operations for the year under review were 30. The Company recognized deferred tax asset extent to which future taxable profits will be available to utilize the available tax losses in foreseeable future.

RISK BASED CAPITAL REQUIREMENT (RBC)

The Company have complied with the requirements of the Risk Based Capital (RBC) framework on solvency margin as required by the IRCSL. Total Available Capital (TAC) and Risk based Capital Adequacy Ratio (CAR) of the company were maintained in excess of the minimum requirements as prescribed by the IRCSL throughout the year. Details on RBC of the Company is given in page 203 of the Annual Report.

Property, Plant and Equipment

The book value of Property, Plant & Equipment of the company stood at Rs. 60.3 Mn. as at 31st December 2023. Details are given in Note 19 to the financial statements (pages 181-183).

Investments

Investments of the company amounted to Rs. 3,949 Mn. Details are given in Note 21 to the financial statements.

Stated Capital and Reserves

Stated capital and total equity of the company as at 31st December 2023 stood at Rs. 675 Mn. and Rs. 770.4 Mn. respectively. Details for Statement of Changes in Equity are given on page 160.

Human Resources

The company's human resource policy is driven to reach its corporate goals and

objectives by inculcating in employees a strong value system and ethics. While the company is focused on developing employee ability to optimize results, the policies and procedures in place ensure equitable treatment of all employees.

Board of Directors

The board of directors of the company consists of five (05) directors with wide financial knowledge and experience. The names of the directors who held office are given below and their brief profiles appear on pages 34 to 36.

Name of the Director	Directorship Status
Mr. Ramal Jasasinghe – Chairman (Appointed w.e.f 16 May 2023)	Non-Executive Independent Director
Mr. S Gooneratne	Non-Executive Director
Mrs. Dikshika Fernando	Independent Non-Executive Director
Mrs. L S A Serasinghe Ceased to hold office w.e.f. 27 May 2024	Independent Non-Executive Director
Mr. Kelum Senanayake (Appointed w.e.f 01 December 2023)	Executive Non-Independent Director

Directors' Shareholdings

Name of the Director	2023 No. of Shares	2022 No. of Shares
Mr. Ramal Jasasinghe – Chairman	Nil	N/A
Mr. S Gooneratne	Nil	Nil
Mrs. Dikshika Fernando	Nil	Nil
Mrs. L S A Serasinghe	Nil	Nil
Mr. Kelum Senanayake	Nil	N/A

BOARD COMMITTEES

The board whilst assuming responsibility for the management and the smooth running of the company has established subcommittees to ensure effective control over specific functions of the company. The sub committees consist of

- Board Audit Committee
- Risk and Compliance Committee
- Investment committee.
- Related Party Transactions Review Committee (Group Level)

NEW REGULATIONS

SLFRS 17 will be effective w.e.f. 1st January 2025 which requires significant changes in Arpico Insurance PLC existing business model and it will affect to core business operations, IT systems, etc. Most

importantly, this will change the way we measure our performance in a logical manner. However, the Company has evaluated the risk of changing SLFRS 4 to SLFRS 17 and has taken key initiatives such as educating its close stakeholders at early stage.

ANNUAL REPORT OF THE BOARD OF DIRECTORS

Directors' Interest in Contracts with the company

Directors' and other key management personnel's interest in transactions of the company are disclosed in note 32 to the Financial Statements.

The company maintains an interest register in conforming to the provisions of the Companies Act No. 07 of 2007.

Directors' Responsibility for Financial Reporting

The statement of directors' responsibility is given on Page 135. The Financial Statements of the Company are prepared in conformity with the requirements of relevant Sri Lanka Financial Reporting Framework and Sri Lanka Accounting Standards (Mandated by the Act No. 15 of 1995 and the Companies Act No. 07 of 2007) which reflect a true and fair view of the financial position and performance of the Company.

Corporate Governance

The board acknowledges their responsibility to ensure that the company complies with good corporate governance practices as set out on pages 44 to 60.

Risk Management and System of Internal Controls

The board recognizes effective risk management and internal control systems are essential parts of the management of the organization. Company has implemented a comprehensive risk management process which is monitored through the board risk management committee and the audit committee. Detailed outline of the risk management process is given on page 122 to 131 of this Annual Report.

Contingencies

There were no significant contingencies identified throughout the year to disclose in the Annual Report.

DONATIONS

There were no donations granted during the year under review.

Statutory Payments

The directors, to the best of their knowledge and belief, are satisfied that all statutory payments due to the government, other regulatory institutions and in relation to the employees have been made on time.

Compliance with Laws and Regulations

The company has not engaged in any activity against the prevailing laws and regulations. Compliance with the provisions of laws and regulations has been confirmed to the board of directors at board meetings.

Events after the Balance Sheet Date

Details of events after the balance sheet date are provided in note 40 (page 222) to the financial statements.

Going Concern

The directors have adopted the going concern basis in preparing the financial statements. They have reviewed the company's performance and financial standing and are satisfied that it has adequate resources to continue its operations in the foreseeable future.

Annual General Meeting

Annual general meeting will be held at Richard Pieris and Company Auditorium, No.310, High level road, Navinna, Maharagama on 28 June 2024. The notice of the Annual General Meeting is on page 253 of this publication.

For and on behalf of the Board,



Ramal Jasinghe
Chairman



Kelum Senanayake
Director / Chief Executive Officer



Mrs. J Siriweera
Company Secretary

28 May 2024

STATEMENT OF DIRECTORS' RESPONSIBILITY ON FINANCIAL REPORTING

The Companies Act, No.7 of 2007 Sections 150 (1) and 151 places responsibility on the directors to prepare and present financial statements for each year comprising

- statement of financial position as at year end date
- statements of comprehensive income,
- statement of cash flows
- statement of changes in equity for the year together with the significant accounting policies and explanatory notes.

In preparing and presenting the financial statements, the Directors are responsible to ensure that:

- a) Sri Lanka Accounting Standards, as applicable, have been followed,
- b) Appropriate accounting policies have been selected and applied consistently and they disclose material departures and reasons for departures,
- c) Reasonable and prudent judgments and estimates have been made,
- d) The Companies Act No. 7 of 2007, Regulation of Insurance Industry Act No.43 of 2000; and subsequent amendments thereto
- e) Listing Rules of Colombo Stock Exchange have been complied with
- f) Statement of Recommended Practice (SoRP),
- g) Code of Best Practice on Corporate Governance 2017 issued by CA Sri Lanka

And while conforming to the standards, policies, laws, rules and regulations stated herein; to discharge their responsibility to ensure disclosure of the financial position of the company with reasonable accuracy; they are mindful of their responsibility to ensure that the company maintains adequate accounting records for the purpose.

The directors have a responsibility to ensure that the company has adequate resources to continue business in the foreseeable future. They, after a comprehensive review of the company's financial position, have adopted the going concern basis for the preparation of the financial statements.

The directors are responsible for the proper management of the resources of the company. They have taken steps to establish and maintain an appropriate system of internal control to obtain reasonable assurance that the company is protected from undue risks, frauds and other irregularities.

The directors confirm that they have provided the auditors all the information and explanations which were considered necessary for the conduct of their audit.

The Directors are of the view that they have discharged their responsibilities as set out in this statement.

Compliance Report

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by the Company, all contributions levies and taxes payable on behalf of and in respect of the employees of the Company, and all other known statutory dues, as were due and payable by the Company, as at the reporting date have been paid or, where relevant provided for, except as detailed in Note 38 (Page 222) to the Financial Statements, relating to contingent liabilities.

By order of the Board



Richard Pieris Group Services (Private) Limited
Company Secretary

Colombo, Sri Lanka
28 May 2024

CHIEF EXECUTIVE OFFICER'S AND FINANCE CONTROLLER'S RESPONSIBILITY STATEMENT

The financial statements of Arficio Insurance PLC as at 31st December 2023 are prepared and presented in compliance with the following:

- Sri Lanka Accounting Standards issued by the Institute of Chartered Accountants of Sri Lanka (CASL)
- Companies Act No. 07 of 2007
- Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995
- Insurance Industry Act No. 43 of 2000 and amendments thereto
- Statement of Recommended Practice (SoRP)
- Listing Rules of the Colombo Stock Exchange (CSE) and
- Code of Best Practice on Corporate Governance 2017 issued jointly by the CASL and Securities and Exchange Commission (SEC).

Accordingly, the Company has prepared the financial statements which comply with SLFRSs / LKASs and related interpretations applicable for the year ended 31st December 2023, together with the comparative data as at and for the year ended 31st December 2022, where required, as described in the accounting policies.

The accounting policies used in the preparation of the financial statements are appropriate and are consistently applied, unless otherwise stated in the notes accompanying the financial statements. There have been no changes in the accounting policies adopted by the Company during the year under review.

Significant accounting policies and estimates that involve a high degree of judgement and complexity were discussed with our External Auditors and the Board Audit Committee.

We confirm that to the best of our knowledge, the Financial Statements and other financial information included in this annual report, fairly present in all material respects the

financial position, results of operations and cash flows of the Company as of, and for, the periods presented in this Annual Report. We are responsible for establishing and maintaining internal controls and procedures to be designed under our supervision, and procedures. We have designed such controls and procedures, or caused such controls and procedures to be designed under our supervision, to ensure that material information relating to the Company is made known to us and for safeguarding the Company's assets and preventing and detecting fraud and error. We have evaluated the effectiveness of the Company's internal controls and procedures and are satisfied that the controls and procedures were effective as of the end of the period covered by this annual report and on an ongoing basis.

We confirm, based on our evaluations that there were no significant deficiencies and material weaknesses in the design or operation of internal controls and fraud that involves management or other employees. The Company's Internal Audit Function also conducts periodic reviews to ensure that the Internal Controls and Procedures are consistently followed.

The Financial Statements of the Company were audited by Messrs. Ernst & Young, Chartered Accountants and their Report is given on pages 154 -156. The Audit Committee pre-approves the audit and non-audit services provided by Messrs. Ernst & Young, in order to ensure that the provision of such services does not impact to the Ernst & Young's independence and objectivity.

The Board Audit Committee also reviews the External Audit Plan, the Internal Audit Plan, all Internal Audit reviews and Management Letter, and follows up on any issues raised during the Statutory Audit as well as the Internal Audits. The Board Audit Committee also meets with the External and Internal Auditors to review the effectiveness of the audits.

We confirm that the company has complied with all applicable laws and regulations and guidelines and that

there are no material litigations that are pending against the Company other than those arising in the normal course of conducting insurance business. We also confirm that the Company has complied with the following Insurance Regulatory Commission of Sri Lanka (IRC SL) requirements;

- All provisions in the FII Act No. 43 of 2000, and subsequent amendments there to, and all rules, regulations, determinations, directions issued by IRC SL; complied with all orders made by the Ministry of Finance and Planning under the FII Act, No. 43 of 2000
- Terms and conditions pertaining to reinsurance placements issued by IRC SL in terms of section 31(1) of the FII Act, No. 43 of 2000.
- All applicable circulars issued by IRC SL
- All provisions in the Financial Transactions Reporting Act, No. 06 of 2006
- Rules on Know Your Customer (KYC) and Customer Due Diligence (CDD) for the Insurance Industry issued by the Financial Intelligence Unit established under the Financial Transactions Reporting Act, No. 06 of 2006.
- Guidelines on Anti Money Laundering Programme for Insurers issued by IRC SL.



Ketum Senanayake
Director / Chief Executive Officer



S.H. Dulanjith Kaweesha
Financial Controller

28 May 2024

DIRECTORS RESPONSIBILITY STATEMENT OF RISK MANAGEMENT AND INTERNAL CONTROL

The statement fulfills the requirement to publish the Directors' Statement on risk management and internal control as per the Code of Best Practice on Corporate Governance 2023 issued by CA Sri Lanka.

The Board of Directors is responsible for maintaining a sound system of internal controls and risk management to safeguard shareholders' investments and the Company's assets. The Board identifies principal risks on an ongoing basis and ensures the implementation of appropriate systems to evaluate and manage these risks by considering the nature and extent of risks, the adequacy of the entire risk management framework, the likelihood of the risks concerned materializing, and the Company's ability to reduce the incidence and costs of operating particular controls.

The Board has established an appropriate control environment and is responsible for reviewing the design and effectiveness of the Company's internal control systems and management information systems, including systems for compliance with applicable laws, regulations, rules, directives, and guidelines. The Board defines the process to be adopted for its review of the design and effectiveness of internal control, encompassing both the scope and frequency of the reports it receives and reviews during the year, and the process for its assessment. The Board implements and forms its own view on the design and effectiveness of the Company's internal control systems after due and careful enquiry based on the information and assurances provided to it. The Board takes responsibility for the implementation of effective internal

controls and related disclosures in the annual report, with the Audit Committee ensuring the carrying out of reviews of internal controls and reporting to the Board thereon.

The Board ensures that an effective and comprehensive internal audit of the internal control systems is carried out by operationally independent, appropriately trained, and competent staff. Reports presented by management, internal, and external audit are reviewed to ensure that significant risks are identified, documented, evaluated, monitored, and managed. The design and effectiveness of the related system of internal control are assessed, with particular regard to any significant failures or weaknesses in internal control that have been reported, and necessary action is taken promptly to remedy any significant failings or weaknesses. If the findings indicate a need for more extensive monitoring of the system of internal controls, sufficient resources are deployed.

Conclusion

There is an ongoing process for identifying, evaluating, and managing the significant risks faced by the Company. This process has been in place for the year under review, is regularly reviewed by the Board, and accords with such direction.

The financial reporting system has been designed to provide reasonable assurance regarding the reliability of financial reporting, and the preparation of financial statements for external purposes has been done in accordance with relevant accounting principles and regulatory requirements.



Mr. Ramal Jasinghe
Chairman



Kelum Senanyake
Director/Chief Executive Officer

28 May 2024

RISK COMMITTEE REPORT

Principle D4 - Best Practice on CG

Risk Committee Charter

The risk management committee ("the committee") is appointed by the board of directors and accountable to the board. The responsibility of the committee is to supervise the risk management function of the company. The committee shall assist the board in terms of fulfilling its responsibility towards establishing and maintaining an enterprise-wide risk management framework, and any other risk management related matters determined by the board.



How to value Create to Stakeholders

Risk-Based Capital
Adequacy Ratio
349% - 2023
214% - 2022

Risk-Based Capital
Adequacy Ratio
414 million - 2023
867 million - 2022

Composition, Attendance & Meetings

In compliance with the code of best practices the risk committee of Arpico Insurance PLC consists of 3 non-executive. The attendance and directorship status are portrayed in the table as follows.

Name	Directorship	Membership Status	Attendance
Mrs. L. Serasinghe	Independent Non-Executive Director & Committee Chairman	Chairman	2/2
Mr. Ramal Jasinghe	Board chairman and Independent non-executive director	Member	2/2
Mrs. Dilukshika Fernando	Independent non-executive director	Member	2/2

Attendees By Invitation

- Chief Executive Officer
- Head of Actuarial, Risk, Compliance and Investments
- Financial Controller

Overall Compliance with Best Practices on Corporate Governance.

Principle D4 (Page No)



Key Duties & Responsibilities

- Review the company's risk management framework including risk management policy, risk appetite, risk strategy, the effectiveness of risk management controls periodically.
- Review the adequacy and effectiveness of senior management level committee to address specific risks and to manage those risks within quantitative and qualitative risk limits as specified by the committee
- Review the company's compliance with applicable laws and regulations.
- Review and discuss on concerns raised by auditors and regulators.
- Assess the impact of risks, including market, liquidity, operational, strategic, compliance and technological, through appropriate risk indicators and management information, and make recommendations on the risk strategies and the risk appetite to the board.

Authority

The committee has been authorized to obtain access to and receive periodic updates from the management. Furthermore, it will be equipped with all the necessary information regarding its duties and responsibilities.

Objectives

The primary objective of the Risk Committee of the Board of Directors is to support the Board in supervising management's duty to establish a comprehensive risk management framework. This framework should be carefully crafted to recognize, evaluate, and handle the strategic, credit and investment, market, and operational risks faced by the Firm. Moreover, the Committee strives to accomplish the subsequent secondary objectives as part of its mission:

- Supervise the evaluation and approval of the Company's Risk Management Policy, including risk strategies and risk tolerance.

- Review reinsurance treaties annually and give recommendations to the Board about their sustainability or lack thereof.
- Assess the organization's adherence to relevant laws and regulatory obligations.
- Analyze changes in the economic and business environment, including new trends and relevant factors related to the Company's risk evaluation.

Activities in 2023

- Evaluated the effectiveness of the company's existing risk management controls and provided further directions to the management.
- Reviewed regulatory inspection reports and provided further guidance on process improvements.
- Evaluated and approved the updated AML/CFT Compliance Policy document.
- Monitored the compliance status of the company.
- Reviewed correspondences with the industry regulator.

Future Plans & Activities.

The Committee will continue to examine the mechanisms for identifying, mitigating, and monitoring risks, including the risks that have already been identified and their impacts, in order to ensure that the Company remains within its predetermined risk tolerance. Additionally, it will consistently explore methods of enhancing the Company's Risk Framework by benchmarking against international best practices.

Conclusion

The committee will persist in examining risks, implementing strategies to mitigate them, and providing suggestions to guarantee that the company adheres to its prescribed compliance framework and operates within its predetermined risk tolerance.



Mrs. L. Serasinghe

(Ceased to hold office w.e.f. 27th May 2024)

Chairman

Risk Committee

27 May 2024

Compliance Status according to the Best Practice Code Requirement

Principle D4	Terms as Best Practice Code	Compliance Status
D.4.1	Comprise of a minimum three members	✓
	Majority should be non-executive directors and be chaired by an independent non-executive director.	✓
	Chief Executive Officer and Chief Financial officer Should be required to attend the all meetings	✓
D.4.2	Should have written terms of reference dealing clearly with its authority and duties.	✓
D.4.4	Should have external professional advice.	✓
D.4.5	Annual Report should contain a report of risk committee	✓
	Risk management framework in accordance with schedule K	✓

AUDIT COMMITTEE REPORT

Principle D3- Best Practice on CG Section 9.13 - CSE Listing Rules

Introduction

The Audit Committee Charter is reviewed and changed on a regular basis with the approval of the board of directors to ensure that new developments pertaining to the functions of the committee are incorporated. The Audit Committee Charter clearly defines the Committee's terms of reference. The purpose, authority, composition, roles, responsibilities and functions and of the board of audit committee are regulated by 'Rules on Corporate Governance' under listing rules of the Colombo Stock Exchange, 'Code of Best Practice on Corporate Governance' issued by the Institute of Chartered Accountants of Sri Lanka 2023.

Composition of the Committee and Bac Meetings and Attendance

The Board Audit Committee (BAC) consists of three Non- Executive Directors, a majority of whom are independent and in line with the composition requirements specified by the regulator. The attendance and Directorship status are given in the below table

Name	Directorship	Membership Status	Attendance
Ms. Lasinee Serasinghe	Non-Executive Interdependent Director	Chairman	5/5
Mr. Shiron Gooneratne	Non-Executive Director	Member	0/5
Mrs.Dilukshika Fernando	Non-Executive Independent Director	Member	5/5

BAC Meetings

Quarter	Q1	Q2	Q3	Q4	Total
No of Meetings	1	2	1	1	5

Secretary to the Committee

Richard Pieris Group Services (Pvt) Limited serves as the Secretary to the Board Audit Committee.

Charter of the Committee

The Charter of the BAC approved by the Board, clearly defines the Terms and Reference of the committee and is

annually reviewed to ensure that new developments relating to the committee's functions are addressed. The Charter of the Committee was last reviewed and approved by the Board in 13th November 2023. The Committee has the cooperation of the management and complete access to information and may invite any Director or executive officer to attend its meetings.

Compliance Report

	Attendance	NEDs	INEDs
Compliance with the CSE Rules			
Satisfied	100%	100%	67%
Compliance with Code of Best Practices			
Satisfied			

VALUE CREATION



How to value Create to Stakeholders

1. Ethical business practices.

2. Improved contribution from Whistle blowing system.

3. Interdependent audit functioning.

4. Enhanced control environment.

HIGHLIGHTS ACTIVITIES

1. MEETINGS

The Committee met 5 times during the year. The attendance of the members at these meetings is stated in the page no 140. Other members of the Board and the Group Management Committee, as well as the External Auditors were present at discussions where it was appropriate. The proceedings of the Audit Committee are regularly reported to the Board of Directors.

2. FINANCIAL REPORTING

The primary role of the Committee in relation to financial reporting is to monitor the integrity of the company's published financial information including reviewing its full-year and quarterly financial results. The Committee undertakes this with the management and concentrates on ensuring compliance with the relevant financial and governance reporting requirements. The Committee considers the principal accounting policies that are used when preparing these results as well as reviewing the significant accounting issues and areas of judgements made as noted below and other key areas. Also, this includes the fair, balanced and understandable review. The Committee receives regular reports from the company's Financial Controller to support this work.

3. INTERNAL AUDIT

The work of the internal audit function spans the whole company including, as and when relevant, acquired businesses and provides independent and objective assurance over the company's systems of internal controls through a risk-based approach. The Committee reviews and approves the scope and resourcing of the internal audit plan annually with the Audit and Risk. The scope of the plan is determined

by reference to the company's operating risks and strategy as well as functional and external risks.

The Committee reviewed;

1. The Internal Audit Plan and monitored its implementation through regular communication
2. All major findings revealed through audit investigations and potential fraud monitoring activities carried out during the year.

4. RISK MANAGEMENT

The Audit and Risk provides quarterly reports to the Committee which cover the performance of the company's system of internal control and its effectiveness in managing the company's principal risks and identifying any control failings or weaknesses. These reports highlight matters which might impact the delivery of the company's key strategic objectives or which indicate improvement is required in any of the company's processes or controls. The Committee carefully considers these findings and discuss appropriate actions where necessary. An annual review of the company's risk management processes is undertaken by the Committee, as required by the Code, the Institute of Chartered Accountants of Sri Lanka (ICASL) Guidance on Audit Committees and the recommendations of the ICASL Guidance on Risk Management, Internal Control and Related Financial and Business Reporting. These processes include material controls which cover financial, operational and compliance controls and risk management systems. The outcomes of these reviews are shared with the Board. These, in combination with other updates to the Board on the company's principal risks, allowed the Board to assess the effectiveness of the company's systems of internal

control and residual risk prior to making its statement in this Annual Report and Accounts. The internal control system and risk management process have been in place during the year and up to the date of this Report and Accounts.

5. EXTERNAL AUDIT

The Committee is responsible for reviewing the performance and effectiveness of the external Auditors, as well as their appointment and remuneration. A review of the external Auditors' performance and effectiveness is undertaken by the Committee each year. The review includes looking at qualification, expertise, resources and reappointment of the external Auditors, as well as ensuring that no issues have arisen which might adversely affect their independence and objectivity. The review also considers how robust the external audit itself has been, as well as the quality of delivery. It also addresses the ICASL's Audit committee Report as well as any feedback received from the company's senior managers. How well the external Auditors have exercised professional scepticism and whether they have provided an appropriate degree of constructive challenge to management is assessed by the Committee and, as part of risk evaluation planning, the Committee also considers the risk of external auditors withdrawing from the market.

6. INDEPENDENCE AND OBJECTIVITY OF THE EXTERNAL AUDITORS

The Audit Committee executed an annual assessment of the External Auditor's independence and objectivity, including the audit process' efficacy. Auditors having no relationship (other than that of Auditors) with the Company, as far as the Audit Committee is aware. In addition, as required by the Companies Act No. 07 of 2007

AUDIT COMMITTEE REPORT

and Best Practice on Corporate Governance 2023 issued by CA Sri Lanka the Committee has received a declaration from EY, EY confirming that they do not have any relationship with the Company, which may have a bearing on their independence.

7. ETHICS, GOOD GOVERNANCE AND WHISTLE BLOWING

The committee continuously emphasized on upholding ethical values of the staff members. In this regard, the company has a Code of Ethics and a whistleblower's charter which ensure and encourage all staff members to be ethical, transparent and accountable and resort to whistleblowing if they suspect any wrongdoings or other improprieties. The company takes steps in line with good business practice to detect and prevent fraudulent activity. Highest standards of corporate governance and adherence to the company's Code of Ethics were ensured.

8. SRI LANKA ACCOUNTING STANDARDS

Committee reviewed the revised policy decisions relating to adoption of new and revised Sri Lanka Accounting Standards (SLFRS/LKAS) applicable to the company and made recommendation to the Board of Directors. The Committee continuously monitored the progress of implementation of SLFRS as per the requirements of Sri Lanka Accounting Standards. The Committee would continue to monitor the compliance with relevant Accounting Standards and keep the Board of Directors informed at regular intervals.

Regulations/ rules relevant to the functions of the committee

The role, functions and the composition of the Board Audit Committee (BAC) are defined by the provisions of the Insurance Industry Act, No.43 of 2000 by the Insurance board of Sri Lanka (the Direction); Section 9.13 of Listing Rules

of the Colombo Stock Exchange (the CSE Rules); and Code of Best Practice on Corporate Governance 2017 issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka).

Purpose

The purpose of the audit committee is to

- Assist the board of directors in fulfilling its overall responsibilities for the financial reporting process.
- Review the system of internal control and risk management procedures.
- Monitor the effectiveness of internal audit function.
- Review the company's process for monitoring compliance with laws and regulations.
- Assess the independence and performance of the company's external auditors.
- Make recommendations to the board on the appointment of external auditors, their remuneration and terms of appointment.

Key responsibilities of the committee

- Reviewing financial information and monitoring the integrity of the financial statements of the company, its annual report, accounts and quarterly reports prepared for disclosure, prior to submission to the Board and ensuring compliance with statutory provisions, accounting standards and accounting policies.
- Reporting to the Board on the quality, appropriateness and acceptability of the company's accounting policies and practices.
- Assessing the reasonableness of the underlying assumptions based on which estimates and judgments are made when preparing the financial statements.

- Overseeing the Internal Audit function and reviewing of audit reports to ensure that appropriate actions are taken by the Management to implement the recommendations made by the Internal Auditors.

- Assessing the independence and reviewing the adequacy of the scope, functions and resources of the Internal Audit Department, including the appointment of the Chief Internal Auditor and the performance of the Head and senior staff members of the Internal Audit Department.

- Overseeing the appointment, compensation, resignation and dismissal of the External Auditor, including review of the External Audit function, its cost and effectiveness and monitoring of the External Auditors' independence and/or objectivity.

- Reviewing the adequacy and effectiveness of the Internal Controls, Risk Management and ensure compliance with Corporate Governance and regulatory requirements.

- Reviewing the Terms of Reference of the Committee periodically and ensuring that it reflects the best practices of the industry at all times.

SLFRS 17 insurance contracts new accounting policy disclosures

The 2023 financial statements include quantitative and qualitative disclosures of transitioning to the new standard. SLFRS 17 represents a material change in accounting for the company in 2023 and accordingly the estimated impact on transition has been disclosed in the financial statements. As noted under the heading 'Accounting Standards' the Committee held several sessions during the year on SLFRS 17 training and reviewing proposed methodologies. The Committee reviewed the proposed disclosures' compliance with accounting

standards. The Committee also considered the appropriateness of the qualitative and quantitative disclosures and the range provided for the impact on the opening balance sheet in the context of the progress of the implementation project.



Mr. Lasinee Seresinha

(Cessed to hold office w.e.f. 27th May 2024)

Chairman

Audit Committee

27 May 2024

REFERENCES

Principle D3	Best Practice Code	Company's Status	Compliance Status
Comprise of Minimum Members	3	3	Satisfied
Meeting Per Year	4	5	Satisfied

Ref: Best practice Code (Page no: 06)

Principle D3	Terms as Best Practice Code	Best Practice Code Requirement	Compliance Status
D.3.1.	Composition	exclusively of non-executive directors with a minimum of three non-executive directors of whom at least two should be independent should be chaired by an independent non-executive director	✓
D.3.2.	Written terms of reference	committee's purpose duties and responsibilities of the audit committee	✓
D.3.3.	Disclosures	The names of directors comprising the audit committee The number of meetings held and attendance of each director. The scope of work and how its roles and responsibilities were discharged.	✓ ✓
Overall Compliance with Best Practices on Corporate Governance			100%

Code	Terms as CSE rules	Requirement	Compliance Status
9.13.2.	Scope, Authority and Duties	The Audit Committee shall have a written terms of reference clearly defining its scope, authority and duties.	✓
9.13.3.	Composition	1.(a). comprise of a minimum of three (03) directors of the Listed Entity, out of which a minimum of two (02) or a majority of the members, whichever higher, shall be Independent Directors. 1.(b). not comprise of Executive Directors of the Listed Entity.	✓
		2. The quorum for a meeting of the Audit Committee shall require that the majority of those in attendance to be independent directors.	✓

AUDIT COMMITTEE REPORT

Code	Terms as CSE rules	Requirement	Compliance Status
		3. The Audit Committee may meet as often as required provided that the Audit Committee compulsorily meets on a quarterly basis prior to recommending the financials to be released to the market.	
9.13.4.	Functions	1.(i)(a) changes in or implementation of major accounting policy changes;	
		1.(i)(b) significant matters highlighted including financial reporting issues, significant judgments made by management, significant and unusual events or transactions, and how these matters are addressed;	
		1.(i)(c) compliance with accounting standards and other legal requirements;	
		1.(iv)(a) the CEO and the CFO that the financial records have been properly maintained and the financial statements give a true and fair view of the Entity's operations and finances; and 1.(iv)(b) the CEO and other key management personnel who are responsible, regarding the adequacy and effectiveness of the Entity's risk management and internal control systems.	
9.13.5.	Disclosures	1. The Audit Committee shall also prepare an Audit Committee Report which shall be included in the Annual Report of the Listed Entity. The Audit Committee Report shall set out the manner in which the Entity has complied with the requirements applicable to the Audit Committee during the period for which the Annual Report relates	
		2.(a) the names of the Chairperson and the members of the Audit Committee, and the nature of directorships held by such members	

Overall Compliance with CSE rules:

100%

INVESTMENT COMMITTEE REPORT

Introduction.

It is the committee that examines risks, implementing strategies to mitigate them, and providing suggestions to guarantee that the company adheres to its prescribed compliance framework and operates within its predetermined risk tolerance.



How it creates value to the Stakeholders.



Composition, Attendance & Meetings

The investment committee comprise of Two directors. The attendance for the meetings and Directorship is mentioned as follows.

Name	Directorship	Membership Status	Attendance
Mr. Shiron Goonaratne	Non- Executive Director	Chairman	2/2
Mr. Ramal Jasinghe	Independent Non-Executive Director	Member	2/2

100% Non Executive directors



Key Duties & Responsibilities.

- Evaluate and assess the investment portfolio's performance, liquidity, and the alignment between assets and liabilities.
- Make sure to adhere completely to the laws, regulations, rules, determinations, and guidelines concerning investments that have been issued by the Insurance Regulatory Commission of Sri Lanka (IRCSL).
- Assume the role of the approving authority responsible for incorporating investment, counterparties and asset classes into the investment portfolio to enhance diversification.
- Assess the investment policies, strategies, and programs to guarantee they are in line with the organization's goals and objectives.
- Analyze the information regarding the present economic situation, inflation, and interest rates in order to develop forthcoming investment tactics.



- Adhering to CSE regulations.
- Following guidelines of Code of Best Practices.

INVESTMENT COMMITTEE REPORT

Authority.

The committee is granted unrestricted access to obtain regular updates from the management at any given moment. To fulfil its obligations with utmost effectiveness and efficiency, the committee is empowered to acquire and seek information from the management pertaining to its responsibilities.

Objective of the Investment Committee.

The primary goal of an Investment Committee is to establish a sound and cautious approach for managing investment strategy. Its main responsibilities include providing strategic oversight and closely monitoring the performance of the investment portfolio.

The Upcoming Year.

The Committee will persist in making decisions and suggestions that align with the risk, and other relevant parameters for investments, while ensuring the satisfactory execution of risk/reward strategies to attain the projected returns for the year. Throughout the year, the Committee will prioritize asset and liability management on a product and fund level, with the aim of maximizing investment yields.

Conclusion.

As a whole it can be concluded that the main goal of the Investment Committee is to create a careful system for handling investment strategy while its primary duty is to oversee the strategic aspects and keep track of the investment portfolio's performance. For this the Board and its members will collaborate and be committed to accomplish this main goal.



Mr. Shiron Goonaratne
Chairman
Investment Committee

28 May 2024

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

The related party transactions committee of Richard Pieris and Company PLC acts on behalf of Arpico Insurance PLC. Through relevant procedures, the board and the committee ensure that the company does not engage in transactions that would grant such a related party 'more favorable treatment' beyond the ordinary course of treatment relayed to third parties of the business



How to value Create to Stakeholders

Enhanced transparency

Improved governance

Risk mitigation

Compliance assurance

Composition and Attendance of the Committee

The Related Party Transaction Review Committee (RPTRC) comprises experienced professionals with diverse backgrounds. The members include representatives from the Board, internal audit, finance, and legal departments. Regular attendance and participation were maintained throughout the year, ensuring comprehensive oversight

Name	Directorship	Membership Status	Attendance
Dr.Jayatissa de Costa PC.	Independent Non-Executive Director	Chairman to the Committee /Director, RPC	4/4
Mr.J.F.Fernandopulle	Independent Non-Executive Director	Member/ Director, RPC	4/4
Mr.Prasanna Fernando	Independent Non-Executive Director	Member/ Director, RPC	4/4

Charter of the Committee

The committee's charter outlines its purpose, authority, and responsibilities in alignment with LKAS 24. This includes overseeing related party transactions, evaluating their fairness, and ensuring compliance with regulatory requirements.

Objectives, Responsibilities, and Duties

The committee's primary objectives include safeguarding the company's

interests, preventing conflicts of interest, and ensuring transparency. Responsibilities encompass a rigorous review of all related party transactions, assessment of their terms, and validation of adherence to the LKAS 24 standards.

Activities in 2023

In 2023, the committee diligently reviewed all related party transactions, providing a detailed analysis in adherence to LKAS 24. Notable activities included

Overall Compliance with Best Practices on Corporate Governance.

Principle D5

Overall Compliance with CSE Listing Rules.

Section 9.14

Overall Compliance with Sri Lanka Accounting Standard.

LKAS – 24

comprehensive risk assessments, due diligence on significant transactions, and continuous monitoring of related party relationships.

- Throughout the financial year that concluded on December 31, 2023, the committee met four times and the proceedings of the committee meetings have been regularly reported to the Board of directors during the financial year.

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

- Reviewed all related party transaction over the previous four quarters and verified that they happened at a fair price.
- There were no non – recurrent or recurrent RPT that exceeded the respective thresholds mentioned in the listing rules of the CSE.

Disclosures During the Year

Transparent disclosures regarding related party transactions were made in the financial statements for the year 2023, complying with the disclosure requirements outlined in LKAS 24. This ensured stakeholders were well-informed about the nature, extent, and financial impact of these transactions.

Declaration

All committee members declared their independence and confirmed their commitment to act in the best interests of Arpico Insurance PLC. Conflicts of interest, if any, were disclosed and appropriately managed in line with established protocols.

The Year Ahead

Looking forward, the committee is committed to enhancing its processes, staying abreast of regulatory changes, and proactively addressing emerging challenges. Continued vigilance in 2024 will be pivotal to maintaining the integrity and transparency of related party transactions.

This report attests to the committee's dedication to upholding the highest standards of corporate governance and compliance with LKAS 24.

Dr. Jayatissa de Costa PC.
Chairman
Related party transactions review committee
28 May 2024

Compliance Status according to the Best Practice Code 2023 Requirement

Principle D5	Terms as Best Practice Code	Compliance Status
D.5.2	Comprise of a minimum three members	✓
	Minimum three non-executive directors of whom the majority is independent	✓
	Chairman should be independent non-executive director	✓
D.5.3	Should have written terms of reference dealing clearly with its authority and duties.	✓
D.5.2	Committee will meet at least four times a year.	✓
	Declarations of related parties and related party transactions should obtain quarterly.	✓
	Prior entering to any related party transaction ,related party transactions review committee or the board must review.	✓
	Should have list of related parties and process in place to capture and report related party transactions	✓

Compliance Status according to Colombo Stock Exchange Listing Rules Requirement

Principle 9.14	Terms as Best Practice Code	Compliance Status
9.14.3	Related Party Transactions Review Committee shall establish and maintain a clear policy, procedure and process in place for the identification, clarification and reporting the Related Party Transactions on an end-to-end basis across the Entity's operations.	✓
9.14.4	Meet quarterly, have access to enough knowledge or expertise to assess all aspects of proposed Related Party Transactions, and where necessary, should obtain appropriate professional and expert advice from an appropriately qualified person, where necessary the approval of the Board of Directors should be obtained prior to entering into the relevant Related Party Transaction and if director is having material personal interest to a transaction under the approval of board he shall not voice or participate the decision.	✓



FINANCIAL FORTITUDE

Financial statements

Financial Statements are the reflections of an organization which shows current performance.

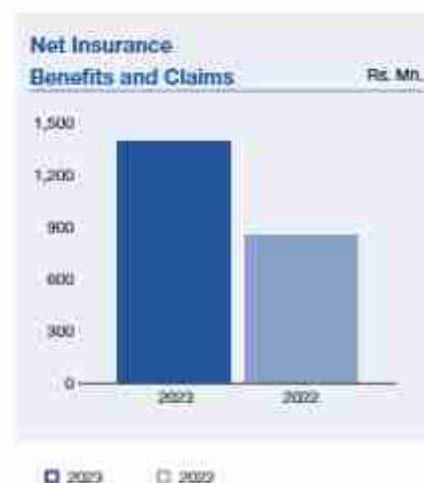
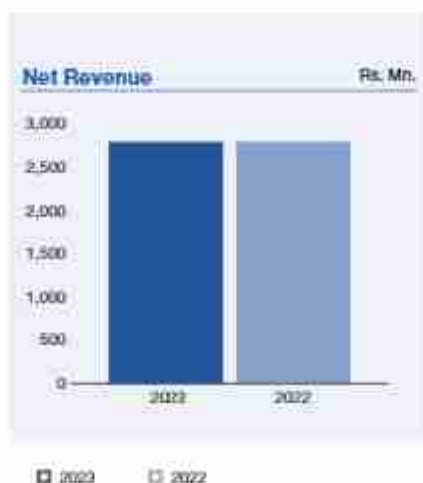
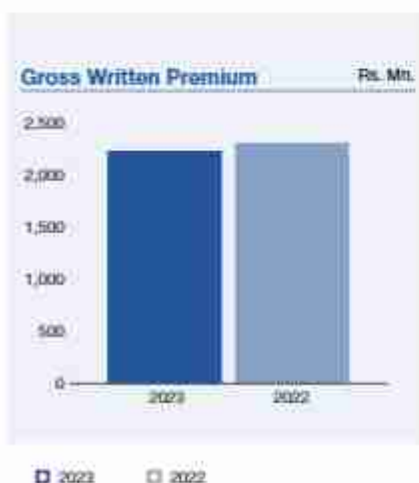
Beyond mere snapshots of the past, these statements serve as indispensable tools for strategic planning, furnishing stakeholders with the clarity and foresight necessary to navigate towards future objectives with precision and confidence. In essence, financial statements are not just records; they are the compasses guiding the course of an organization's financial fortitude, ensuring informed decisions and sustainable growth.

FINANCIAL CALENDER

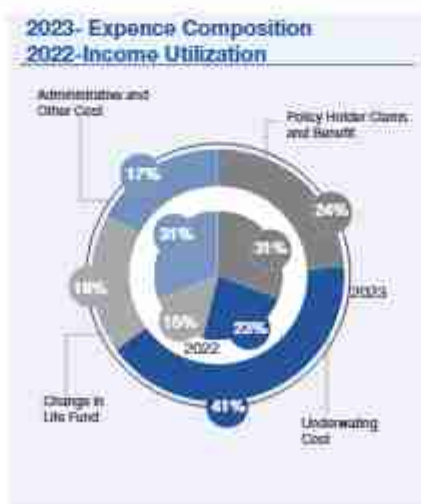
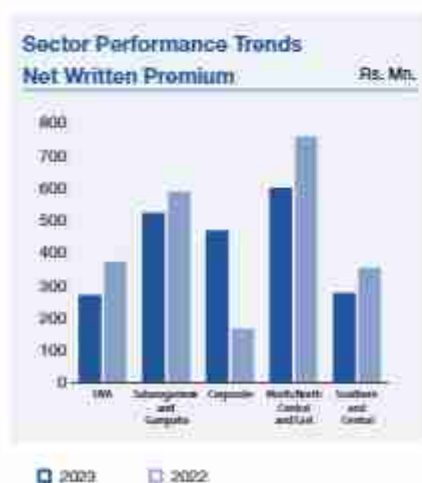
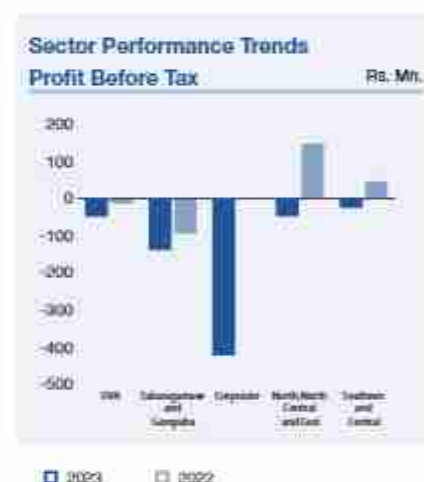
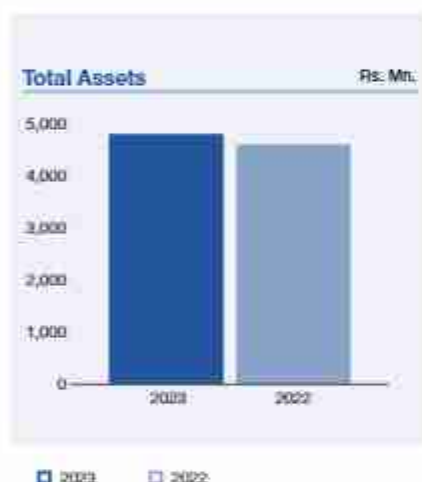
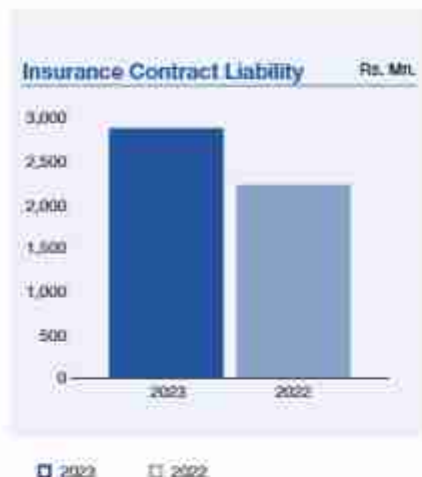
	For the year 2024	For the year 2023
Annual Report	In March 2024	On 31st May 2024
Annual General Meeting	In April 2024	On June 2024
Interim Financial Statement Calendar		
For the three months ended/ ending March 31st	On or before 15th May 2023	15th May 2023
For the six months ended/ending June 30th	On or before 15th August 2023	11th August 2023
For the nine months ended/ ending September 30th	On or before 15th November 2023	15th November 2023
For the year ended/ending December 31st	On or before 29th February 2024	4th April 2024

FINANCIAL HIGHLIGHTS

Year ended 31 December	2023 (000)	2022 (000)	Change (000)
Profitability / Return			
Profit before tax	(683)Mn.	85 Mn.	(769)Mn.
Income tax rate	-	(48)Mn.	48Mn.
Profit/(loss) after tax	(683)Mn.	36Mn.	(720)Mn.
Gross written premium	2,236 Mn.	2,318 Mn.	(81)Mn.
Net premium earned	2,141 Mn.	2,247Mn.	(105)Mn.
Operating Profit/(loss)	(503)Mn.	361Mn.	(865)Mn.
Gross profit margin	(23%)	16%	(38%)
EBITDA	(509)Mn.	190Mn.	(699)Mn.
Net profit margin	(31%)	2%	(32%)
Return on assets	(14%)	2%	(16%)
Return on equity	(48%)	2%	(50%)
Market Performance			
Market price per share	23	23	-
Earning per share	(10)	1	(11)
Financial Position			
Total assets	4,815Mn.	4,820Mn.	195 Mn.
Insurance contract liability	2,885 Mn.	2,241 Mn.	644 Mn.
Total debt	3,405 Mn.	2,702 Mn.	702 Mn.
Total equity	1,410 Mn.	1,917 Mn.	(506)Mn.
Efficiency ratios			
Asset turnover	45%	50%	(4%)
Gearing Ratios			
Debt/total assets	71%	59%	12%
Debt / equity	2.41	1.41	1
Industry Specific Ratios			
Capital adequacy	-	-	-
Reinsurance expense	4%	3%	1%
Acquisition cost to GWP	28%	27%	1%



FINANCIAL HIGHLIGHTS



ACTUARY'S REPORT



Actuarial Partners Consulting Sdn Bhd
formerly known as Mercer Zainal Consulting Sdn Bhd
Suite 17.02 Kenanga International
Jalan Sultan Ismail
60250 Kuala Lumpur, Malaysia
603 2161 0433 Fax: 603 2161 3595

9 May 2024

To the Shareholders of Arpico Insurance PLC.

ACTUARIAL VALUATION OF THE LONG TERM INSURANCE BUSINESS AS AT 31 DECEMBER 2023

We have carried out an actuarial valuation of the Long Term Insurance Business as at 31 December 2023. We hereby certify that, in our opinion,

- 1) Proper records have been kept by the Company, which are appropriate for the purpose of the actuarial valuation of the liabilities of the Long Term Insurance Fund;
- 2) Adequate and proper reserves have been provided as at 31 December 2023, for all liabilities in respect of the Long Term Insurance Fund, taking into account all current and contingent liabilities as at that date;
- 3) As at 31 December 2023, the Company maintained a Capital Adequacy Ratio of 349% calculated as per the Solvency Margin (Risk Based Capital) Rules 2015 issued by the Insurance Regulatory Commission of Sri Lanka as required under the Regulation of Insurance Industry Act No. 43 of 2000. This is well above the minimum Capital Adequacy Ratio of 120% as per the same rules;
- 4) We carried out a Liability Adequacy Test ("LAT") for Long Term Insurance fund as at 31 December 2023 as required by SLFRS 4 - Insurance Contracts and the assets are sufficiently adequate as compared to liabilities under the LAT.

A handwritten signature in black ink, appearing to read "Hassan Scott Odierno".

Hassan Scott Odierno
Actuary

INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS



Ernst & Young
Chartered Accountants
Rotunda Towers
No. 109, Galle Road
P.O. Box 101
Colombo 03, Sri Lanka

Tel : +94 11 246 3500
Fax : +94 11 768 7889
Email: ey@lk.ey.com
ey.com

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinion

We have audited the financial statements of Arpico Insurance PLC ("the Company"), which comprise the statement of financial position as at 31 December 2023, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policy information.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31 December 2023, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Company in accordance with the Code of Ethics for Professional Accountants issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in the audit of the financial statements of the current period. These

matters were addressed in the context of the audit of the financial statements as a whole, and in forming the auditor's opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Key audit matter	How our audit addressed the key audit matter
Life Insurance Contract Liabilities Life Insurance Contract Liabilities amounting to Rs. 2.89 Bn represent 85% of total liabilities of the Company as at 31 December 2023 and are determined based on an actuarial valuation as described in Note 2.2 to the financial statements. This was a key audit matter due to: - materiality of the reported Life Insurance Contract Liabilities; - the degree of assumptions, judgements and estimation uncertainty associated with the actuarial valuation of Life Insurance Contract Liabilities and liability adequacy test carried out to determine the adequacy of the carrying value of Life Insurance Contract Liabilities. Key assumptions used in the valuation of the Life Insurance Contract Liabilities included the following: - Mortality rate, morbidity rate, lapses ratio and surrenders ratio; loss ratios, bonus, interest rates, discount rates and related claim handling expenses, as disclosed in Note 30 to the financial statements.	To assess the reasonableness of the Life Insurance Contract Liabilities, our audit procedures included the following: - Assessed the competency, capability and objectivity of the management specialist engaged by the Company. - Obtained an understanding of the liability valuation process. - Checked the completeness and accuracy of the data used in the valuation of Life Insurance Contract Liabilities by agreeing key information to source documents and accounting records. - Engaged expert resources to assess the reasonableness of the assumptions and appropriateness of the methods used in the actuarial valuations of Life Insurance Contract Liability and Liability Adequacy Test with reference to market data and policyholders experience. We assessed the adequacy of the disclosures in Note 30 and 2.2 to the financial statements.

Partners: D K Hulanemulla FCA FCMA LLB (London), A P A Gunawardena FCA FCMA, Ms. Y A De Silva FCA, Ms. D D S Manthura FCA, W K B S P Fernando FCA FCMA, R E Wijesuriya FCA FCMA, R N de Silva ACA FCMA, Ms. N A De Silva FCA, N M Subalman ACA ACMA, Ms. L R H L Fonseka FCA, Ms. P V R N Rajeswari FCA, A A J R Perera FCA ACMA, H Y R L Fernando ACA, D N Gamage ACA ACMA, C A Yagapala ACA ACMA

Independent: P P M Roberts FCMA FCCA MBA (US) FLS, D B Goudan ACA, Ms. P S Parakkiananthan ACA ACMA LLB (London), D L B Karunathilake ACA, W S J De Silva BSc (Hons) - MAS MAC - IF, V Shaktivel B.Com (Cip)

A member firm of Ernst & Young Global Limited

Other information included in the Company's 2023 Annual Report

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of management and those charged with governance

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern

and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for

one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS



We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

As required by Section 47(2) of the Regulation of Insurance Industry Act, No.43 of 2000, as far as appears from our examination, the accounting records of the Company have been maintained in the manner required by the rules issued by the Insurance Regulatory Commission of Sri Lanka, so as to clearly indicate the true and fair view of the financial position of the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 4169.

10 May 2024
Colombo

INCOME STATEMENT

Year ended 31 December		2023	2022
	Notes	Rs.	Rs.
Gross written premium	6	2,236,604,711	2,318,578,356
Premium ceded to reinsurers	7	(95,541,262)	(71,539,608)
Net written premium		2,141,063,449	2,247,038,748
Other revenue			
Fees and commission income	8	29,250,346	50,077,425
Net Investment income	9	581,234,828	452,057,515
Net fair value gains / (losses)	10	28,455,896	14,011,738
Net realised gains		-	4,601,930
Other operating revenue	11	8,320,843	31,077,813
Total other revenue		647,261,713	551,826,421
Net income		2,788,325,162	2,798,865,169
Net insurance benefits and claims paid	12	(1,401,134,620)	(860,031,040)
Net change in insurance claims outstanding	12	(27,835,847)	13,762,008
Underwriting and net acquisition costs	13	(624,048,548)	(630,173,632)
Change in contract liabilities - life fund	30	(591,734,541)	(408,860,708)
Other operating, administrative and selling expenses	14	(702,909,591)	(747,448,886)
Depreciation and Amortisation	19/20/18	(124,493,940)	(80,920,951)
Total benefits, claims and other expenses		(3,472,157,088)	(2,713,673,209)
Profit/(Loss) before tax		(683,831,926)	85,191,960
Income tax expense	16.3	-	(48,955,682)
Profit/(Loss) for the year		(683,831,926)	36,236,278
Earning / (Loss) per share			
Basic (Rs.)	17	(10.33)	0.55
Diluted (Rs.)	17	(10.33)	0.55

The accounting policies and notes as set out in pages 163 to 224 form an integral part of these financial statements.

STATEMENT OF COMPREHENSIVE INCOME

Year ended 31 December		2023	2022
	Notes	Rs.	Rs.
Profit / (Loss) for the year		(683,831,926)	36,238,278
Other comprehensive income			
Items that are or may be reclassified to profit or loss			
Net change in fair value of available-for-sale financial assets		181,155,947	(100,147,302)
Net change in liabilities of insurance contracts arising from fair value changes in available for sale financial assets		(52,270,837)	(59,402,497)
Net change in fair value of AFS reserve transferred to insurance liabilities	30	52,270,837	64,004,427
Net change in fair value of available for sale financial assets of insurance liabilities transferred to the income statement		-	(4,801,930)
Items that will never be reclassified to profit or loss			
Actuarial loss on defined benefit plan	31	(4,164,915)	83,360
Other comprehensive income, net of tax		176,991,032	(190,063,942)
Total comprehensive income for the year, net of tax		(506,840,894)	(153,827,664)

The accounting policies and notes as set out in pages 163 to 224 form an integral part of these financial statements.

STATEMENT OF FINANCIAL POSITION

Year ended 31 December		2023	2022
	Notes	Rs.	Rs.
Assets			
Intangible assets	18	767,227	1,118,327
Property, plant and equipment	19	60,343,336	75,284,032
Right of use assets	20	198,167,665	183,439,549
Financial assets	21	3,949,884,217	3,681,717,640
Loans to life policyholders	22	241,246,301	321,812,161
Reinsurance receivables	23	11,108,850	1,902,666
Amounts due from related parties	24	30,985,542	21,654,039
Premium receivables	25	91,475,027	99,334,584
Other assets	26	175,300,704	83,994,218
Cash and cash equivalents	27	56,396,474	169,799,679
Total assets		4,815,675,345	4,620,056,895
Equity and liabilities			
Equity			
Stated capital	29	675,564,870	675,564,870
Retained earnings		770,448,880	1,458,445,721
Available for sale reserves		(35,537,005)	(216,892,952)
Total equity		1,410,476,745	1,917,317,639
Liabilities			
Insurance contract liabilities	30	2,885,863,883	2,241,859,388
Employee benefit obligation	31	15,667,480	17,057,855
Reinsurance payables	32	37,579,204	32,402,323
Lease liabilities	20	221,777,381	175,394,254
Amounts due to related parties	33	49,590,990	30,795,272
Other financial liabilities	34	126,283,782	117,550,937
Other liabilities	35	68,435,879	87,679,227
Total liabilities		3,405,198,600	2,702,739,258
Total equity and liabilities		4,815,675,345	4,620,056,895

The accounting policies and notes as set out in pages 163 to 224 form an integral part of these financial statements.



S.H. Dulanjith Kaweesha
Financial Controller

The Board of Directors is responsible for the preparation and presentation of these financial statements. Signed for and on behalf of the board.



Ramal Jasinghe
Chairman



Kelum Senanayake
Director / Chief Executive Officer

Colombo
10 May 2024

STATEMENT OF CHANGES IN EQUITY

Year ended 31 December	Stated Capital Rs.	AFS Reserve Rs.	Retained Earnings Rs.	Total Equity Rs.
As at 1 January 2021	675,564,870	(26,545,660)	1,422,126,083	2,071,145,303
Profit for the year	-	-	36,236,278	36,236,278
Actuarial loss on defined benefit plan	-	-	83,360	83,360
Net change in fair value of available-for-sale financial assets	-	(190,147,302)	-	(190,147,302)
Total comprehensive income	675,564,870	(216,692,952)	1,458,445,721	1,917,317,639
As at 31 December 2022	675,564,870	(216,692,952)	1,458,445,721	1,917,317,639
As at 1 January 2023	675,564,870	(216,692,952)	1,458,445,721	1,917,317,639
Profit / (Loss) for the year	-	-	(683,831,926)	(683,831,926)
Actuarial loss on defined benefit plan	-	-	(4,164,915)	(4,164,915)
Net change in fair value of available-for-sale financial assets	-	181,155,947	-	181,155,947
Total comprehensive income	675,564,870	(35,537,005)	770,448,880	1,410,476,745
As at 31 December 2023	675,564,870	(35,537,005)	770,448,880	1,410,476,745

The accounting policies and notes as set out in pages from 163 to 224 an integral part of these financial statements.

STATEMENT OF CASH FLOWS

Year ended 31 December	Notes	2023 Rs.	2022 Rs.
Cash flows from operating activities			
Insurance premium received		2,237,538,603	2,281,713,866
Reinsurance premium paid		(90,364,381)	(109,138,684)
Insurance benefits and claims paid		(1,478,459,067)	(926,265,262)
Reinsurance claim received		46,871,115	66,234,222
Payments to intermediaries to acquire insurance contracts		(398,048,399)	(295,352,938)
Other operating cash flows		(875,007,321)	(844,246,368)
Cash generated from operating activities		(557,469,451)	172,944,838
Employee benefits paid		(11,498,151)	(5,299,920)
Net cash generated from operating activities		(568,967,602)	167,644,916
Cash flows from investing activities			
Acquisition of financial investments		(58,554,734)	(2,043,004,255)
Proceeds from maturity of financial investments		-	1,714,633,025
Interest received		652,767,050	329,872,816
Dividend received		9,033,438	9,395,001
Acquisition of property, plant and equipment		(10,494,261)	(43,382,344)
Purchase of intangible assets		-	(844,000)
Advance paid to right of use assets		(133,436,001)	(23,120,000)
Net cash flows used in investing activities		459,315,492	(62,449,757)
Net cash flows used before financing activities		(109,652,110)	105,195,159
Cash flows from financing activities			
Payment of lease liability		(3,751,097)	(85,410,662)
Net cash used in financing activities		(3,751,097)	(85,410,662)
Net increase / (Decrease) in cash and cash equivalents		(113,403,206)	19,784,497
Cash and cash equivalents at the beginning of the year		169,799,681	150,015,184
Cash and cash equivalents at the end of the year		56,396,474	169,799,681

STATEMENT OF CASH FLOWS

Year ended 31 December		2023	2022
	Notes	Rs.	Rs.
Reconciliation of profit before taxation with cash from operating activities			
Profit before tax		(683,831,926)	85,191,960
Adjustment for :			
Non - cash items included in profit before tax			
Depreciation of property, plant & equipment	19	25,434,957	25,790,250
Amortisation of intangible assets	18	351,100	312,517
Interest income	9	(572,201,191)	(433,385,009)
Net depreciation of right of use assets	20	98,707,883	68,236,528
Dividend income		(9,033,438)	(18,672,506)
Interest expense of lease Liability	20	50,134,224	24,480,897
Unrealised Gain		(28,455,896)	(14,011,738)
Realised Gain		-	(4,001,930)
Provision for employee benefit	14	5,942,861	6,294,912
Profit before working capital changes		(1,112,951,425)	(260,384,119)
Net change in operational assets			
Net change in reinsurance assets		(9,206,184)	6,471,230
Net change in premiums receivable		7,859,557	(36,864,490)
Net change in receivables and other assets		(91,306,486)	72,889,754
Net change in operating assets		(92,653,114)	42,496,494
Net change in operational liabilities			
Net change in life insurance contract liabilities		644,004,495	344,856,281
Net change in reinsurance liabilities		5,176,881	(37,599,077)
Net change in other liabilities		(1,046,288)	83,555,257
Net change in operating liabilities		648,135,088	390,812,461
Cash flows from operating activities		(557,469,451)	172,944,836

The accounting policies and notes as set out in pages form 163 to 224 an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

1 CORPORATE INFORMATION

1.1 Reporting entity

Arpico Insurance PLC ("Company") is a Public limited liability company incorporated and domiciled in Sri Lanka and the ordinary shares of the company are listed on the stock exchange. The company is registered under the Insurance Industry Act No.43 of 2000 and amendments there to. The registered office of the company is located at 310, Highlevel Road, Nawinna, High Level Maharagama and the principal place of business is located at No. 55/20, Vauxhall Lane, Colombo 02.

1.2 Principal activities and nature of operations

Arpico Insurance PLC is primarily engaged in carrying out life insurance business. There were no significant changes in the nature of the principal activities of the company during the financial year under review.

1.3 Parent enterprise

The company's ultimate parent undertaking and controlling party is Richard Pieris & Company PLC which is incorporated in Sri Lanka.

1.4 Date of authorisation for issue

The financial statements of Arpico Insurance PLC for the period ended 31 March 2023 were authorised for issue by the board of directors on 10 May 2024.

1.5 Number of Employees

The staff strength of the Company as at 31 December 2023 is 308 (2022 - 468).

1.6 Responsibility for Financial Statements

The responsibility of the Board of Directors in relation to the financial statements is set out in the Statement of Directors' Responsibility in the annual report.

2 BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES, ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS

2.1 Statement of compliance

The financial statements of the company have been prepared in accordance with Sri Lanka Accounting Standards as issued by the Institute of Chartered Accountants of Sri Lanka. The preparation and

presentation of these financial statements are also complying with the requirements of Section 151 (2) of the Companies Act, No.7 of 2007 and the regulation of insurance industry Act, No. 43 of 2000 and amendments there to Sri Lanka Accounting Standards, rules and regulations of the insurance regulatory commission of Sri Lanka and listing rules of the Colombo Stock Exchange (CSE).

The company has not adopted any inappropriate accounting treatments, which are not compliance with the requirements of the SLFRS and LKASs, regulations governing the preparation and presentation of these Financial Statements.

Changes in accounting policies

The accounting policies adopted by the company is consistent with those used in the previous year.

The company financial statements include the following components.

- The Income Statement and Statement of profit and loss and other Comprehensive Income - providing information on the financial performance of the company for the year under review (Refer pages 157 and 158)
- The Statement of Financial Position - providing information on the financial position of the company as at the year-end (Refer pages 159 and 160);
- The Statement of Changes in Equity - depicting all changes in shareholders' (Refer page 160);
- The Statement of Cash Flows - providing information to the users, on the ability of the company to generate cash and cash equivalents and the needs of entities to utilise those cash flows (Refer pages 160 and 161)
- Notes to the Financial Statements - comprising Accounting Policies and other explanatory information (Refer pages 163 to 224)

2.2 Basis of measurement

The Company Financial Statements have been prepared on the historical cost basis except for the following material items in the Statement of Financial Position:

NOTES TO THE FINANCIAL STATEMENTS

Item	Basis of measurement	Note no
FINANCIAL ASSETS		
Available-for-sale financial assets are measured at fair value	Fair Value	28
Fair value through profit & loss	Fair Value	28
Held to maturity	Amortised Cost	28
Loans & receivable	Amortised Cost	28
NON-FINANCIAL ASSETS/LIABILITIES		
Insurance Contract liabilities	Actuarially valued in line with the guidelines issued by the Insurance Regulatory Commission of Sri Lanka (IRC SL)	30
Employee Benefits Obligation	Actuarially valued and recognised at present value of the defined benefit obligation	31

No adjustments have been made for inflationary factors affecting the Company Financial Statements.

2.3 Materiality and Aggregation

Each material class of similar items is presented Separately. Items of dissimilar nature or function are presented separately unless they are immaterial as permitted by the Sri Lanka Accounting Standard LKAS 1 - Presentation of Financial Statements

2.4 Going concern

In determining the basis of preparing the financial statements for the year ended 31 December 2023, based on all available information the management has considered the consequences of current economic Downturn, other events and conditions such as current market uncertainty and market volatility, Economic factors (exchange rates, Inflation, Unemployment, ect.) and it has determined that they do not create a material uncertainty that casts substantial doubt upon the entity's ability to continue as a going concern.

The directors have made an assessment and reasonably satisfied that the company have adequate resources together with sufficient renewing income from customers, to continue in operational existence for the foreseeable future. The company does not foresee a need for liquidation or cessation of trading, taking into account all available information about future. Accordingly, they continue to adopt the going concern basis in preparing the Financial Statements.

Further, the Company has taken actions to mitigate the impact from adverse macroeconomic conditions such as expense management and curtailment, development of

product strategy to meet new environment, digitalisation and innovation, claims and surrender management, prudent asset allocation etc.

2.5 Functional and presentation currency

Items included in the Financial Statements of the Company is measured using the currency of the primary economic environment in which the Company operates (the functional currency).

Accordingly, these Financial Statements are presented in Sri Lankan Rupees (LKR), the Company's functional and presentation currency

There was no change in the Company's presentation and functional currency during the year under review.

2.6 "Supplementary Statements - Statement of Financial Position of the Life Insurance Fund"

Supplementary Statement of Financial Position of the Life insurance fund together with the notes are disclosed in pages 30, continuing the past practice which is a requirement of the Statement of Recommended Practice (SORP) for insurance contracts, adopted by the ICASL.

2.7 Comparative Information

Comparative information including quantitative, narrative and descriptive information as relevant is disclosed in respect of previous period in the financial statements. The presentation and classification of the financial statement of the previous year is amended, where relevant for better presentation and to be comparable with those of the current year.

2.8 Offsetting

Assets and liabilities including financial assets and financial liabilities are offset, and the net amount reported in the statement of financial position, only when Sri Lanka Accounting Standards allows. Incomes and Expenses are not offset in the income statement, unless required or permitted by Sri Lanka Accounting Standards.

3 SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of financial statements in conformity with Sri Lanka Accounting Standards requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgements about the carrying amount of assets and liabilities that are not readily apparent from other sources.

Estimates and underlying assumptions are reviewed on an on-going basis. Revision to estimates are recognised prospectively.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements is included in the following notes:

Item	Note	Page
Critical Judgements		
Classification of financial assets	28	196
Classification of insurance, reinsurance and investment contracts: assessing whether the contract transfers significant insurance risk and whether an insurance contract contains direct participation features	30	201
Impairment of financial assets	28	196
Impairment of intangible assets	18	180
Measurement of defined benefit obligations: key actuarial assumptions	31	204
Recognition and measurement of provisions and contingencies: key assumptions on the likelihood and magnitude of an outflow of resources	39	222
Impairment of non-financial assets: key assumptions underlying recoverable amounts	5.1	170
Measuring insurance and reinsurance contracts: key assumptions	30	281
Liability Adequacy Test	30	281
Measurement of GWP accrual adjustment	6	171

NOTES TO THE FINANCIAL STATEMENTS

4 STANDARDS ISSUED BUT NOT YET EFFECTIVE

The following standards have been issued and are effective for annual period beginning on or after 01 January 2018. Further, early adoption was permitted with the transitional rules. However, these standards have not been applied to these financial statements.

4.1 SLFRS 9 – Financial instruments

The standard became effective for the annual periods beginning on or after 1 January 2018, with early adoption permitted.

The Company met the eligibility criteria for temporary exemption under the amendments to SLFRS 4 from applying SLFRS 9 in 2018 and has accordingly deferred the adoption of SLFRS 9 until SLFRS 17, 'Insurance Contracts' is adopted upon its mandatory effective date.

SLFRS 9 replaces the existing guidance in LKAS 39 Financial Instruments: Recognition and Measurement. SLFRS 9 includes revised guidance on the classification and measurement of financial instruments, a new expected credit loss model for calculating impairment on financial assets, and new general hedge accounting requirements. It also carries forward the guidance on recognition and de recognition of financial instruments from LKAS 39.

Temporary exemption from SLFRS 9

An Insurer may apply the temporary exemptions from SLFRS 9 if, and only if:

- (a) It has not previously applied any version of SLFRS 9, other than only the requirements for the presentation of gains and losses on financial liabilities designated as at Fair Value through profit or Loss and;
- (b) Its activities are predominantly connected with insurance, at its annual reporting date that immediately precedes 1 April 2016, or at a subsequent annual reporting date.

As the company's activities are predominantly connected with insurance and it has not previously applied any version of SLFRS 9 as indicated above, the company will be eligible for the temporary exemption from applying SLFRS 9.

As at 31 December	2023 Rs.	2022 Rs.
Insurance contract liabilities	2,885,863,883	2,241,859,388
Claim payable	18,450,500	11,861,801
Reinsurance payables	37,579,204	32,402,323
Liabilities connected with insurance	2,941,893,587	2,286,123,512
Total liabilities	3,405,198,600	2,702,739,256
Predominance ratio	86%	85%

Financial Assets

SLFRS 9 has introduced new classification and measurement approach for financial assets based on the characteristics of cash flows of financial asset and the business model in which assets are managed. Accordingly, SLFRS 9 includes three principal classification categories to financial assets:

- **Amortised cost** – Financial assets held within a business model whose objective is to hold financial assets in order to collect contractual cash flows and the contractual terms of the financial asset gives rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.
- **Fair Value through other comprehensive income** – Financial asset held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets and the contractual terms of the financial asset gives rise on specified dates to cash flows that are solely payments of principal and interest on the principals amount outstanding.
- **Fair value through profit or loss** – Financial asset which has not identified as amortize cost or Fair value through other comprehensive income.

Impact Assessment

- The equity investment securities that are classified as fair value through profit or loss (FVTPL) under LKAS 39, will be remained under FVTPL and measured at fair value.
- Debt investment securities that are classified as available for sale under LKAS 39, may classified as fair value through other comprehensive income under SLFRS9, or be classified at amortised cost and measured at fair value / amortised cost respectively.
- Held to maturity investment securities measured at amortised cost under LKAS 39 will be measured at amortised cost under SLFRS 9.
- Loans and receivables measured at amortised cost under LKAS 39 will also be measured at amortised cost under SLFRS 9.
- Trading assets and derivative assets held for risk management, which are classified as held for trading and measured at fair value under LKAS 39, will also be measured at fair value under SLFRS 9.

Impairment – Financial Assets

SLFRS 9 has replaced the “Incurred loss” model which is introduced by LKAS 39, by introducing “Expected Credit Loss” (ECL) model. In this impairment of financial assets is recognized under 3 stages.

- **Stage 01** - As soon as a financial instrument is originated or purchased, 12-month expected credit losses are recognised in profit or loss and a loss allowance is established. This serves as a proxy for the initial expectations of credit losses. For financial assets, interest is calculated on the gross carrying amount (i.e without deduction for expected credit losses).
- **Stage 02** - If the credit risk increases significantly and is not considered low, full lifetime expected credit losses are recognised in profit or loss. The calculation of interest is the same as for Stage 1. (Gross carrying amount)
- **Stage 03** - If the credit risk of a financial asset increases to the point that it is considered credit-impaired, interest is calculated based on the amortised cost (i.e the gross carrying amount less the loss allowance which is the net carrying amount). Financial assets in this stage will generally be assessed individually.
- This will be required considerable judgement over how changes in economic factors affect to Expected Credit Loss (ECL), which will be determined on a probability weighted basis.

Financial liabilities

Under LKAS 39 all fair value changes of liabilities designated as at FVTPL are recognized in profit or Loss, whereas under SLFRS 9 the amount of change in the fair value that is attributed to changes in the credit risk of the liability is presented in Other Comprehensive Income and the remaining amount of change in the fair value is presented in profit or Loss.

4.2 SLFRS 17 – Insurance contracts

As recommended by the Accounting Standards Committee, the Institute of Chartered Accountants of Sri Lanka has decided to adopt SLFRS 17 - Insurance Contracts with effective from annual reporting periods beginning on or after 1 January 2025.

NOTES TO THE FINANCIAL STATEMENTS

SLFRS 17 Insurance contracts establishes the principles for the recognition, measurement, presentation and disclosure of insurance contracts within the scope of the standard. The objective of SLFRS 17 is to ensure that an entity provides relevant information that faithfully represents those contracts. This information gives a basis for users of Financial Statements to assess the effect that insurance contracts have on the entity's financial position, financial performance and cash flows.

This standard allows to recognise a group of insurance contracts it issues from the earliest of the following:

- (a) the beginning of the coverage period;
- (b) the date when the first payment from a policyholder becomes due; and
- (c) when the group becomes onerous if facts and circumstances indicate that there is such a group.

SLFRS – 17 has introduced three measurements approaches;

1. Building block approach (BBA)

On initial recognition, an entity shall measure a group of contracts at the total of:

- a) the amount of fulfilment cash flows ("FCF"), which comprise: estimates of future cash flows, an adjustment to reflect the time value of money ("TVM") and the financial risks associated with the future cash flows and risk adjustment for non-financial risk.
- b) the contractual service margin ("CSM")

The CSM represents the unearned profit of the group of insurance contracts that the entity will recognise as it provides services in the future. This is measured on initial recognition of a group of insurance contracts at an amount that, unless the group of contracts is onerous, results in no income or expenses arising from:

- the initial recognition of an amount for the FCF
- the derecognition at that date of any asset or liability recognised for acquisition cash flows; and;
- any cash flows arising from the contracts in the group at that date.

2. Premium allocation approach (PAA)

An entity may simplify the measurement of the liability for remaining coverage of a group of insurance contracts using the Premium Allocation Approach (PAA) on the condition that, at the inception of the group:

- (a) the entity reasonably expects that this will be a reasonable approximation of the General Model, or
- (b) the coverage period of each contract in the group is one year or less.

Where, at the inception of the group, an entity expects significant variances in the FCF during the period before a claim is incurred, such contracts are not eligible to apply the PAA.

Using the PAA, the liability for remaining coverage shall be initially recognised as the premiums, if any, received at initial recognition, minus any insurance acquisition cash flows. Subsequently the carrying amount of the liability is the carrying amount at the start of the reporting period plus the premiums received in the period, minus insurance acquisition cash flows, plus Amortisation of acquisition cash flows, minus the amount recognised as insurance revenue for coverage provided in that period, and minus any investment component paid or transferred to the liability for incurred claims.

3. Variable fee approach (VFA)

Insurance contracts with direct participation features apply a modified version of the general model called the variable fee approach. One of the concerns that respondents had with the application of the general model to insurance contracts with participation features was that it could result in the reporting of artificial volatility in profit or loss. This volatility could arise from a mismatch between the accounting treatment of investment gains and losses on underlying items attributable to policyholders, and the accounting treatment of the liability to those policyholders. The requirement in the general model to report the impacts of all changes in financial assumptions in comprehensive income (rather than by adjusting the CSM) was also considered to create artificial profit volatility in cases where the returns from underlying items would be paid to policyholders. The variable fee approach therefore addresses these concerns by adjusting the general model.

Discount rates

The discount rates applied to the estimate of cash flows shall:

- (a) reflect the time value of money (TVM), the characteristics of the cash flows and the liquidity characteristics of the insurance contracts;
- (b) be consistent with observable market prices of those financial instruments whose cash flow characteristics are consistent with those of the insurance contracts; and
- (c) exclude the effect of factors that influence such observable market prices but do not affect the future cash flows of the insurance contracts

Risk adjustment for non-financial risk

The estimate of the present value of the future cash flows are adjusted to reflect the compensation that the entity requires for bearing the uncertainty about the amount and timing of future cash flows that arises from non-financial risk.

Subsequent measurement

On subsequent measurement, the carrying amount of a group of insurance contracts at the end of each reporting period shall be the sum of:

- (a) the liability for remaining coverage comprising the FCF related to future services and the CSM of the group at that date;
- (b) the liability for incurred claims, comprising the FCF related to past service allocated to the group at that date.

Onerous contracts

An insurance contract is onerous at initial recognition if the total of the FCF, any previously recognised acquisition cash flows and any cash flows arising from the contract at that date is a net outflow. An entity shall recognise a loss in profit or loss for the net outflow, resulting in the carrying amount of the liability for the group being equal to the FCF and the CSM of the group being zero.

On subsequent measurement, if a group of insurance contracts become onerous (or more onerous), that excess shall be recognised in profit or loss. Additionally, CSM cannot increase and no revenue can be recognised, until the onerous amount previously recognised has been reversed in profit or loss as part of a service expense.

Modification and de-recognition

Modification of an insurance contract

If the terms of an insurance contract are modified, an entity shall derecognise the original contract and recognise the modified contract as a new contract if there is a substantive modification, based on meeting any of the specified criteria.

The modification is substantive if any of the following conditions are satisfied:

- (a) if, had the modified terms been included at contract's inception, this would have led to:
 - I. exclusion from the Standard's scope;
 - II. unbundling of different embedded derivatives;
 - III. redefinition of the contract boundary; or
 - IV. the reallocation to a different group of contracts; or
- (b) if the original contract met the definition of a direct participating insurance contracts, but the modified contract no longer meets that definition, or vice versa; or
- (c) the entity originally applied the PAA, but the contract's modifications made it no longer eligible for it.

De-recognition

An entity shall de-recognise an insurance contract when it is extinguished, or if any of the conditions of a substantive modification of an insurance contract is met.

Transition

An entity shall apply the standard retrospectively unless impracticable, in which case entities have the option of using either the modified retrospective approach or the fair value approach.

Under the modified retrospective approach, an entity shall utilise reasonable and supportable information and maximise the use of information that would have been used to apply a full retrospective approach, but need only use information available without undue cost or effort. Under this approach the use of hindsight is permitted, if that is the only practical source of information for the restatement of prior periods.

Under the fair value approach, an entity determines the CSM or the loss component at the transition date as the difference between the fair value of a group of insurance contracts at that date and the FCF measured at that date. Using this approach, on transition entity has a choice need for annual groups.

NOTES TO THE FINANCIAL STATEMENTS

At the date of initial application of the Standard, those entities already applying SLFRS 9 may retrospectively re-designate and reclassify financial assets held in respect of activities connected with contracts within the scope of the standard.

Entities can choose not to restate SLFRS 9 comparatives with any difference between the previous carrying amount of those financial assets and the carrying amount at the date of initial application recognised in the opening equity at the date of initial application. Any restatements of prior periods must reflect all the requirements of SLFRS 9.

4.3 Other Standards

- Classification of liabilities as current or non current (amendments to LKAS 1)
- Deferred tax related to assets and liabilities arising from a single transaction (Amendments to LKAS 12)
- Disclosure of accounting policies (amendments to LKAS 1 and SLFRS practice statement 2)
- Definition of accounting estimates (amendments to LKAS 8)

5 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The Company has consistently applied the following accounting policies to all periods presented in these financial statements. The accounting policies are presented along with the respective notes.

Set out below is an index of the significant policies:

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39	Provisions and Contingencies	222
40	Events occurring after the reporting period	222

Other Significant Accounting Policies Not Covered With Individual Notes

5.1 Impairment of non-financial assets

The carrying amounts of the company's non-financial assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. An impairment loss is recognised if the carrying amount of an asset exceeds its estimated recoverable amount.

The recoverable amount of an asset is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets.

6 GROSS WRITTEN PREMIUM**ACCOUNTING POLICY**

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured.

Gross written premiums on life insurance contracts are recognised as revenue when payable by the policyholder (policies within the 30-day grace period are considered as due). Premiums received in advance are not recorded as revenue and recorded as liability until the premium is due unless otherwise the relevant policy conditions require such premiums to be recognised as income. Benefits and expenses are provided against such revenue to recognise profits over the estimated life of the policies. For single premium business, revenue is recognised on the date on which the policy is effective.

For the year ended 31 December	2023 Rs.	2022 Rs.
First year premium	724,786,310	1,060,387,844
Renewal premium	1,022,212,144	1,084,782,385
Group premium	489,606,257	173,408,127
Total gross written premium	2,236,604,711	2,318,578,356

7 PREMIUM CEDED TO REINSURERS ON INSURANCE CONTRACTS**ACCOUNTING POLICY**

Reinsurance Premiums are recognised as an expense on the earlier of the due date or date on which the policy is effective. Value of the premiums are decided on the rates agreed with reinsurers and accounted on an accrual basis.

For the year ended 31 December	2023 Rs.	2022 Rs.
Conventional policies	95,541,262	71,539,608
Total premium ceded to reinsurers	95,541,262	71,539,608
Total net written premium	2,141,063,449	2,247,038,748

8 FEES AND COMMISSION INCOME**ACCOUNTING POLICY**

Policyholders are charged for policy administration services, surrenders and other contract fees. These fees are recognised as revenue over the period in which the related services are performed.

For the year ended 31 December	2023 Rs.	2022 Rs.
Policyholder administration fees	29,250,346	50,077,425
Total fees and commission income	29,250,346	50,077,425

NOTES TO THE FINANCIAL STATEMENTS

9 INVESTMENT INCOME

ACCOUNTING POLICY

Investment income comprises interest income on funds invested and dividend income (including AFS financial assets).

Interest income is recognised in the income statement as it accrues and is calculated by using the Effective Interest Rate method (EIR). The effective interest rate is the rate that exactly discounts the estimated future cash receipts or payments through the expected life of the financial assets or liabilities (or, where appropriate, a shorter period) to the carrying amount of the financial assets or liabilities. When calculating the EIR, the Company estimates future cash flows considering all contractual terms of the financial instruments, but not future credit losses.

The calculation of the EIR includes all transaction costs and fees that are an integral part of EIR. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or liability. Fees and commissions that are an integral part of the effective yield of the financial asset or liability are recognised as an adjustment to the EIR of the instrument.

Dividend Income is recognised when the Company's right to receive the payment is established. For equity securities this is the ex-dividend date.

For the year ended 31 December		2023	2022
	Note	Rs.	Rs.
Held to maturity financial assets	9.1	181,797,921	118,515,245
Loans and receivables	9.2	352,653,269	277,071,126
Available for sale financial assets	9.3	46,783,437	56,471,144
Total investment income		581,234,628	452,057,515

9.1 Investment Income from Held to maturity financial assets

For the year ended 31 December	2023	2022
	Rs.	Rs.
Treasury bonds	181,797,921	118,515,245
	181,797,921	118,515,245

9.2 Investment Income from Loans and receivables Financial Assets

For the year ended 31 December	2023	2022
	Rs.	Rs.
Interest income	47,205,092	68,648,707
Reverse repurchase agreements	195,688,693	55,519,669
Fixed deposits	4,085,776	4,920,986
Savings account interest	91,905,201	117,612,784
Debentures	13,768,507	90,368,890
Treasury bills	352,653,269	277,071,126

9.3 Investment Income from Available for sale financial assets

For the year ended 31 December	2023 Rs.	2022 Rs.
Interest income		
Treasury bonds	37,750,000	37,798,638
Dividend income	9,033,438	18,672,506
	46,783,437	56,471,144

10 FAIR VALUE GAIN/(LOSS)

ACCOUNTING POLICY

Fair value gains and losses recorded in the income statement on investments include fair value gains / losses on financial assets at FVTPL.

For the year ended 31 December	2023 Rs.	2022 Rs.
Fair value through profit or loss financial assets		
Fair value gain from Unit Trusts	28,455,896	14,011,738
Total fair value gains/(losses)	28,455,896	14,011,738

11 OTHER OPERATING REVENUE

ACCOUNTING POLICY

Other income is recognised on an accrual basis.

For the year ended 31 December	2023 Rs.	2022 Rs.
Other operating revenue	8,320,843	31,077,813
Total other operating revenue	8,320,843	31,077,813

NOTES TO THE FINANCIAL STATEMENTS

12 NET BENEFITS AND CLAIMS

ACCOUNTING POLICY

Gross benefits and claims for life insurance contracts include the cost of all claims arising during the year, including internal and external claims handling costs that are directly related to processing and settlement of claims. Death, Hospitalisation and surrenders are recorded on the basis of notifications received. Maturity payments are recorded when due.

Reinsurance claims recoveries are recognised when the related gross insurance claim is recognised according to the terms of the relevant contract.

For the year ended 31 December	2023			2022		
	Gross claims paid	Claims recovered from reinsurers	Net claims paid	Gross claims paid	Claims recovered from reinsurers	Net claims paid
Hospitalisation	453,888,008	(51,389,731)	402,498,277	165,451,656	(62,797,936)	102,653,720
Death	207,450,441	(4,687,568)	202,762,873	21,911,944	(3,436,286)	18,475,658
Surrender payments	527,998,715	-	527,998,715	462,144,844	-	462,144,844
Policy maturities	267,874,755	-	267,874,755	276,756,818	-	276,756,818
Total life insurance claims and benefits	1,457,211,919	(56,077,299)	1,401,134,620	926,265,262	(66,234,222)	860,031,040

12.(b) Net change in insurance claims outstanding

For the year ended 31 December	2023 Rs.	2022 Rs.
Gross change in insurance claims outstanding		
Hospitalisation	12,637,955	(919,726)
Death	(4,551,926)	(3,384,390)
Policy maturities	26,845,693	(15,229,122)
	34,931,722	(20,233,238)
Change in contract liabilities ceded to reinsurers		
Hospitalisation and death	(7,095,874)	6,471,230
Total net change in insurance claims outstanding	27,835,847	(13,762,008)

13 UNDERWRITING AND NET ACQUISITION COSTS

ACCOUNTING POLICY

All acquisition costs for insurance contracts are recognised as an expense when incurred. Reinsurance commission income on outward reinsurance contracts is recognised when receivable.

For the year ended 31 December	2023 Rs.	2022 Rs.
Commission Expenses for Insurance Contracts	363,484,042	304,260,813
Staff Cost - Marketing	260,584,505	325,912,819
	624,048,548	630,173,632

14 OTHER OPERATING AND ADMINISTRATIVE EXPENSES

ACCOUNTING POLICY

Expenses are recognised in the income statement on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the income statement.

For the year ended 31 December	Note	2023 Rs.	2022 Rs.
Administration & establishment expenses		206,324,831	226,007,646
Employee benefits expense	14. (a)	419,220,159	451,259,129
Selling expenses		27,230,377	45,696,087
Finance cost	14. (b)	50,134,224	24,486,024
Total other operating and administrative expenses		702,909,591	747,448,886

14.(a) Employee benefits expense

Refer Note 31 for the Accounting Policy.

Short term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short - term cash bonus if the Company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee, and the obligation can be estimated reliably.

For the year ended 31 December	2023 Rs.	2022 Rs.
Short Term Employee Benefits		
Staff remuneration and Other expenses	381,131,089	403,232,117
Employees' provident fund - EPF	25,716,968	33,378,581
Employees' trust fund - ETF	6,429,242	8,353,519
	413,277,298	444,964,217
Long Term Employee Benefits		
Contributions to employee benefit obligation plans	5,942,861	6,294,912
Total employee benefits expense	419,220,159	451,259,129

NOTES TO THE FINANCIAL STATEMENTS**14.(b) Finance cost****ACCOUNTING POLICY**

Interest cost is recognised in the Income Statement as it accrues and is calculated by using the effective interest rate method.

For the year ended 31 December	2023 Rs.	2022 Rs.
Interest expenses on lease liabilities	50,134,224	24,486,024
Total employee benefits expense	50,134,224	24,486,024

15 PROFIT BEFORE TAX**ACCOUNTING POLICY**

Operating profit is the result generated from the continuing principal revenue-producing activities of the Company as well as other income and expenses related to operating activities. Operating profit excludes share of profit of equity-accounted investees and income taxes.

Profit before tax is stated after charging all expenses including the following:

For the year ended 31 December	2023 Rs.	2022 Rs.
Statutory audit and audit related services		
Depreciation of property plant and equipment	25,434,957	25,790,250
Amortisation of intangible assets	351,100	312,517
Depreciation of right of use assets	98,707,883	68,236,528
Amortisation of lease liabilities	41,208,804	24,480,897
EPF	25,716,968	33,378,581
ETF	6,429,242	8,353,510
Defined benefit plan cost	5,942,861	4,600,885

16 INCOME TAX EXPENSE

ACCOUNTING POLICY

Income tax expense comprises current and deferred tax. Current and deferred taxes are recognised in profit or loss except to the extent that it relates to items recognised in the Other Comprehensive Income or directly in equity, when it is recognised in the OCI equity respectively.

16.1 Current Tax

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. Provision for taxation is based on the profit for the year adjusted for Taxation purposes in accordance with the provisions of the Inland Revenue Act, No. 24 of 2017.

Current income tax assets and liabilities also include adjustments for tax expected to be payable or recoverable in respect of previous periods.

Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions, where appropriate.

16.2 Deferred Tax

ACCOUNTING POLICY

Deferred tax is recognised in respect of temporary differences between the carrying amount of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes.

Deferred tax assets are recognised for unused tax losses, unused tax credits and deductible temporary difference to the extent that it is probable that future taxable profits will be available against which they can be used. The reversal of relevant taxable temporary differences are determined based on future taxable profits. If the amount of taxable temporary differences is insufficient to recognise a deferred tax asset in full, then future taxable profits, adjusted for reversal of existing temporary differences, are considered, based on the business plans. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised; such reductions are reversed when the probability of future taxable profits improves.

Unrecognised deferred tax assets are reassessed at each reporting date and recognised to the extent that it has become probable that future taxable profits will be available against which they can be used.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date.

The measurement of deferred tax reflects the tax consequences that would follow from the manner in which the Company expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities.

Use of Judgements and Estimates

Judgements

The company uses judgement to utilize the deficit transfer against the taxable income generated in the Shareholder fund with agreement of the tax consultant and the Board of Directors.

Deferred Tax Assets

The company use judgement in recognising a deferred tax asset in its financial statements. Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profits will be available to the company which can be utilised against such tax losses. Judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax planning strategies.

NOTES TO THE FINANCIAL STATEMENTS

16.3 Amounts recognised in Profit or Loss

16.3.(a) Current year tax charge

	Note	2023 Rs.	2022 Rs.
Current income tax			
Income tax on current year's profit		-	11,976,577
Over/under provision of income taxes		-	-
Total current income tax		-	11,976,577
Deferred income tax			
Deferred tax assets	16.3. (b)	-	36,979,105
Deferred taxation		-	36,979,105
Total income tax (reversal)/expense		-	48,955,682

16.3.(b) Reconciliation of tax charge

	Note	2023 %	Rs.	2022 %	Rs.
Profit /(Loss) for the year			(683,831,926)		85,191,960
Shareholder Investment Income			255,306,434		207,427,763
Utilization of Tax losses			-		(154,079,604)
Utilization of Policy Holder Loss Transfer			(255,306,434)		-
Taxable Income			-		53,348,158
Tax using the Company's domestic tax rate					
Dividend Income		14%	-	14%	2,614,151
Other					
First half of the year				24%	4,161,078
Total year /Second half of the		30%	-	30%	5,201,348
Tax on exempt income					
Reversal / (Origination) of deferred tax asset			-		36,979,105
Income tax expense			-		48,955,682

Income tax rate of 30% has been applied for the taxable profits on the total taxable income in 2023 as per the revised tax rate and other amendments in line with Inland Revenue (Amendment) Act No. 45 of 2022.

16.3 (c) Tax loss analysis

For the year ended 31 December	2023	2022
	Rs.	Rs.
Balance as at 1 January	-	154,079,604
Tax losses utilised during the year	-	(154,079,604)
Balance as at 31 December	-	-

16.3(d) Deferred taxation

For the year ended 31 December	2023	2022
	Rs.	Rs.
Deferred tax asset	-	-
Deferred tax asset	-	-

17 EARNING PER SHARE

ACCOUNTING POLICY

The Company presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit after tax of the Company by the weighted average number of ordinary shares outstanding during the year.

Diluted EPS is determined by adjusting the profit after tax and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

17.1 Basic Earnings / (Loss) per Share

For the year ended 31 December	2023	2022
	Rs.	Rs.
Profit / (Loss) for the year	(683,831,926)	36,236,278
Weighted average number of ordinary shares (Nos)	66,230,407	66,230,497
Basic Earning/(Loss) per ordinary share Rs.	(10.33)	0.55

17.2 Diluted Earnings per Share

There was no dilution of ordinary shares outstanding. Therefore, diluted earnings per share is the same as basic earnings per share as shown in Note 15

NOTES TO THE FINANCIAL STATEMENTS

18 INTANGIBLE ASSETS

ACCOUNTING POLICY

Recognition and Measurement

An intangible asset is recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with the Sri Lanka Accounting Standard LKAS 38 - Intangible Assets.

Computer Software

Computer software acquired separately are measured on initial recognition at cost. Following initial recognition, these assets are stated in the statement of financial position at cost, less accumulated Amortisation and accumulated impairment losses.

Subsequent Expenditure

Subsequent expenditure on software assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Useful Economic Life and Amortisation

Amortisation is calculated to write off the cost of the computer software on straight line basis over their estimated useful lives of 5 years and is generally recognised in profit or loss. None of the intangible assets are assumed to have a residual value.

Amortisation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate. Changes in the expected useful life or the expected pattern of future economic benefits embodied in the assets is accounted for by changing the useful life or method as appropriate and are treated as changes in accounting estimates.

De-Recognition

An intangible asset is de-recognised on disposal or when no future economic benefits are expected from it. The gain or loss arising from de-recognition of such intangible assets is included in income statement.

	2023 Rs.	2022 Rs.
Computer software		
Cost		
Balance as at 1 January	2,329,400	1,485,400
Acquisitions during the year - separately acquired	-	844,000
As at 31 December	2,329,400	2,329,400
Accumulated Amortisation and impairment losses		
As at 1 January	1,211,073	898,556
Amortisation charge for the year	351,100	312,517
As at 31 December	1,562,173	1,211,073
Carrying amount		
As at 31 December 2023	767,227	
As at 31 December 2022		1,118,327

18.1 Acquisition of intangible assets during the year

During the financial year, the Company has not acquired intangible assets (2022 - 0.84 Mn). There were no any cash payments (2022 - 0.84 Mn) made during the year to purchase of intangible assets.

18.2 Fully amortised intangible assets in use

There were no fully amortised intangible assets in use as at reporting date.

18.3 Title restriction on intangible assets

There were no restrictions that existed on the title of the intangible assets of the company as at the reporting date.

18.4 Assessment of impairment of intangible asset

There were no any impairment assessment carried out as at reporting date.

18.5 Intangible Assets Pledged as Security

None of the Intangible assets have been pledged as security as at the reporting date.

18.6 Amount of Contractual Commitments for the Acquisition of Intangible Assets

There were no any contractual commitments for the acquisition of Intangible assets as at reporting date.

19 PROPERTY, PLANT AND EQUIPMENT

ACCOUNTING POLICY

The Company applies the requirements of the Sri Lanka Accounting Standard LKAS 16 - Property, Plant and Equipment, in accounting for its owned assets which are held and used in the provision of services or for administrative purposes and are expected to be used for more than one year.

Property, plant and equipment are tangible items that are held for servicing, or for administrative purposes, and are expected to be used during more than one year. Company recognise Property, plant and equipment if it is probable that future economic benefits associated with the asset will flow to the Company and cost of the asset can be reliably measured.

Basis of Measurement

An item of property, plant and equipment that qualifies for recognition as an asset is initially measured at its cost. Cost includes expenditure that is directly attributable to the acquisition of the asset and cost incurred subsequently to add to or replace a part of it. The cost of self-constructed assets includes the cost of materials and direct labor, any other costs directly attributable to bringing the asset to a working condition for its intended use and the costs of dismantling and removing the items and restoring at the site on which they are located.

The Company applies the cost model and records at cost of purchase together with any incidental expenses thereon less accumulated depreciation and any accumulated impairment losses.

Subsequent Costs

Subsequent expenditure is capitalised only if it is probable that the future economic benefits associated with the expenditure will flow to the Company.

Repairs and Maintenance

Repairs and maintenance are charged to the income statement during the financial period in which they are incurred. The cost of major renovations is included in the carrying amount of the assets when it is probable that future economic benefits in excess of the most recently assessed standard of performance of the existing assets will flow to the Company and the renovation replaces an identifiable part of the asset. Major renovations are depreciated during the remaining useful life of the related asset.

NOTES TO THE FINANCIAL STATEMENTS

Useful Economic Life and Depreciation

Depreciation is recognised in the Income Statement on a straight line basis over the estimated useful lives of each part of an item of property, plant and equipment since this most closely reflects the expected pattern of consumption of the future economic benefits embedded in the asset. Land is not depreciated.

The estimated useful lives for the current and comparative periods are as follows:

Furniture Fittings	5 years
Office Equipment's	5 years
Computer	4 years
Motor Vehicle	5 years

Depreciation methods, useful lives and residual values are reassessed at each reporting date and adjusted if appropriate.

De-recognition

The carrying amount of an item of property, plant and equipment is derecognised on disposal or when no future economic benefits are expected from it. The gain or loss arising from the de-recognition of an item of property, plant and equipment is included in the income statement when the item is derecognised.

Capital Work in Progress

Capital work in progress is stated at cost. These are expenses of a capital nature directly incurred in property, plant and equipment, awaiting for capitalisation

					2023	2022
	Office Equipment	Furniture & Fittings	Computer	Motor Vehicle	Total	Total
Cost						
As at 1 January	36,061,669	126,862,552	62,431,334	5,800,000	231,155,555	187,773,211
Additions	3,183,813	7,130,871	179,777	-	10,494,261	43,382,344
Disposals	-	-	-	-	-	-
As at 31 December	39,245,482	133,993,223	62,611,111	5,800,000	241,649,816	231,155,555
Accumulated depreciation						
As at 1 January	24,722,695	78,533,682	46,815,146	5,800,000	155,871,523	130,081,273
Depreciation charge for the year	3,838,619	15,276,293	6,320,044	-	25,434,957	25,790,250
Disposals	-	-	-	-	-	-
As at 31 December	28,561,314	93,809,975	53,135,190	5,800,000	181,306,480	155,871,523
	-	-	-	-	-	-
Carrying amount						
As at 31 December 2023	10,684,167	40,183,248	9,475,921	-	60,343,336	
As at 31 December 2022	11,338,974	48,328,870	15,616,186	-		75,284,032

19.1 Title Restriction on Property, Plant and Equipment

There are no restrictions that existed on the title of property, plant and equipment of the Company as at the reporting date.

19.2 Acquisition of PPE during the year

During the financial year, the Company acquired property, plant & equipment to the aggregate value of Rs. 10 Million (2022 - Rs. 43 Million). Cash payments amounting to Rs. 10 Million (2022 - Rs. 43 Million) were made during the year to purchase of property, plant & equipment.

19.3 Disposal of Property, Plant and Equipment During the Year

There was no disposal of property, plant and equipment during the year (2022 - Nil)

19.4 Amount of Contractual Commitments for the Acquisition of Property, Plant and Equipment

There are no contractual commitments for the acquisition of property, plant and equipment as at the reporting date.

19.5 PPE pledged as security for liabilities

There were no items of property, plant and equipment pledged as securities for liabilities during the year. (2022 - Nil)

19.6 Temporarily idle property, plant and equipments

There were no temporarily idle property as at the year ended 31 December 2023. (2022 - Nil)

19.7 Fully depreciated PPE in use

PPE includes fully depreciated assets which are in the use of normal business activities. The initial cost of fully depreciated PPE which are still in use as at reporting date, is as follows;

For the year ended 31 December	2023 Rs.	2022 Rs.
Computer	39,749,056	23,530,379
Furniture	60,001,965	24,651,429
Office Equipment	14,901,087	7,100,297
	114,652,107	55,282,105

NOTES TO THE FINANCIAL STATEMENTS

20 RIGHT OF USE ASSETS AND LEASE LIABILITIES

ACCOUNTING POLICY

20.1 Right of use assets

At inception of a contract, the company assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the company assesses whether

- The contract involves the use of an identified asset – this may be specified explicitly or implicitly, and should be physically distinct or represent substantially all of the capacity of a physically distinct asset. If the supplier has a substantive substitution right, then the asset is not identified
- The company has the right to obtain substantially all of the economic benefits from use of the asset throughout the period of use; and
- The company has the right to direct the use of the asset. The company has this right when it has the decision-making rights that are most relevant to changing how and for what purpose the asset is used. In rare cases where the decision about how and for what purpose the asset is used is predetermined, the company has the right to direct the use of the asset if either
 - The company has the right to operate the asset; or
 - The company designed the asset in a way that predetermines how and for what purpose it will be used.

Initial measurement

At the commencement date the company measure the right-of-use asset at cost. Cost includes the amount of the lease liability (present value of future lease payments discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined company's incremental borrowing rate), any lease payment made at or before the commencement date less any lease incentives received, initial direct cost incurred and estimate of cost to be incurred by the company in dismantling and removing the underlying asset or restoring the site on which it is located.

Subsequent measurement

The recognised right of use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right of use asset or the end of the lease term.

Right of use assets are subject to impairment.

Short-term leases and leases of low-value assets

The company applies the short-term lease recognition exemption to leases that have a lease term of 12 months or less from the commencement date. Lease payments on short-term leases and leases of low-value assets are recognised as expense on a straight-line basis over the lease term.

Right of use assets

As at 31 December	2023 Rs.	2022 Rs.
Opening as at 01 January	163,439,549	129,875,417
Additions of right of use asset during the period	120,713,332	78,880,660
Net depreciation for the period 20.1. (a)	(98,707,883)	(68,236,528)
Advance payment for leases	12,722,667	23,120,000
Closing right of use asset balance as at 31 December	198,167,665	163,439,549

20.1.(a) Net depreciation for the period

Lease depreciation	(86,754,281)	(54,818,185)
Amortisation of advance	(11,953,602)	(13,418,343)
	(98,707,883)	(68,236,528)

20.2 Extension Options

Some property leases contain extension options exercisable by the Company up to one year before the end of the non-cancellable contract period. Where practicable, the Company seeks to include extension options in new leases to provide operational flexibility. The extension options held are exercisable only by the Company and not by the lessors. The Company assesses at lease commencement date whether it is reasonably certain to exercise the extension options. The Company reassesses whether it is reasonably certain to exercise the options if there is a significant event or significant changes in circumstances within its control.

NOTES TO THE FINANCIAL STATEMENTS**20.3 Lease Liabilities***Initial recognition and measurement*

At the commencement lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined using the company's incremental borrowing rate.

Subsequent measurement

After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is premeasured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

As at 31 December	2023 Rs.	2022 Rs.
Opening as at 01 January	175,394,254	157,443,360
Additions during the period	120,713,332	78,680,659
Finance cost recognised in profit and loss	41,208,804	24,480,897
Lease payments	(115,539,009)	(85,410,662)
Closing as at 31 December	221,777,381	175,394,254

Maturity analysis – Contractual undiscounted cash flows

As at 31 December	2023 Rs.	2022 Rs.
Less than one year:	111,785,821	111,809,081
Between one to five years	176,231,977	93,589,089
More than five years	2,262,700	4,927,159
Total Undiscounted lease liabilities	290,280,498	210,325,328
Finance cost	(68,503,117)	(34,931,074)
Lease liability as at 31-12-2023	221,777,381	175,394,254

21 FINANCIAL ASSETS

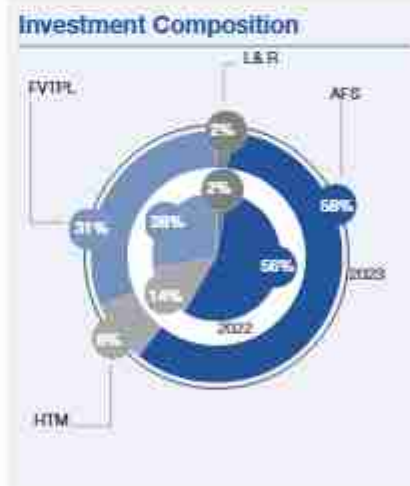
ACCOUNTING POLICY

See accounting policy in Note 28

The risk management practices adopted by the Company in relation to the investment portfolio and risk management disclosures are outlined in the financial statements.

The Company's financial instruments are summarised by categories together with their carrying values as follows:

			2023	2022	
		Carrying value Rs.	Carrying value Rs.	Carrying value Rs.	Carrying value Rs.
Loans and receivables:	21.1	2,193,341,372	2,180,394,775	2,153,718,672	2,115,889,001
Available-for-sale financial assets	21.2	547,159,911	547,159,911	307,925,670	307,925,670
Held to maturity	21.3	1,091,046,902	806,619,029	1,130,191,222	831,534,615
Fair value through profit or loss	21.4	118,336,033	118,336,033	89,882,076	89,882,076
Total financial instruments		3,949,884,217	3,652,509,748	3,681,717,640	3,345,231,362



NOTES TO THE FINANCIAL STATEMENTS

21.1 Loans and receivables (L&R)

		2023	2022
		Rs.	Rs.
Amortised cost			
Debentures	21.1. (a)	653,557,574	794,531,247
Fixed deposit		1,114,975,140	784,289,985
Reverse repurchase agreements		242,836,584	404,752,229
RPAF loan		100,000,000	100,000,000
Treasury bills		81,972,074	70,145,231

21.1.(a) Debentures

As at 31 December			2023		
Issuer	Credit rating	Maturity date Rs.	Carrying value Rs.	Market value Rs.	Interest (%)
Hatton National Bank PLC	A	2024-09-22	16,763,794	12,047,000	12.30
National Development Bank PLC	BBB+	2024-03-31	110,570,922	105,000,000	13.95
National Development Bank PLC	BBB+	2024-03-31	56,569,874	45,000,000	13.95
Seylan Bank PLC	BBB+	2026-04-12	18,729,866	17,570,000	9.75
Seylan Bank PLC	BBB+	2026-04-12	18,809,046	17,570,000	9.75
Sampath Bank PLC	A	2028-04-12	53,088,026	50,000,000	9.00
Sampath Bank PLC	A	2028-04-12	53,088,026	50,000,000	9.00
Commercial Bank of Ceylon PLC	A	2026-09-21	20,469,240	20,000,000	9.00
Commercial Bank of Ceylon PLC	A	2026-09-21	51,254,094	50,000,000	9.50
Commercial Bank of Ceylon PLC	A	2026-09-21	30,703,558	30,000,000	9.00
National Development Bank PLC	BBB+	2026-11-24	50,888,476	50,000,000	11.90
National Development Bank PLC	BBB+	2026-11-24	30,294,853	30,000,000	11.90
Commercial Bank of Ceylon PLC	BBB+	2027-12-11	3,920,911	5,072,000	28.00
Commercial Bank of Ceylon PLC	A	2027-12-12	6,143,640	9,005,000	28.00
Sampath Bank PLC	A	2028-02-09	12,285,651	12,909,000	28.00
Sampath Bank PLC	A	2028-02-09	23,342,546	24,526,000	28.00
Singer Finance PLC	BBB	2026-06-25	22,213,977	21,250,000	9.25
Singer Finance PLC	BBB	2026-06-25	22,243,101	21,250,000	9.25
LOLC Holdings	A-	2026-07-30	26,040,876	25,000,000	10.25
LOLC Holdings	A-	2026-07-30	26,137,097	25,000,000	10.25
			653,557,573	621,199,000	

As at 31 December		2022			
Issuer	Credit rating	Maturity date Rs.	Carrying value Rs.	Market value Rs.	Interest (%)
Sampath Bank PLC	A	2023-03-20	77,538,956	76,597,500	12.5
Seylan Bank PLC	BBB+	2023-03-29	77,505,750	74,857,500	12.9
LOLC Holdings	A	2023-07-31	21,327,096	22,198,000	14.8
National Development Bank PLC	BBB+	2023-03-31	109,838,548	111,216,000	14.0
National Development Bank PLC	BBB+	2024-03-31	56,041,521	47,664,000	14.0
Hatton National Bank PLC	A	2024-09-22	16,834,100	16,280,000	12.3
Seylan Bank PLC	BBB+	2026-04-12	18,809,046	17,570,000	9.8
Seylan Bank PLC	BBB+	2026-04-12	18,809,046	17,570,000	9.8
Singer Finance PLC	BBB	2026-06-25	22,267,817	21,250,000	9.3
Singer Finance PLC	BBB	2026-08-25	22,267,817	21,250,000	9.3
LOLC Holdings	A	2026-07-30	26,081,164	25,000,000	10.3
LOLC Holdings	A	2026-07-30	26,081,164	25,000,000	10.3
Commercial Bank of Ceylon PLC	A	2026-09-21	20,498,082	20,000,000	9.0
Commercial Bank of Ceylon PLC	A	2026-09-21	51,327,397	50,000,000	9.5
Commercial Bank of Ceylon PLC	A	2026-09-21	30,754,521	30,000,000	9.0
National Development Bank PLC	BBB+	2028-11-24	50,819,452	45,000,000	11.9
National Development Bank PLC	BBB+	2028-11-24	30,371,671	27,000,000	11.9
Commercial Bank of Ceylon PLC	A	2027-12-11	3,980,142	3,920,000	28.0
Commercial Bank of Ceylon PLC	A	2027-12-12	7,066,784	6,960,000	28.0
Sampath Bank PLC	A	2028-04-12	53,254,795	50,000,000	9.0
Sampath Bank PLC	A	2028-04-12	53,256,379	50,000,000	9.0
			794,531,247	759,333,000	

21.2 Available for sale financial assets

	2023 Rs.	2022 Rs.
Treasury bonds	300,321,631	192,297,670
Quoted equities	246,838,280	115,628,000
	547,159,911	307,925,670

21.3 Held to Maturity

	2023 Rs.	2022 Rs.
Treasury bonds	1,091,046,902	1,130,191,222
	1,091,046,902	1,130,191,222

NOTES TO THE FINANCIAL STATEMENTS

21.4 Fair Value through Profit or Loss

	2023 Rs.	2022 Rs.
Unit trust	118,336,033	89,882,076
	118,336,033	89,882,076

21.5 Carrying values of financial instruments

The movement of carrying value of above financial instruments as of reporting date is as follow;

Issuer	Loans and Receivables Rs.	Available-For- Sale Rs.	Held to Maturity	Fair Value Through Profit & Loss	Total Rs.
At 1 January 2022	2,624,851,025	544,769,901	224,603,509	75,870,338	3,470,094,773
Purchases	1,085,742,080	47,879,600	900,382,575	-	2,043,004,255
Script Dividend		15,277,505	-	-	15,277,505
Maturities	(1,664,633,025)	(45,398,246)	-	-	(1,710,031,271)
Disposals	-	-	-	-	-
Fair value gains recorded in income statement				14,011,738	14,011,738
Fair value gains recorded in other comprehensive income	-	(254,151,729)	-		(254,151,729)
Amortisation adjustment/accrued interest	107,758,592	(451,361)	(3,794,862)	-	103,512,369
At 31 December 2022	2,153,718,672	307,925,670	1,130,191,222	89,882,076	3,681,717,640
At 1 January 2023	2,153,718,672	307,925,670	1,130,191,222	89,882,076	3,681,717,640
Purchases			44,958,250		44,958,250
Script Dividend		9,033,438	(150,600,272)		(150,566,835)
Maturities	(517,723,096)		(100,000,000)		(617,723,096)
Disposals					-
Fair value gains recorded in income statement			175,497,702		175,497,702
Fair value gains recorded in other comprehensive income		230,200,803		26,453,957	258,654,760
Amortisation adjustment/accrued interest	557,345,706				557,345,706
At 31 December 2023	2,193,341,372	547,159,911	1,091,046,902	118,336,033	3,949,884,218

21.6 Fair value of financial assets and liabilities not carried at fair value

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the financial statements (i.e., held to maturity and loans and receivables). Assets for which fair value approximates carrying value

For financial assets and financial liabilities that have a short-term maturity (less than three months), it is assumed that the carrying amounts approximate to their fair value. This assumption is also applied to demand deposits, and savings accounts without a specific maturity. For other variable rate instruments an adjustment is also made to reflect the change in required credit spread since the instrument was first recognised.

Fixed rate financial instruments

The fair value of fixed rate financial assets and liabilities carried at amortised cost are estimated by comparing market interest rates when they were first recognised with current market rates for similar financial instruments. The estimated fair value of fixed interest bearing deposits is based on discounted cash flows using prevailing money-market interest rates for debts with similar credit risk and maturity. For quoted debt issued the fair values are determined based on quoted market prices. For those notes issued where quoted market prices are not available, a discounted cash flow model is used based on a current interest rate yield curve appropriate for the remaining term to maturity and credit spreads.

21.7 Determination of fair value and fair values hierarchy

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable

Level 3: valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy:

As at 31 December 2023	2023			Total Fair Value Rs.
	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	
Available for sale financial assets	-	547,159,911	-	547,159,911
Fair Value through Profit or Loss	118,336,033	-	-	118,336,033
	118,336,033	547,159,911	-	665,495,944

As at 31 December 2022	2022			Total Fair Value Rs.
	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	
Available for sale financial assets	-	307,925,670	-	307,925,670
Fair Value through Profit or Loss	89,882,076	-	-	89,882,076
	89,882,076	307,925,670	-	397,807,746

NOTES TO THE FINANCIAL STATEMENTS**22. LOANS TO LIFE POLICYHOLDERS****ACCOUNTING POLICY**

See accounting policy in Note 28

	2023	2022
	Rs.	Rs.
Movement of policy loan:		
Balance as at 1 January	321,812,161	382,294,981
Loans granted during the year	9,638,125	26,865,431
Provision for surrender	(5,181,008)	–
Repayments during the year	(96,265,208)	(121,630,642)
Balance as at 31 December	229,904,070	287,529,770
Interest receivable	11,342,232	54,282,391
Total loans to life policyholders	241,246,301	321,812,161

Please refer Note 36.4 for maturity analysis on loans to life policyholders.

22.1 Credit exposure on policy loan

The surrender value of the policies for which policy loans have been granted as at 31 December 2023 amounted to Rs. 298 Mn. (2022 Rs. 533 Mn).

If the total receivable of the loan, including interest due and accrued, exceeds the cash surrender value, the policy terminates and becomes void. The Company has a first lien on all policies which are subjected to policy loans.

This mitigates the company's credit exposure on policy loans.

The company grants policy loans at a rate equivalent to the market rate, hence initial recognition is at carrying value equal to the fair value.

22.2 Impairment losses on loans to life policyholders

Based on the assessment, no impairment provision is required to be made in the Financial Statements as at the reporting date in respect of loans to Life Policyholders (2022 - Nil)

23 REINSURANCE RECEIVABLES**ACCOUNTING POLICY**

See accounting policy in Note 28

The company cedes insurance risk in the normal course of business to recognised reinsurers through formal reinsurance arrangements.

Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims associated with the reinsurer's policies and are in accordance with the related reinsurance contract.

Reinsurance is recorded gross in the Statement of Financial Position unless a right to offset exists. Reinsurance assets are reviewed for impairment at each reporting date, or more frequently, when an indication of impairment arises during the reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Company may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Company will receive from the reinsurer. The impairment loss, if any is recorded in the income statement.

Ceded reinsurance arrangements do not relieve the company from its obligations to policyholders.

Reinsurance liabilities represent balances due to reinsurance companies. Amounts payable are estimated in a manner consistent with the related reinsurance contract.

Reinsurance assets or liabilities are derecognised when the contractual rights are extinguished or expire or when the contract is transferred to another party.

As at 31 December	2023 Rs.	2022 Rs.
Reinsurance receivable on outstanding claims	11,108,850	1,902,666
	11,108,850	1,902,666

23.1 Impairment losses on reinsurance receivables

The Board of Directors has assessed potential impairment loss of reinsurance receivables as at 31 December 2022. Based on the assessment, no impairment provision is required to be made in the Financial Statements as at the reporting date in respect of reinsurance receivables. Please refer Note no.23 for reinsurance rating analysis.

NOTES TO THE FINANCIAL STATEMENTS**24 AMOUNTS DUE FROM RELATED PARTIES****ACCOUNTING POLICY**

See accounting policy in Note 28

As at 31 December		2023	2022
		Rs.	Rs.
Amounts due from related companies	24.1	30,985,542	21,654,039

24.1 Related party

	Relationship		
Richard Pieris & Company PLC	Ultimate Parent	-	3,651,383
Richard Pieris Distributors PLC	Fellow Subsidiary	30,985,542	18,002,658
		30,985,542	21,654,039

25 PREMIUM RECEIVABLE**ACCOUNTING POLICY**

See accounting policy in Note 28

Insurance receivables are recognised when due and measured on initial recognition at the fair value of the consideration received or receivable. Subsequent to initial recognition, insurance receivables are measured at amortised cost, using the effective interest rate method. The carrying value of insurance receivables is reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the income statement.

Life insurance premiums (only the premiums due in the 60-day grace period) are recognised at each reporting date and will be reversed if the premiums are not settled during the subsequent month, and thus the policies will be lapsed as per the company policy.

As at 31 December		2023	2022
		Rs.	Rs.
Premium receivable from policyholders		91,475,027	99,334,584
		91,475,027	99,334,584

The Management has assessed potential impairment loss of premiums receivable as at 31 December 2023. Based on the assessment, there was no impairment loss on premiums receivable (2022 - Nil)

Collateral Details

The Company does not hold any collateral as security against potential default by policyholders or intermediaries.

26 OTHER ASSETS

ACCOUNTING POLICY

As at 31 December	2023	2022
	Rs.	Rs.
Advances, deposits & prepayments	101,567,337	31,754,219
Taxation recoverable	54,207,828	31,385,102
Inventories	19,525,539	20,854,897
	175,300,704	83,994,218

27 CASH AND CASH EQUIVALENTS

ACCOUNTING POLICY

Cash and cash equivalents comprise short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value. The cash and cash equivalents include cash in-hand, balances with banks and short-term deposits with banks.

As at 31 December	2023	2022
	Rs.	Rs.
Cash in hand	1,666,033	887,183
Cash at bank	54,730,441	168,912,496
Total cash and cash equivalent balance	56,396,474	169,799,679

NOTES TO THE FINANCIAL STATEMENTS

28 FINANCIAL INSTRUMENTS

ACCOUNTING POLICY

Initial Recognition and Measurement

The Company initially recognises loans and receivables and deposits on the date that they are originated. All other financial assets (including assets designated at fair value through profit or loss) are recognised initially on the trade date at which the Company becomes a party to the contractual provisions of the instrument.

In the case of financial assets not measured at fair value through profit or loss, it is measured initially at fair value plus transaction costs that are directly attributable to its acquisition or issue.

Depending on the intention and ability to hold the invested assets, the financial assets categories and their classification criteria are shown in the table below:

Classification	Classification criteria
Held-To-Maturity (HTM)	Financial assets with fixed or determinable payments and fixed maturities are classified as held to maturity when the Company has the positive intention and ability to hold it to maturity
Loans and Receivables (L&R)	Loans and receivables are financial assets with fixed or determinable payments that are not quoted in an active market.
Fair Value Through Profit or Loss (FVTPL)	Financial assets held for trading and those designated upon initial recognition at FVTPL and investments typically bought with the intention to sell in the near future For investments designated at FVTPL, the following criteria must be met: The designation eliminates or significantly reduces the inconsistent treatment that would otherwise arise from measuring the assets or liabilities or recognising gains or losses on a different basis, or The designation eliminates or significantly reduces the inconsistent treatment that would otherwise arise from measuring the assets or liabilities or recognising gains or losses on a different basis, or
Available for Sale (AFS)	Financial assets that are designated as AFS and that are not classified in any of the previous categories. AFS financial investments includes debt securities. Securities in this category are those that are intended to be held till maturity and which may be sold in response to the need for liquidity or in response to changes in the market conditions.

The company's existing types of financial assets and their classifications are shown in the table below.

Financial Asset	HTM	L&R	Category FVTPL	AFS
Treasury bonds	✓			✓
Treasury bills		✓		
Quoted shares				✓
Reverse repurchase agreements		✓		
Corporate debts		✓		
Fixed deposits		✓		
Unit trusts			✓	
Policy loans		✓		
Reinsurance receivables		✓		
Premiums receivable		✓		
Other receivables		✓		
Cash in hand and at bank		✓		

Subsequent Measurement

Held to maturity (HTM)

Subsequent to initial measurement, held to maturity financial assets are measured at amortised cost, using the Effective Interest Rate (EIR), less impairment. The EIR Amortisation is included in 'Interest Income' in Profit or Loss.

Loans and receivables (L&R)

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. The company also decided to classify unquoted corporate debts under this category since there is no active market for these instruments.

These investments are initially recognised at cost, being the fair value of the consideration paid for the acquisition of the investment. All transaction costs directly attributable to the acquisition are also included in the cost of the investment. After initial measurement, loans and receivables are measured at amortised cost, using the EIR, less allowance for impairment.

Fair Value Through Profit or Loss (FVTPL)

Financial assets at fair value through profit or loss are carried in the statement of financial position at fair value with changes in fair value recognised in the income statement.

Available-for-sale financial assets (AFS)

After initial measurement, available-for-sale financial assets are subsequently measured at fair value, with unrealised gains or losses recognised in Other Comprehensive Income (OCI) in the available-for-sale reserve. The company has applied the shadow accounting principles and recognised the fair value movement in life fund under movement on AFS reserve.

Interest earned whilst holding available-for-sale investments is reported as interest income using the EIR.

NOTES TO THE FINANCIAL STATEMENTS

If the asset is determined to be impaired, the cumulative loss is recognised in the Income Statement in the Other Revenue and removed from the available-for-sale reserve.

The company evaluates its available-for-sale financial assets to determine whether the ability and intention to sell them in the near term would still be appropriate. In the case where the company is unable to trade these financial assets due to inactive markets and management's intention significantly changes to do so in the foreseeable future, the company may elect to reclassify these financial assets in rare circumstances. Reclassification to loans and receivables is permitted when the financial asset meets the definition of loans and receivables and management has the intention and ability to hold these assets for the foreseeable future or until maturity. The reclassification to held-to-maturity is permitted only when the entity has the ability and intention to hold the financial asset until maturity.

For a financial asset that is reclassified out of the available-for-sale category, any previous gain or loss on that asset that has been recognised in equity is amortised to profit or loss over the remaining life of the investment using the EIR. Any difference between the new amortised cost and the expected cash flows is also amortised over the remaining life of the asset using the EIR. If the asset is subsequently determined to be impaired, then the amount recorded in equity is reclassified to the income statement.

Fair value is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction on the measurement date.

When available, the company measures the fair value of an instrument using quoted prices in an active market for that instrument. A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis.

If a market for a financial instrument is not active, then the company establishes fair value using a valuation technique. Valuation techniques include using recent arm's length transactions between knowledgeable, willing parties (if available), reference to the current fair value of other instruments that are substantially the same, discounted cash flow analysis.

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price, i.e. The fair value of the consideration given or received, unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument, i.e. Without modification or repackaging, or based on a valuation technique whose variables include only data from observable markets. When transaction price provides the best evidence of fair value at initial recognition, the financial instrument is initially measured at the transaction price and any difference between this price and the value initially obtained from a valuation model is subsequently recognised in profit or loss on an appropriate basis over the life of the instrument but not later than when the valuation is supported wholly by observable market data or the transaction is closed out.

Impairment of financial assets

The company assesses at each reporting date whether a financial asset or group of financial assets is impaired. The company first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a group of financial assets with similar credit risk characteristics and that group of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognised are not included in a collective assessment of impairment.

Assets carried at amortised cost

If there is objective evidence that an impairment loss on assets carried at amortised cost has been incurred, the amount of the impairment loss is measured as the difference between the asset's carrying amount and the present value of estimated future

cash flows (excluding future expected credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. The carrying amount of the asset is reduced and the loss is recorded in the Income Statement.

If, in a subsequent period, the amount of the impairment loss decreases and that decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed. Any subsequent reversal of an impairment loss is recognised in the Income Statement, to the extent that the carrying value of the asset does not exceed its amortised cost at the reversal date.

Available for sale financial asset

For available-for-sale financial investments, the company assesses at each reporting date whether there is objective evidence that an investment or a group of investments is impaired.

In the case of debt instruments classified as available-for-sale, impairment is assessed based on the same criteria as financial assets carried at amortised cost. However, the amount recorded for impairment is the cumulative loss measured as the difference between the amortised cost and the current fair value, less any impairment loss on that investment previously recognised in the income statement.

Future interest income continues to be accrued based on the reduced carrying amount of the asset and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest income is recorded as part of 'Investment Income'. If, in a subsequent year, the fair value of a debt instrument increases and the increase can be objectively related to an event occurring after the impairment loss was recognised in the income statement, the impairment loss is reversed through the income statement.

De-recognition

The company derecognises a financial asset when,

- The rights to receive cash flows from the asset have expired or
- The company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either
 - (a) The company has transferred substantially all the risks and rewards of the asset, or
 - (b) The company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset transferred), and the sum of;

- (a) the consideration received (including any new asset obtained less any new liability assumed) and
- (b) any cumulative gain or loss that had been recognised in other comprehensive income is recognised in profit or loss.

Financial assets and liabilities by categories

Financial assets and liabilities in the tables below are split into categories in accordance with LKAS 39.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December	2023	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013	2012	2011	2010	2009	2008	2007	2006	2005	2004	2003	2002	2001	2000	1999	1998	1997	1996	1995	1994	1993	1992	1991	1990	1989	1988	1987	1986	1985	1984	1983	1982	1981	1980	1979	1978	1977	1976	1975	1974	1973	1972	1971	1970	1969	1968	1967	1966	1965	1964	1963	1962	1961	1960	1959	1958	1957	1956	1955	1954	1953	1952	1951	1950	1949	1948	1947	1946	1945	1944	1943	1942	1941	1940	1939	1938	1937	1936	1935	1934	1933	1932	1931	1930	1929	1928	1927	1926	1925	1924	1923	1922	1921	1920	1919	1918	1917	1916	1915	1914	1913	1912	1911	1910	1909	1908	1907	1906	1905	1904	1903	1902	1901	1900	1899	1898	1897	1896	1895	1894	1893	1892	1891	1890	1889	1888	1887	1886	1885	1884	1883	1882	1881	1880	1879	1878	1877	1876	1875	1874	1873	1872	1871	1870	1869	1868	1867	1866	1865	1864	1863	1862	1861	1860	1859	1858	1857	1856	1855	1854	1853	1852	1851	1850	1849	1848	1847	1846	1845	1844	1843	1842	1841	1840	1839	1838	1837	1836	1835	1834	1833	1832	1831	1830	1829	1828	1827	1826	1825	1824	1823	1822	1821	1820	1819	1818	1817	1816	1815	1814	1813	1812	1811	1810	1809	1808	1807	1806	1805	1804	1803	1802	1801	1800	1799	1798	1797	1796	1795	1794	1793	1792	1791	1790	1789	1788	1787	1786	1785	1784	1783	1782	1781	1780	1779	1778	1777	1776	1775	1774	1773	1772	1771	1770	1769	1768	1767	1766	1765	1764	1763	1762	1761	1760	1759	1758	1757	1756	1755	1754	1753	1752	1751	1750	1749	1748	1747	1746	1745	1744	1743	1742	1741	1740	1739	1738	1737	1736	1735	1734	1733	1732	1731	1730	1729	1728	1727	1726	1725	1724	1723	1722	1721	1720	1719	1718	1717	1716	1715	1714	1713	1712	1711	1710	1709	1708	1707	1706	1705	1704	1703	1702	1701	1700	1699	1698	1697	1696	1695	1694	1693	1692	1691	1690	1689	1688	1687	1686	1685	1684	1683	1682	1681	1680	1679	1678	1677	1676	1675	1674	1673	1672	1671	1670	1669	1668	1667	1666	1665	1664	1663	1662	1661	1660	1659	1658	1657	1656	1655	1654	1653	1652	1651	1650	1649	1648	1647	1646	1645	1644	1643	1642	1641	1640	1639	1638	1637	1636	1635	1634	1633	1632	1631	1630	1629	1628	1627	1626	1625	1624	1623	1622	1621	1620	1619	1618	1617	1616	1615	1614	1613	1612	1611	1610	1609	1608	1607	1606	1605	1604	1603	1602	1601	1600	1599	1598	1597	1596	1595	1594	1593	1592	1591	1590	1589	1588	1587	1586	1585	1584	1583	1582	1581	1580	1579	1578	1577	1576	1575	1574	1573	1572	1571	1570	1569	1568	1567	1566	1565	1564	1563	1562	1561	1560	1559	1558	1557	1556	1555	1554	1553	1552	1551	1550	1549	1548	1547	1546	1545	1544	1543	1542	1541	1540	1539	1538	1537	1536	1535	1534	1533	1532	1531	1530	1529	1528	1527	1526	1525	1524	1523	1522	1521	1520	1519	1518	1517	1516	1515	1514	1513	1512	1511	1510	1509	1508	1507	1506	1505	1504	1503	1502	1501	1500	1499	1498	1497	1496	1495	1494	1493	1492	1491	1490	1489	1488	1487	1486	1485	1484	1483	1482	1481	1480	1479	1478	1477	1476	1475	1474	1473	1472	1471	1470	1469	1468	1467	1466	1465	1464	1463	1462	1461	1460	1459	1458	1457	1456	1455	1454	1453	1452	1451	1450	1449	1448	1447	1446	1445	1444	1443	1442	1441	1440	1439	1438	1437	1436	1435	1434	1433	1432	1431	1430	1429	1428	1427	1426	1425	1424	1423	1422	1421	1420	1419	1418	1417	1416	1415	1414	1413	1412	1411	1410	1409	1408	1407	1406	1405	1404	1403	1402	1401	1400	1399	1398	1397	1396	1395	1394	1393	1392	1391	1390	1389	1388	1387	1386	1385	1384	1383	1382	1381	1380	1379	1378	1377	1376	1375	1374	1373	1372	1371	1370	1369	1368	1367	1366	1365	1364	1363	1362	1361	1360	1359	1358	1357	1356	1355	1354	1353	1352	1351	1350	1349	1348	1347	1346	1345	1344	1343	1342	1341	1340	1339	1338	1337	1336	1335	1334	1333	1332	1331	1330	1329	1328	1327	1326	1325	1324	1323	1322	1321	1320	1319	1318	1317	1316	1315	1314	1313	1312	1311	1310	1309	1308	1307	1306	1305	1304	1303	1302	1301	1300	1299	1298	1297	1296	1295	1294	1293	1292	1291	1290	1289	1288	1287	1286	1285	1284	1283	1282	1281	1280	1279	1278	1277	1276	1275	1274	1273	1272	1271	1270	1269	1268	1267	1266	1265	1264	1263	1262	1261	1260	1259	1258	1257	1256	1255	1254	1253	1252	1251	1250	1249	1248	1247	1246	1245	1244	1243	1242	1241	1240	1239	1238	1237	1236	1235	1234	1233	1232	1231	1230	1229	1228	1227	1226	1225	1224	1223	1222	1221	1220	1219	1218	1217	1216	1215	1214	1213	1212	1211	1210	1209	1208	1207	1206	1205	1204	1203	1202	1201	1200	1199	1198	1197	1196	1195	1194	1193	1192	1191	1190	1189	1188	1187	1186	1185	1184	1183	1182	1181	1180	1179	1178	1177	1176	1175	1174	1173	1172	1171	1170	1169	1168	1167	1166	1165	1164	1163	1162	1161	1160	1159	1158	1157	1156	1155	1154	1153	1152	1151	1150	1149	1148	1147	1146	1145	1144	1143	1142	1141	1140	1139	1138	1137	1136	1135	1134	1133	1132	1131	1130	1129	1128	1127	1126	1125	1124	1123	1122	1121	1120	1119	1118	1117	1116	1115	1114	1113	1112	1111	1110	1109	1108	1107	1106	1105	1104	1103	1102	1101	1100	1099	1098	1097	1096	1095	1094	1093	1092	1091	1090	1089	1088	1087	1086	1085	1084	1083	1082	1081	1080	1079	1078	1077	1076	1075	1074	1073	1072	1071	1070	1069	1068	1067	1066	1065	1064	1063	1062	1061	1060	1059	1058	1057	1056	1055	1054	1053	1052	1051	1050	1049	1048	1047	1046	1045	1044	1043	1042	1041	1040	1039	1038	1037	1036	1035	1034	1033	1032	1031	1030	1029	1028	1027	1026	1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29 STATED CAPITAL**ACCOUNTING POLICY***Ordinary Shares*

The company has issued ordinary shares that are classified as equity instruments. Incremental external costs that are directly attributable to the issue of these shares are recognised in equity, net of tax.

Dividends on ordinary share capital

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the company's shareholders. Interim dividends are deducted from equity when they are paid.

As at 31 December 2023	2023		2022	
	Nos	Rs.	Nos	Rs.
Available for sale financial assets	66,230,407	675,564,870	66,230,407	675,564,870
Fair Value Through Profit or Loss	-	-	-	-
	66,230,407	675,564,870	66,230,407	675,564,870

30 INSURANCE CONTRACT LIABILITIES**ACCOUNTING POLICY****30.1 Recognition and Measurement**

Life insurance liabilities are recognised when contracts are entered into and premiums are charged. These liabilities are measured by using the gross premium valuation, which cash flows discounted using the best estimate investment returns. All other assumptions are at best estimate with risk margins as per RBC basis.

30.2 Use of Judgements, Estimates and Assumption**30.2.(a) Product Classification**

According to SLFRS 4, Insurance Contract is a contract under which one party (the insurer) accept significant insurance risk from another party (the policyholder) by agreeing to compensate the policyholder if a specified uncertain future event (the insured event) adversely affect the policyholder.

Insurance contracts are those contracts when the company (the insurer) has accepted significant insurance risk from another party (the policyholders) by agreeing to compensate the policyholders if a specified uncertain future event (the insured event) adversely affects the policyholders. As a general guideline, the company determines whether it has significant insurance risk, by comparing benefits paid with benefits payable if the insured event did not occur. Insurance contracts can also transfer financial risk.

Investment contracts are those contracts that transfer significant financial risk and no significant insurance risk. Financial risk is the risk of a possible future change in one or more of a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of price or rates, credit rating or credit index or other variable, provided in the case of a non-financial variable that the variable is not specific to a party to the contract.

Once a contract has been classified as an insurance contract, it remains an insurance contract for the remainder of its lifetime, even if the insurance risk reduces significantly during this period, unless all rights and obligations are extinguished or expire. Investment contracts can, however, be reclassified as insurance contracts after inception if insurance risk becomes significant.

NOTES TO THE FINANCIAL STATEMENTS

All the products sold by the Company are insurance contracts and therefore classified as insurance contracts under the SLFRS 4 – Insurance Contracts. Thus, the company does not have any investment contracts within its product portfolio as at the reporting date.

30.2.(b) Valuation of Life Insurance Contract Liabilities

The liability of the insurance contracts is valued using the Gross Premium Valuation (GPV) methodology. GPV liability is a prospective valuation method which is derived by discounting the projected future cash flows of each individual policy. These policy cash flows reflect the best estimate assumptions of the current portfolio and increased with a margin for risk an adverse deviation. All contracts are subject to a Liability Adequacy Test (LAT), which reflect management's best current estimate of future cash flows.

The main assumptions used relate to discount rate, mortality, morbidity, withdrawal, expenses and expense inflation, lapses, surrender rates and discount rates as further detailed in Note 30.6. For those contracts that insure risk related to longevity, prudent allowance is made for expected future mortality improvements, as well as wide ranging changes to the life style, which could result in significant changes to the expected future mortality exposure.

Estimates are also made for future investment income arising from the assets backing life insurance contracts.

These estimates are based on current market returns, as well as expectations about future economic and financial developments.

Assumptions on future expense are based on current expense levels, adjusted for expected expense inflation, if appropriate. Lapse and surrender rates are based on the company's historical experience of lapses and surrenders.

Discount rates are based on current industry risk rates, adjusted for the company's own risk exposure.

Actuarial valuation of life insurance fund

The directors agree to the long-term insurance provision for the company at the year-end on the recommendations of the Independent Consultant Actuary following his annual investigation of the life insurance business. The actuarial valuation takes into account all liabilities and is based on assumptions recommended by the Independent Consultant Actuary.

30.3 Liability adequacy test for financial reporting

As required by the SLFRS 4 – Insurance Contracts, the Company performed a Liability Adequacy Test (LAT) in respect of Life Insurance contract liabilities with the assistance of an external qualified actuary. In performing the adequacy test, current best estimates of future contractual cash flows, including related cash flows such as claims handling and policy administration expenses, policyholder options and guarantees, as well as investment income from assets backing such liabilities, are used. If that assessment that the carrying amount of the liabilities (less related assets) is insufficient in light of the estimated future cash flows, the deficiency is recognised in the Statement of Income by creating an additional provision in the Statement of Financial Position.

30.4 Insurance Contract Liabilities – Life

As at 31 December	2023	2022
	Rs.	Rs.
Life Insurance Fund	2,880,737,620	2,289,093,962
AFS Reserve	5,126,263	(47,144,574)
	2,885,863,883	2,241,859,388

30.5 Movement in Life Fund

As at 31 December	2023 Rs.	2022 Rs.
Balance as at 01 January	2,241,859,388	1,897,003,107
Change in contract liabilities life fund		
Increase in life insurance fund before surplus transfer	(357,222,576)	277,169,203
Surplus transferred from / (to) shareholders	948,956,234	131,691,505
Increase in life insurance fund	591,733,658	408,860,708
Movement in AFS reserve transferred to life fund	52,270,837	(64,004,427)
Balance as at 31 December	2,885,863,883	2,241,859,388

The valuation of the Life Insurance business as at 31 December 2023 was assessed by Actuarial Partners Consulting Sdn Bhd, according to the Actuarial Valuation which is based on a distribution basis, the reserve amounted to Rs. 2,885 Mn (2022 - 2,242 Mn) is adequate to cover the liabilities pertaining to the Life Insurance Business.

Long duration contract liabilities included in the Life Insurance Fund, result primarily from traditional non-participating Life Insurance products. The actuarial reserves have been established based on Gross Premium Valuation (GPV) with cash flows discounted using the best estimate investment return.

According to Solvency margin rules (Risk Based Capital) effective from 1 January 2016, Life Insurance Policy Liabilities are valued as per the Gross Premium Valuation (GPV) method. The change in the valuation method from Net Premium Valuation (NPV), which was applicable under the previous Solvency Margin Rules and GPV as per the new rules resulted in a one off release in Liabilities. The external actuary, Actuarial Partners Consulting Sdn Bhd has reworked the one off surplus which is amounting to Rs. 320 Mn on the RBC Basis. The one off surplus is applicable only for the non-participating businesses. The Company does not engage in participating business. As company has adopted a distribution basis for the insurance contract liability valuation, the one off surplus will not be transferred to the shareholder fund as a restricted reserve.

As per the valuation, the Life Insurance Fund included in the financial statements shows deficit in the required actuarial reserves by Rs. 948 Mn as at 31 December 2023 before any transfers to shareholders. Accordingly based on the recommendations made by the Actuary a sum of Rs. 948 Mn has been transferred from Shareholders Fund to the Life Insurance Fund in 2023.

Liability Adequacy Test (LAT)

A Liability Adequacy Test ("LAT") for Life Insurance contract Liability was carried out by Actuarial Partners, as at 31 December 2023 as required by SLFRS 4 - Insurance Contracts. When performing the LAT, the Company discounted all contractual cash flows and compared this amount with the carrying value of the liability.

30.6 Key assumptions

The main assumptions used to estimate liability are as follows:

Mortality	The latest industry mortality table for male and female is used
Discount rate	The discount rates are derived based on the asset mix and expected rates of return of the Company. The cash flows are discounted using the best estimate expected fund return. This is derived based on the Company's expected return.
Inflation	Based on the weighted salary increment experience from Arpico and the expected inflation of Sri Lanka for non-salary expense.
Morbidity	Based on the company experience

NOTES TO THE FINANCIAL STATEMENTS**30.7 Sensitivity Analysis**

The following analysis provides the sensitivity of the life insurance liability due to possible movements in key assumptions with all other assumptions held constant, and shows the impact on gross liabilities.

As at 31 December 2023	Change in assumption	Impact on gross liabilities 2023 Rs. %
Expenses	+ 10 %	1.63%
Mortality	+ 10 %	-1.44%
Mortality	- 10 %	1.54%
Discount Rate	+ 50 basis points	0.30%
Discount Rate	- 50 basis points	-0.30%

30.8 Expected Maturity Profile for Reserves for Insurance Contracts, Net of Reinsurance (Undiscounted Cash Flows)

As at 31 December	2023 Rs. (000)	2022 Rs. (000)
< 1 year	345,199	(104,206)
1 to 5 years	2,206,867	3,379,605
5 to 10 years	895,849	4,116,721
10 to 20 years	1,309,309	1,789,862
> 20 years	732,623	2,002,534

31 EMPLOYEE BENEFIT OBLIGATION**ACCOUNTING POLICY****31.1 Defined Contribution Plans**

A defined contribution plan is a post employment benefit plan under which an entity pays fixed contributions into a separate entity and has no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution plans are recognised as an employee benefit expense in the income statement in the periods during which related services are rendered by employees.

Employees' Provident Fund

All employees of the Company are members of the Employees' Provident Fund (EPF). The Company and employees contribute 12% and 8% respectively of the salary, monthly to the Employees Provident Fund managed by the Central Bank of Sri Lanka.

Employees' Trust Fund

All employees of the Company are members of the Employees' Trust Fund (ETF). The Company contributes each month at the rate of 3% of the salaries of each employee, to the Employees' Trust Fund administrated by the Employees' Trust Fund Board.

Following contributions have been made to the employee provident fund and employee trust fund during the year

For the year ended 31 December	2023 Rs. (000)	2022 Rs. (000)
Employees' Provident Fund (EPF)		
Employer's contribution (12%)	25,716,968	33,378,580
Employee's contribution (8%)	17,144,645	22,252,387
Employees' Trust Fund (ETF)		
Employer's contribution (3%)	6,429,242	8,353,518

31.2 Defined Benefit Plans - Gratuity

A defined benefit plan is a post employment benefit plan other than a defined contribution plan. The Company is liable to pay gratuity in terms of the Payment of Gratuity Act No. 12 of 1983, according to which a liability to pay gratuity arises only on completion of 5 years of continued service. In order to meet this liability, a provision is carried forward in the statement of financial position as per Sri Lanka Accounting Standard LKAS 19 - Employee Benefits. The actual valuation involves making assumptions about discount rate, salary increment rate and balance service period of employees and projected unit credit method has been applied for the valuation. Due to the long term nature of plans such estimates are subject to significant uncertainty.

As per LKAS 19 - Employee Benefits, the re-measurement of the net defined benefit liability, which comprises actuarial gains and losses are recognised immediately in other comprehensive income. Interest cost and current service cost are recognised in profit or loss.

	2023 Rs. (000)	2022 Rs. (000)
Gratuity benefit obligation		
Balance as at 1 January	17,057,855	16,146,223
Included in Profit or Loss:		
Current service cost	2,531,290	3,099,286
Past service cost	-	-
Interest cost on benefit obligation	3,411,571	1,501,599
Included in OCI:		
(Gain) / Loss arising from changes in assumptions	4,164,915	(83,360)
Other		
Gratuity transfer	-	-
Gratuity paid / payable for those who left during the period	(11,498,151)	(3,605,893)
Balance as at 31 December	15,667,480	17,057,855

The actuarial valuation for the gratuity liability was carried out as at 31 December 2023, by Mr. Poopalanathan, of Actuarial and Management Consultants (Pvt) Ltd.

NOTES TO THE FINANCIAL STATEMENTS

31.3 Principal Actuarial Assumptions Used

The cost of defined benefit plans which is gratuity is determined using actuarial valuations. The actuarial valuation involves making assumptions about discount rates, expected rates of return on assets, future salary increases and mortality rates. Due to the complexity of the valuation, the underlying assumptions and its long-term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. Details of the key assumptions used by the actuary in valuation of gratuity liability are set out as below:

For the year ended 31 December	2023 Rs. (000)	2022 Rs. (000)
Assumption		
Discount rate	14.00%	20.00%
Future salary increases	11.00%	14.00%
Staff turnover rate	24% - 36%	35% - 39%
Retirement age	60 years	60 years

31.4 Sensitivity Analysis

Sensitivity analysis on discounting rate and salary increment rate to Statement of Financial Position and Comprehensive Income

Assumption	Rate change	2023		2022	
		Impact to Financial Position-Increment / (Reduction) of Liability (Rs.) (000)	Impact to Comprehensive Income-Charged / (Reversal) (Rs.) (000)	Impact to Financial Position-Increment / (Reduction) of Liability (Rs.) (000)	Impact to Comprehensive Income-Charged / (Reversal) (Rs.) (000)
Discount rate	1%	(15,181)	(15,181)	(16,737)	(16,737)
Discount rate	-1%	16,188	16,188	17,304	17,304
Salary increment rate	1%	16,219	16,219	17,437	17,437
Salary increment rate	-1%	(15,143)	(15,143)	(16,690)	(16,690)

31.5 Maturity profile of defined benefit obligation

The following payments are expected on employee benefit liabilities in future years

As at 31 December	2023 Rs. (000)	2022 Rs. (000)
Less than one year	3,314,946	6,101,050
Between 1-2 years	4,728,551	6,444,466
Between 3-5 years	4,940,475	3,422,058
Beyond 5 years	2,683,509	1,090,281
	15,667,480	17,057,855

32 REINSURANCE PAYABLES

ACCOUNTING POLICY

See accounting policy in Note 28

Insurance payables are recognised when due and measured on initial recognition at the fair value of the consideration received less directly attributable transaction costs. Subsequent to initial recognition, they are measured at amortised cost using the effective interest rate method.

Insurance payables are derecognised when the obligation under the liability is settled, cancelled or expired.

As at 31 December	2023 Rs. (000)	2022 Rs. (000)
Munich Re	32,823,708	30,025,208
Hannover Re	4,755,495	2,377,115
	37,579,204	32,402,323

33 AMOUNTS DUE TO RELATED PARTIES

As at 31 December	2023 Rs. (000)	2022 Rs. (000)
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Amounts due to related companies	33. (a)	49,590,990	30,795,272
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33.(a) Related Parties

	Relationship		
Richard Pieris & Company PLC	Ultimate Parent	11,696,838	10,782,831
Richard Pieris Distributors Limited	Fellow Subsidiary	37,894,153	19,658,828
Arpico Interiors	Fellow Subsidiary	-	179,475
Arpitech (pvt) Ltd	Fellow Subsidiary	-	176,138
		49,590,990	30,795,272

34 OTHER FINANCIAL LIABILITIES

ACCOUNTING POLICY

34.1 Initial recognition and measurement

Financial liabilities within the scope of UKAS 39 are classified as financial liabilities at fair value through profit, loss or loans and borrowings as appropriate. The company determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings, carried at amortised cost. This includes directly attributable transaction costs.

34.2 Subsequent measurement

The measurement of financial liabilities depends on their classification as follows.

Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss.

NOTES TO THE FINANCIAL STATEMENTS

Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. Gains or losses on liabilities held for trading are recognised in the statement of income. The company has not designated any financial liabilities upon initial recognition as fair value through profit or loss.

Other financial liabilities

Loans and borrowings are carried at amortised cost after initial recognition.

34.3 De recognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires.

As at 31 December	2023 Rs. (000)	2022 Rs. (000)
Agency commission payable	3,037,429	37,601,785
Accrued expenses	104,795,854	66,087,351
Claims outstanding	18,450,500	11,861,801
	126,283,782	117,550,937

35 OTHER LIABILITIES

ACCOUNTING POLICY

See accounting policy in Note 25.

Other Liabilities include advances and Government levies payable and these liabilities are recorded at the amounts that are expected to be paid.

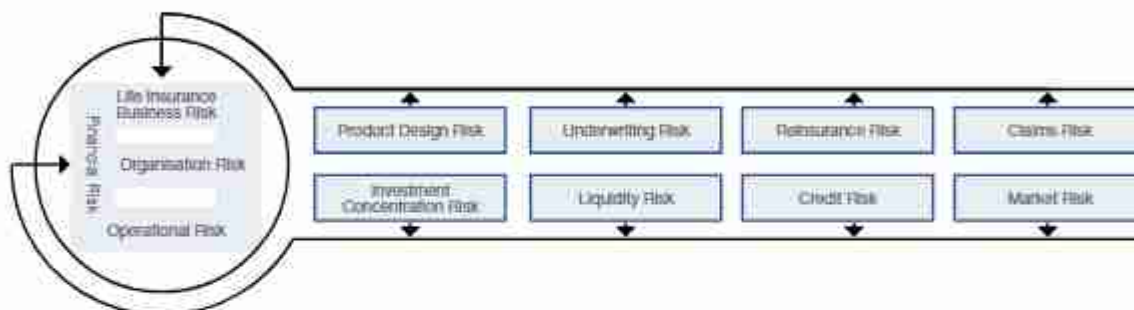
As at 31 December	2023 Rs. (000)	2022 Rs. (000)
Agency commission payable	66,039,838	72,065,502
Accrued expenses	2,396,041	14,713,725
Claims outstanding	68,435,879	87,679,227

36 RISK MANAGEMENT FRAME WORK

36.1 Overview

The mission of risk management of the company is to promptly identify, measure, manage, report and monitor risks that affect the achievement of strategic, operational and financial objectives. This includes adjusting the risk profile in line with the Company's stated risk tolerance to respond to new threats and opportunities in order to optimise returns.

The Company is exposed to the following risks and considers in Risk Management



This note presents information about Company's exposure to each of the above risks, the Company's objectives, policies and processes for measuring/managing such risks, and the manner in which the Company manages its capital.

36.2 Risk management framework

36.2.(a) Governance framework

The primary objective of the Company's risk and financial management framework is to protect the Company's shareholders from events that could hinder the sustainable achievement of financial objectives, including failure to exploit opportunities. The Board of Directors has the overall responsibility for the establishment and oversight of the Company's risk management framework and thus, their approval is necessary for the risk management strategy and risk policies pertaining to all activities of the Company. Further, the Board also ensures that adequate resources, expertise and support are provided for the effective implementation of the risk management strategy, policies and procedures of the Company. Management recognises the paramount importance of having efficient and effective risk management systems in place.

The board of directors has appointed a Risk Management Committee, chaired by an independent director comprising members of the senior management from business operations and control functions, which oversees the risk management activities of the Company. The activities cover areas such as the evaluation of business processes, design and implementation of the risk strategy and risk policies, review and updating of the risk profile, delegation of authority, monitoring of risk mitigation activities, etc.

The Board of Directors approves the Company's risk management policies and meets regularly to approve any commercial, regulatory and organisational requirements of such policies. These policies define the Company's identification of risk and its interpretation, limit structure to ensure the appropriate quality and diversification of assets, align underwriting and reinsurance strategy to the corporate goals, and specify reporting requirements.

36.2.(b) Capital management objectives, policies and approach

The Company has established the following capital management objectives, policies and approaches to manage the risks that affect its capital position:

- To maintain the required level of solvency of the Company, thereby providing a degree of security to policyholders
- To allocate capital efficiently and support the development of business by ensuring that returns on capital employed meets the requirements of its shareholders and policyholders
- To retain financial flexibility by maintaining strong liquidity
- To align the profile of assets and liabilities taking account of risks inherent in the business

NOTES TO THE FINANCIAL STATEMENTS

- To maintain financial strength to support new business growth and to satisfy the requirements of the policyholders, regulators and other stakeholders
- To maintain healthy capital ratios in order to support its business objectives and maximise shareholders' value

The operations of the Company are subject to regulatory requirements. Such regulations not only prescribe approval and monitoring of activities, but also impose certain restrictive provisions (e.g. Solvency Margin, Approved Assets Requirements of IRCSL) to minimise the risk of default and insolvency on the part of the Company to meet unforeseen liabilities as these arise. The Company has been in compliance with all these regulatory requirements throughout the financial year to the best of our knowledge.

Approach to capital management

The Company seeks to optimise the structure and sources of capital to ensure that it consistently maximises returns to the shareholders and policyholders. The Company's approach to managing capital involves managing assets, liabilities and risks in a coordinated way, assessing shortfalls between reported and required capital levels on a regular basis and taking appropriate actions to influence the capital position of the Company in the light of changes in economic conditions and risk characteristics.

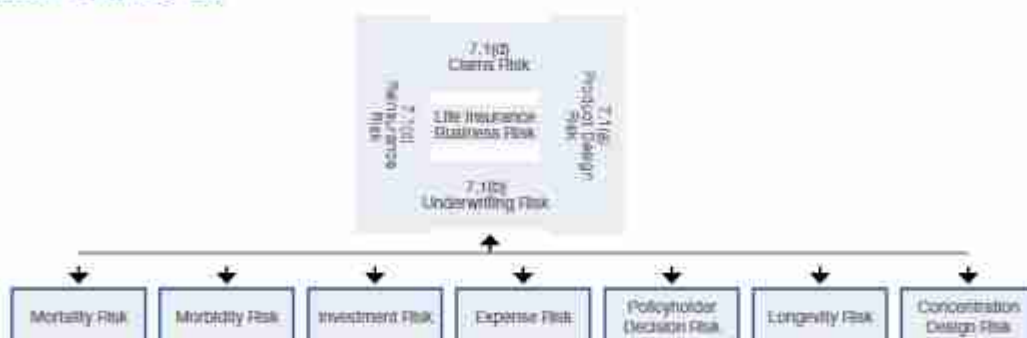
The primary source of capital used by the Company is equity shareholders' funds. The capital requirements are routinely forecasted on a periodic basis by the management and the Board. The solvency margins are calculated on a monthly basis and shared with the Board.

36.2.(c) Regulatory framework

Insurance regulator in the Country, Insurance Regulatory Commission of Sri Lanka (IRCSL) is primarily interested in protecting the rights of policyholders and monitors the Company closely to ensure that it is satisfactorily managing affairs for the benefit of policyholders. At the same time, they are also interested in ensuring that the Company maintains an appropriate solvency position to meet unforeseen liabilities arising from economic shocks, natural disasters, etc.

Thus, the operations of the Company are subject to regulatory requirements of the IRCSL as well as various other regulators such as Central Bank of Sri Lanka (CBSL), Department of Inland Revenue etc. The Company is also regulated by the Companies Act No. 07 of 2007.

36.3 Life Insurance Business Risk



The principal risk the Company faces under insurance contracts is that the actual claims and benefit payments or the timing thereof, may differ from expectations. This is influenced by the frequency of claims, severity of claims, actual benefits paid and subsequent development of long-term claims. Therefore, the objective of the Company is to ensure that sufficient reserves are available to cover these liabilities.

Risk Response

- Diversification across a large portfolio of insurance contracts and geographical areas.
- The variability of risks is improved by careful selection and implementation of underwriting strategy guidelines
- Use of reinsurance arrangements.
- Ensure compliance (determination) requirements imposed by the regulator (IRCSL)

Risk management procedures adopted by the Company to manage insurance risk is given on pages 122 to 131.

36.3.(a) Product design risk

Life insurance product design is largely depending on futuristic hypothetical assumptions. Accordingly there is a risk of introducing unprofitable product to the market due to inappropriate use of assumptions or judgments.

The risk that the company is exposed to under Life Insurance Contracts are as follows:

Risk	Description
Mortality risk	Risk of loss arising due to policyholders' death experience being different from expected
Mortality risk	Risk of loss arising due to policyholders health related claim experience being different from expected
Longevity risk	Risk that annuitants live longer than expected.
Investment return risk	Risk that actual returns being difference from expected.
Expense risk	Risk that expenses incurred in acquiring and administering policies being difference from expected.
Policyholder behaviour risk	Risk that policyholders' behaviour in discontinuing and reducing contributions or withdrawing benefits prior to the maturity of the contracts are difference from expected.
Concentration risk	Risk of losses due to maintaining inadequate product portfolio/ mix. (Over dependence on a product, product type or geographical area)

36.3.(b) Underwriting Risk

The company's underwriting strategy is designed to ensure that risks are well diversified in terms of type of risk and level of insured benefits. This is largely achieved through the use of medical screening in order to ensure that pricing takes account of current health conditions and family medical history, regular review of actual claims experience and product pricing. Underwriting limits are in place to enforce appropriate risk selection criteria. For example, the company has the right not to renew individual policies, it has the right to reject the payment of fraudulent claims.

Risk responses

- Maximum input is obtained from the Consultant Actuary and Reinsurer in deciding on the terms and conditions of products in order to ensure that products are adequately priced.
- Only registered laboratories are used when obtaining medical reports and regular visits are made by the management to such laboratories to monitor the quality of service.
- Focused training is provided to Insurance Advisors on proper selling in Sinhala, Tamil and English.
- A proposal form with Customer Need Analysis is used to identify customers' requirements and sell the most appropriate policy.

36.3.(c) Reinsurance risk

The Company's objectives for purchasing reinsurance are to provide market-leading capacity for customers while protecting the balance sheet and optimising the Company's capital efficiency. Reinsurance ceded is placed on a proportional basis. A proportional reinsurance arrangement includes both Quota Share and Facilitative Treaty programmes which is taken out to reduce the overall exposure of the Company to certain classes of business. Premium ceded to the reinsurers is in accordance with the terms on the programmes already agreed based on the risks written by the insurance companies.

Recoveries from reinsurers on claims are based on the cession made in respect of each risk and is estimated in a manner consistent with the outstanding claims provisions made for the loss. Although we mitigate our exposures through prudent reinsurance arrangements, the obligation to meet claims emanating from policyholders rests with the Company. Default of reinsurers does not negate this obligation and in that respect the Company carries a credit risk up to the extent ceded to each reinsurer.

NOTES TO THE FINANCIAL STATEMENTS

The Company's placement of reinsurance is arranged in a manner that is neither dependent on a single reinsurer nor substantially dependent upon any single reinsurance contract. The Company uses Munich Re as its reinsurance provider for individual policies as well as for Group policies. The company also uses Hannover Re in certain cases.

Credit ratings of the reinsurance companies with whom the Company has arrangements.

Reinsurer	Rating	Rating Agency
Munich Re	A+(Superior)	AM Best
Hannover Re	AA-	Standard & Poor's

Risk Responses

- Reinsurance is placed in line with policy guidelines approved by the Board of Directors on an annual basis based on the guidelines issued by the IRCSL.
- Outstanding reinsurance receivables are reviewed on a monthly basis to ensure that all dues are collected or set off against payables on time.
- A very close and professional relationship is maintained with all reinsurers.
- Only a globally trusted and stable portfolio of reinsurance companies which are rated highly by Standard & Poors or AM Best is used.

The Company reinsures approximately 3- 4 % of gross written premium

For the year ended 31 December	2023 Rs. (000)	2022 Rs. (000)
Gross written premium	2,236,604,711	2,318,578,356
Reinsurance	(95,541,262)	(71,539,608)
Net Written Premium	2,141,063,449	2,247,038,748

The Company has recovered approximately 7% of gross claims from reinsurers during the period under review (2022 - 9%)

For the year ended 31 December	Note	2023 %	Rs.	2022 %	Rs.
Gross claims paid			1,457,211,919		926,265,262
Claims recovered from reinsurers		4%	(56,077,299)	7%	(86,234,222)
Net Claims			1,401,134,620		860,031,040

36.3.(d) Claim Risk

The company further enforces a policy of actively managing and promptly pursuing claims, in order to reduce its exposure to unpredictable future developments that can negatively impact the company. For contracts for which death or disability is the insured risk, the significant factors that could increase the overall frequency of claims are epidemics, widespread changes in lifestyle and natural disasters, resulting in earlier or more claims than expected. The Company limits exposure on any single life by way of retention limits agreed with the reinsurers.

Risk responses

- Obtaining adequate Reinsurance cover
- An Independent Actuary is engaged to carry out a valuation of the Life Fund twice a year
- Claims are reserved immediately at the intimation or on the availability of information of the death or injury of an insured
- The Claims Panel (comprising Specified Officer, Principal Officer and Manager Actuarial) is involved in taking decisions on significant / problematic claims and appeals made in respect of claims

36.4.(a) Investment Concentration Risk

Investment concentration risk is arising due to less diversification of investment portfolio or investing too heavily in one industry, one geographic area or one type of security

Risk Response

- The Company ensures that an acceptable level of risk diversification is maintained on an ongoing basis.
- Assets allocation limits are regularly reviewed by the Risk Officer.

Investment concentration related to financial investments is given below.

As at 31 December		2023		2022	
	Note	Rs.	%	Rs.	%
Government securities		1,718,177,190	43	1,797,386,352	49
Corporate debt securities		653,557,574	17	794,531,247	22
Fixed deposits		1,114,975,140	28	784,289,965	21
Quoted equities		246,838,280	6	115,628,000	3
RPAF loan		100,000,000	3	100,000,000	3
Unit trusts		118,336,033	3	89,882,076	2
		3,949,884,217	100	3,881,717,640	100

36.4.(b) Liquidity risk

Liquidity risk is the risk that the company may not have sufficient liquid financial resources to meet its obligations when they fall due, or would have to incur excessive costs to do so. In respect of catastrophic / unexpected large claim events there is also a liquidity risk associated with the timing differences between gross cash outflows and expected reinsurance recoveries.

Risk response

- The Board Investment Committee (BIC) manages this risk by diversifying investment durations and reviewing cash flow projections regularly.
- Guidelines are set for asset allocations, portfolio limit structures and maturity profiles of assets, in order to ensure availability of sufficient funding to meet insurance and investment contract obligations.
- Reinsurance contracts contain clauses permitting the immediate draw down of funds to meet claim payments should claim events exceed a certain size.
- Reviewing the maturity mix of the investment portfolio by the Management and the Investment Committee (IC) on a regular basis.
- Maintaining sufficient cash balances, overnight investments and other short tenure investments to accommodate expected obligations and commitments of the Company.

NOTES TO THE FINANCIAL STATEMENTS

Excess liquidity position of the Company excluding insurance contract liabilities is given below;

As at 31 December	2023		2022	
	Rs.	%	Rs.	%
Up to one year	1,159,165	27	1,544,508	27
1 - 5 years	2,807,873	64	3,681,095	64
Over 5 years	388,512	9	548,641	9
	4,355,549	100	5,774,334	100

The table below summarises the maturity profile of the non- derivative financial assets and Liabilities of the Company based on remaining undiscounted contractual obligations, including interest payable and receivable.

As at 31 December 2023	Carrying Amount Rs '000	Up to a year Rs '000	1-3 years Rs '000	3-5 years Rs '000	Above 5 years Rs '000	Total Rs '000
Financial assets						
Loans & receivables	2,193,341	789,233	1,253,087	504,029	-	2,546,348
Available for sale	547,160	-	-	318,875	246,838	565,713
Held to maturity	1,091,047	168,106	336,225	543,341	141,600,000	1,189,273
Fair value through profit or loss	118,336	118,336	-	-	-	118,337
Life policyholders loans	241,246	-	72,865	95,126	73,465	241,256
Reinsurance receivable	11,109	11,109	-	-	-	11,109
Premiums receivable	122,461	122,461	-	-	-	122,461
Cash and cash equivalents	56,396	56,396	-	-	-	56,396
Total assets	4,140,091	1,285,641	1,589,385	1,366,340	388,512	4,609,878

As at 31 December 2023	Carrying Amount Rs '000	Up to a year Rs '000	1-3 years Rs '000	3-5 years Rs '000	Above 5 years Rs '000	Total Rs '000
Financial liabilities						
Reinsurance payables	37,579	32,402	-	-	-	32,402
Amounts due to related parties	49,591	31	-	-	-	31
Other financial liabilities	119,526	118	-	-	-	118
Lease Liabilities	221,777	73,926	147,852	-	-	221,777
Total liabilities	428,474	106,476	147,852	-	-	254,328
Total excess liquidity	3,711,617	1,159,165	1,441,533	1,366,340	388,512	4,355,550

As at 31 December 2022	Carrying Amount Rs '000	Up to a year Rs '000	1-3 years Rs '000	3-5 years Rs '000	Above 5 years Rs '000	Total Rs '000
Financial assets						
Loans & receivables	2,153,719	1,277,426	1,167,261	527,048	-	2,991,735
Available for sale	307,926	-	-	546,416	-	546,416
Held to maturity	1,130,191	114,783	574,786	879,291	340,734	1,909,594
Fair value through profit or loss	89,882	89,882	-	-	-	89,882
Life policyholders loans	321,812	31,685	10,072	68,044	212,031	321,812
Reinsurance receivable	1,903	1,903	-	-	-	1,903
Premiums receivable	99,335	99,335	-	-	-	99,335
Cash and cash equivalents	169,800	169,800	-	-	-	169,800
Total assets	4,274,568	1,784,794	1,772,110	2,020,799	552,765	6,130,477

As at 31 December 2022	Carrying Amount Rs '000	Up to a year Rs '000	1-3 years Rs '000	3-5 years Rs '000	Above 5 years Rs '000	Total Rs '000
Financial liabilities						
Reinsurance Payables	32402	32402	-	-	-	32,402
Amounts due to related parties	30,795	30,795	-	-	-	30,795
Other financial liabilities	117,551	117,551	-	-	-	117,551
Lease liabilities	175,395	59,447	102,180	9,644	4,124	175,395
Total liabilities	323,741	207,793	102,180	9,644	4,124	358,143
Total excess liquidity	3,950,827	1,577,001	1,669,939	2,011,155	548,641	5,774,334

36.4.(c) Credit risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss to the other party by failing to discharge an obligation. The Company's credit risk could mainly arise from financial assets such as its investment portfolios, premium receivables from policyholders, receivables from reinsurers, loans given to policyholders and cash and cash equivalents etc.

Credit exposure

Company's exposure to credit risk as at the Balance sheet date is given in below table with the comparative figures.

As at 31 December	2023 Rs '000	% of Allocation Rs '000	2022 Rs '000	% of Allocation Rs '000	2021 Rs '000	% of Allocation Rs '000
Financial Investments	3,949,884	90	3,466,090	85	3,136,179	83
Life policyholders loans	241,246	6	321,812	8	425,525	11
Reinsurance receivable	11,109	0	1,903	-	8,374	-
Amounts due from related parties	30,986	1	21,654	1	12,002	-
Premiums receivable	91,475	2	99,335	2	62,470	2
Cash in hand and at bank	56,398	1	169,800	4	150,015	4
Total credit risk exposure	4,381,096	100	4,080,594	100	3,794,566	100

NOTES TO THE FINANCIAL STATEMENTS

As of December 31 2023 the largest credit risk exposure of 90% (2022 - 85%) is arising from financial investments.

Credit Risk Related to Financial Investments

The Company is exposed to credit risk from counterparties where the Company holds securities issued by those entities.

Credit ratings of counterparties were downgraded during the year following downgrading of the country's overall credit rating as a direct result of suspension of servicing foreign debt. However, there is no significant impact to the financial statements stemming from downgraded debenture investments of the Company.

Risk Response

- The Company's policy prohibits non-graded investments, unless specifically authorised.
- Appropriate actions are implemented when the Company identifies investments that are expected to be downgraded.
- The Company identifies and selectively reduces unsecured and subordinated credit exposure issued by third parties with weak credit profiles.
- Structured finance exposures are assessed on a look through basis prior to acquisition and not merely on the strength of prevailing credit ratings or credit profiles.

The Company actively manages its investment portfolio to ensure that there is no significant concentration of credit risk. The Company monitors concentration of credit risk by sector and instrument. An analysis of concentration of credit risk and credit quality of financial investments are shown below.

As at 31 December	Held to maturity financial assets Rs '000	Loans and receivables Rs '000	Available for sale financial assets Rs '000	Financial assets at fair value through profit or loss Rs '000	2023	% of allocation
Financial investments						
Government securities						
Treasury Bonds	1,091,047	-	300,322	-	1,391,369	35
Treasury Bills	-	81,972	-	-	81,972	2
Reverse Repo	-	242,837	-	-	242,837	6
Corporate debt securities						
A+ A-	-	319,317	-	-	319,317	8
BBB+ BB-	-	434,241	-	-	434,241	11
Deposits	-	1,114,075	-	-	1,114,975	28
Unit Trusts	-	-	-	118,336	118,336	3
Maximum exposure to credit risk, carrying amount						
	1,091,047	2,193,341	300,322	118,336	3,703,046	94

As at 31 December	Held to maturity financial assets Rs '000	Loans and receivables Rs '000	Available for sale financial assets Rs '000	Financial assets at fair value through profit or loss Rs '000	2022	% of allocation
Financial investments						
Government securities						
Treasury Bonds	224,604	-	310,854	-	535,458	14
Treasury Bills	-	49,403	-	-	49,403	1
Reverse Repo	-	1,062,259	-	-	1,062,259	28
Corporate debt securities						
AAA+ AAA-	-	52,162	-	-	52,162	1
A+ A-	-	911,188	-	-	911,188	24
BBB+ BBB	-	37,616	-	-	37,616	1
Deposits	-	412,221	-	-	412,221	11
Unit Trusts	-	-	-	75,870	75,870	3
Maximum exposure to credit risk, carrying amount						
	224,604	2,524,851	310,854	75,870	3,136,179	83

Credit risk - financial investments in debt securities

Company limits its exposure to credit risk by analysing the creditworthiness of each debt security investment. The credit worthiness of a potential debt security investment is assessed mainly through ratings assigned to the issuing institution or the ratings assigned to an issue. The debt security investments are broadly categorised into investments in government securities and investments in corporate debt securities.

(i) Government securities

As shown in table above, as at 31 December 2023: 43% (2022: 44%) of total credit exposure are from investments in government securities comprising treasury bonds, bills and repo investments. Government securities are usually referred to as risk free due to the sovereign nature of the instrument.

(ii) Corporate debt securities

As at 31 December 2023, corporate debt securities comprise 19% (2022: 26%) of the total credit exposure which were rated "BBB" or better.

36.4.(c) Credit risk relating to loans to life policyholders

A loan issued by an insurance company considers the surrender value of the life policy as collateral. As at the balance sheet date, the value of policy loans granted amounted to Rs. 241 Million (2022 - Rs. 321 Million) and its related surrender value is Rs. 298 Million (2022 - Rs. 533 Million).

Credit risk relating to cash and cash equivalents

In order to mitigate concentration, settlement and operational risks related to cash and cash equivalents, the company limits the maximum cash amount that can be deposited with a single counterparty. In addition, the company maintains an authorised list of acceptable cash counterparties based on current ratings and economic outlook, taking into account analysis of fundamentals and market indicators. The company held cash and cash equivalents of Rs. 56 Million at 31 December 2023 (2022 - Rs. 169 Million). The cash and cash equivalents are held with banks and financial institutional counterparties, which are rated BBB or better.

NOTES TO THE FINANCIAL STATEMENTS

36.4.(d) Market risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices.



Risk Response

- A company market risk policy setting out the assessment and determination of what constitutes market risk for the company. Compliance with the policy is monitored and exposures and breaches are reported to the company investment committee. The policy is reviewed regularly for pertinence and for changes in the risk environment.
- Set asset allocation and portfolio limit structure, to ensure that assets back specific policyholder liabilities and the assets are held to deliver income and gains for policyholders which are in line with expectations of the policyholders.

(i) *Equity price risk*

Equity price risk is the risk that the fair value / present value of future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instruments traded in the market.

The Company's equity price risk exposure relates to financial assets and financial liabilities whose values will fluctuate as a result of changes in market prices. The company's price risk policy requires it to manage such risks by setting and monitoring objectives and constraints on investments, diversification plans, limits on investments in each sector and market.

The company has no significant concentration of risk.

(ii) *Currency risk*

Currency risk is the risk that the fair value / present value of the future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Company's principal transactions are carried out in Sri Lankan Rupees and its exposure to foreign exchange risk is very minimal.

Risk Response

- The Company's financial assets are primarily denominated in the same currencies as its insurance.
- Prioritising critical foreign currency payments with bank partners to ensure continuous settling of foreign currency payments
- As agreed with reinsurers settling net reinsurance payment after setting off reinsurance receivable against reinsurance payable.

(iii) *Interest rate risk*

Interest rate risk is the risk that the value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Floating rate instruments expose the company to cash flow interest risk, whereas fixed interest rate instruments expose the company to fair value interest risk.

The Central Bank of Sri Lanka (CBSL) adopted a tightening monetary policy stance during the financial year, resulting in an upward trend in interest rates. Elevated pressures on inflation on account of many factors including increases in global commodity prices, food supply and the sharp depreciation of the currency in March 2022 have resulted in strong actions by the CBSL on monetary policy. Such actions have raised monetary policy rates significantly and helped bridge the gap between policy and market interest rates. Government security yields which have a direct bearing on the Company's investment income, increased correspondingly during the year. The Company proactively changed the asset allocation to capitalise on high interest rate environment. However, higher interest rate environment has a negative impact on capital adequacy ratio (CAR) of the Company and the Company has taken various measures to mitigate the impact on capital adequacy ratio to the possible extent.

- The Investment Committee keeps a regular track of macroeconomic scenarios and their likely impact on interest rates and corresponding impact on the investment portfolio.
- Monthly review of upcoming cash flows and established suitable investment strategies to take advantages of the increasing interest rate.
- Proactively evaluate and execute forward purchases to lock in future cash flows at favourable interest rates.
- Initial recognition of investments is closely monitored.
- Re-design of investment portfolio to keep in par with the interest rate movements.

36.5 Operational risk

Operational risk is the risk of loss arising from system failure, human error, fraud or external events. When controls fail to perform, operational risks can cause damage to reputation, have legal or regulatory implications or can lead to financial losses. The Company cannot expect to eliminate all operational risks; but by initiating a rigorous control framework and by monitoring and responding to potential risks, the Company is able to manage the risks.

- Segregation of duties, including the independent authorisation of transactions
- Compliance with regulatory and other legal requirements.
- Documentation of controls and procedures
- Periodic assessment of operational risks faced, and the adequacy of controls and procedures to address the risks identified.
- Reporting of operational losses and proposed remedial actions.
- Development of contingency plans
- Ethical and business standards.
- Risk mitigation, including insurance, where it is cost effective
- Compliance with Company standards, policies and procedures is supported by a programme of periodic reviews undertaken by internal audit.
- The results of internal audit reviews are discussed, with audit committee and management

NOTES TO THE FINANCIAL STATEMENTS

36.6 Capital Management

Objectives, Policies and Processes for Capital Management

For the purpose of the Company's capital management, capital includes stated capital, reserves and retained earnings. The primary objectives of the Company's capital management are to maximise shareholder returns, share price appreciation, sustain financial stability and financial strength.

The Company manages its capital structure and makes adjustments in light of changes in economic conditions and regulatory requirements to maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. The Company monitors capital using the Risk Based Capital method.

In terms of using capital, the Company engages in following value adding processes in order to provide the desired output to its varied stakeholders, while maintaining the right balance of risk based capital required.

- Providing financial security to citiSens (Underwriting process)
- Management of overall business operations
- Prudent investments and risk management
- Delivering benefits and claims assured
- Closely follow up RBC guidelines issued by IROSL

The Company has adequate Total Available Capital (TAC) to support the Risk-Based Capital Required (RCR) or Surrender Value Capital Charge (SVCC) whichever is higher.

Summary Quantitative Data

As at 31 December	2023 Rs. (000)	2022 Rs. (000)
Total Available Capital (TAC)	1,445,324	1,859,980
Formula Risk Based Capital Required (RCR)	413,662	476,219
Surrender Value Capital Charge (SVCC)	345,732	867,846
Risk based Capital requirement (RCR)	413,662	867,846
Risk based Capital Adequacy Ratio (CAR)	349%	214%

37. RELATED PARTY TRANSACTIONS

The company carries out transaction in the ordinary course of business with parties who are defined as related party in Sri Lanka Accounting Standard, LKAS 24 "Related Party Disclosures".

The pricing applicable to such transactions is based on the assessment of risk and pricing model of the Company and is comparable with what is applied to transactions between the Company and its unrelated customers.

This note provides details of Arpico Insurance's related parties and the transactions which have taken place between the company and its related parties.

37.1 Transactions with Key Management Personnel (KMP) of the Company and close family members.

According to Sri Lanka Accounting Standard LKAS 24 "Related Party Disclosures", Key Management Personnel are those having authority and responsibility for planning, directing and controlling the activities of the entity.

Accordingly Arpico Insurance, considers its Board of Directors(Including Executive & Non-Executive Directors) and Board of Directors of Parent (Including Executive & Non-Executive Directors) as the KMP of the company.

As at 31 December	2023 Rs. (000)	2022 Rs. (000)
Short term employee benefits	2,075,549	757,000

37.2 Transactions with the ultimate controlling party of the company.

Richard Pieris & Company PLC is the parent/ ultimate controlling party of Arpico Insurance. The Company has transactions with its parent as follows.

Insurance contracts transactions with the ultimate controlling party of the company.

Nature of the transaction	2023 Rs. (000)	2022 Rs. (000)
Insurance premium received /receivable	34,028,698	42,221,001
Claim paid	(22,035,068)	(24,424,000)

Other transactions with the ultimate controlling party of the company.

Nature of the transaction	2023 Rs. (000)	2022 Rs. (000)
Interest received/receivables	12,343,178	12,268,000
Expenses incurred behalf of the company	(137,797,502)	(84,720,264)
Fund transfers	132,157,277	53,985,280

37.2.(b) Transaction with / between subsidiary companies of parent company

Nature of the transaction	2023 Rs. (000)	2022 Rs. (000)
Fellow subsidiaries		
Claim paid	(3,492,782)	(3,230,549)
Insurance premium received / receivable	8,946,321	8,094,654
Purchase of fixed assets	3,320,690	(8,027,640)
Rent paid	(12,567,966)	(4,995,781)
Others	11,452,351	(448,000)

37.2.(c) Recurrent related party transactions

There were no recurrent related party transactions which in aggregate value exceeded 10% of the gross revenue of the Company as per 31 December 2023 audited financial statements, which required additional disclosures in the 2023 Annual Report under Colombo Stock Exchange listing Rule 9.3.2 and Code of Best Practices on Related Party Transactions under the Securities and Exchange Commission Directive issued under Section 13(c) of the Securities and Exchange Commission Act.

37.2.(d) Non recurrent related party transactions

There were no non recurrent related party transactions which in aggregate value exceeds 10% of the equity or 5% of the total assets which ever is lower of the Company as per 31 December 2023 Audited Financial Statements, which required additional disclosures in the 2023 Annual Report under Colombo stock exchange listing rule 9.3.2

NOTES TO THE FINANCIAL STATEMENTS

38. COMMITMENT

There were no capital commitments and contingent liabilities as at the reporting date.

39. PROVISIONS AND CONTINGENCIES

ACCOUNTING POLICY

A provision is recognised if, as a result of a past event, the Company has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised in the profit or loss.

Contingent liabilities are disclosed if there is a possible future obligation as a result of a past event, or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated.

There have been no contingent Liabilities identified to recognise or disclose during the period.

40. EVENTS OCCURRING AFTER THE REPORTING PERIOD

ACCOUNTING POLICY

Events after the reporting period are those events, favourable and unfavourable, that occur between the reporting date and the date when the financial statements are authorised for issue.

No events have arisen since the reporting date which would require adjustment to or disclosure in the Financial Statements.

41 SEGMENT REPORTING

ACCOUNTING POLICY*Operating Segment*

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments' operating results are reviewed regularly by the Chairman and the Board to make decisions about resources to be allocated to the segment and assess its performance, and for which discrete financial information is available. Segment results that are reported to the Chairman include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

Reportable Segment

Reportable segments are operating segments or aggregations of operating segments that meet following criteria: Its reported revenue, from both external customers and inter segment sales or transfers is 10% or more of the combined revenue, internal and external, of all operating segments; or the absolute measure of its reported profit or loss is 10% or more of the greater, in absolute amount, of (i) the combined reported profit of all operating segments that did not report a loss and (ii) the combined reported loss of all operating segments that reported a loss; or its assets are 10% or more of the combined assets of all operating segments.

Two or more operating segments may be aggregated into a single operating segment if aggregation is consistent with the core principles of the standard, the segments have similar economic characteristics and are similar in various prescribed respects. If the total external revenue reported by operating segments constitutes less than 75% of the entity's revenue, additional operating segments must be identified as reportable segments (even if they do not meet the quantitative thresholds set out above) until at least 75% of the entity's revenue is included in reportable segments.

Company identify following six strategic geographic business units that are reportable segments complying to the accounting policy:

Reportable Segments	Operations
UVA	Branch operations in UVA province
Sabaragamuwa and Gampaha	Branch operations in Sabaragamuwa province and Gampah district
Corporate	Company wide Group policies
North, North Central and East	Branch operations in North, North Central and Eastern provinces
Southern and Central	Branch operations in Southern and Central provinces

NOTES TO THE FINANCIAL STATEMENTS

	2023					
	UVA	Sabaragamuw and Gampaha	Corporate	North, North Central and East	Southern and Central	Total
Gross written premium	283,042,523	547,331,045	489,606,257	627,027,425	289,597,461	2,236,604,711
Premium ceded to reinsurers	(12,090,755)	(23,380,394)	(20,914,558)	(26,784,792)	(12,370,763)	(95,541,252)
Net written premium	270,951,768	523,950,651	468,691,699	600,242,633	277,226,698	2,141,063,449
Total other revenue	81,911,027	158,394,744	141,689,492	181,458,459	83,807,992	647,261,713
Net income	352,862,794	682,345,395	610,381,190	781,701,092	361,034,690	2,788,325,182
Net insurance benefits and claims	(143,367,804)	(321,776,385)	(586,286,228)	(256,047,507)	(121,492,544)	(1,428,970,468)
Underwriting and net acquisition costs	(78,973,399)	(152,714,130)	(136,607,990)	(174,950,697)	(80,802,331)	(624,048,546)
Change in contract liabilities - life fund	(74,684,058)	(144,806,404)	(129,534,259)	(165,891,534)	(76,616,287)	(591,734,541)
Other operating, administrative and selling expenses	(88,953,271)	(172,012,622)	(153,871,148)	(197,059,225)	(91,013,326)	(702,909,591)
Depreciation and Amortisation	(15,754,719)	(30,465,553)	(27,252,474)	(34,901,614)	(16,119,580)	(124,493,940)
Total benefits, claims and other expenses	(401,933,250)	(821,775,094)	(1,033,552,090)	(628,850,577)	(366,046,068)	(3,472,157,086)
Profit/(Loss) before tax	(49,070,456)	(139,429,699)	(423,170,900)	(47,742,167)	(25,011,378)	(683,831,926)

	2022					
	UVA	Sabaragamuw and Gampaha	Corporate	North, North Central and East	Southern and Central	Total
Gross written premium	385,815,623	608,438,755	173,408,127	783,602,730	367,313,121	2,318,578,356
Premium ceded to reinsurers	(11,904,320)	(18,773,344)	(5,350,498)	(24,178,019)	(11,333,426)	(71,539,606)
Net written premium	373,911,303	589,665,410	168,057,629	759,424,710	355,979,695	2,247,038,748
Total other revenue	91,624,912	144,809,676	41,271,491	186,499,062	87,421,279	551,626,421
Net income	465,736,216	734,475,086	209,329,120	945,923,773	443,400,974	2,798,865,160
Net insurance benefits and claims	(169,769,842)	(340,426,579)	(69,531,303)	(165,851,309)	-100,690,000	(846,269,032)
Underwriting and net acquisition costs	(104,882,030)	(165,389,464)	(47,131,135)	(212,977,826)	-99,833,177	(830,173,632)
Change in contract liabilities - life fund	(68,035,160)	(107,292,772)	(30,578,984)	(138,181,364)	-64,772,408	(408,860,708)
Other operating, administrative and selling expenses	(124,376,844)	(196,144,706)	(55,902,235)	(252,612,980)	-118,412,122	(747,448,886)
Depreciation and Amortisation	(13,465,392)	(21,235,186)	(8,052,136)	(27,348,603)	-12,819,635	(80,920,951)
Total benefits, claims and other expenses	(480,509,267)	(830,468,708)	(209,195,792)	(796,972,101)	(396,527,341)	(2,713,673,209)
Profit/(Loss) before tax	(14,773,051)	(95,993,621)	133,326	148,951,671	46,873,633	65,191,960

SUPPLEMENTARY INFORMATION

INSURANCE REVENUE ACCOUNT

	2023 Rs.	2022 Rs.
Gross written premium	2,238,604,711	2,318,578,356
Premium ceded to reinsurers	(95,541,262)	(71,539,608)
Net written premium	2,141,063,449	2,247,038,748
Other revenue		
Fees and commission income	29,250,346	50,077,425
Net investment income	325,928,195	244,629,752
Net fair value gains / (losses)	12,787,927	-
Net realised gains	5,660,615	4,601,930
Other operating revenue	373,607,083	31,077,813
Total other revenue	-	330,386,920
Net income	5,514,670,532	2,577,425,668
Net insurance benefits and claims paid	(1,401,134,620)	(860,031,040)
Net change in insurance claims outstanding	(27,835,847)	13,762,008
Underwriting and net acquisition costs	(624,048,548)	(630,173,632)
Change in contract liabilities - life fund	(591,734,541)	(408,860,320)
Other operating, administrative and selling expenses	(818,873,210)	(823,814,580)
Total benefits, claims and other expenses	(3,463,626,766)	(2,709,117,564)
Deficit Transfer to Life fund	(948,956,234)	(131,691,896)
Share Holder Fund		
Expenses not attributable to policy holders	(8,530,321.46)	(4,555,644)
Total revenue from share holders fund	273,654,630.32	221,439,500
Income tax expense	-	(48,955,682)
Profit from share holder fund	265,124,309	167,928,174
Profit after tax	(683,831,925.57)	36,236,278.00

STATEMENT OF FINANCIAL POSITION OF THE LIFE INSURANCE FUND

	31.12.2023	31.12.2022
	Rs.	Rs.
Assets		
Intangible assets	787,227	1,118,327
Property, plant and equipment	60,343,336	75,284,032
Right of use assets	198,167,665	163,439,549
Financial assets	1,942,890,318	1,927,560,234
Loans to life policyholders	241,246,301	321,812,161
Reinsurance receivables	11,108,850	1,902,666
Amounts due from related parties	-	21,654,039
Premium receivables	91,475,027	99,334,584
Other assets	717,511,595	61,146,518
Cash and cash equivalents	138,905,787	167,128,864
Total assets	3,402,416,107	2,840,380,974
Reserve and liabilities		
Reserve		
Other reserves	(4,164,915)	632,509
Total equity	(4,164,915)	632,509
Liabilities		
Insurance contract liabilities	2,865,883,883	2,241,858,505
Employee benefit obligation	15,667,480	17,057,855
Reinsurance payables	37,579,204	32,402,323
Lease liabilities	221,777,381	175,394,254
Amounts due to related parties	49,590,990	30,795,272
Other financial liabilities	130,082,245	266,537,221
Other liabilities	68,039,838	75,703,035
Total liabilities	3,406,581,021	2,839,748,465
Total equity and liabilities	3,402,416,106	2,840,380,974

SHAREHOLDER INFORMATION

TWENTY LARGEST SHAREHOLDERS

As at 31 December		2023	
Name of the Shareholder		No of Shares	%
1	Kegalle Plantations Limited	26,685,001	40.29
2	Richard Pieris Distributors Limited	17,790,001	26.86
3	Richard Pieris And Co Ltd - Account No. 01	15,125,001	22.84
4	Mr.D.G.Wijemanna	1,734,588	2.62
5	Mrs.T.T.A.De Silva Weerasooria	1,101,076	1.66
6	Mr.C.S.N.Silvapulle	668,399	1.01
7	Mr.B.T.De S Weerasooria	257,678	0.39
8	Mr.J.P.Paul	252,285	0.38
9	T.R.L Holdings (Pvt) Limited	250,000	0.38
10	Mr.A.P.Arumugampillai	200,000	0.30
11	Mr.R.P.Weerasooriya	196,980	0.30
12	Mr.D.P.Nayaratham	180,000	0.27
13	Mr.S.A.Obayesekere	103,300	0.16
14	Trading Partners (Pvt) Ltd	100,000	0.15
15	Flybrunet Sdn Bhd	99,700	0.15
16	Mr.T.A.N.Gomis	98,685	0.15
17	Mr.M.L.A.Benedict	93,500	0.14
18	Peoples Leasing & Finance Pte/Mr.K.	86,531	0.13
19	Mr.H.A.S.Madanayake	78,300	0.12
20	Mrs.K.Elankanesan	70,000	0.11
20 Largest shareholders		65,171,025	98.41
Other Shareholders		1,059,382	1.59
Total Shareholders		66,230,407	100.00

2023				2022			
No of Shares	No of Shareholders	No of Shares	%	No of Shareholders	No of Shares	%	
Institutional Investors	31	60,244,958	91	34	60,442,084	91	
Individual Investors	683	5,985,449	9	726	5,788,323	9	
	714	66,230,407	100	760	66,230,407	100	
Resident Investors	703	65,804,123	99	749	65,701,539	99	
Non-Resident Investors	11	426,284	1	11	528,868	1	
	714	66,230,407	100	760	66,230,407	100	

As at 31 December		2022	
Name of the Shareholder		No of Shares.	%.
1	Kegalle Plantations Limited	26,685,001	40.29
2	Richard Pieris Distributors Limited	17,790,001	26.88
3	Richard Pieris And Co Ltd	15,125,001	22.84
4	Mr. D.G. Wijemanna	1,587,105	2.40
5	Mrs. T.T.A. De Silva Weerasooria	763,254	1.15
6	Mr. C.S.N. Sivapulle	668,399	1.01
7	Mr. Mr. J.P. Paul	343,113	0.52
8	T R L Holdings (Pvt) Limited	300,000	0.45
9	Mr. A.P. Anumugampillai	200,000	0.30
10	Mr. D.P. Navaratnam Dinesh Prakash	181,400	0.27
11	Mr. T.A.N. Gomis	140,257	0.21
12	Peoples Leasing & Finance Plc/Mr. K.J. Gamage	135,261	0.20
13	Mr. S.A. Obeyesekere Siridev Ajit	103,300	0.16
14	Trading Partners (Pvt) Ltd	100,000	0.15
15	Flybrunei Sdn Bhd	99,700	0.15
16	Mr. M.L.A. Benedict	93,500	0.14
17	Mr. S.D.L.K. Lakmal	86,641	0.13
18	Peoples Leasing & Finance PLC/Mr. K	86,531	0.13
19	Mr. B.T. De S Weerasooria	80,000	0.12
20	Mr. H.A.S. Madanayake	78,300	0.12
20 Largest shareholders		64,646,764	97.60
Other Shareholders		1,583,643	2.40
Total Shareholders		66,230,407	100

DISTRIBUTION OF SHAREHOLDERS

2023					2022			
No of Shares	No of Holders	%	Total Holding	%	No of Shares	%	Total Holding	%
1 - 1000	573	80	110,349	0.17	570	75	127,706	0.19
1001 - 10000	98	14	389,444	0.59	135	18	533,419	0.81
10001 - 100000	30	4	1,186,305	1.79	41	5	1,557,583	2.35
100001 - 1000000	8	1	2,108,642	3.18	10	1	2,824,591	4.26
1000001 & above	5	1	62,435,667	94.27	4	1	61,187,108	92.39
	714	1	66,230,407	100	760	1	66,230,407	100

DIRECTORS SHAREHOLDING

	2023	2022
	Rs.	Rs.
Mr. Rimal Jasingha	Nil	N/A
Mr. Shiran Gooneratne	Nil	Nil
Mrs. Lasinee Serasinghe	Nil	Nil
Mrs. Dilukshika Fernando	Nil	Nil
Mr. Kelum Senanayake	Nil	N/A

INVESTOR INFORMATION

	2023	2022	2021	2020	2019	2018	2017	2016	2015	2014
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Gross Profit Margin	(23)	16	34	34	39	39	38	32	30	30
Operating profit margin	(28)	5	1	16	21	NA	NA	NA	NA	NA
Gap between Gross and operating profit	6	11	33	18	19	NA	NA	NA	NA	NA
Return on Net Assets (%)	(41.1)	1.8	12.0	11.4	14.7	42.2	24.4	15.4	4.1	2.32
Earning per share - basic (Rs.)	-10.32	0.55	3.57	3.03	3.43	7.54	3.11	1.63	0.39	0.22
Net Assets Per Share (Rs.)	21.30	28.95	31.27	28.10	25.07	21.63	14.09	11.40	9.77	10.47
Market Price Per Share (Rs.)	22.7	22.7	26.4	23.9	19.2	18.3	17	12	14.4	N/A
Market Capitalisation (Rs. Mn)	1689	1503	1881	1583	1272	1212	1126	795	954	N/A
Price Earnings Ratio (Times)	NA	41.27	7.96	7.89	5.60	2.43	5.47	7.36	38.92	N/A
Other Information										
No of Shares ('000)	66230	66230	66230	66230	66230	66230	66230	66230	66230	59303

Return on Assets



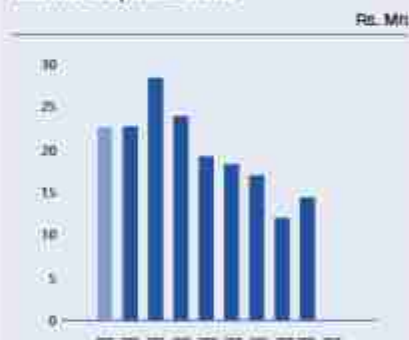
■ 2023 ■ 2022-2014

Earning Per Share



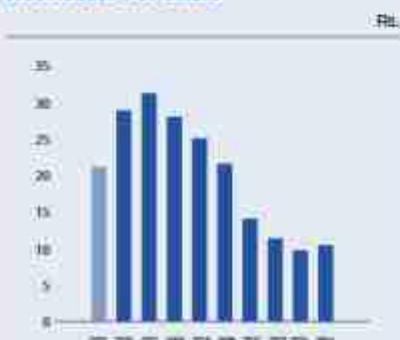
■ 2023 ■ 2022-2014

Market Capitalization



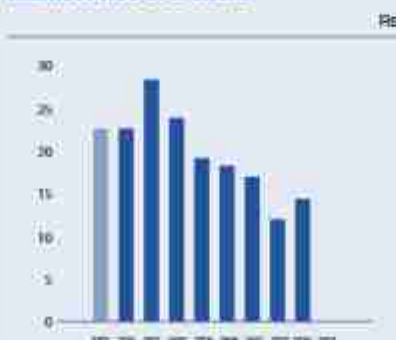
■ 2023 ■ 2022-2014

Net Assets Per Share



■ 2023 ■ 2022-2014

Market Price of a Share



■ 2023 ■ 2022-2014

Price Earning Ratio



■ 2023 ■ 2022-2014

COMMON SIZE ANALYSIS - STATEMENT OF PROFIT AND LOSS

	As a % of Gross Written Premium	
	2023 Rs.	2022 Rs.
Gross written premium	100%	100%
Premium ceded to reinsurers	(4%)	(3%)
Net written premium	96%	97%
Other revenue		
Fees and commission income	1%	2%
Investment income	26%	19%
Fair value gains / (losses)	1%	1%
Net realised gains	-	0.2%
Other operating revenue	0.4%	1%
Total other revenue	20%	24%
Net income	125%	121%
Net insurance benefits and claims paid	(63%)	(37%)
Net change in insurance claims outstanding	(1%)	1%
Underwriting and net acquisition costs	(28%)	(27%)
Change in contract liabilities - life fund	(26%)	(18%)
Other operating and administrative expenses	(31%)	(32%)
Depreciation and Amortisation	(6%)	(3%)
Total benefits, claims and other expenses	(155%)	(117%)
Profit before tax	(31%)	4%
Income tax (expense)/reversal		(2%)
Profit for the year	(31%)	2%

COMMON SIZE ANALYSIS - STATEMENT OF FINANCIAL POSITION

	As a % of Total Assets	
	2023 Rs.	2022 Rs.
Assets		
Intangible assets	0.02	0.02
Property, plant and equipment	1.25	1.63
Right of use assets	4.12	3.54
Financial assets	82.02	79.89
Loans to life policyholders	5.01	6.97
Reinsurance receivables	0.23	0.04
Amounts due from related parties	0.64	0.47
Premium receivables	1.90	2.15
Other assets	3.64	1.82
Cash and cash equivalents	1.17	3.68
Total assets	100	100
Equity and liabilities		
Shareholders' equity		
Stated capital	14.03	14.82
Retained earnings	16.00	31.57
Available for sale reserves	-0.74	-4.69
Total ordinary shareholders' equity	29.29	41.50
Liabilities		
Insurance contract liabilities	59.93	48.52
Employee benefit obligation	0.33	0.37
Reinsurance payables	0.78	0.70
Lease liabilities	4.61	3.80
Amounts due to related parties	1.03	0.67
Other financial liabilities	2.62	2.54
Other liabilities	1.42	1.90
Total liabilities	70.71	58.50
Total equity and liabilities	100	100

QUARTERLY ANALYSIS INCOME STATEMENT

	2023				Total Rs
	31 March Rs.	30 June Rs.	30 September Rs.	31 December Rs.	
Revenue					
Gross written premium	730,146,495	575,937,228	434,817,499	495,703,489	2,236,604,711
Premium ceded to reinsurers	(23,680,453)	(31,862,552)	(23,598,308)	(16,399,951)	(95,541,262)
Net written premium	706,466,042	544,074,676	411,219,193	479,303,538	2,141,063,449
Other revenue					
Fee and commission income	6,567,656	11,898,200	8,915,770	4,070,720	29,250,346
Income from investments	145,100,096	152,841,542	145,718,897	137,574,093	581,234,628
Net fair value gains / (losses)	3,717,667	5,912,667	5,437,468	13,388,094	28,455,896
Net realised gains	-	-	-	-	-
Other income	3,791,948	-	333,612	4,195,283	8,320,843
Total other revenue	159,177,367	170,450,409	159,405,747	159,228,190	647,261,713
Net income	865,643,409	714,525,085	569,624,940	638,531,728	2,788,325,162
Net insurance benefits and claims paid	(402,597,653)	(313,342,297)	(346,841,064)	(338,353,606)	(1,401,134,620)
Net change in insurance claims outstanding	5,494,738	(12,190,042)	3,236,678	(24,377,221)	(27,835,847)
Underwriting and net acquisition costs	(153,107,839)	(156,659,555)	(130,952,336)	(183,326,818)	(624,046,548)
Change in contract liabilities - life fund	(10,246,378)	19,219,838	109,600,759	(710,308,760)	(591,734,541)
Other operating and administrative expenses	(245,654,034)	(185,076,907)	(143,707,212)	(252,985,378)	(827,403,531)
Net benefits and claims	(806,111,166)	(648,048,963)	(508,663,175)	(1,509,333,784)	(3,472,157,088)
Profit/(Loss) before tax	59,532,243	66,476,122	60,961,765	(870,802,056)	(683,831,926)
Income tax expense	(16,871,720)	(17,292,910)	(17,877,065)	52,041,695	-
Profit/(Loss) for the period	42,660,523	49,183,212	43,084,700	(818,760,361)	(683,831,926)

	2022				Total
	31 March Rs.	30 June Rs.	30 September Rs.	31 December Rs.	
	608,878,917	509,814,802	564,586,267	635,300,570	2,318,578,356
	(10,094,050)	(15,242,382)	(19,125,890)	(27,076,386)	(71,539,608)
	598,784,867	494,572,420	545,460,377	608,224,184	2,247,038,748
	8,563,477	11,535,738	8,905,150	21,073,080	50,077,425
	74,402,638	100,588,680	123,813,782	153,274,455	452,057,515
	1,479,427	2,809,084	3,359,793	6,363,434	14,011,738
				4,601,930	4,601,930
	1,388,382	1,135,943	931,567	27,621,921	31,077,813
	85,833,924	116,047,425	137,010,272	212,934,800	551,826,421
	684,615,891	610,619,645	682,470,649	821,158,984	2,798,865,169
	(132,670,698)	(133,712,098)	(179,446,068)	(414,202,178)	(860,031,040)
	(20,234,936)	-	-	33,996,944	13,762,008
	(166,506,677)	(164,382,403)	(143,622,415)	(155,660,047)	(630,173,632)
	(86,750,515)	(49,109,344)	(106,118,303)	(166,882,546)	(408,860,706)
	(252,055,269)	(206,802,445)	(195,675,889)	(173,836,234)	(828,369,837)
	(858,220,095)	(554,006,380)	(624,862,673)	(876,584,061)	(2,713,673,209)
	26,395,796	56,613,285	57,607,978	(56,425,077)	85,191,980
	-	(13,587,184)	(13,825,914)	(21,542,584)	(48,955,682)
	26,395,796	43,026,081	43,782,062	(76,967,661)	36,236,278

DECADE AT A GLANCE INCOME STATEMENT

	2023 Rs.	2022 Rs.	2021 Rs.	2020 Rs.
Gross written premium	2,236,604,711	2,318,578,356	2,311,632,930	1,836,100,261
Premium ceded to reinsurers	(95,541,262)	(71,539,808)	(103,292,315)	(91,424,657)
Net written premium	2,141,063,449	2,247,038,748	2,208,340,615	1,744,675,604
Other revenue				
Fees and commission income	29,250,346	50,077,425	45,547,057	34,222,629
Investment income	581,234,628	452,057,515	256,205,977	253,389,343
Fair value gains / (losses)	28,455,896	14,011,738	670,338	-
Net realised gains	-	4,601,930	-	-
Other operating revenue	8,320,843	31,077,813	7,149,084	9,039,175
Total other revenue	647,261,713	551,826,421	309,772,456	296,651,147
Net income	2,788,325,162	2,798,885,169	2,518,113,071	2,041,326,751
Net insurance benefits and claims paid	(1,401,134,620)	(860,031,040)	(573,138,341)	(395,053,475)
Net change in insurance claims outstanding	(27,835,847)	13,762,008	(31,167,632)	(7,955,560)
Underwriting and net acquisition costs	(624,048,548)	(630,173,832)	(753,929,519)	(418,946,461)
Change in contract liabilities - life fund	(591,734,541)	(408,860,708)	(58,943,480)	(296,040,673)
Other operating and administrative expenses	(702,909,591)	(747,448,886)	(671,118,030)	(557,458,730)
Depreciation and Amortisation	(124,493,940)	(80,920,951)	(92,434,528)	(87,276,940)
Total benefits, claims and other expenses	(3,472,157,088)	(2,713,673,209)	(2,180,731,530)	(1,762,731,839)
Profit before tax	(683,831,926)	85,191,960	337,381,541	278,594,912
Income tax (expense)/reversal	-	(48,955,882)	(100,680,805)	(77,918,874)
Profit for the year	(683,831,926)	36,236,278	236,700,736	200,676,238

2019	2018	2017	2016	2015	2014
Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
1,633,157,997	1,387,432,253	1,038,085,079	745,386,354	482,447,118	297,439,405
(88,849,485)	(41,327,272)	(28,370,148)	(24,436,005)	(21,833,476)	(11,944,255)
1,544,308,512	1,346,104,981	1,009,714,931	720,949,449	460,613,642	285,495,150
28,825,103	10,666,036	8,064,174	6,269,983	4,249,018	2,983,134
261,012,023	205,215,741	163,757,872	114,148,063	78,565,662	73,303,028
21,327,018	13,823,318	85,349	(1,089,247)	1,477,455	16,342
-	-	-	-	-	-
10,573,868	6,935,285	5,872,807	4,773,224	3,501,200	2,122,425
321,728,012	236,640,380	177,780,202	124,102,023	87,793,335	78,424,929
1,866,046,524	1,582,745,361	1,187,495,133	845,051,472	548,406,977	363,920,079
(296,735,091)	(164,148,852)	(117,741,823)	(78,125,724)	(65,965,012)	(41,509,012)
(7,350,853)	(4,797,718)	(2,015,224)	(872,422)	(2,224,490)	1,393,393
(374,031,638)	(319,820,988)	(213,455,102)	(114,124,472)	(93,743,779)	(58,700,090)
(221,785,330)	(309,732,195)	(280,513,848)	(290,207,532)	(155,787,012)	(97,915,860)
(563,224,348)	(565,145,575)	(355,656,190)	(247,014,772)	(198,910,263)	(150,155,288)
(84,801,644)	(20,265,126)	(12,099,932)	(6,817,379)	(8,027,190)	(4,040,195)
(1,549,938,904)	(1,383,910,452)	(981,481,019)	(737,162,301)	(522,677,746)	(350,932,852)
316,107,620	198,834,909	206,013,214	107,889,171	25,729,231	12,987,227
(88,849,801)	300,349,604	-	-	-	-
227,257,819	499,184,513	206,013,214	107,889,171	25,729,231	12,987,227

DECADE AT GLANCE STATEMENT OF FINANCIAL POSITION

As at 31 December	2023 Rs.	2022 Rs.	2021 Rs.	2020 Rs.
Assets				
Intangible assets	767,227	1,118,327	586,844	413,031
Property, plant and equipment	60,343,336	75,284,032	57,691,938	59,060,218
Right of use assets	198,167,665	163,439,549	129,675,417	137,336,423
Deferred tax asset	-	-	36,979,105	137,659,910
Financial assets	3,949,884,217	3,681,717,640	3,470,094,773	2,682,476,454
Loans to life policyholders	241,246,301	321,812,161	425,525,375	389,694,282
Reinsurance receivables	11,108,850	1,902,866	8,373,896	7,170,413
Amounts due from related parties	30,985,542	21,654,039	12,002,002	6,448,559
Premium receivables	91,475,027	99,334,584	62,470,094	30,808,290
Other assets	175,300,704	83,994,218	62,822,687	55,874,973
Cash and cash equivalents	56,396,474	169,709,679	150,015,184	668,548,192
Total assets	4,815,675,345	4,620,056,895	4,416,237,315	4,175,490,725
Equity and liabilities				
Shareholders' equity				
Stated capital	675,564,870	675,564,870	675,564,870	675,564,870
Retained earnings	770,448,880	1,458,445,722	1,422,126,083	1,185,243,958
Available for sale reserves	(35,537,005)	(216,602,952)	(26,545,650)	-
Total ordinary shareholders' equity	1,410,476,745	1,917,317,640	2,071,145,303	1,860,808,826
Liabilities				
Insurance contract liabilities	2,885,863,883	2,241,859,388	1,897,003,107	1,904,914,105
Employee benefit obligation	15,667,480	17,057,855	16,146,223	14,743,507
Reinsurance payables	37,579,204	32,402,323	70,001,400	85,018,647
Lease liabilities	221,777,381	175,304,254	157,443,360	155,319,117
Amounts due to related parties	49,590,990	30,795,272	2,105,460	16,573,459
Other financial liabilities	126,283,782	117,550,937	107,718,526	79,190,578
Other liabilities	68,435,879	67,679,226	94,673,936	58,022,486
Bank overdraft	-	-	-	-
Total liabilities	3,405,198,600	2,702,739,255	2,345,092,012	2,314,681,899
Total equity and liabilities	4,815,675,345	4,620,056,895	4,416,237,315	4,175,490,725
Investor Information				
Return on Net Assets (%)	(41)	2	12	11
Earning per share - basic (Rs.)	(10)	1	4	3
Net Assets Per Share (Rs.)	21	29	31	28
Market Price Per Share (Rs.)	23	23	28	24
Market Capitalisation (Rs. Mn)	1,689	1,503	1,881	1,583
Price Earnings Ratio (Times)	(2)	41	8	8
Other Information	66,230	66,230	66,230	66,230
No of Shares ('000)				

2019 Rs.	2018 Rs.	2017 Rs.	2016 Rs.	2015 Rs.	2014 Rs.
675,531	303,750	-	-	-	-
60,142,522	63,045,746	57,597,796	21,850,521	16,714,299	15,751,159
119,555,926	-	-	-	-	-
215,578,584	304,428,385	-	-	-	-
2,376,948,902	2,028,265,792	1,346,980,154	1,245,402,750	982,069,704	842,968,366
286,270,410	228,616,921	157,711,170	111,675,715	25,038,597	19,697,180
88,351,851	26,939,303	20,702,073	7,706,821	5,747,323	5,146,884
51,716,671	26,907,609	181,589	-	182,801	-
69,528,421	73,071,532	105,775,413	39,491,469	57,886,185	10,575,714
103,514,705	74,414,275	94,318,212	54,329,540	44,414,243	35,505,224
295,514,738	170,483,254	320,778,531	106,504,316	28,636,157	51,098,123
3,647,798,261	2,996,476,567	2,104,044,938	1,586,961,134	1,160,691,309	980,742,650
675,564,870	675,564,870	675,564,870	675,564,870	675,564,870	675,564,870
984,881,654	756,752,988	257,632,154	79,145,018	(28,312,297)	(54,268,815)
-	-	-	-	-	-
1,680,446,524	1,432,317,858	933,197,024	754,709,888	647,252,573	621,296,055
1,562,743,701	1,325,869,400	1,025,457,000	726,047,856	436,177,616	287,030,582
11,452,108	9,488,251	6,568,317	4,608,990	2,648,378	1,754,563
102,961,206	50,022,714	30,850,018	22,729,392	18,314,863	10,529,932
126,171,022	-	-	-	-	-
7,203,351	7,184,537	9,694,866	6,676,507	120,421	3,702,739
132,994,405	115,808,712	72,458,338	54,461,564	45,770,387	44,759,428
41,825,944	55,985,095	25,812,375	17,728,937	10,407,071	6,212,199
-	-	-	-	-	5,457,152
1,987,351,737	1,564,156,709	1,170,847,914	832,251,246	513,438,736	359,446,595
3,647,798,261	2,996,476,567	2,104,044,938	1,586,961,134	1,160,691,309	980,742,650
15	42	24	15	4	2
3	8	3	2	0	0
25	22	14	11	10	10
19	18	17	12	14	N/A
1,272	1,212	1,126	795	954	N/A
6	2	5	7	37	N/A
66,230	66,230	66,230	66,230	66,230	59,303

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GRI STANDARD/ OTHER SOURCE	DISCLOSURE	LOCATION
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GRI 202: Market Presence 2016	202-1 Ratios of standard entry level wage by gender compared to local minimum wage	N/A
	202-2 Proportion of senior management hired from the local community	N/A
Indirect economic impacts		
GRI 3: Material Topics 2021	3-3 Management of material topics	N/A
GRI 203: Indirect Economic Impacts 2016	203-1 Infrastructure investments and services supported	N/A
	203-2 Significant indirect economic impacts	N/A

GRI CONTENT INDEX

GRI STANDARD/ OTHER SOURCE	DISCLOSURE	LOCATION
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	301-2 Recycled input materials used	94
	301-3 Reclaimed products and their packaging materials	N/A

GRI STANDARD/ OTHER SOURCE	DISCLOSURE	LOCATION
Energy		
GRI 3: Material Topics 2021	3-3 Management of material topics	
GRI 302: Energy 2016	302-1 Energy consumption within the organization	94
	302-2 Energy consumption outside of the organization	94
	302-3 Energy intensity	94
	302-4 Reduction of energy consumption	94
	302-5 Reductions in energy requirements of products and services	94
Water and effluents		
GRI 3: Material Topics 2021	3-3 Management of material topics	N/A
GRI 303: Water and Effluents 2018	303-1 Interactions with water as a shared resource	N/A
	303-2 Management of water discharge-related impacts	94
	303-3 Water withdrawal	N/A
	303-4 Water discharge	N/A
	303-5 Water consumption	94
Biodiversity		
GRI 3: Material Topics 2021	3-3 Management of material topics	N/A
GRI 304: Biodiversity 2016	304-1 Operational sites owned, leased, managed in, or adjacent to, protected areas and areas of high biodiversity value outside protected areas	N/A
	304-2 Significant impacts of activities, products and services on biodiversity	94
	304-3 Habitats protected or restored	N/A
	304-4 IUCN Red List species and national conservation list species with habitats in areas affected by operations	N/A

GRI CONTENT INDEX

GRI STANDARD/ OTHER SOURCE	DISCLOSURE	LOCATION
Emissions		
GRI 3: Material Topics 2021	3-3 Management of material topics	
GRI 305: Emissions 2016	305-1 Direct (Scope 1) GHG emissions	N/A
	305-2 Energy indirect (Scope 2) GHG emissions	N/A
	305-3 Other indirect (Scope 3) GHG emissions	N/A
	305-4 GHG emissions intensity	N/A
	305-5 Reduction of GHG emissions	N/A
	305-6 Emissions of ozone-depleting substances (ODS)	N/A
	305-7 Nitrogen oxides (NOx), sulfur oxides (SOx), and other significant air emissions	N/A
Waste		
GRI 3: Material Topics 2021	3-3 Management of material topics	
GRI 306: Waste 2020	306-1 Waste generation and significant waste-related impacts	94
	306-2 Management of significant waste-related impacts	94
	306-3 Waste generated	94
	306-4 Waste diverted from disposal	94
	306-5 Waste directed to disposal	94
Supplier environmental assessment		
GRI 3: Material Topics 2021	3-3 Management of material topics	N/A
GRI 308: Supplier Environmental Assessment 2016	308-1 New suppliers that were screened using environmental criteria	N/A
	308-2 Negative environmental impacts in the supply chain and actions taken	N/A
Employment		
GRI 3: Material Topics 2021	3-3 Management of material topics	76
GRI 401: Employment 2016	401-1 New employee hires and employee turnover	76
	401-2 Benefits provided to full-time employees that are not provided to temporary or part-time employees	76
	401-3 Parental leave	76

GRI STANDARD/ OTHER SOURCE	DISCLOSURE	LOCATION
Labor/management relations		
GRI 3: Material Topics 2021	3-3 Management of material topics	
GRI 402: Labor/Management Relations 2016	402-1 Minimum notice periods regarding operational changes	76
Occupational health and safety		
GRI 3: Material Topics 2021	3-3 Management of material topics	
GRI 403: Occupational Health and Safety 2018	403-1 Occupational health and safety management system	76
	403-2 Hazard identification, risk assessment, and incident investigation	76
	403-3 Occupational health services	76
	403-4 Worker participation, consultation, and communication on occupational health and safety	76
	403-5 Worker training on occupational health and safety	76
	403-6 Promotion of worker health	76
	403-7 Prevention and mitigation of occupational health and safety impacts directly linked by business relationships	76
	403-8 Workers covered by an occupational health and safety management system	76
	403-9 Work-related injuries	76
	403-10 Work-related ill health	76
Training and education		
GRI 3: Material Topics 2021	3-3 Management of material topics	
GRI 404: Training and Education 2016	404-1 Average hours of training per year per employee	76
	404-2 Programs for upgrading employee skills and transition assistance programs	76
	404-3 Percentage of employees receiving regular performance and career development reviews	76

GRI CONTENT INDEX

GRI STANDARD/ OTHER SOURCE	DISCLOSURE	LOCATION
Diversity and equal opportunity		
GRI 3: Material Topics 2021	3-3 Management of material topics	
GRI 405: Diversity and Equal Opportunity 2016	405-1 Diversity of governance bodies and employees	76
	405-2 Ratio of basic salary and remuneration of women to men	76
Non-discrimination		
GRI 3: Material Topics 2021	3-3 Management of material topics	
GRI 406: Non-discrimination 2016	406-1 Incidents of discrimination and corrective actions taken	76
Freedom of association and collective bargaining		
GRI 3: Material Topics 2021	3-3 Management of material topics	
GRI 407: Freedom of Association and Collective Bargaining 2016	407-1 Operations and suppliers in which the right to freedom of association and collective bargaining may be at risk	76
Child labor		
GRI 3: Material Topics 2021	3-3 Management of material topics	
GRI 408: Child Labor 2016	408-1 Operations and suppliers at significant risk for incidents of child labor	76
Forced or compulsory labor		
GRI 3: Material Topics 2021	3-3 Management of material topics	
GRI 409: Forced or Compulsory Labor 2016	409-1 Operations and suppliers at significant risk for incidents of forced or compulsory labor	76
Security practices		
GRI 3: Material Topics 2021	3-3 Management of material topics	
GRI 410: Security Practices 2016	410-1 Security personnel trained in human rights policies or procedures	76
Rights of indigenous peoples		
GRI 3: Material Topics 2021	3-3 Management of material topics	
GRI 411: Rights of Indigenous Peoples 2016	411-1 Incidents of violations involving rights of indigenous peoples	76

GRI STANDARD/ OTHER SOURCE	DISCLOSURE	LOCATION
Local communities		
GRI 3: Material Topics 2021	3-3 Management of material topics	
GRI 413: Local Communities 2016	413-1 Operations with local community engagement, impact assessments, and development programs	N/A
	413-2 Operations with significant actual and potential negative impacts on local communities	N/A
Supplier social assessment		
GRI 3: Material Topics 2021	3-3 Management of material topics	
GRI 414: Supplier Social Assessment 2016	414-1 New suppliers that were screened using social criteria	82
	414-2 Negative social impacts in the supply chain and actions taken	82
Customer health and safety		
GRI 3: Material Topics 2021	3-3 Management of material topics	
GRI 416: Customer Health and Safety 2016	416-1 Assessment of the health and safety impacts of product and service categories	N/A
	416-2 Incidents of non-compliance concerning the health and safety impacts of products and services	N/A
Marketing and labeling		
GRI 3: Material Topics 2021	3-3 Management of material topics	
GRI 417: Marketing and Labeling 2016	417-1 Requirements for product and service information and labeling	82
	417-2 Incidents of non-compliance concerning product and service information and labeling	N/A
	417-3 Incidents of non-compliance concerning marketing communications	82
Customer privacy		
GRI 3: Material Topics 2021	3-3 Management of material topics	N/A
GRI 418: Customer Privacy 2016	418-1 Substantiated complaints concerning breaches of customer privacy and losses of customer data	82

GLOSSARY OF INSURANCE TERMS

ACTUARY

An expert concerned with the application of probability and statistical theory to problems of insurance, investment, financial management and demography.

ACTUARIAL VALUATION

A determination by an actuary at a specific date of the value of a life insurance company's asset and its liabilities. The purpose of a valuation is to determine if the company holds adequate assets to fund the company's liabilities.

AVAILABLE FOR SALE (AFS)

Securities that have been acquired neither for short-term sale nor to be held to maturity. These are shown at fair value on the statement of financial position.

AVERAGE PREMIUM PER POLICY

Measures of Total premium divided by number of policies. This is a measure to understand market segment company is accessing.

BENEFICIARY

A person named by the policyholder as the recipient of the sum insured and other benefits due in the event of the policyholder's death.

CASH FLOWS STATEMENT

Statement on the origin and utilisation of cash and cash equivalents during the accounting period. It shows the changes in liquid funds separated into cash flows from operating, investing and financing activities.

CLAIMS

The amount payable under a contract of insurance arising from the occurrence of an insured event such as destruction or damage of property and related death or injuries; the insuring of hospital or medical bills; death or disability of the insured and gratuity claims.

CLAIMS INCURRED

The aggregate of all claims paid during the accounting period together with attributable claims handling expenses, where appropriate, adjusted by the gross claims reserve at the beginning and end of the accounting period.

CLAIMS OUTSTANDING – LONG TERM INSURANCE

The amounts provided to cover the estimated ultimate cost of settling claims arising out of an event which have been notified by the date of Statement of Financial Position, being sums due to beneficiaries together with claims handling expenses, less amounts already paid in respect of those claims.

COMBINED RATIO

Sum of the loss ratio and expense ratio.

COMMISSION

Remuneration to an intermediary for services such as selling and servicing an insurer's products. This is one component of acquisition expenses.

DEPOSIT PREMIUM

A premium paid on the inception of a contract of insurance or reinsurance, which is subject to adjustment at a later date.

A deposit premium may represent the minimum amount payable.

EARNINGS PER SHARE

Ratio calculated by dividing the consolidated net income/ (loss) by the weighted average number of shares outstanding.

ENDOWMENT

Life insurance payable to the policyholder if living on the maturity date stated in the policy or to a beneficiary if the insured dies before that date.

EX-GRATIA PAYMENT

A payment made to an insured where there is no liability to pay under the terms of the policy. In some cases, an insurer may feel there has been a mistake or a misunderstanding and it may pay claim, even though he does not appear to be liable.

FAIR VALUE

The price that a reasonable buyer would be willing to pay and a reasonable seller would be willing to accept for a product on the open market.

GROSS WRITTEN PREMIUM – LIFE

Premium to which the insurer is contractually entitled and received in the accounting period.

INSURANCE

Insurance is a contract whereby one party the insurer, in return for a consideration i.e. the premium, undertakes to pay the other party - the insured, a sum of money or its equivalent in kind, upon the happening of a specified event that is contrary to the interest of the insured.

INSURANCE PROVISION – LONG TERM

The fund or funds to be maintained by an insurer in respect of its long-term Insurance business in accordance with the Regulation of Insurance Industry Act No. 43 of 2000.

LIFE SURPLUS

The excess of the assets over the liabilities as determined by the actuary (taking into account solvency requirements) and after distribution of dividends to policyholders.

LONG TERM INSURANCE

Commonly referred to as Life Insurance contracts, as opposed to annual Non-Life insurance policies.

MATURITY

The time at which payment of the sum insured under a Life insurance policy falls due at the end of its term.

NET EARNED PREMIUM

Gross written premium adjusted for the reinsurance incurred and for the increase or decrease in unearned premium.

NET WRITTEN PREMIUM

Gross written premium less reinsurance premium payable.

NET CLAIMS INCURRED

Claims incurred less reinsurance recoveries.

POLICY LOANS

A loan given to the policyholder on the security of the surrender value of a Life Insurance policy. The loan is limited to a percentage of the current surrender value of the policy and interest is charged on such loan.

PREMIUM

The consideration payable by the insured for an insurance contract.

PROFIT COMMISSION

Commission received from the reinsurer based on the net profit of the reinsurer as defined in the agreement between the insurer and the reinsurer.

REVENUE ACCOUNT

An account which shows a financial summary of the insurance related revenue transactions for the accounting period.

REINSURANCE

Transfer of all or part of the risk assumed by an insurer under one or more insurances to another insurer, called the reinsurance.

REINSURANCE COMMISSION

Commission received or receivable in respect of premium paid or payable to a reinsurer.

REINSURANCE PREMIUM

The premium payable to the reinsurer.

RISK BASED CAPITAL (RBC)

Amount of required capital that the insurance company must maintain based on the inherent risks in the insurer's operations. These risks include Asset Depreciation Risk, Credit Receivables Risk, Underwriting Risk and Off-Balance-Sheet Risk.

RISK-BASED CAPITAL ADEQUACY RATIO (CAR)

The capital adequacy ratio (CAR) is a measurement of available capital expressed as a percentage of risk weighted credit exposures.

$$RCAR = (\text{Total Available Capital/Risk}$$

Based Capital Required) * 100

SOLVENCY MARGIN – LIFE

The difference between the value of assets and the value of liabilities, required to be maintained by the insurer who carries on Long Term Insurance business as defined in the Regulation of Insurance Industry Act No. 43 of 2000.

SURRENDER

Termination of an insurance policy by the insured before the expiry of its term (more common in Life insurance).

SURRENDER VALUE

The sum payable by an insurance Company upon the surrender of a Life Insurance policy before it has run its full course.

CORPORATE INFORMATION

THE COMPANY

Arpico Insurance PLC

LEGAL FORM OF THE COMPANY

A limited liability company incorporated in Sri Lanka on 22nd June 2011, as a public limited liability company under the Companies Act No. 07 of 2007.

COMPANY REGISTRATION NO.

P B 4739 P Q

STOCK EXCHANGE LISTING

The shares of the Company are Listed on the Colombo Stock Exchange, Dini Savi Board

ACCOUNTING YEAR-END

December 31st

TAX PAYER IDENTIFICATION NUMBER (TIN)

134047399

REGISTERED OFFICE

Arpico Insurance PLC
No. 310, High Level Road, Nawinna, Maharagama.
Tel : 0114 310 500
Fax : 0114 310 777

CORPORATE OFFICE

Arpico Insurance PLC
No. 55/20, Vauxhall Lane, Colombo 02.
Tel : 0112 200 900
Fax : 0112 330 713

BOARD OF DIRECTORS OF ARPICO INSURANCE PLC

Mr. Ramal Jasinghe - (Chairman- Independent Non-Executive Director)
Mr. Shiron Gooneratne (Non-Executive Director)
Mrs. Lasinee Serasinghe (Independent Non-Executive Director)
Mrs. Dilukshika Fernando (Independent Non-Executive Director)
Mr. Kelum Senanayake (Chief Executive Officer / Non-Independent Executive Director)

CHIEF EXECUTIVE OFFICER

Mr. Kelum Senanayake

MANAGEMENT COMMITTEE

Mrs. Sriyani Mendis - Deputy General Manager - Life Operations / Specified Officer
Mr. P. Vanojan - Snc. Asst. General Manager
Mr. Sidesh Jayasekara - Asst. General Manager-National Recruitment & Development

Mr. Nelushan Gunewardena - Head of Marketing
Mr. Prashan Jayatissa - Senior Manager - Actuarial, Risk, Compliance, and Investments
Mrs. L. A. C. Priyanthi- Manager - Actuarial
Mrs. Pavithra Peiris- Senior Manager - Conservation & Customer Care
Mr. S.H. Dulanjith Kaweesha- Financial Controller

SECRETARIES OF THE COMPANY

Richard Pieris Group Services (Pvt) Limited
No. 310, High Level Road, Nawinna, Maharagama.
Tel : 0114 310 500
Fax : 0114 310 777

AUDITORS TO THE COMPANY

Ernst & Young Chartered Accountants
P.O.Box 101, Colombo.
Tel : 0112 463 500
Fax : 0112 697 369

CONSULTANT ACTUARY

Actuarial Partners Consulting Sdn Bhd.

REINSURANCE PANEL

Partner Reinsurance ASIA Pte Ltd
Munich Re India Branch

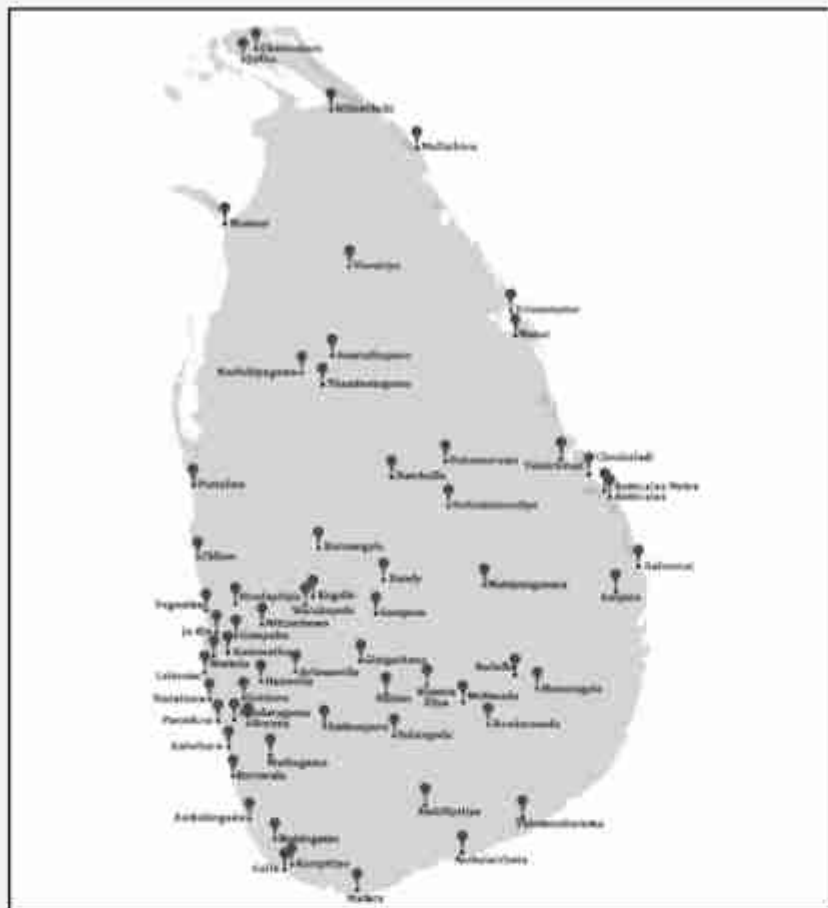
BANKERS TO THE COMPANY

National Development Bank PLC
Commercial Bank of Ceylon PLC
Union Bank of Colombo PLC
Seylan Bank PLC
Sampath Bank PLC
People's Bank
Pan Asia Banking Corporation PLC
Nations Trust Bank
Hatton National Bank PLC
DFCC Bank PLC
Bank of Ceylon
National Savings Bank
Regional Development Bank
SANASA Development Bank PLC

FOR ANY CLARIFICATION ON THIS REGARD PLEASE WRITE TO:

Accountant
Yasas Chamara
No. 55/20, Vauxhall Lane, Colombo 02.
Tel : 0112 200 924
Email: yasas.c@arpicoinsurance.com

BRANCH NETWORK



Embilipitiya

No. 188A, New Town Road,
Embilipitiya.
Tel: 047 2037000 - 001

Galle

Arpico Supercenter, No. 181, Matara
Road, Galle.
Tel: 091 2209020 - 021

Gampola

No. 174/1, Nuwarseliya Road, Mahara,
Gampola.
Tel: 081 2244750 - 753

Gampola - S4

No.02, Kavishwara Road,
Gampola.
Tel: 081 2080110 - 113

Ginigathhena

New Chamara Building, 114,
Nawalapitiya Road,
Ginigathhena.
Tel: 051 2034000 - 002

Hanwella

NO: 93,4/2/1, Main Street,
Hanwella.
Tel: 036 2238010 - 013

Gampola - S4

Hatton - S4
NO.01, Side Street,
Hatton.
Tel: 051 2034030 - 032

Horana

19A 1/1, Sri Somaranda Mawatha,
Horana.
Tel: 034 2031050 - 052

Ja - Ela

No 1/1A, Dr.Jayalath Jayawardena
, Weligampitiya
Ja - Ela.
Tel: 011 2127070 - 073

Jaffna

No.86 1/1 & 86 1/2, Navalar Road,
Jaffna.
Tel: 021 2035000 - 005

Kadawatha

No.172/22/C, Ragama Road,
Kadawatha.
Tel: 011 2127060 - 061

Kalmunai

No.140/1/2, Main Road,
Kalmunai.
Tel: 067 2117410 - 413

Kaluthara

No.398A & 398 2/1, Galle Road,
Kaluthara North.
Tel: 034 2031010 - 011

Kandy Metro

Arpico Supercenter, Colombo Road,
Mulgampola, Peradeniya.
Tel: 081 2207000 - 001

Kandy - S4

No. 7 1/1, Temple Street,
Kandy.
Tel: 081 2034020 - 023

Karapitiya

No.197, Wakkwella Road,
Galle.
Tel: 091 2209000 - 002

Kegalle

No. 311 G, Colombo Road, Ranwala ,
Kegalle.
Tel: 035 2031010 - 012

Kilinochchi

A9 Road, Karadepokku,
Kilinochchi.
Tel: 021 2035030 - 031

BRANCH NETWORK

Kotiawa

Arpico SS, No. 296, High Level Road,
Makumbura,
Pannipitiya.
Tel: 011 2127110 - 115

Kurunegala

No. 213, Mallika Group Building,
Colombo Road,
Kurunegala.
Tel: 037 2031000-001

Mahiyanganaya

No. 100/10A, Rideekotaliya, Badulla Rd,
Mahiyanganaya.
Tel: 055 2031020 - 023

Mannar

No. 144, Main Street, Sinnakudi Road,
Mannar.
Tel: 023 2031000 - 001

Matara

Arpico SC, No. 584, Anagarika
Dharmapala Mw, Walgama,
Matara.
Tel: 041 2031000 - 005

Matara -S4

No. 99, New tangalle Road,
Kotuwegoda,
Matara.
Tel: 041 2031030 - 033

Mathugama

No. 62, Ananda Mawatha,
Mathugama.
Tel: 034 2031000 - 005

Monaragala

No. 142, Wellawaya Road,
Monaragala.
Tel: 055 2031010 - 013

Moratuwa

No. 612 B1/1, B1/2, Rawathawatta,
Moratuwa.
Tel: 011 2425016 - 018

Mullathivu

Kalapaddu North,
Mullathivu.
Tel: 021 2035020 - 021

Muttur

A 15, Batticaloa Road, Periya Palam,
Muttur.
Tel: 026 2117310 - 313

Negombo

No. 349/1A, Main Street,
Negombo.
Tel: 031 2035000 - 004

Nittambuwa

No. 224/1, Kandy Rd, Aluthgama,
Bogamuwa,
Yakkala.
Tel: 033 2018010 - 013

Nochchiyagama

Opposite Vidarshana Maha Viduhala,
Puttalam Road,
Nochchiyagama.
Tel: 025 2031010 - 012

Nuwaraeliya

No. 170, Badulla Road,
Nuwaraeliya.
Tel: 052 2231000 - 001

Nuwaraeliya - S4

No. 170, Bambarakele,
Nuwara Eliya.
Tel: 052 2030510 - 512

Panadura

No. 445/1/1, Galle Road,
Panadura.
Tel: 038 2034000 - 005

Polonnaruwa

No. 125/1A, Batticaloa road,
Polonnaruwa.
Tel: 027 2117300 - 002

Puttalam

No. 171/1, Kurunegala Road,
Puttalam.
Tel: 032 2035000 - 002

Rathnapura

No. 450 1/1, First Floor, Main Street,
Rathanapura.
Tel: 045 2235000 - 003

Thambuthegama

No. 145, Rajina Junction,
Thambutthegama.
Tel: 025 2031030 - 033

Thissamaharama

No. 182, Hambanthota Road,
Kachcheriyagama,
Thissamaharama.
Tel: 047 2037020 - 024

Trincomalee

No. 314, Central Road,
Trincomalee.
Tel: 026 2031000 - 004

Valachchenai

Main Street, Karuwakkemiy,
Valachchenai.
Tel: 065 2031000 - 002

Vavuniya

No. 52, Jaffna Road,
Vavuniya.
Tel: 024 2230010 - 013

Warakapola

No. 25E 1/1, Dharmasiri Senanayake Mw,
Pitaduwa,
Warakapola.
Tel: 035 2031000 - 003

Wattala

No. 669 1/1-2/1, Keragapokuna,
Wattala.
Tel: 011 2127280 - 283

Welimada

Aradeka Gedara Watta, Aradeka,
Welimada.
Tel: 057 2236000 - 002

NOTES

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that the 12 Annual General Meeting of Arpico Insurance PLC will be held at the Richard Pieris and Company Auditorium, No. 310, High Level Road, Nawinna, Maharagama, Sri Lanka, on 28 June 2024 at 03.30 p.m. and the business to be brought before the meeting will be as follows:

1. To consider the Report of the Directors and the Statement of Accounts for the year ended 31st December 2023 with the Report of the Auditors thereon.
2. To elect Mr. Kelum Senanayake who retires in terms of Article 29 (2) at the Annual General Meeting, a Director.
3. To re elect Mr. Shiron Gooneratne who retires by rotation in terms of Article 31 (1) at the Annual General Meeting, a Director.
4. To re -appoint M/s. Ernst & Young, Chartered Accountants as Auditors of the Company and to authorize the Directors to determine their remuneration.
5. To authorize the Directors to determine contributions to charities.
6. To consider any other business of which due notice has been given.

By order of the Board,

Sgd.

Richard Pieris Group Services (Private) Limited
Secretaries

28th May 2024

Notes:

- a) A member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend and vote instead of him/her.
- b) A proxy need not be a member of the Company. The form of proxy will be found inserted in the Annual Report.
- c) A Member who intends to vote by Proxy at the Meeting may use the Form of Proxy enclosed.
- d) The completed form of proxy should be deposited at the registered office of the Company No. 310, High Level Road, Nawinna, Maharagama, not less than 48 hours before the time appointed for the holding of the meeting.

FORM OF PROXY

I/We* (in block letters) of
..... being
a member / members of the ARPICO INSURANCE PLC , hereby appoint
..... of
.....

whom failing BODIYABADUGE SHIRON ADRIAN PERERA GOONERATNE whom failing WEWALAGE DILUKSHIKA NILANGI
FERNANDO whom failing RAMAL GITHAN JASINGHE whom failing KELUM SENANAYAKE as my/our proxy to represent me/us and
to vote on my/our behalf at the 12 ANNUAL GENERAL MEETING of the Company to be held on 28 June 2024 and any adjournment
thereof, and at every poll which

	For	Against
1. To consider the Report of the Directors and the Statement of Accounts for the year ended 31st December 2023 with the Report of the Auditors thereon.	☐	☐
2. To elect Mr. Kelum Senanayake , who retires in terms of Article 29(2) at the Annual General Meeting, a Director	☐	☐
3. To re-elect Mr. Shiron Gooneratne, who retires by rotation in terms of Article 31 (1) at the Annual General Meeting, a Director	☐	☐
4. To re-appoint M/s Ernst & Young, Chartered Accountants as Auditors of the Company and to authorise the Directors to determine their remuneration.	☐	☐
5. To authorize the Directors to determine contributions to charities	☐	☐
6. To consider any other business of which due notice has been given	☐	☐

Signed this day of 2024

.....
Signature of shareholder

Note:

- i. Please delete the inappropriate words.
- ii. A proxy need not be a member of the Company.
- iii. Instruction as to completion appear on the reverse of this form.

INSTRUCTIONS AS TO COMPLETION OF PROXY FORM

- To be valid, this Form of Proxy must be deposited at the Registered Office of the Company No. 310, High Level Road, Nawinna, Maharagama., not later than 3.30 p.m. on Wednesday 26 June 2024.
- In perfecting the Form of Proxy, please ensure that all details are legible.
- In the case of a Company/Corporation, the proxy must be under its Common Seal, which should be affixed and attested in the manner prescribed by its Articles of Association.
- Please indicate with an 'X' in the space provided how your proxy is to vote on each resolution. If no indication is given the proxy at his/her discretion will vote as he/she thinks fit.
- This Form of Proxy shall in the case of an individual be signed by the appointor or his/her Attorney. Where the Form of Proxy is signed under a Power of Attorney, which has not been registered with the Company, the original Power of Attorney together with a photocopy of same or a copy certified by a Notary Public must be lodged with the Company, along with the Form of Proxy.

STAKEHOLDER FEEDBACK FORM

To request information or submit a comment/query to the Company, please complete the following and return this page to,

Richard Pieris Group Services (Pvt) Limited
No. 310, High Level Road,
Nawinna, Maharagama,
Sri Lanka.
Tel : 0114 310 500
Fax : 0114 310 777
Email : enali.c@arpico.com

Name : _____

Permanent Mailing Address : _____

Contact Numbers (Tel) : _____

Country Code

Area Code

Number

(Fax) : _____

Country Code

Area Code

Number

Email : _____

Name of Company : _____

(If Applicable)

Designation : _____

(If Applicable)

Company Address : _____

(If Applicable)

Comments/Queries : _____

www.arpicoinsurance.com